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The European Bathroom & Kitchen Product Markets

- 2021 Edition -

Spain

BRG
BUILDING SOLUTIONS

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Overview

BRG Building Solutions is a specialised market research consultancy serving the global building technologies industry. Combining unparalleled industry experience with expert research and analysis, our team delivers lasting results to hundreds of companies worldwide.

Our core expertise lies in our coverage of the bathroom, kitchen, HVAC, and other building products/technologies. Throughout a history spanning over 40 years, we have assisted industry players in identifying and realising growth opportunities through a combination of regular market monitoring and ad-hoc consultancy services.

BRG's unique Enterprise Database is at the centre of our offering. This is a comprehensive tool and very detailed source of historic, current and forecast market trends and market share data (by holding and brand) on a country comparable basis. The database provides an essential tool to our clients as a platform to support their strategic decision making.

BRG Building Solutions is a genuinely global company, staffed with individuals from varied backgrounds and nationalities, working collaboratively from four offices across four countries. Combining a high level of industry experience with expert research and analysis, our team delivers lasting results to hundreds of companies worldwide.

Our market coverage is also global, reflecting the nature of the industries we serve. Currently, 66 individual markets are covered annually in detail across the following key geographical regions (and number of countries):

- Africa (3)
- Australasia (2)
- East & Southeast Asia (6)
- Central America (4)
- Central Asia (1)
- Europe (31)
- South Asia (1)
- Middle East (7)
- North America (3)
- South America (5)
- Sub-Saharan Africa (3)

BRG has its own in-house dedicated modelling and forecasting unit. In cooperation with clients, we have since extended our offering to include market sizing for countries outside the traditional geographic reach of our main research

programme, via global market models

Product Coverage

Since the 1980s, BRG's Bathroom & Kitchen programme has provided industry players with insightful analysis and evidence-based information. In addition to detailed data on trends, values, end use, technical segmentations, market shares and distribution, our programme also includes perceptive text commentary, enabling our clients to easily identify and understand market characteristics and the latest industry developments.

BRG's programme has evolved steadily in terms of both geographic scope and product coverage and continues to do so each year. Each country report follows a uniform structure, to ensure that the data can be readily compared across regions and countries.

The product coverage has also expanded to cover virtually all bathroom, sanitary and kitchen related products, used in both residential and non-residential buildings, including:

Baths and Shower Trays

- Baths: cast iron, steel and synthetic
- Hydromassage baths
- Shower Trays: ceramic, steel/ cast iron and synthetic
- Shower systems (NAM): shower modules, integrated tub showers

Sanitary Ware

- WCs: wall hung, floor standing 1-piece and squat
- Washbasins: hand washbasins and countertops
- Other CSW: bidets, kitchen sinks, pedestals, shower trays, urinals and cisterns
- Plastic Cisterns: concealed and exposed.

Taps and Mixers ('Faucets'), both sanitary and kitchen:

- By application: basin/sink, bath, bidet, shower, kitchen sinks
- By type: pillar, two head, one head, thermostatic, self-closing, electronic
- By type (Americas): 4in centre set, 8in widespread, electronic, hand spray, pressure, single handle/one-head, self-closing, thermostatic, three handle.

Shower Wall

- Bath screens, conventional shower cubicles, hydrotherapy cubicles, bath & shower surrounds (NAM)

Bathroom Furniture

- Base units, mirror / mirror cabinets and separate cabinets.

Bathroom Accessories

- Soap holders and dispensers
- Towel holders, towel rings and towel bars
- Toilet paper holders and toilet brushes
- Towel and bathrobe hooks
- Toothbrush holders and tumblers
- Shelves, wastepaper bins, shower storage units and tissue holders.

Shower Accessories

- Shower heads, flexible hoses, shower supports, shower panels and shower pipes.

Kitchen Sinks

- Cast Iron, ceramic, enamelled steel, stainless steel and synthetic.

Definitions

Please note that all volumes given in the report refer to the number of units sold, where not indicated otherwise. In-depth product definitions are included in a separate document and available upon request.

All prices, both manufacturer and retail, exclude value-added-tax (VAT) and installation costs.

Methodology

The methodology behind the data remains true to our origins in that the industry participates in the research process, in many cases by providing BRG Building Solutions with annualised volume sales by product category per country and contacts for detailed expert interviews in all countries covered.

Our approach follows a multi-pronged strategy, gathering data inputs and information from many different sources. A further USP of BRG is the fact that we live and breathe the markets in which we specialise (bathroom, kitchen, plumbing & HVAC) and are in constant contact with manufacturers, distributors and other key influencers all of the time during our repeat annual research programme. The markets are built via a bottom-up approach. Extensive primary and secondary research complement the picture and provide all necessary insight for many

additional segmentations shown in the reports, like e.g. price segmentations, technical and end-use segmentations.

The reports are constantly evolving and refined based on industry feedback, and always reflect the latest developments in the industries.

All research is conducted in-house with a team of around 30 individuals who speak 20 different languages between them. As a result, we can transfer that knowledge and experience into services designed to assist stakeholders in understanding the opportunities available to them, at a fraction of that charged by the larger and less nimble global consultancies. BRG operates a policy of direct management of the team required to conduct the regular research work and avoids subcontracting its market studies to outside agencies.

The analysis has grown in complexity as the number of drivers affecting the markets grows, like e.g. economic uncertainty, construction cycles, new technologies, legislation. As a result, BRG Building Solutions considers all drivers through a holistic approach, recognising that products, end use segments and countries are all inter-linked.

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SPAIN

BACKGROUND

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Geography and Demographics

Spain, officially the Kingdom of Spain, is a country located in south-western Europe on the Iberian Peninsula. It is bordered on the north and north-east by France, Andorra and the Bay of Biscay, by Portugal and the Atlantic Ocean on the west and north-west, and by the Mediterranean Sea to the south and south-east. The official language is Spanish, but a number of local languages are also spoken (e.g. Basque, Catalan, and Galician).

Spain covers a surface area of 505,900 km², of which the Balearic Islands and Canary Islands account for 2.4%. It is notable for its much dispersed geography, and for the long distances between the major centres of population. These long distances have been significantly overcome in recent years, with transport (high-speed trains and larger motorway networks) and communication links between the major cities now much improved and far more efficient.

The climate differs greatly across the country, and Spain is one of the warmest countries in Europe. Three different climates can be distinguished: the Mediterranean, Oceanic, and Semiarid climates. Its main climate, however, is the Mediterranean climate, with dry and warm summers and rather mild, yet wet, winters affecting the demand for heating appliances. In the inland areas of the country, temperatures in the summers often exceed 35 degrees Celsius, with low temperatures in the winter.

In 2020, the total population of Spain was 47.3 million, a slight growth from the 2019 figure. Following data from the INE (*Instituto Nacional de Estadística*), the reason for the population increase is mainly due to immigration acquisition of Spanish citizenship. In addition to this, the increasing number of young people immigrating to Spain is higher than the Spaniard emigration to other European countries. Decreases are expected over the coming years, along with a gradual ageing of the population; those aged between 25 and 49 years should decrease by more than four million between 2014 and 2024. The population over 65 years old has also been increasing through the years.

The 92.5 average number of inhabitants per square kilometre is one of the lowest in the European Union. Native Spaniards account for the majority of the population, at 88%, although Spain also consists of a number of immigrant groups from European countries, North Africa, Latin America, and Asia as well. According to the INE, the number of households has been increasing over the last few years due to the increasing share of one-person and single-family households. Even though an increasing number of Spaniards are emigrating, often to find work abroad, or moving back into their parents' homes to save costs, the number of households is growing. However, the number of people per household has decreased, as well as the share of households with children.

Macroeconomic Overview

After 2000, Spain had enjoyed steady and healthy GDP growth rates thanks to a good combination of factors. Growth was stimulated before the crisis by a strong local industry, high domestic demand, declining unemployment rates, the national economy shifting increasingly towards services, and sustained construction activity. The GDP growth rates were consistently over 3% per year during this period. However, this came abruptly to an end and, since 2008, Spain has been strongly affected by the international financial crisis; in 2008 Spain's economy contracted for the first time in 15 years.

Construction, which represented up to 16% of the national GDP during the peak years, has suffered an unprecedented crisis and the number of housing completions in 2016 did not even equal 6% of those in 2006. As a result, the Spanish unemployment rate rose sharply from 2007, reaching 26.1% in December 2013, whereas private consumption experienced large drops year by year. Since 2014, the indicators that show the evolution of private consumption have illustrated a dynamic behaviour and householder confidence is growing moderately, leading to an increase in domestic demand.

The economy has shown positive growth since 2014, and the GDP grew by over 3% between 2015 and 2017. In October 2017, the Catalonia referendum led to an uncertain economic situation. If there had been no political adversity, the economy could have ended the year with remarkable resilience and a steady GDP growth, and this could also be true for the following years. The past economy reforms, however, have made Spain more competitive – which should have a positive effect on the economy. In 2018, the Spanish economy continued to show signs of stabilisation and the unemployment rate continued to decrease, although it still represents a large percentage of the active population. In May 2018 the Socialist Party filed a no-confidence motion against Mariano Rajoy, and Pedro Sanchez from the Socialist Party replaced him as the prime minister. There is no clear majority in the Spanish parliament and after the government budget was rejected in February 2019, a snap election was called – which was due to take place in April 2019. With no clear majority in parliament, a political crisis similar to the one after the 2016 election ensued. With no clear agreement, September 2019 was the deadline for constituting a government, and without success a new general election was called. In November 2019 the second general election in the year was held, from which Pedro Sanchez kept the leadership. This political instability had an impact in the economy, with many investments being put on hold.

However, after being in the midst of a balanced economic recovery in recent years, the COVID-19 crisis led the country into an unprecedented downslide in economic activity in 2020, with the GDP plummeting sharply and Spain having one of the worst declines in Europe. There was a huge impact on the service sector, especially the tourism industry (which accounts for about 12% of Spain's economy). Small and medium enterprises (SMEs), which contribute to over 70% of employment, were also hit hard and have been finding it tough to stay afloat. According to the IMF, the recovery is expected to be uneven across sectors, with

overall GDP projected to grow strongly in 2021 and 2022. Overall output at the end of 2022 is expected to still remain below its pre-pandemic level.

The Spanish government has provided swift income and liquidity support to limit the fallout of the pandemic, with public guarantees equivalent to 14% of GDP and other policy measures costing around 1.3% of GDP. With the economic activity expected to rebound, the budget deficit should narrow in 2021. Amid reduced consumption and low oil prices, inflation turned negative in 2020, though it is projected to gradually increase in 2021 and 2022. In its 2021 budget, the government led by Pedro Sánchez plans to raise taxes on large companies and high earners to boost revenues.

Existing short-time work schemes were reinforced to offset the COVID-19 impact; however, the pandemic widened inequalities in the labour market, with disruptions among young, low-skilled, and temporary workers being particularly harsh. The overall unemployment rate was estimated at 16.8% at the end of 2020 (from 14.1% in 2019) but is expected to remain stable in 2021, before starting to decrease again in 2022. One of the issues facing the Spanish labour market is the low level of active population compared to the potential workforce, which signifies that many people have given up on searching for employment. Moreover, Spain continues to remain a country with strong inequalities as, according to the latest data by the Spanish Statistical Office, 20.7% of the population is at risk of poverty or social exclusion, with the ratio expected to increase further due to the long-term repercussions of the COVID-19 crisis.

Manufacturing is the most important industry, as it accounts for around 11% of the GDP out of the 20% that the industry sector contributes to the Spanish economy. The industrial sector is dominated by textiles, industrial food processing, iron and steel, naval machines, and engineering. According to the data by INE, the GDP generated by the industrial sector declined by about 24% during the second quarter of 2020, while the GDP generated by the services sector fell by 21.3% during the same period.

Activity within sectors is predicted to recover modestly in 2021, as mentioned earlier. Moreover, the growth forecast for 2021 has been revised downwards (according to the IMF) as a consequence of the deterioration of the COVID-19 situation, as a second wave of the virus hit both Spain and the rest of Europe at the end of 2020, leading to a weakening of recovery policies. Recovery could be slower, given the completion of the projects underway, increased uncertainty about the duration of the crisis and the structural adjustment being observed in some sectors. Restrictions on movement and fear of infection will continue to negatively affect the tourism sector. However, the approval and distribution of effective vaccines and treatments against the virus are expected to continue to support recovery throughout 2021 and into 2022, with a progressive relaxation of social distancing measures.

Risks remain for the foreseeable future, such as an ageing of the Spanish population (as this could pose a risk to the future labour market supply) and the

country's vulnerability to the uncertainty given by the issues affecting the Eurozone, such as Brexit, immigration policies and currency performance.

Residential Construction

Overview

Before the start of the economic crisis, the Spanish market for both flats and houses boomed across different cities in Spain, and people used to invest in a second home or a holiday home. However, the effects of the economic crisis, extremely high unemployment rates and lower disposable incomes negatively affected the demand for new dwellings. However, the construction sector returned to growth in line with the country's improved macroeconomic outlook. The positive construction outlook was a result of the economic recovery, a return of business confidence, increased foreign investments, and good financing conditions due to better interest rates and the performance of the banking industry. However, during 2019, especially towards the end of the year, the sector started to fall into a slowdown.

New Housing

Housing construction had been characterised by increasing numbers of apartment buildings built in cities, where space is scarce, and by the construction of thousands of secondary homes all along the country's coast. From 2008, Spain's housing construction market was terribly affected by the international crisis. Due to the economic squeeze and very low levels of construction over the next few years, dwelling completions are believed to have dropped by over 94% from their level in 2006 to that in 2016. In 2016, dwelling completions ended the year negatively, but in contrast the amount of building permits had grown. As anticipated, dwelling completions in 2017 increased and building permits had positive figures, reflecting the economic recovery. Growth in completions continued in 2018 and 2019.

However, the expected growth is far behind the tremendous increase in the years up to 2007, which showed very high continuous growth rates in terms of residential construction output. Building permits after five consecutive years of strong growth had reduced in dynamism for the first time after the crisis of 2008. In 2019, new housing construction kept positive, although at a slower rate of growth. The global COVID-19 outbreak had a massive impact on the Spanish construction industry, and the number of residential completions declined in 2020. During the lockdown in Spain the construction sector operated in two phases. Firstly, in the first half of March 2020 new construction was still active as the focus was on closing schools and encouraging home working where possible. From the second half of March, total lockdown had taken place and construction stopped fully from March 16th until April 13th. After then strict restrictions still applied but the majority of projects resumed, albeit at limited capacity. The number of starts and permits also saw contraction in 2020. The number of dwelling completions is expected to increase in 2021 and decline again in 2022 and 2023, as a result of the low number of new investments during the pandemic as contractors and developers remained

cautious.

At one time, new construction was strongly related to the sales market; however, lately it has changed. On the one hand, we have high unemployment rates influencing a poor demand for buying new homes, and prices have already begun to rise due to the economic recovery. Yet on the other hand, we have an important factor that is the rental market, where there is more demand.

Housing RMI

RMI activity declined sharply in 2020 as a result of the lockdown measures in the first half of the year, when the level of installations declined dramatically. Most consumers were not comfortable having installers entering their houses, meaning at least two months of installations were lost. Residential renovations are believed to have experienced an overall double-digit decline in value in 2020.

The Spanish RMI end-use segment had tough times during the financial crisis, as both private and public renovations fell due to the severe economic conditions and a lack of confidence in the economy. Spain experienced a strong recovery of RMI activity from 2014, as the economy recovered and consumers resumed postponed renovations. The sharp decline of RMI activity in 2020 means that the volumes should take a few years to return to the 2019 levels of activity.

Non-Residential Construction

The non-housing end-use segment is driven by levels of both public and private investment, and since private investments have been increasing in Spain since the mid-2010s, an increase of the stock of non-residential buildings has been generated. Many investments started to take place and the output of this sector was especially high over the 2016-2018 period, with many renovations and the new construction of hotels and other tourist facilities. This was a key contributor to the performance of this segment in 2018, mainly due to the slight decrease in new construction but also due to real growth in non-housing renovation and refurbishment work, as many firms in the tourism sector renovate their premises regularly to keep offering designs that are aligned with new market characteristics and tendencies. During 2019 the non-housing end-use segment started to show a lower dynamism of renovation, as most demand had already taken place in previous years – as mentioned above.

In 2020, the COVID-19 pandemic that led to lockdown and travel restrictions had a severe impact on the non-residential sector in Spain. Many hotels, restaurants, bars and other leisure facilities had to close for long periods. This meant that most new investments or RMI activities were stopped or postponed, apart from the ones that were already contracted.

II.2 Key Figures

ES - DEMOGRAPHICS AND HOUSEHOLDS

Value	Year
Segmentation	Category
Demographics	Population (% Rural)
	Population (% Urban)
	Population ('000)
Households	Average Size (Persons h/h)
	Total ('000)
Persons per Household (% of Total)	1
	2
	3
	4
	5+

Source: BRG based on Country Statistics.

II.3 Macroeconomic Trends and Forecasts

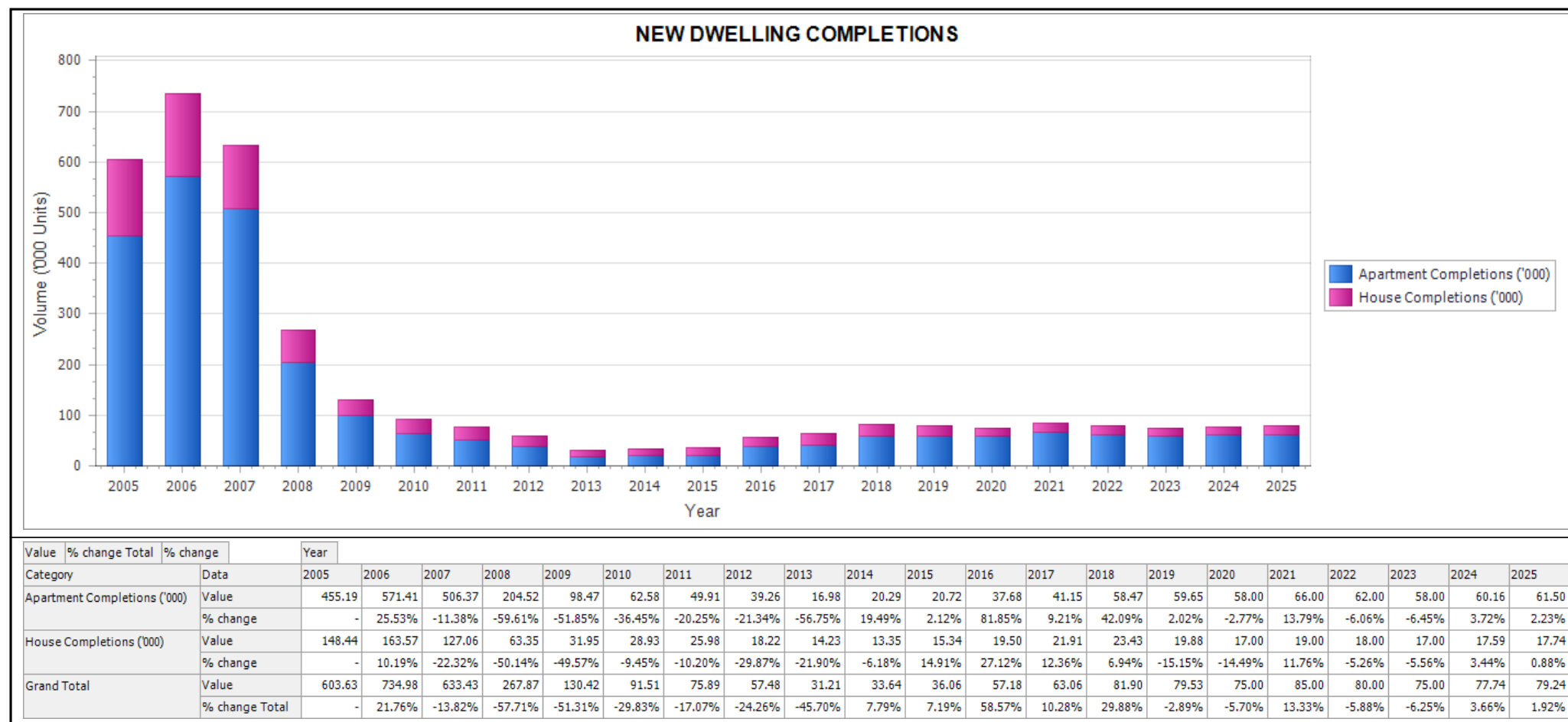
ES - MACROECONOMIC KEY INDICATORS

Value	Year																				
Category	2005	2006	2007	2008	2009	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025
Consumer Price Index(% change)	3.74	2.67	4.22	1.43	0.80	2.99	2.38	2.87	0.25	- 1.04	0.02	1.57	1.11	1.18	0.79	- 0.53	1.25	1.37	1.55	1.63	1.70
GDP (% change)	3.66	4.10	3.60	0.89	- 3.77	0.17	- 0.81	- 2.96	- 1.44	1.38	3.84	3.03	2.98	2.43	1.95	- 10.96	6.38	4.70	2.79	2.43	1.39
Government Balance(% of GDP)	1.23	2.12	1.89	- 4.57	- 11.28	- 9.53	- 9.74	- 10.74	- 7.04	- 5.92	- 5.18	- 4.31	- 3.02	- 2.48	- 2.86	- 11.47	- 9.03	- 5.77	- 4.92	- 4.31	- 4.31
Household Saving Rate (% of Disposable Income)	4.27	2.36	0.77	3.08	6.95	5.06	5.91	2.22	3.98	2.28	3.17	2.97	1.64	1.43	2.01	14.21	9.76	0.00	0.00	0.00	0.00
Private Consumption (% change)	4.13	3.98	3.39	- 0.70	- 3.59	0.37	- 2.46	- 3.32	- 2.89	1.69	2.95	2.69	3.02	1.77	0.92	- 12.14	0.00	0.00	0.00	0.00	0.00
Unemployment Rate(%)	9.15	8.45	8.23	11.25	17.86	19.86	21.39	24.79	26.10	24.44	22.06	19.64	17.23	15.26	14.11	15.53	16.81	15.82	15.01	14.55	14.36

Source : IMF and OECD. N.B. Household Saving Rate and Private Consumption not Available for all Forecast Years

II.4 New Dwelling Construction

ES - NEW DWELLING COMPLETIONS ('000 UNITS)



Source: BRG based on Country Statistics.

II.5 Dwelling Stock by Type and Tenure
ES - DWELLING STOCK BY TYPE AND TENURE ('000 UNITS)

Value		Year
Segmentation	Category	2020
Dwelling Stock by Type	Apartments (%)	69.02
	Apartments ('000)	17 800.00
	Houses : Rural (%)	13.96
	Houses : Rural ('000)	3 600.00
	Houses : Urban (%)	17.02
	Houses : Urban ('000)	4 390.00
Dwelling Stock by Tenure	Primary Owned (%)	59.40
	Primary Owned ('000)	15 320.00
	Primary Rented : Private (%)	12.29
	Primary Rented : Private ('000)	3 170.00
	Secondary (%)	14.50
	Secondary ('000)	3 740.00
	Vacant (%)	13.80
	Vacant ('000)	3 560.00

Source: BRG based on Country Statistics.

SPAIN

DISTRIBUTION

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Overview

In Spain, the majority of bathroom products are distributed via wholesalers with well-established partnerships with manufacturers. Direct sales to big installers are also an established part of the distribution structure, but it is very unusual to see direct sales to small installers. Besides the traditional distribution model, the market in Spain has seen an increase in DIY stores – but internet distribution is still residual. Specialist retailers continue to distribute bathroom products in their shops, but they have been experiencing a difficult time due to their lack of product range when compared to generalists.

The overall structure of the building products distribution in Spain remains regional and fragmented, with a large number of wholesaler companies. Most of them are united under the trade association AMASCAL (*Asociación de Mayoristas de Saneamiento, Calefacción, Fontanería, Gas, Aire Acondicionado y Afines*). The distribution of both bathroom and kitchen products in the country is heavily dominated by wholesalers.

Wholesalers continue to play an important role in Spain, as some of the large manufacturers sell most of their products through this channel and they are very loyal to their wholesale channel; some manufacturers sell nearly 100% of their products using this type of distribution. Wholesale is the most traditional channel and is still the preferred one in the country. Some of the large manufacturers usually do not sell directly to developers; hence, transactions are most likely to be executed between wholesalers and developers.

Another key link between the manufacturers and consumers are installers, who in Spain can be very powerful as they advise consumers on products and usually suggest the best products consumers should acquire depending on brands, prices, convenience, etc.

Likewise, wholesalers could also sell to the installers directly or the installer could buy the products online or from DIY stores. DIY is a channel that has been growing in Spain, mainly due to new marketing strategies. Recently, DIY stores have been working with installers directly in order to target this market, as companies are very aware of the importance of installers. In Spain, people prefer to use the service of an installer rather than assemble the products at home or do any renovations themselves. This is mainly because there is no DIY culture in the country. As this channel continues to adapt to the Spanish culture, it is believed that it could continue to grow in the next few years due to the different recent marketing strategies and their increasing relevance in the country.

Internet sales are still not as common in Spain as in some other European countries, where this channel is more developed. It is expected that the internet channel could increase during the next few years, as people get more familiar with it. Currently, the main products sold through this channel are taps and mixers.

Regarding specialists/other retailers (*minoristas*), usually they have small and medium-sized shops. Recently they have been experiencing a difficult time, because more people are buying products in stores – which offer wider product ranges and better prices. Nevertheless, specialist bathroom retailers still play a relevant role in the distribution of bathroom products in Spain, as some of the traditional buyers still buy some products through this channel. It is believed that within the next few years the presence of this channel should continue to decline.

Wholesale Level

The wholesale level continues to hold the majority of building products' distribution in Spain, enabling manufacturers to reach customers nationwide. The products offered by this channel can range from heavy and lightside building products through to specialist sanitary ware, plumbing products to plumbing pipes, fittings and other metal products.

The wholesale trade varies per sector, subsector and company, and the wholesale distribution is considered one of the traditional channels for material products – which include bathrooms, kitchens and other general materials for construction, and manufacturers continue to be very loyal to this distribution channel.

The importance of wholesalers is particularly strong for the traditional bathroom products, such as sanitary ware and taps and mixers and, to a certain extent, baths and shower trays. A large number of manufacturers, such as ROCA, GROHE, and IDEAL STANDARD, sell the majority of their products via leading wholesalers, which are then distributed to DIY and specialist retailers or via the online segment. These manufacturers, when they bid for a project, always involve the wholesaler and the sale is done through this channel.

Some of the largest heating or bathroom manufacturers have their own networks of distributors, such as ROCA – which has a whole network of distributors for its bathroom products all around Spain. These distributors also sell white goods, air conditioning and ceramics and, therefore, can be considered *mayoristas* (distributors that sell bathroom and kitchen and heating products at the same time, and other metallic goods). Some of the main distribution companies are LAGUARDIA & MOREIRA, CALVO Y MUNAR, and MANAU.

Virtually all leading brands can also be found in online shops, but people prefer to buy in shops after having observed the products in a store, feeling the quality of the materials and having the option to compare the different products available. Wholesalers often have a wider reach than manufacturers that supply directly. This is a very important factor that can explain the importance of these distributors in the country. New small manufacturers are often the ones that choose to supply their products directly, using other channels.

A very large number of installers are available across the country, from the largest cities to the smallest villages, and they are well respected in the industry as they

can highly influence consumers' preferences between products.

In addition, buying groups (*Centrales de Compras y Servicios*) have also taken an important role in the distribution of building products in Spain. These buying groups include companies such as ALMAGRUPO, GRUP GAMMA, BIG MAT, GC TECLISA, CEALCO, GRUPO AMACO, GRUPO MADRID, GRUPO IBRICKS, TERMOCLUB, and COARCO. Some of these groups have a national representation (BIG MAT) and some are mainly regional (GRUPO AMACO in Andalusia and COARCO in the Canary Islands). These buying groups can be classified as part of the mixed merchants/wholesalers category, as they offer a wide range of building products. These groups are usually formed after a union of wholesalers, and their aim is to regroup and provide installers with an affordable range of products. They also offer OEM products through their channel.

International players are also very important in the Spanish market, such as POINT.P, which has acquired many companies (i.e. COMERCIAL URGELL, AGUSTIN CANALS, DESEA, SANIGRIF, and DISCESUR). Another international group, GC TECLISA, bought part of THISA, and the other part was divided between NOVOLEC and SALTOKI. Spanish companies have also expanded, such as CALVO Y MUNAR when it bought BARRERO E HIJOS.

Mixed merchants are companies providing a range of products such as construction materials, cements, machinery, air conditioning, coatings and white goods. Heating and bathroom products are also part of the catalogue. Mixed merchants provide all goods necessary for the construction of buildings and dwellings, from the heavy products to piping and radiator valves. Mixed merchant groups include companies such as GRUPO MANAU and POINT.P (SAINT-GOBAIN). GRUPO MANAU is based in Catalonia and offers a wide range of services in addition to building products. The company owns a transport fleet to deliver goods. POINT.P offers a range of landscaping products for gardens and swimming pools, as well as a similar range of services to GRUPO MANAU.

The main difference between the mixed merchants, the specialists and the distributors is that the distributors specialise in building products (plumbing, pipes, and metal products) and also offer a range of heating and bathroom products. These include companies such as METALES Y DERIVADOS, and THISA – which had some of its stores acquired by GC TECLISA, NOVELEC, and SALTOKI because of the financial problems that resulted in the company being involved in an insolvency procedure.

These products may be manufactured in Spain, or some of them could be imported. Other companies include, for example, TUCLIMA, MACRO-TUBO, GRUPO RADISA, and CECOEX. These companies have a rather regional field of activity. In Spain, national manufacturers operate through *delegaciones*, equivalent to regional sales representation centres.

The distribution of building products in Spain is affected by numerous factors, such as the geography of the country, which affects the possibilities of economies of

scale because of the distances between cities and the strong regionalism within the country.

Also, the Spanish way of doing business and the attachment to personal relationships leads to local initiatives, and has prevented mergers that would have been economically rational in other countries.

For this reason, the Spanish identify easily with the region or autonomous community (*comunidad autónoma*) they live in, which reduces the horizon of the distributors. Consequently, they prefer to focus on their local areas. Only a few distributors operate at national level (SALTOKI, LA GUARDIA, etc.).

There are positive expectations about the housing market in Spain. Also, it is expected that manufacturers will continue to depend on the traditional distribution channels to sell their products and that the wholesaler channel will continue to dominate the distribution of bathroom and heating products, since they are still highly respected by manufacturers and have developed long-term agreements.

Retail Level

DIY Retailers

The Spanish DIY retail trade is a combination of a number of different store types, including DIY chains, hardware stores, paint and wallpaper shops and other DIY stores. The larger DIY chains are often located outside the built-up areas, such as industrial areas or along motorways, whereas the other stores are often located in shopping areas. The core activities of the Spanish DIY channel are renovations and extensions of existing dwellings.

DIY stores offer a wide range of products, but usually they sell more bathroom furniture products because people prefer to buy them through this channel – as it offers a good range of products.

Historically, DIY retailing was in the hands of several thousand small *ferreterías* (hardware stores) and *droguerías* (selling paint and various small articles).

DIY continues to grow in Spain; however, Spanish culture is not very inclined towards DIY. People in Spain are very traditional, and they are also into the design of their bathrooms and finding trendy pieces. For this reason, people continue to use mainly traditional channels to buy bathroom products. It is expected that DIY should continue to grow, but the growth could be less around some products such as shower trays and baths, with this last product being very small in this channel.

Nevertheless, the strategy of DIY stores working directly with installers could open new doors for this channel, as they can offer the service of installation at the point of sale. Another important trend in this market is the increasing importance of working with European manufacturers to offer better-quality products instead of mainly cheap imported ones.

After the financial crisis, Spanish people prefer to pay slightly higher prices for better-quality products that include warranties and also have longer lifespans.

International groups are also represented in Spain through this channel, most of them being from France. One of the largest groups in DIY is the French company AUCHAN, with its stores LEROY MERLIN and AKI. LEROY MERLIN offers a wide range of products and has some of the largest national coverage of all the DIY chains. AKI sells products from ROCA, GROHE, and COINTRA. Another important group is the Spanish BRICOR from the EL CORTE INGLES, BRICO GROUP, which have a cooperative composed of members and associate companies.

The BRICO GROUP has its own buying group, supplying its members. It is a member of the European buying group BRICOALLIANCE. Other increasingly important Spanish players are ATB and BAUHAUS. ATB (*ASOCIACIÓN DE TIENDAS DE BRICOLAJE*) is a franchise of DIY centres under the name BRICO CENTRO. The franchise has a nationwide coverage.

BAUHAUS is not as big as the other DIY store chains, but it also has national coverage and offers a range of garden products, paints, windows, heating controls and tools. HABITACLE is another player in the Spanish DIY market, as is MR BRICOLAGE, the French DIY retailer.

DIY stores are often directly competing with other distribution channels, such as wholesalers and specialists.

DIY is particularly relevant for the distribution of shower and bathroom accessories, taps and mixers, and furniture. The importance of the DIY sector is expected to increase in the coming years, taking some market share from specialists, as consumers get more comfortable with this channel and installers continue to work with them more closely.

Specialist Retailers

Specialist bathroom retailers, often referred to as *minoristas*, historically have always played an important role in the distribution of bathroom products in Spain. Specialist retailers are traditional Spanish shops. They are present in almost every city, town and village in the country. They operate as local shops and open during normal working hours. The range of products they usually offer is quite wide in terms of products, but may not be as wide in terms of brands offered. As the shop's size is usually relatively small, the shop owner tends to have as much as they can in stock, but from just one brand. The types of products they offer include bathroom accessories, hardware (tools and nails), cables and piping, washing machines, heating and cooling products (radiators, air conditioning and fans), and all electrical goods.

Within this sector, there are several small and medium-sized retailers that access their products from wholesalers directly. The number of these shops is decreasing,

with more people living in bigger cities where larger DIY stores and cheaper shops are available. However, some Spanish people remain very much attached to their local shops and amenities, and there will always be *minoristas* supplying local installers or end consumers in the country.

Specialists, as defined by BRG, include the distributors of bathroom products, excluding building products. In Spain, these distributors also supply other products. Some of the largest specialists in Spain are SANITARIOS BOSCO and TECLISA. Some of these larger specialists are part of purchasing groups such as ALMAGRUPO.

Also, the Swedish furniture giant IKEA offers a wide range of bathroom products, such as shower and bathroom accessories and bathroom furniture or taps and mixers, mainly sourced from domestic producers. As a strongly growing and convenient store offering a whole range of products for the home, it has become a preferable choice over traditional furniture retailers.

Some bathroom accessories and the electro-domestic channel have products being distributed by generalists. Probably the largest generalist in Spain is EL CORTE INGLES.

Recently, these *minoristas* have been experiencing difficulties, mainly losing share to DIY stores, and it is expected that they could continue to decrease in market share.

Internet Retailers

Nowadays, internet retailers provide an increasingly appealing route to market for manufacturers, as well as for the final consumer around the world. There is evidence of some bathroom products, mainly accessories and taps and mixers, being sold through the internet to the better-informed end users in Spain, who find the same product or a similar one with a better price, warranty or conditions. However, this part of the market continues to be residual in the country.

Sales of taps and mixers and shower and bathroom accessories, in particular via internet retailers, have increased during the last few years. It is believed that internet sales should also increase in the coming years, as taps and mixers are relatively easy for homeowners to install without the need for a professional, and online retailers command lower retail prices than high street retailers.

The internet is selling hardly any ceramic products, however, since consumers and installers prefer to buy those products after seeing them in the shops to compare sizes, quality, materials, designs, etc. This is mainly because traditional consumers in Spain prefer to buy offline, despite browsing online, especially because the construction and building products are more expensive than other articles that can be bought online. Also, there are some luxury products that have a higher price, and buyers prefer to touch and see them in stores before paying for the products.

In addition, many bathroom products need to be installed by a specialist and people in Spain prefer to hire an installer than do it by themselves. Nevertheless, the internet is a channel that is increasing slightly year-on-year, and which is expected to increase further in years to come. BANIUM.COM is an online marketplace that specialises in bathroom products and sells well-known brands through the website, and also analyses the behaviour of the consumer. According to BANIUM.COM, the main factor that influences that decision maker is the knowledge about the brand, and mobile phones are the principal devices for the research.

Most online retailers source their products from wholesalers and supply products to end users as well as installers. Prices are often lower than when bought from high street retailers. The biggest online marketplace, AMAZON, opened a distribution centre in EL PRAT (Barcelona) at the end of 2017.

Currently most wholesalers, DIY stores and specialist retailers also have an online channel of some kind. But there are no online web shops that only sell bathroom products yet, as there are companies in Spain for heating, such as GASFRIOCALOR.COM.

Regarding click and collect services, there are a few companies that offer this facility. For instance, LEROY MERLIN, BRICOMART, and others have a platform available for consumers to buy online, and they can collect the items in the store.

Likewise, manufacturers are now directly developing online marketing strategies, while previously this was kept fairly separate from the manufacturers and solely went through the wholesale channel, but since this portion of the market is very small, it is still unknown how much it is growing year-on-year. It is expected that this particular market should continue to evolve and could increase strongly in the next few years.

Buyer Level

Installers

Installers are part of the professional channel, and they usually work closely with purchasing groups, associates and points of sale. In Spain installers are split into big installers, professional installers (small), plumbers, and very small installers that do not have a company, but do have a license to operate.

Usually consumers pay for the product and the installation, and this is the amount that the installer charges. In Spain installers play a very important role in building products, and they interact at different levels of the distribution flow.

In some cases, there is also a direct sell from some manufacturers to big installers, as they can be quite powerful within the distribution channels. On the other hand, the purchasing group requires conditions of the group such as incentives, bonus,

etc.

The direct channel that goes directly to the big installer asks for larger discounts from manufacturers, so the margins and the structure changes and can be different.

It is expected that installers will continue to play an important role in the sale of building products in Spain, as manufacturers, wholesalers, DIY stores and specialists are aware of installers' capabilities of having an impact on the decisions of consumers at the point of acquiring a brand-new product – or replacing an existing one.

III.2 Summary of Leading Distributors
ES - SUMMARY OF LEADING DISTRIBUTORS

Holding	Trading Name	Distributor Type	General Product Orientation Profile	Turnover		Home Market Coverage		Specific Product Orientation													Buying Group Affiliation	
				Year End	Million Euros	No. of Depots	Geographical Coverage	Specialist						Specialist						Other		
								Total	Heat	Bath	Plumbing	Vent/Aircon	Tiles	Total	Building Materials	Timber	Insulation	Roof	Other	Specify		
ADEO	AKI BRICOLAJE ESPAÑA	DIY Retailer	DIY Assortment			51	National	XX	XX	XX		XX	X		X	XX			XX	DIY Assortment		
ADEO	LEROY MERLIN	DIY Retailer	DIY Assortment	31/12/2019	2,370.00	78	National	XX	XX	XX	XX	XX	XX	XX	XX	XX	XX	XX	XX	DIY Assortment		
ATB NORTE S.L.	BRICOCENTRO	DIY Retailer	DIY Assortment	31/12/2019	3.29	21	National	XX	X	X	X	X	X	XX	X	X			XX	DIY Assortment		
BIGMAT IBERIA S.A.	BIGMAT PROMAESPAÑA	Buying Group	Mixed Merchant	31/12/2018	42.6	275	National	XX	X	XX					XX							
CALVO Y MUNAR S.A.	CALVO Y MUNAR	Wholesaler	Heating, Sanitary/Plumbing & Vent/Air Con	31/12/2018	18.50	6	Madrid	XXX	X	XX	XX	X	X						X	Kitchen	ALMAGRUPO	
CEALCO CENTRAL DE COMPRAS Y SERVICIOS	CEALCO	Buying Group	Heating and Sanitary/Plumbing	31/12/2018	24.40	200	National	XXX	XX	XX	XX	X							X	Kitchen		
CENTRAL ALMACENES SANEAMIENTO S.L.	CEALSA	Buying Group	Heating and Sanitary/Plumbing	31/12/2019	1.99	70	National	XXX	XX	XX	XX								X	Kitchen		
GRUPO MANAU	MANAU S.A.	Mixed Merchant	Mixed Merchant	31/12/2018	16.30	4	Cataluña	XX	X	XX	X		X	XX	X				XX	Kitchen, Electrics		
HAGALO S.A.	BAUHAUS	DIY Retailer	DIY Assortment	31/12/2018	156.00	11	National	X	X	X		X		XX	XX				X	DIY Assortment		
IBERICA DEL CALOR	IBERICA DEL CALOR	Specialist Merchant	Heating, Sanitary/Plumbing, Tiles & Vent/Air Con	31/12/2019	1.00	2	Madrid	XXX	XX	XX	X	X	X						X	Kitchen		
LAGUARDIA	SUMINISTROS LAGUARDIA/MOREIR A Y COMPAÑIA	Specialist Merchant	Heating, Sanitary/Plumbing, Tiles & Vent/Air Con	31/12/2019	24.60	14	Madrid, Galicia	XXX	X	XX	X		X						X	Kitchen		
PEREDA	EUGENIO PEREDA SA	Specialist Merchant	Heating, Sanitary/Plumbing & Tiles	31/12/2019	43.40	3	Madrid	XXX	X	XX	X		X						XX	Kitchen		
SAINT-GOBAIN	SAINT-GOBAIN POINT P ESPAÑA	Mixed Merchant	Mixed Merchant	31/12/2018	188.00	38	National	XX	X	XX		X		XX	XX				X	Kitchen		
SALTOKI	SALTOKI	Specialist Merchant	Heating and Sanitary/Plumbing	31/12/2019	78.70	75	Centre and North Spain	XXX	X	X	X	X							X	Kitchen, Electrics		
TERMOCLUB	TERMOCLUB	Buying Group	Heating	31/12/2019	18.4	53	Cataluña	XXX	XXX													
ADEO	BRICOMART	DIY Retailer	DIY Assortment			28	National	XX	X	X	X	X	X	XX	X	X			XX	DIY Assortment		
EL CORTE INGLES SA	BRICOR	DIY Retailer	DY Assortment	31/12/2017	110.00	15	National	XXX	XX	XX	XX	X							XX	DIY Assortment		
SALVADOR ESCODA S.A.	SALVADOR ESCODA	Wholesaler	Heating, Sanitary/Plumbing & Vent/Air Con	31/12/2019	165.00	70	National	XXX	XX	XX	XX	XXX							XX	DIY Assortment		
IBRICKS SL	CENTRAL DE COMPRAS Y SERVICIOS	Wholesaler	Heating	31/12/2019	3.21	444	National	XX		X			XX	XX	XXX							

Source : BRG Based on Company Financials

SPAIN

BATHS AND SHOWER TRAYS

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Product Mix

The shower tray market has been developing in the last few years, and has taken the lead in the traditional Spanish market. This is mainly due to a very strong growth of shower tray sales from the late 1980s until 2006, with a parallel stagnation of bath sales due to the substitution of baths with trays, particularly in newly constructed dwellings, but also residential RMI. This trend has been developed as people in Spain would prefer to have the extra space used for a bath in a different way in the households, mainly in flats in urban areas. Holiday apartments, built mainly in the southern coastal regions, have also boosted the growth in the shower tray market over recent years. Another important factor is the ease of access that showers provide for older people. Hydromassage baths, for instance, in the 1990s were still regarded as premium products and offered by the traditional brands. Most Spanish manufacturers have positioned themselves in the middle to upper luxury segments. This segment is also occupied by Italian and Chinese imports, whereby the Italian ones are positioned as luxury and high-end products and the Chinese are the cheapest option in the market.

In terms of product mix, a trend away from steel/cast iron, in both the private and contract sectors, to synthetic materials has been observed. The availability of different materials, colours, shapes and sizes has increased the penetration of this type of product. Furthermore, most installers prefer to install these lighter models instead of ceramic and, because they play an important role in Spain, they can affect the decision-making process of consumers. Sales of ceramic shower trays remained relatively untouched by this trend until 2007, but since have also suffered from the increasing popularity of synthetic trays, even more so as the prices for these have become competitive. In 2007, the Spanish hydromassage bath market showed consistent underlying growth and hydrotherapy products substituted some sales of conventional baths, shower trays and shower sets. Hydromassage baths have been losing their appeal as luxury products, instead being heavily substituted for the more high-end baths, such as cast iron or steel without any hydro functions.

As a result of the collapse of the Spanish construction sector, the market size decreased dramatically. After 2008, sales declined due to years of falling new construction and shrinking discretionary income, but also due to environmental issues – as hydromassage and bath products use large amounts of water.

Within the synthetic segment, the share of resin shower trays has been increasing in the last few years. On the other hand, ceramic shower trays are considered more resistant to scratches and, therefore, more durable than synthetic models. This continues to make them the preferred type for new construction, even though synthetic is gaining share. However, the significant reduction in the construction of new social housing, due to the economic crisis, has negatively affected the ceramic shower tray market as it used to be one of the main drivers. Currently, an important factor of development is the RMI of old dwellings, from which tenants were evicted at the time for the lack of payment of mortgages, and rental flats in upmarket areas

that are now being refurbished for new rentals.

In addition, there has been a market for wet room installations, due to some substitution of shower trays by tiled, wet shower areas, since the late 2000s. They are mainly being installed in hospitals, gyms and some luxury new construction, and have been seen as substitution for the bathtub. Usually a special material is used on the floor or tiles, and the installation is made by the installer. Wet showers should be growing at a faster pace, as there has been a decline in sales of ceramic shower trays, and the growth of synthetic shower trays does not cover the new construction demand.

Recent Market Trends

In 2020, overall sales of baths and shower trays declined significantly, with all product categories witnessing negative growth in volume sales. The economic crisis resulting from the COVID-19 pandemic impacted each and every product segment, with even the larger markets such as synthetic baths or synthetic shower trays experiencing substantial declines in sales.

The longstanding trend of shower tray sales increasing in share, and bath sales declining, changed as the new housing sector performed better than RMI or non-housing. The main driver has been positive new construction activity and the penetration of shower trays in this sector in recent years. The trend of shower trays being installed in public housing has been increasing, with changing designs of the constructed buildings, while baths are being installed mostly in those dwellings where a second bathroom can be constructed. However, the share of shower trays is still much greater in renovations than in new construction, but the increasing penetration in new construction is starting to get noticed. Nevertheless, 2020 being an exceptional year due to the COVID-19 impact, for sales in new construction as well as renovations, both witnessed a decline for most of these product segments.

Baths continue to lose out to shower trays and wet rooms when it comes to space saving, and the increasing demand for synthetic products over ceramic and other steel / cast iron models is now a long-term trend. However, when a dwelling has two bathrooms, in the main bathroom a bath will still be installed. The share of hydromassage baths are still residual when compared to steel or synthetic baths for the residential end use, but bigger than that of cast iron baths. Hydromassage baths have a higher share in the RMI sector, due to the economic reactivation and an increase in consumer spending. The hydromassage evolution in new housing has recorded a decline due to a subdued activity in this sector, as a result of the impact of COVID-19 on new construction and weak demand from the consumers.

Regarding the change in materials for shower trays, among the synthetic materials are included three different types: acrylic, mineral cast, and solid surface. Sales of mineral cast models are the main categories responsible for the overall increase in synthetic shower tray sales, and the strong growth in this segment has encouraged several players in the shower wall market to enter the shower tray market. Mineral cast is responsible for the biggest share, since the raw material to produce it is

much cheaper than that for solid surface. Acrylic models are currently losing share in the Spanish shower tray market, despite being much cheaper than mineral cast and solid surface ones. The mineral cast and solid surface material is characterised by being able to reproduce any measure, texture, material, colour, and shape.

Ceramic shower tray sales have continued to decline, more so as a result of weak activity in housing construction. Sales of ceramic shower trays have always been dependent on new housing due to their low price and durability, and the fact that they are extremely popular in social housing. Also, manufacturers offer these with different shapes and customised measures, and much thinner than before. Walk-in showers also have been gaining popularity in new housing, and this is one of the reasons that ceramic shower trays have been losing share – and on top of this demand for synthetic shower trays has grown over the years. The same is the case with steel shower trays: even though this market is comparatively much smaller, synthetic counterparts are replacing this product category gradually by being cheaper and more customisable.

Prices and Market Values

Overall prices of most products increased slightly in 2020, with the exception of steel and hydromassage baths. With the overall market being subdued and demand being much lower than the previous year, the baths and shower trays market did not witness any drastic growth in MSPs. Most manufacturers decided against steep price increases and passing them on to the consumers, even as manufacturing and logistics costs grew during the year. Most of them decided to keep the prices competitive in order to stimulate sales.

The growth in prices is usually led by increasing demand for higher-quality products, as disposable income is increasing. These slight price increases have partly been a result of the stability of the market and low levels of inflation, and are highly stimulated by a greater demand for products with better warranties and materials. The majority of baths and shower trays are sold into the economy and middle categories. As the market for all the products declined during the year, there were hardly any changes in the shares of sales to different price segments.

Among the synthetic products, an increase in the shower tray average price was observed, mainly due to the increase in logistics and manufacturing costs.

Regarding the baths segment, most of the price pressure comes from demand – supply interaction and prices are provided mainly by the strong competition in the new build sector. For cast iron baths, the dominance of one or two manufacturers in this market allows them to have more flexibility with price setting, which is affected negatively by the lack of demand – thus affecting the long-term cast iron price increase, as this market performs less freely.

Hydromassage baths' average price is high, given that the consumer is prepared to spend money on hydrotherapy. However, average prices for a hydromassage bath decreased slightly in 2020 compared with 2019, as demand was slower in all price

segments. The average product price has decreased, due to the high share of economy products. Some manufacturers were already struggling to stay in the market before the pandemic struck.

New installation companies have been focusing on replacing baths with shower trays, satisfying the demand for this new trend. In fact, these companies offer both the replacement of the bath and the installation of the shower tray in a short period of time, and some shower tray manufacturers have agreements with those new companies, even conducting joint marketing activities. Sometimes, they also have stands in DIY stores to make consumers aware of the advantages of replacing their bath and to inform them about the different products in their portfolio. Steel and cast-iron shower trays' average prices have increased slightly, mainly due to a switch towards the middle and upper/luxury price segments.

New Housing

New dwelling completions decreased in 2020, due to the COVID-19 pandemic and various restrictions thereafter. This affected sales of baths, shower trays and hydromassage baths in a negative way. A considerable number of shower trays and baths are installed in residential new construction, although the increasing share of wet rooms has prevented installations from growing further. However, during 2020 the new housing installations declined, on account of the decrease in housing construction. The outbreak of the COVID-19 pandemic prevented any growth in the construction activity, due to quarantine measures and strict protocols being imposed by the authorities.

Until the 2000s, most new dwellings were fitted with two baths; however, in Spain now there is a clear preference for showers. Also, with the share of new build apartments increasing, the average size of bathrooms is reducing. This has negatively affected the average number of baths sold in new dwellings, and this market was dropping significantly until 2016. The growing numbers of dwelling completions after 2017 had reversed that trend. The fact is: a bath is usually installed in one bathroom, and in the second bathroom a shower tray would be installed. The most common types of houses and apartments in Spain include two bathrooms. Nonetheless, the penetration of wet rooms has become an important factor – and this market is growing faster than expected. However, the installation of synthetic shower trays in new dwellings has become more common than ceramic shower trays.

For hydromassage baths, only a marginal share of sales went to the new housing end-use sector.

Housing RMI

The housing RMI segment has been an important driver for the bath and shower tray market (this is a mature market in Spain), principally because of the substitution trend away from baths and towards showers, as well as the growth in RMI expenditure. For baths and shower trays, the RMI segment represents the

bulk of sales. Synthetic baths being installed in the RMI segment continued to increase, due to the continuing popularity of light, cheap, flexible synthetic baths, as it is a product highly preferred by installers due to its lighter weight. Also, consumers have shown preference for the free-standing bath and its modern shapes, which helped it increase in popularity. Therefore, steel baths have been losing share to synthetic baths. However, steel baths still account for a high number of installations in the RMI sector. RMI demand accounts for a vast majority of sales for hydromassage baths and, surprisingly, constant demand has led to a relatively stable volume of units being sold to this sector. The reason behind this is that the main demand is coming from households that are replacing either a hydromassage bath or a traditional bath.

Synthetic shower trays have been growing quickly over the last decade, as many replacements of baths and ceramic shower trays continue to take place. The new materials in this market have allowed consumers to have a wider selection of colours and shapes, which has allowed this market to grow stronger. Nonetheless, RMI sales declined in 2020 for the first time since 2009.

Volume sales of baths and shower trays declined in 2020 due to the COVID-19 pandemic. The market activity was subdued, with slowness in demand for all product segments during the year. Since the renovation and replacement market is the most important and largest end-use segment, it is quite evident that a significant decline in sales to this segment will inevitably lead to a considerable drop in the overall bath and shower tray sales.

Non-Housing

The majority of demand for both baths and shower trays is from hotels, despite non-housing demand accounting for just a small share of sales of baths and shower trays in Spain in 2020. Moreover, with the hospitality and travel industry suffering the worst among all major industries during the COVID-19 pandemic, non-housing sales have witnessed the largest decline among all end-use segments for all product segments. The tourism sector is an important industry in Spain and, according to the World Travel & Tourism Council (WTTC), the tourism sector represents around 12% of the country's GDP. It is the key contributor to the performance of this market, as many firms in the tourism sector renovate their premises regularly to keep offering designs that are aligned with new market characteristics, tendencies, and customer tastes.

Ceramic shower trays have been losing ground to synthetic shower trays, which have gained market share over the past couple of years. The non-housing sector is an important source of demand for hydromassage baths, as uptake has come from hotels, care homes, spas and other wellness facilities. However, the share of hydromassage baths has decreased over the years, due to improved levels of commercial construction activity and demand for accommodation in luxury hotels towards shower panels and shower heads, especially with the waterfall option – which could impact negatively sales of hydromassage baths in the non-housing segment.

Supply Structure

The domestic producer ROCA has maintained its position as clear market leader in cast iron and steel baths; however, in synthetic baths ROCA has lost its market leadership to PORCELANOSA and SANYCCES. ROCA is the sole Spanish producer of cast iron baths, imported from Portugal, and it is just one of a rapidly dwindling number of European producers. KOHLER and RECOR are the other manufacturers of cast iron baths in the Spanish market.

In the synthetic bath market, PORCELANOSA has kept the leadership with the brand NOKEN. SANYCCES, another Spanish manufacturer, has grown quickly over the last few years and has a considerable share of the synthetic baths market, being the second market leader. ROCA remains in the third position. The rest of the market mainly consists of Spanish manufacturers, largely based in the Levante region (and also the Barcelona area to some extent), and hydrotherapy product specialists, which produce both conventional baths and hydromassage baths.

The structure of supply in the hydromassage bath segment has been approximately the same over the last couple of years. The markets for hydromassage baths are characterised by imported products from Asia. PORCELANOSA is the market leader, followed by SANYCCES. Due to the declined popularity of hydromassage baths in the Spanish market, a few players have stopped commercialising this product and others have reduced their presence in the market in recent years. With a further decline in sales during 2020, this phenomenon is expected to continue further.

Italian imports have had a growing importance in the Spanish ceramic shower tray market in the past, both on their own and on an OEM basis. There are many imports of ceramic shower trays into the Spanish market (mainly from China) that are included in the category of 'Others'. ROCA remains the most important player in this sector with its brands ROCA, GALA, and SANITANA, followed by IDEAL STANDARD and UNISAN.

In the synthetic shower tray market, AQUABELLA is the market leader, followed by FIORA, MAMPARAS DOCCIA, and MCBATH. GME LORENTE is quite popular, with its mineral cast shower trays. SANYCCES, MASCO, and ROCA are also important players in this market. The other market players include a number of Spanish companies, mostly based in the Castellón area. There is an important share for imports in the category of 'Others', which mainly come from China, Portugal and Egypt.

ROCA acquired ROYO GROUP in early 2021, expanding its position in the synthetic shower tray market.

For steel shower trays, KALDEWEI is the market leader, followed by PRACTIC and ROCA.

Forecasts

Sales of baths and shower trays are expected to witness a positive trend in 2021, due to the economic situation returning somewhat to normal after the COVID-19 crisis. Sales are expected to increase due to the positive performance of RMI activity, which is responsible for the large majority of sales. In addition to this, an increase in the new housing segment is expected to have a positive impact on the bath market in 2021. However, new housing completions are expected to drop from 2022 onwards, until they grow again from 2024. This might impact new housing sales in the forecast period. Also, a number of manufacturers are still cautious due to the fact that virus infections have refused to subside, although the vaccination drive throughout the country commenced in February 2021.

It is expected that sales of synthetic baths and shower trays should experience a higher growth; this should be due to an improvement in new housing construction and a gradual increase of RMI activity. RMI expenditure is expected to grow with preferences for a lighter, more durable product, such as the mineral cast and solid surface models (included in the synthetic category). RMI should continue to grow, but at a slower pace each year during the forecast period.

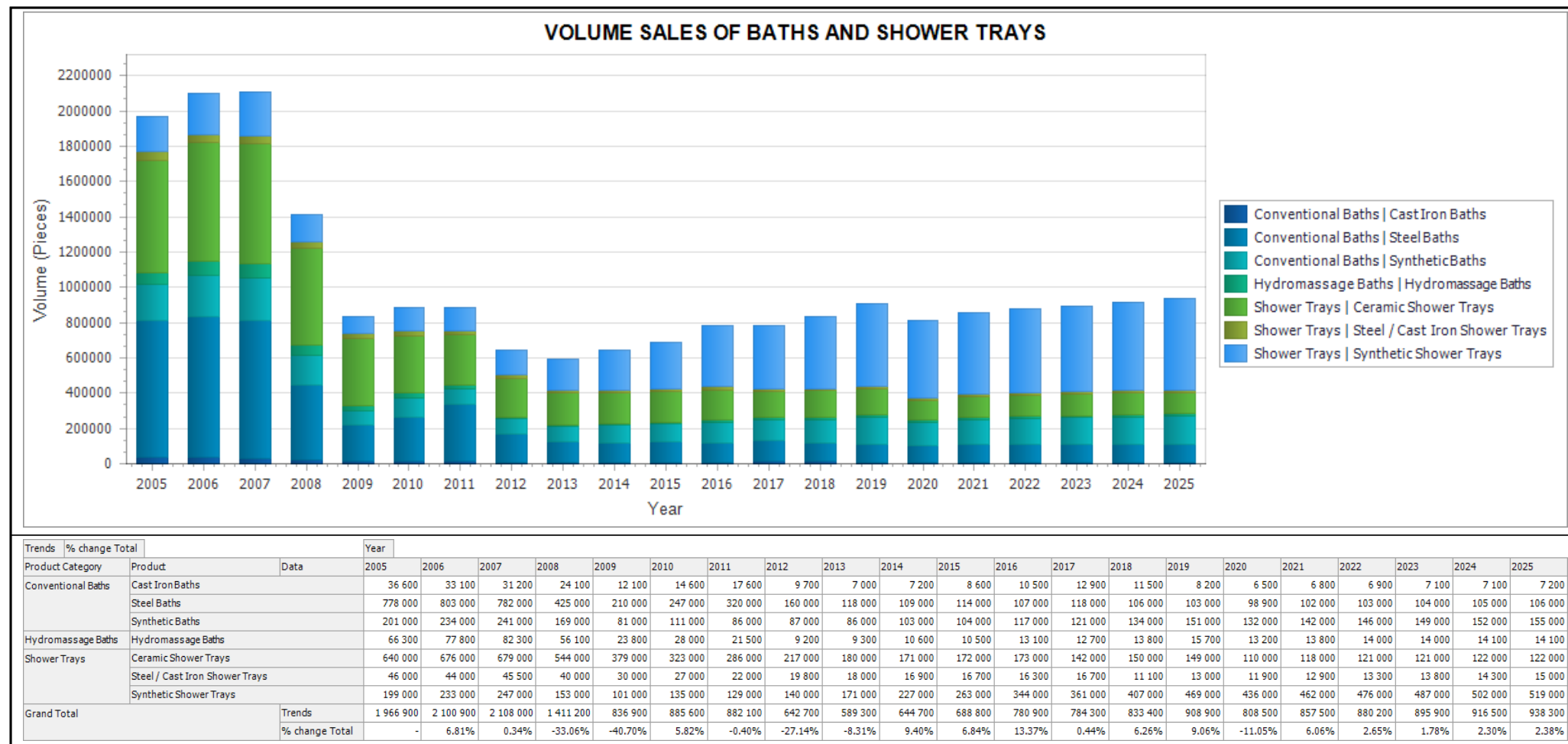
Sales of steel products are expected recover for shower trays and baths during 2021. Ceramic shower trays are also expected register a positive trend in 2021, due to the increase in new dwelling completions. However, as the ceramic shower tray market is gradually being replaced by synthetic shower trays, it is not expected to grow by much during the rest of the forecast period.

Sales of shower trays should grow at a similar rate to baths, although with less volume due to the growing trend of replacing baths with shower trays. This leads to the continued loss of share of baths to shower trays. New synthetic materials (mineral cast) are expected to gain over acrylic for both baths and shower trays, with synthetic baths and shower trays gaining share at the cost of their steel and ceramic counterparts. However, walk-in showers are expected to grow, mainly in new construction and the non-housing sector, which should hinder the growth of the baths and shower trays market.

At the time of writing (April 2021) there is still a great level of uncertainty regarding the economic recovery and expected demand for bathroom products. Many countries in Europe have gone into another lockdown, as vaccination efforts continue. If more lockdowns and constraints to economic activity continue over 2021, the forecasts for sales should be more negative than previously expected.

1.2 Historical Trends and Forecasts

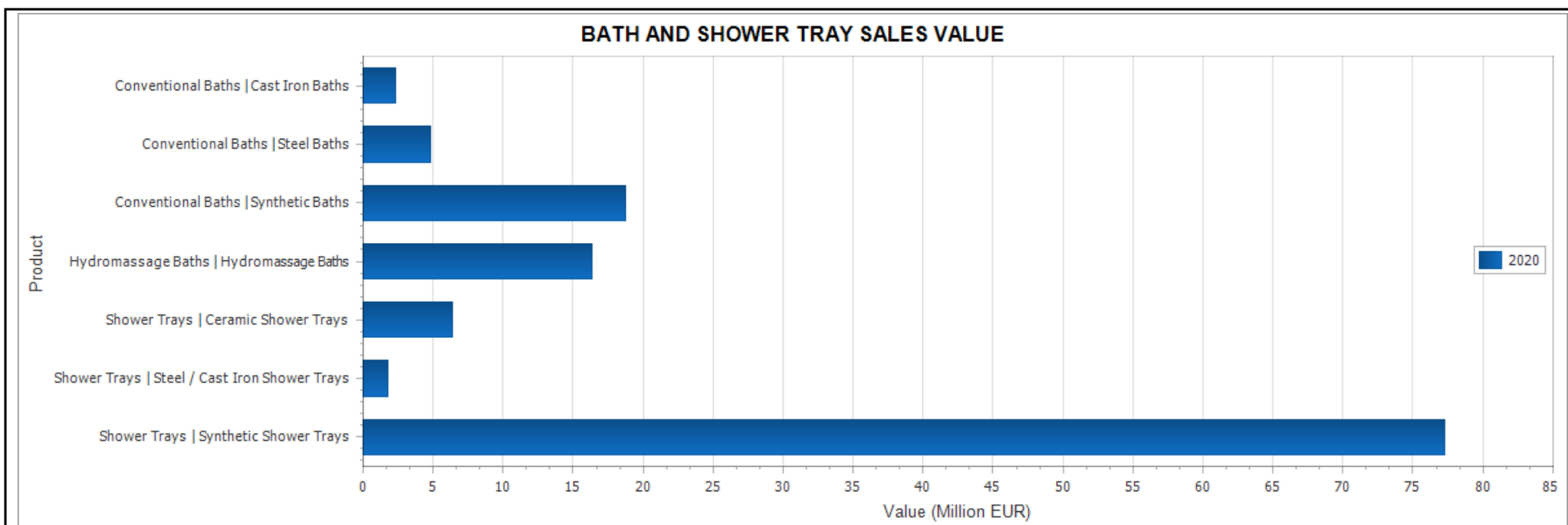
ES - SUMMARY OF TRENDS IN THE BATH AND SHOWER TRAY MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews.

1.3.1 Prices and Market Values : Baths and Shower Trays

ES - ESTIMATED VALUES OF THE BATH AND SHOWER TRAY MARKET

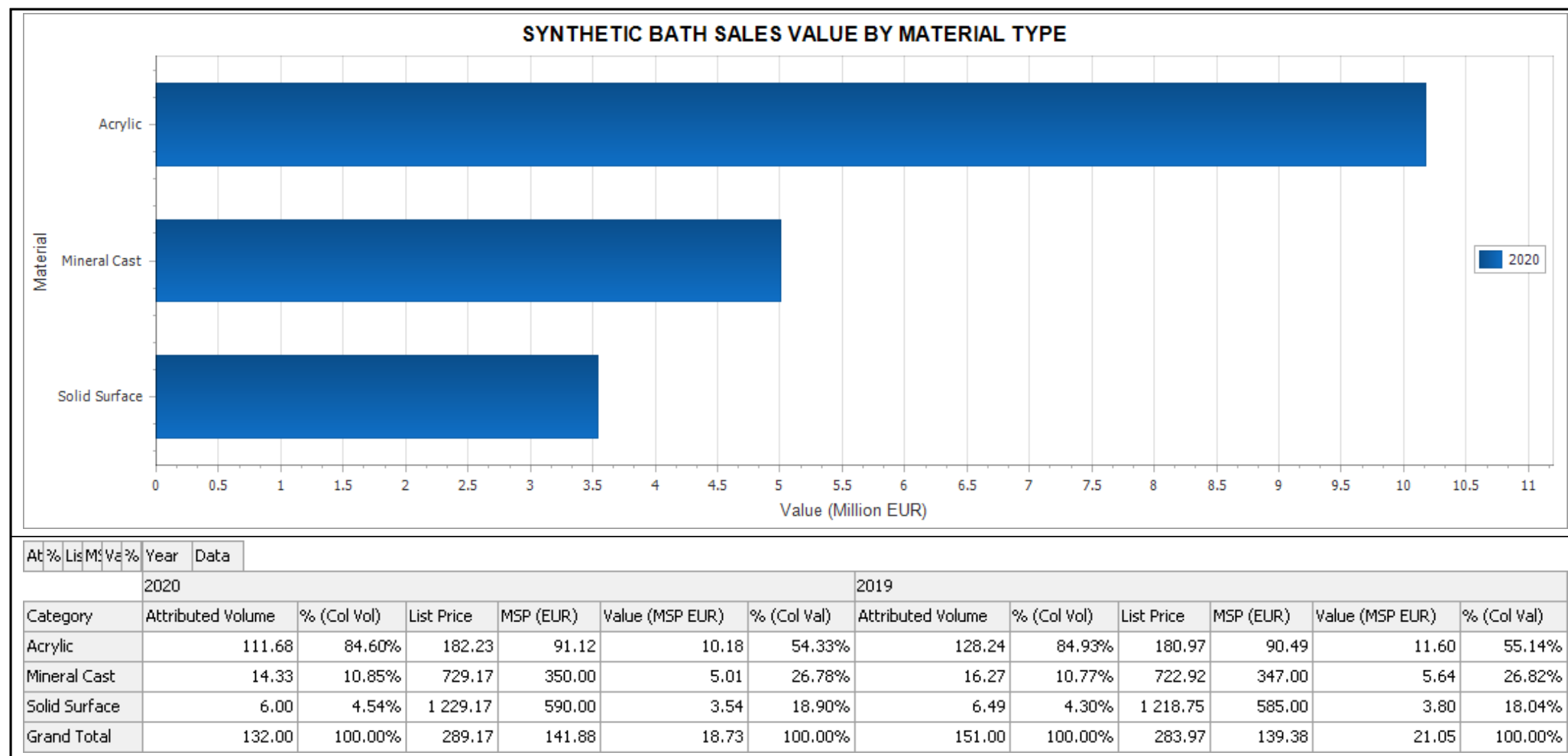


Volumes		MSP (EUR)	Value (MSP EUR)	Year		Data	
				2020		2019	
Product Category	Product	Volumes	MSP (EUR)	Value (MSP EUR)	Volumes	MSP (EUR)	Value (MSP EUR)
Conventional Baths	Cast Iron Baths	6 500	349.29	2.27	8 200	337.65	2.77
	Steel Baths	98 900	48.32	4.78	103 000	49.11	5.06
	Synthetic Baths	132 000	141.88	18.73	151 000	139.38	21.05
Hydromassage Baths	Hydromassage Baths	13 200	1,240.77	16.38	15 700	1,242.19	19.50
Shower Trays	Ceramic Shower Trays	110 000	58.02	6.38	149 000	57.54	8.57
	Steel / Cast Iron Shower Trays	11 900	146.42	1.74	13 000	144.52	1.88
	Synthetic Shower Trays	436 000	177.28	77.29	469 000	173.33	81.29
Grand Total		808 500	157.79	127.57	908 900	154.16	140.12

Source: BRG based on industry interviews. Values Shown in Millions (at MSP = Manufacturers' Selling Price)

1.3.2 Prices and Market Values : Synthetic Baths

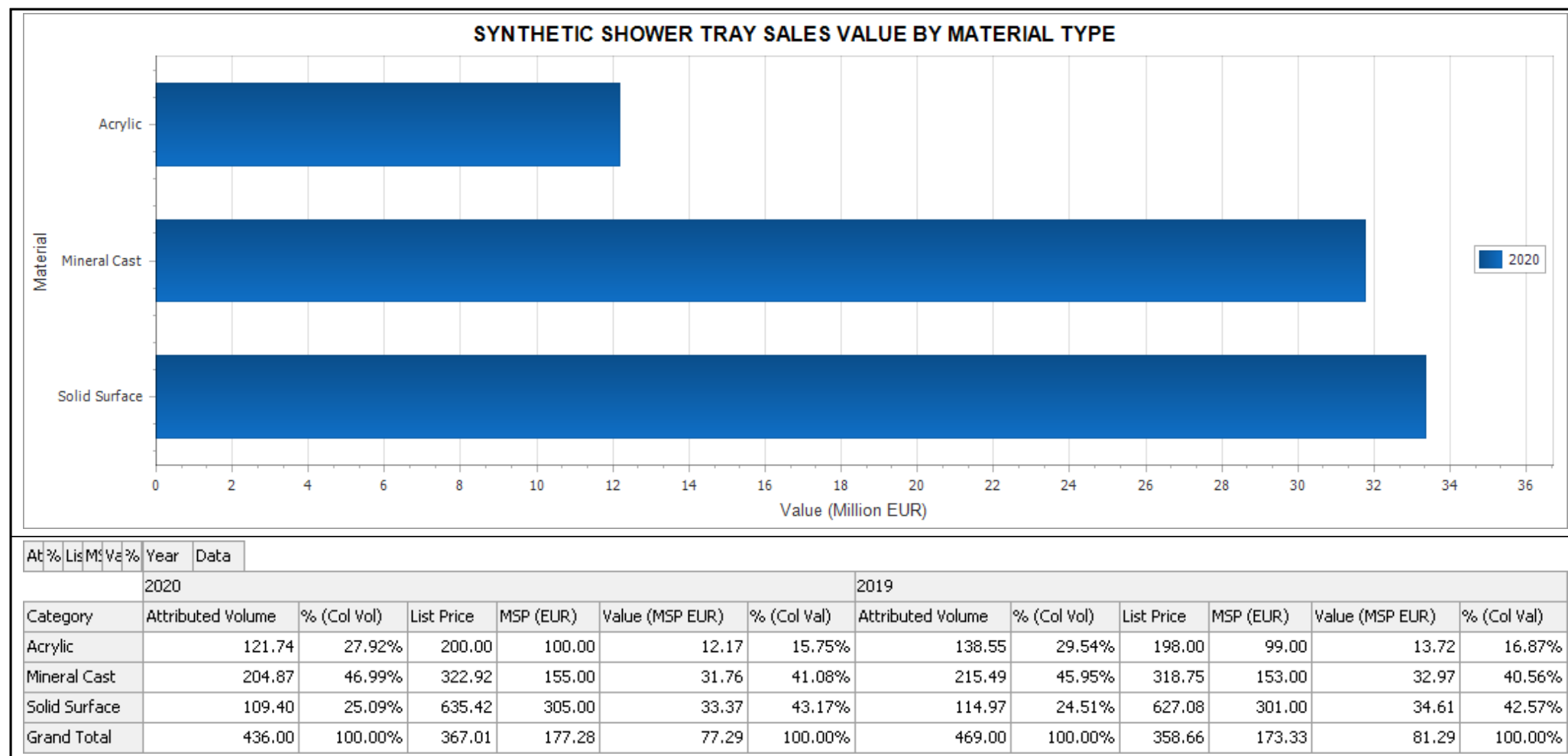
ES - ESTIMATED VALUES OF THE SYNTHETIC BATH MARKET BY TYPE OF MATERIAL



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price)

1.3.3 Prices and Market Values : Synthetic Shower Trays

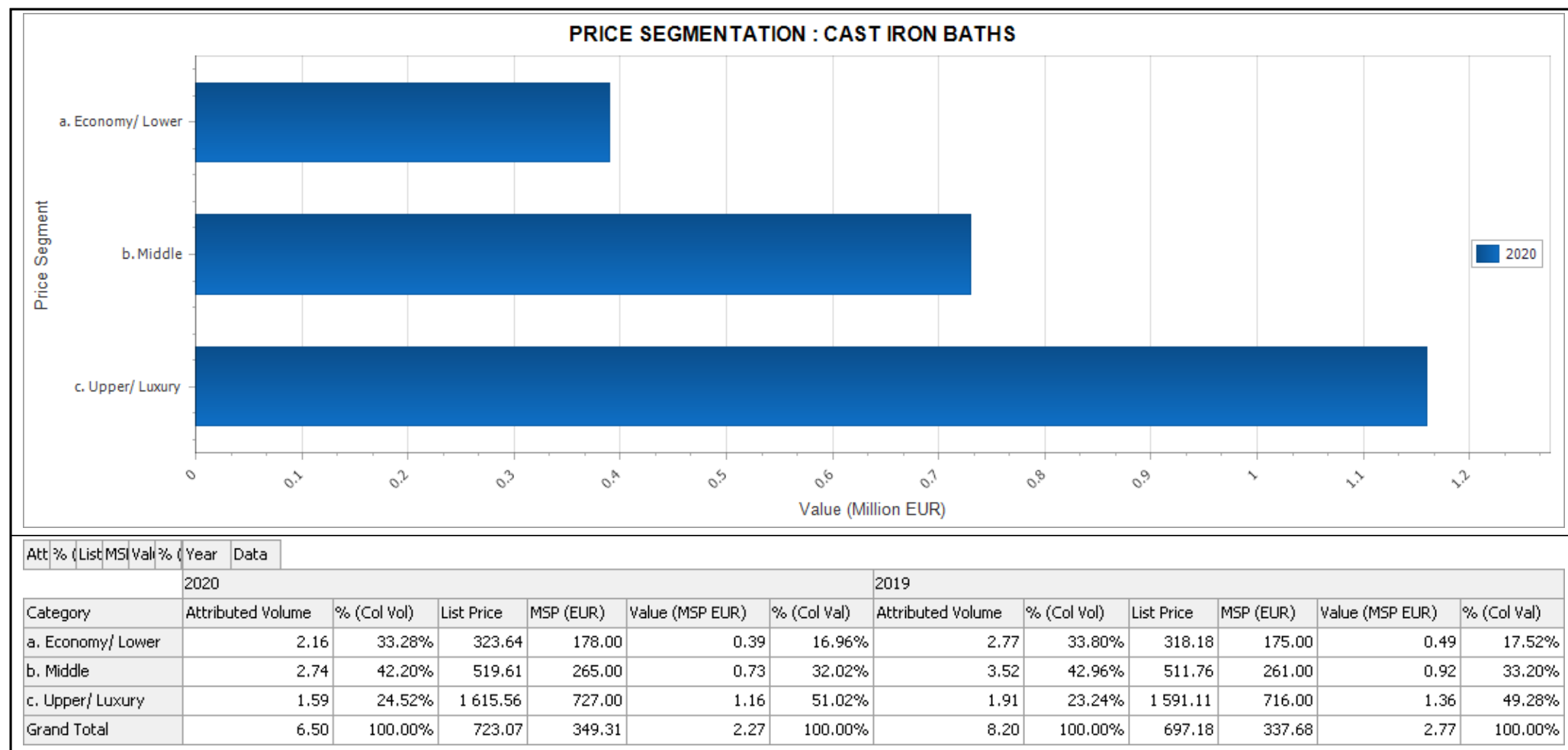
ES - ESTIMATED VALUES OF THE SYNTHETIC SHOWER TRAYS MARKET BY TYPE OF MATERIAL



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price)

1.3.4 Price Segmentation : Cast Iron Baths

ES - ESTIMATED PRICE SEGMENTATION FOR CAST IRON BATHS

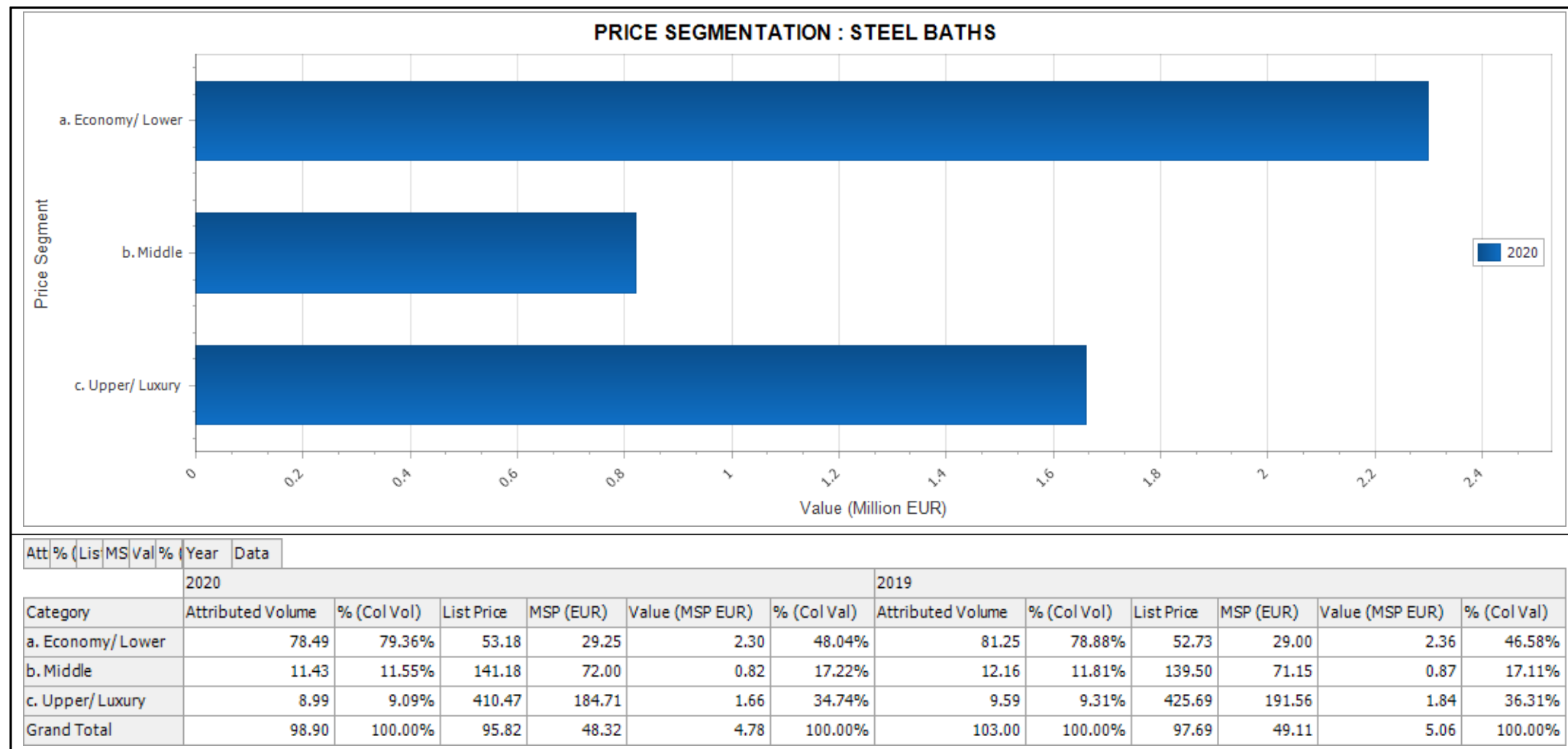


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€200, Middle €200-€300, Upper/ Luxury >€300

1.3.5 Price Segmentation : Steel Baths

ES - ESTIMATED PRICE SEGMENTATION FOR STEEL BATHS

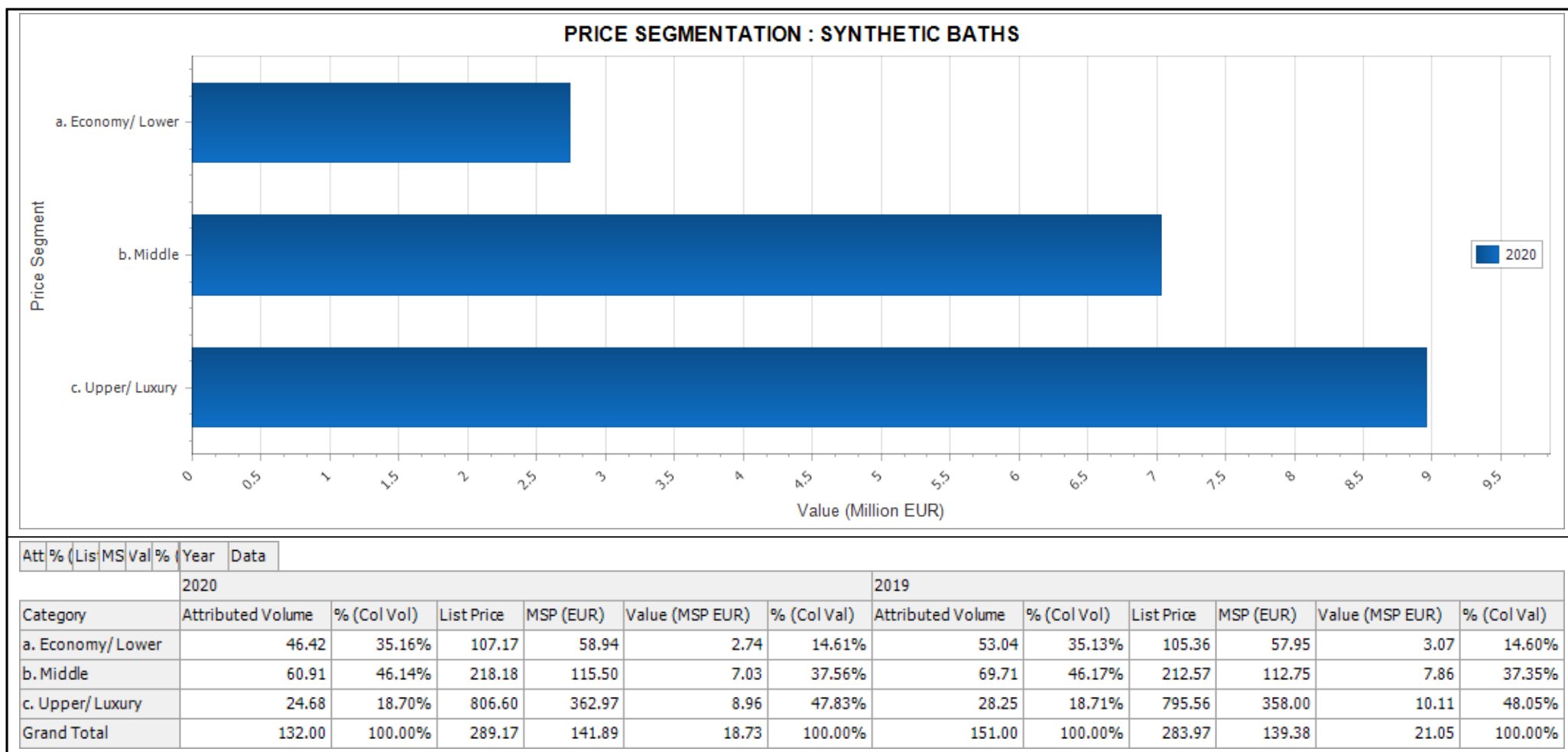


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€50, Middle €50-€100, Upper/ Luxury >€100

1.3.6 Price Segmentation : Synthetic Baths

ES - ESTIMATED PRICE SEGMENTATION FOR SYNTHETIC BATHS

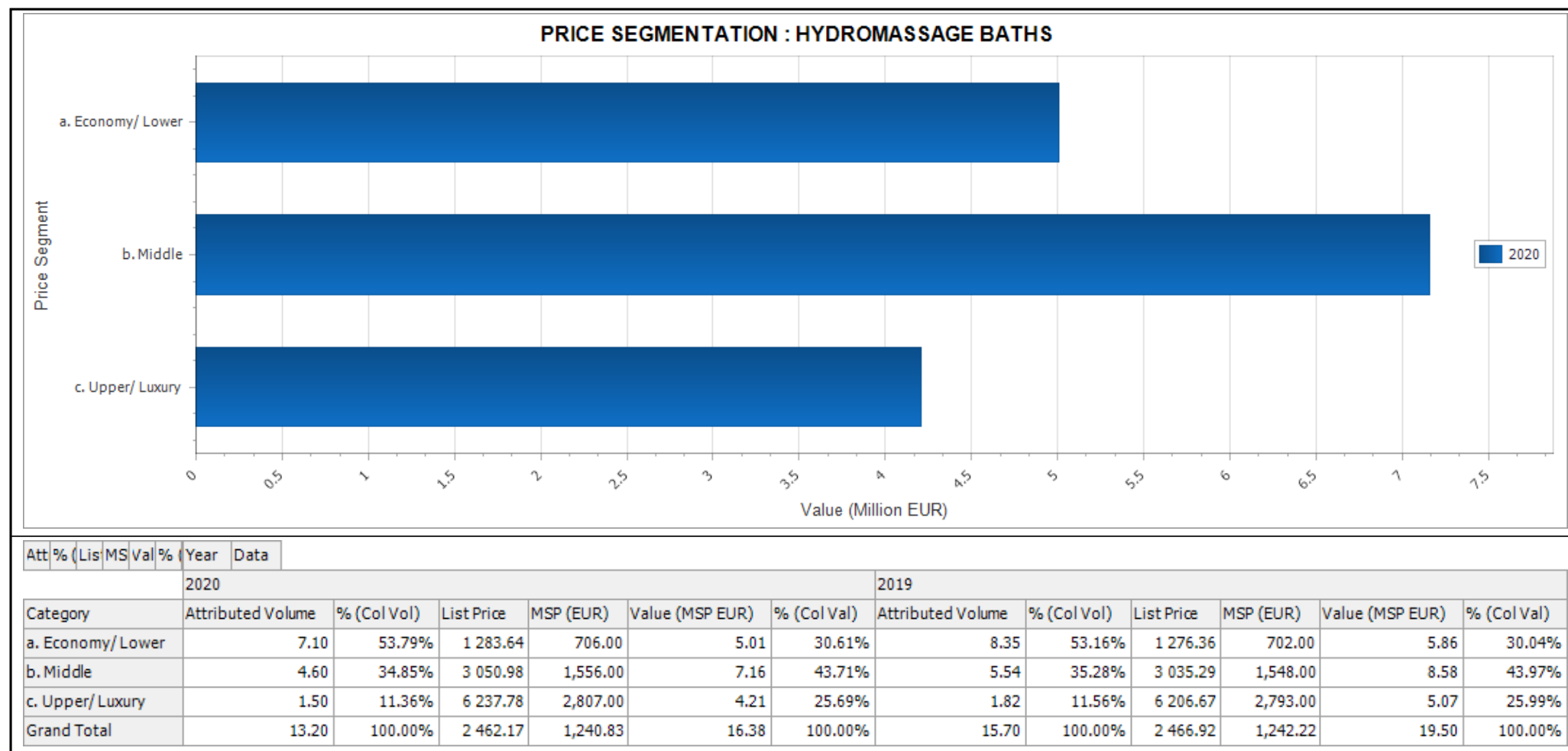


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€75, Middle €75-€150, Upper/ Luxury >€150

1.3.7 Price Segmentation : Hydromassage Baths

ES - ESTIMATED PRICE SEGMENTATION FOR HYDROMASSAGE BATHS

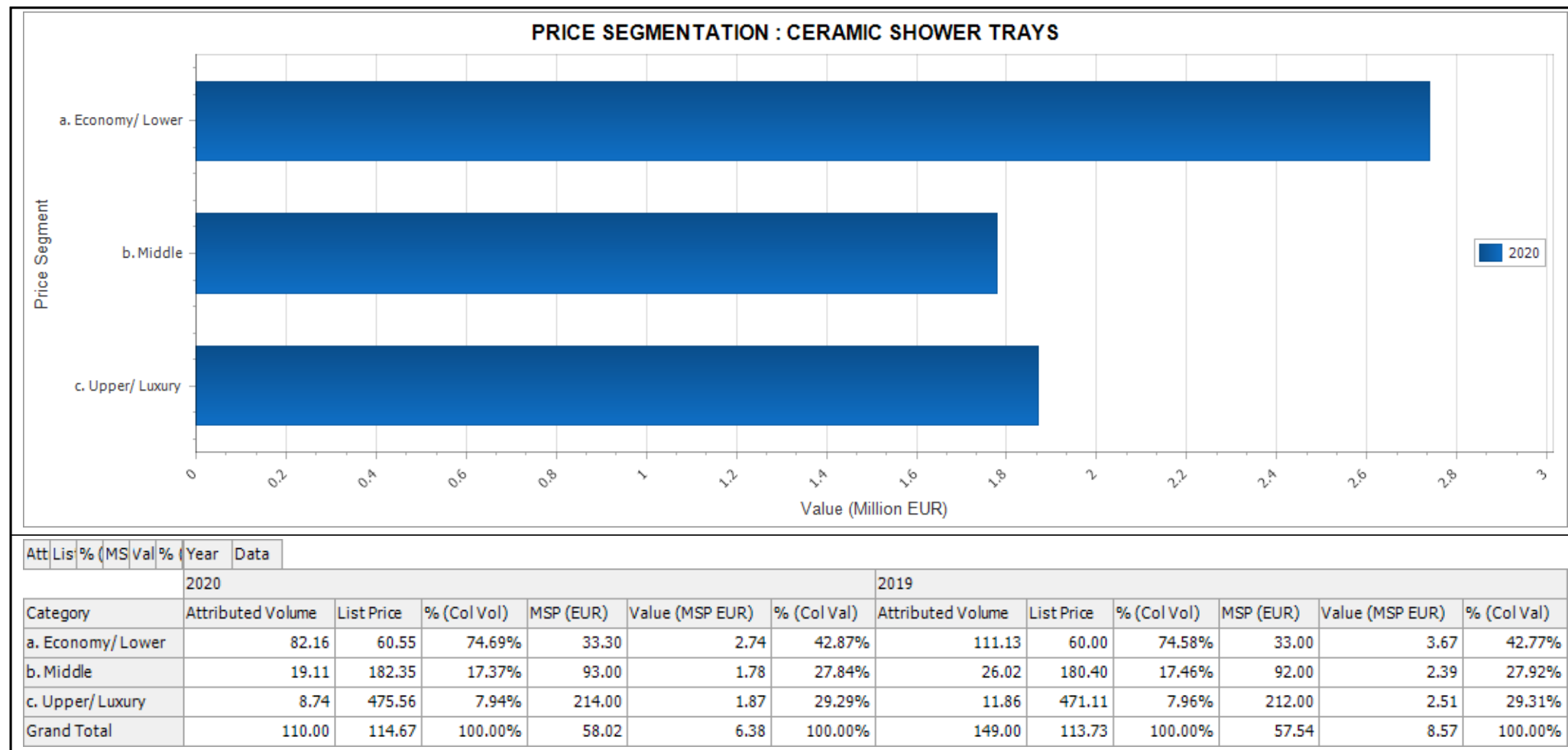


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€1,000, Middle €1,000-€2,000, Upper/ Luxury >€2,000

1.3.8 Price Segmentation : Ceramic Shower Trays

ES - ESTIMATED PRICE SEGMENTATION FOR CERAMIC SHOWER TRAYS

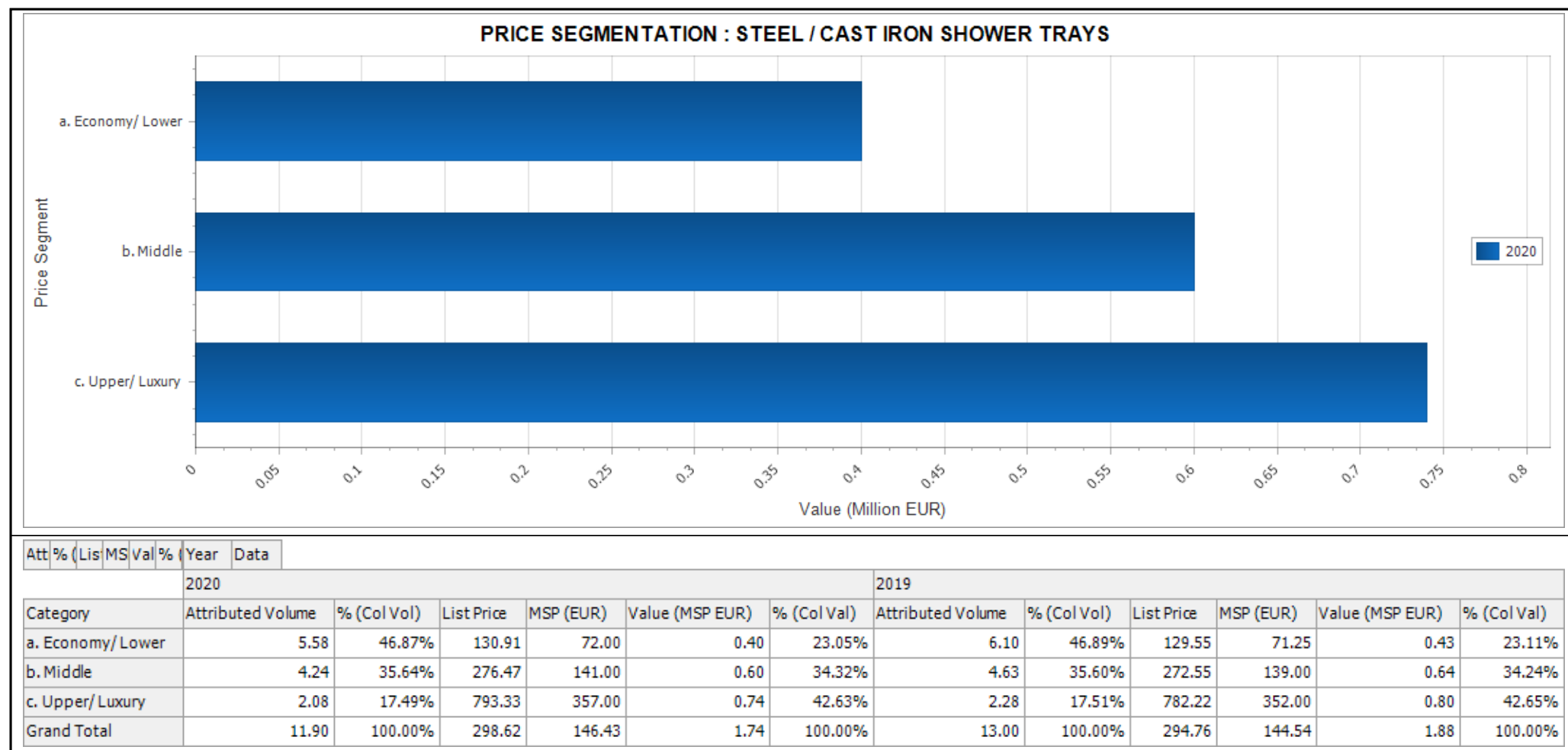


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€60, Middle €60-€120, Upper/ Luxury >€120

1.3.9 Price Segmentation : Steel/ Cast Iron Shower Trays

ES - ESTIMATED PRICE SEGMENTATION FOR STEEL / CAST IRON SHOWER TRAYS

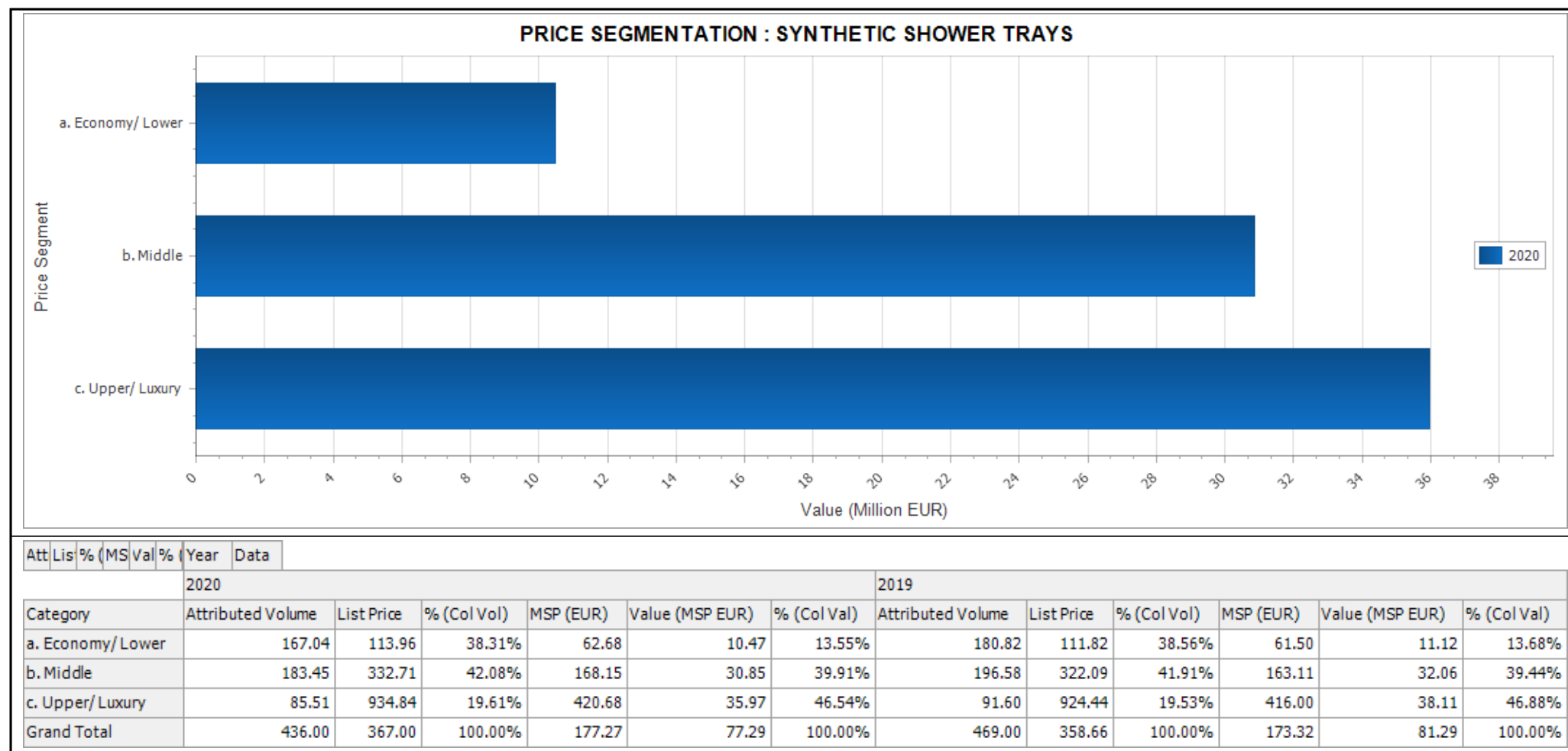


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€100, Middle €100-€200, Upper/ Luxury >€200

1.3.10 Price Segmentation : Synthetic Shower Trays

ES - ESTIMATED PRICE SEGMENTATION FOR SYNTHETIC SHOWER TRAYS

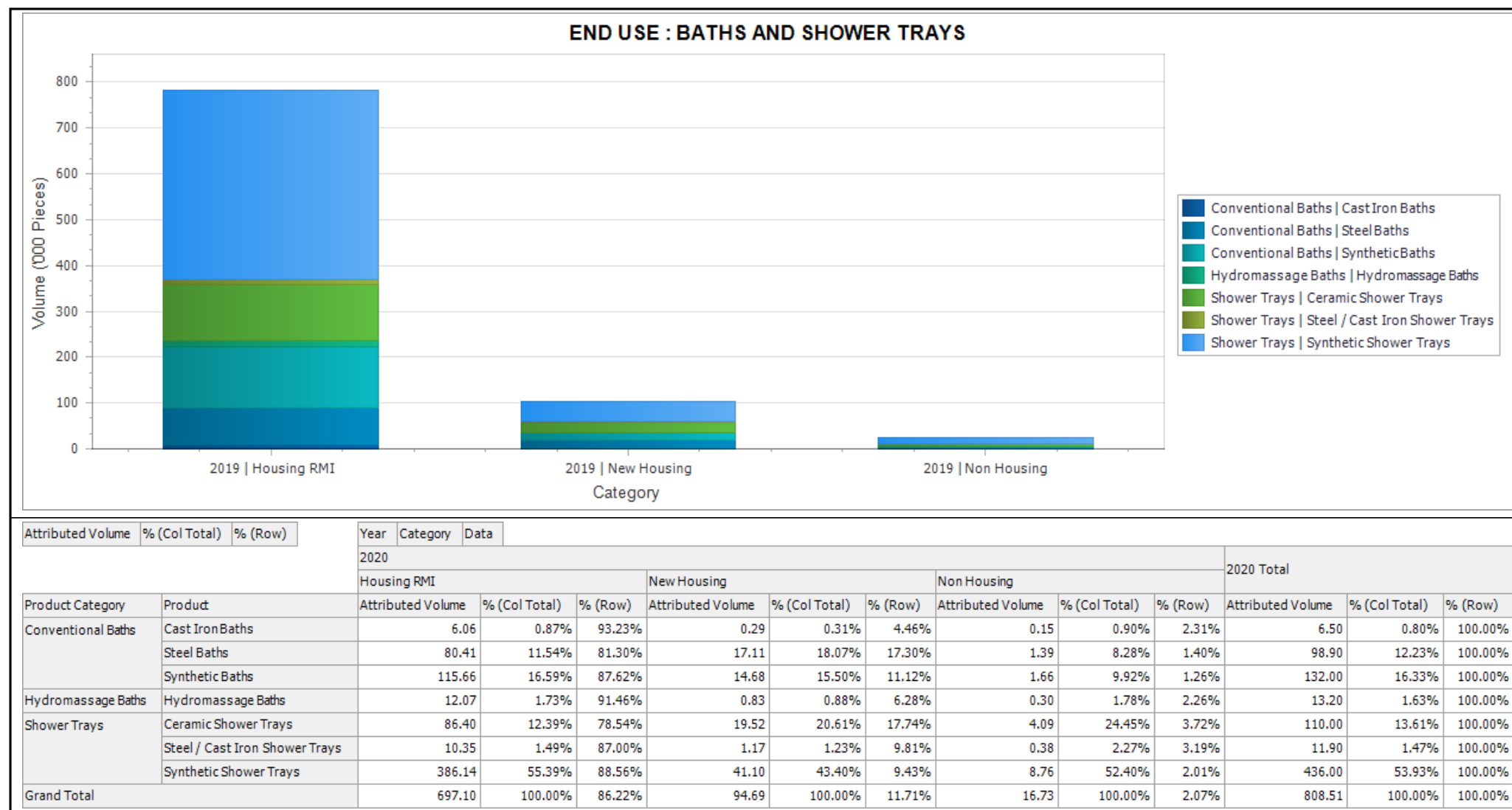


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€100, Middle €100-€200, Upper/ Luxury >€200

1.4.1 End Use : Base Year

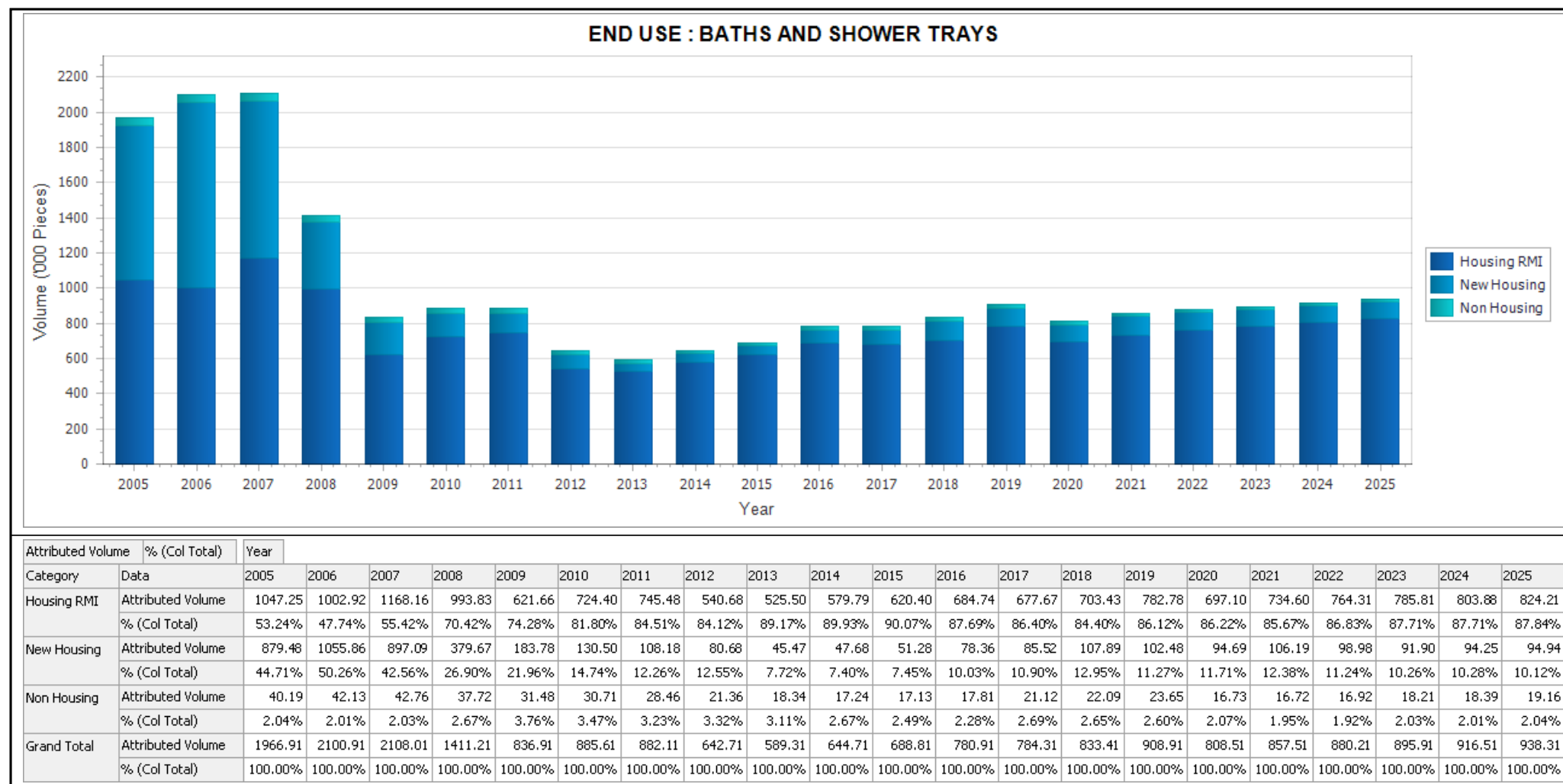
ES - SALES OF BATHS AND SHOWER TRAYS BY TYPE AND END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

1.4.2 End Use : Historical and Forecasts

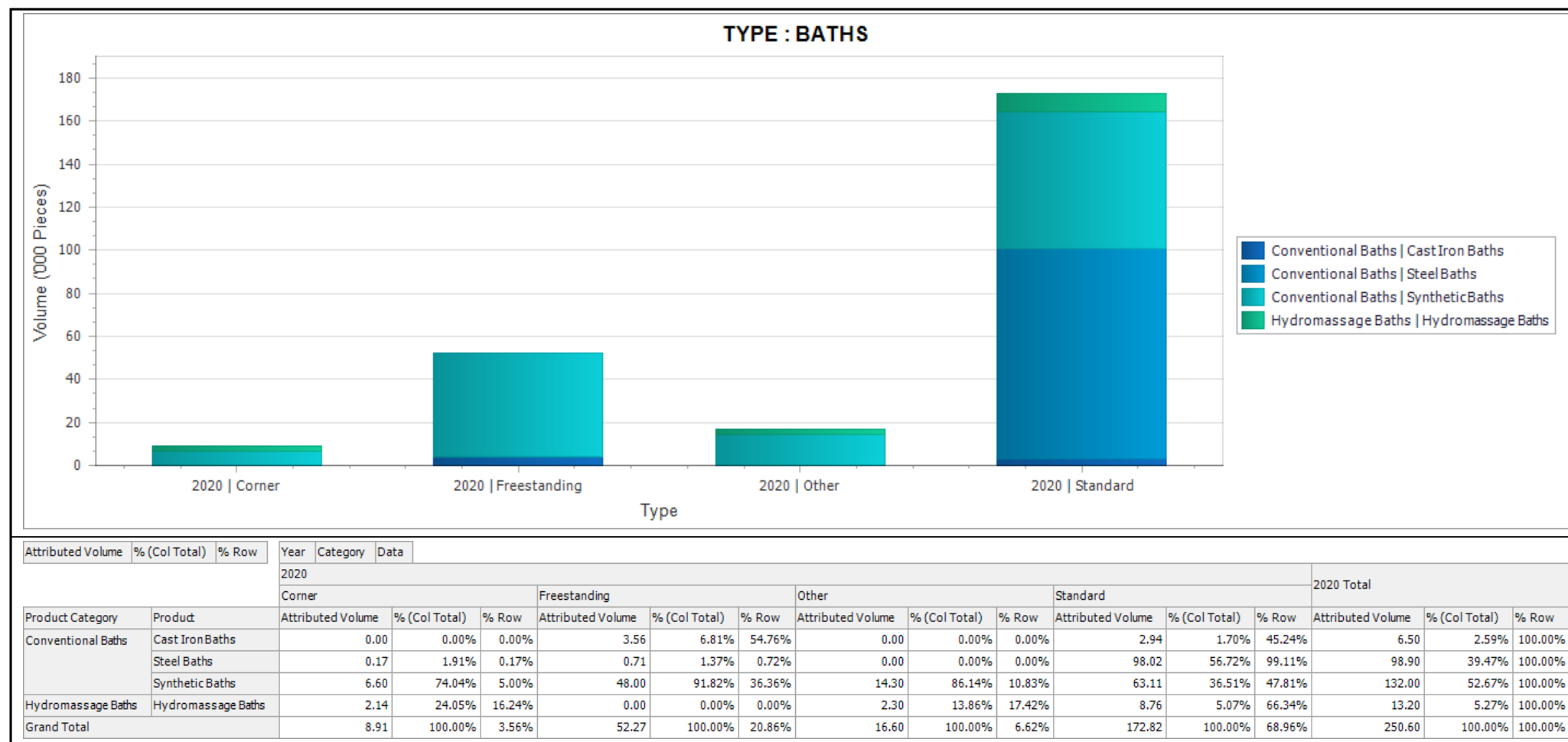
ES - SALES OF BATHS AND SHOWERS TRAYS BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

1.4.3 Sales by Type : Baths

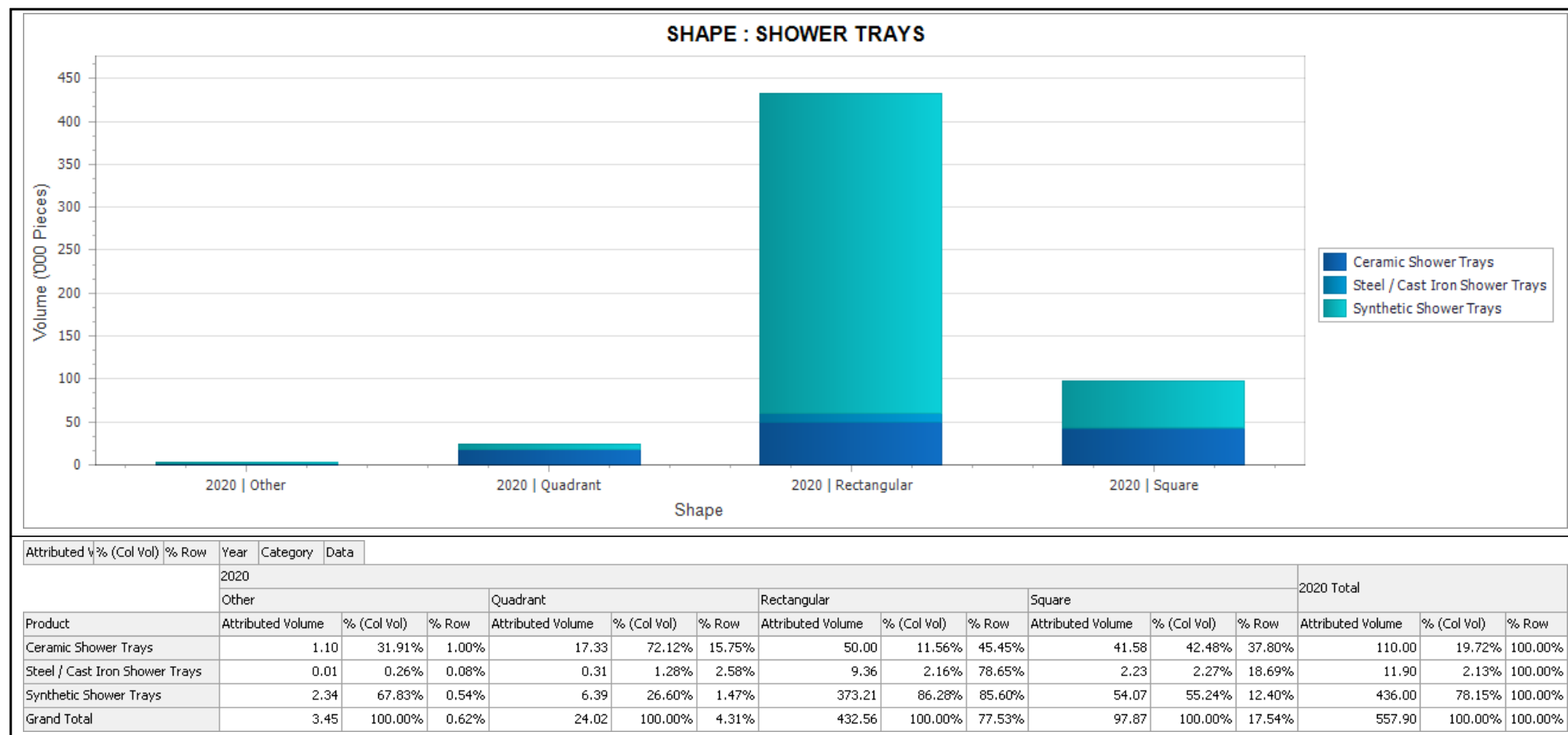
ES - BATH SALES BY TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

1.4.4 Sales by Shape : Shower Trays

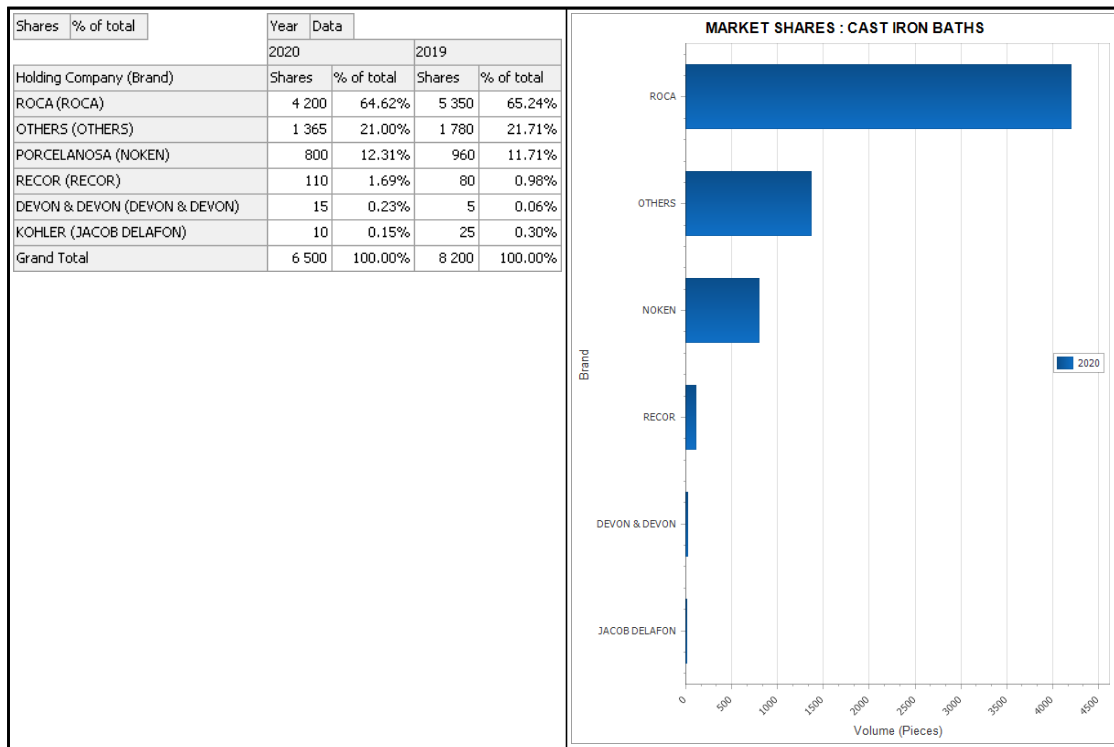
ES - SHOWER TRAY SALES BY SHAPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

1.5.1 Market Shares : Cast Iron Baths

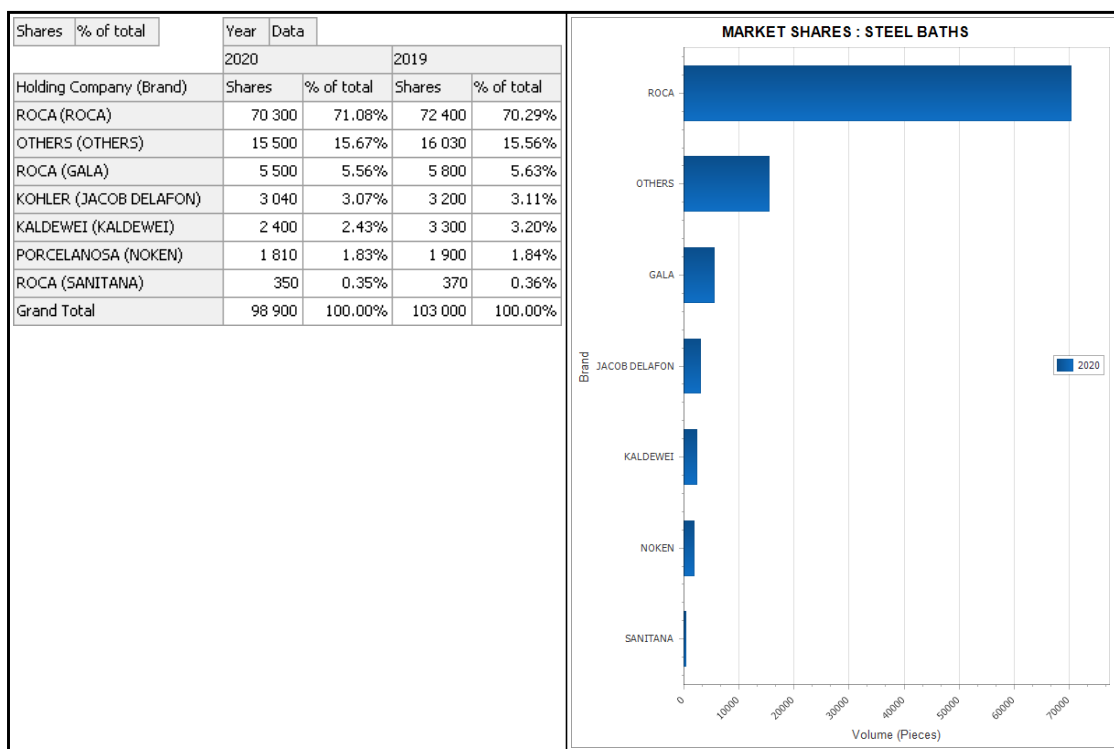
ES - ESTIMATED MARKET SHARES FOR CAST IRON BATHS



Source: BRG based on industry interviews.

1.5.2 Market Shares : Steel Baths

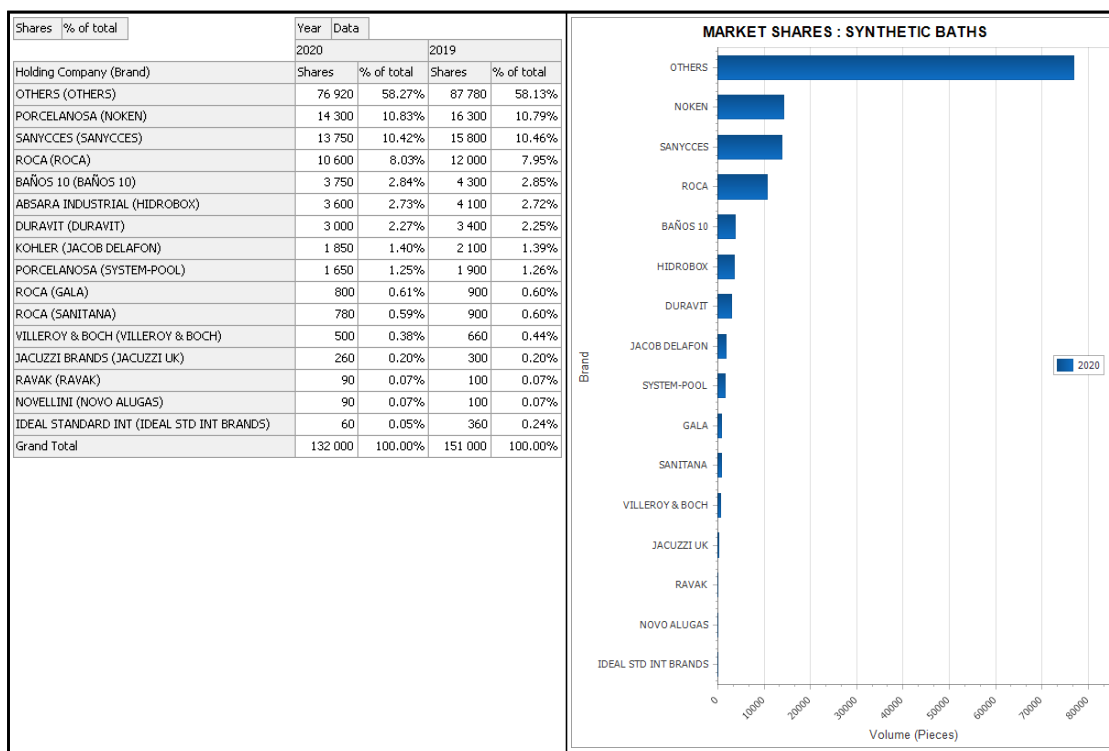
ES - ESTIMATED MARKET SHARES FOR STEEL BATHS



Source: BRG based on industry interviews.

1.5.3 Market Shares : Synthetic Baths

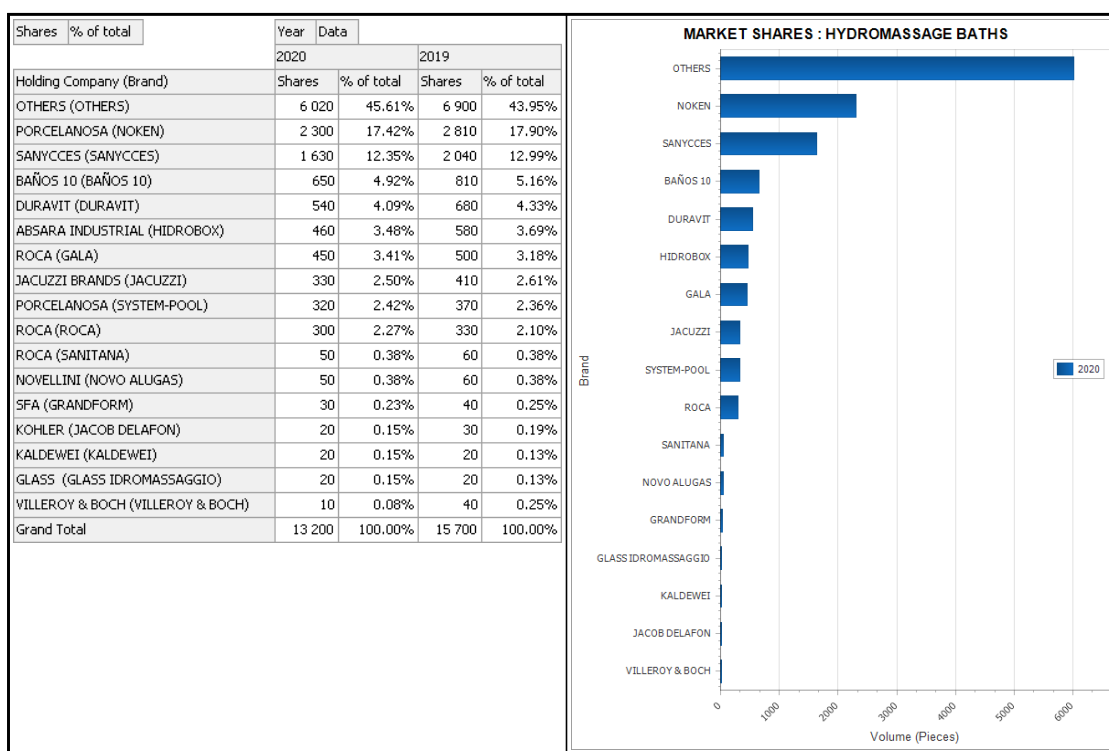
ES - ESTIMATED MARKET SHARES FOR SYNTHETIC BATHS



Source: BRG based on industry interviews.

1.5.4 Market Shares : Hydromassage Baths

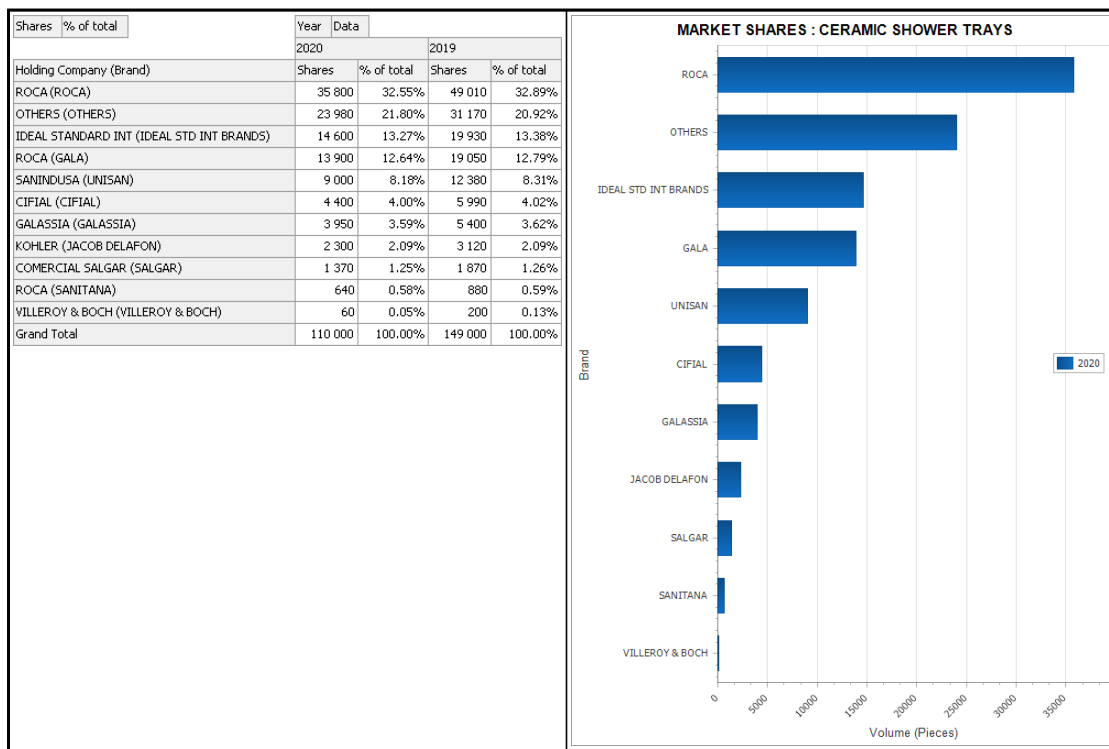
ES - ESTIMATED MARKET SHARES FOR HYDROMASSAGE BATHS



Source: BRG based on industry interviews.

1.5.5 Market Shares : Ceramic Shower Trays

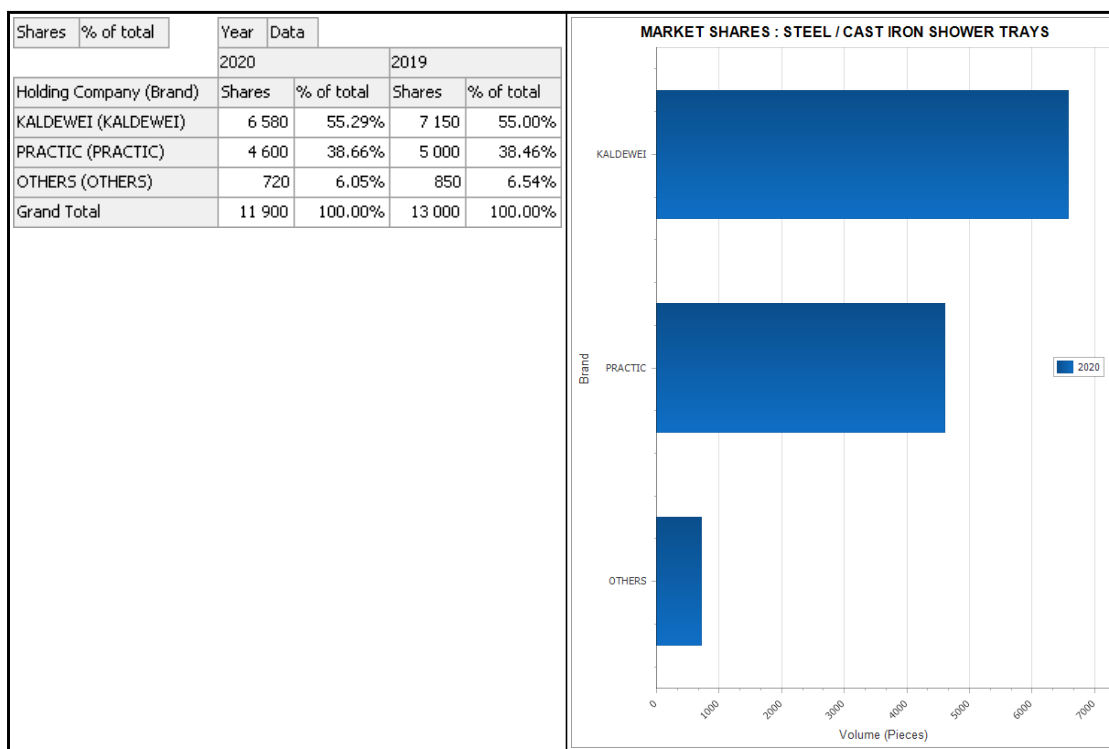
ES - ESTIMATED MARKET SHARES FOR CERAMIC SHOWER TRAYS



Source: BRG based on industry interviews

1.5.6 Market Shares : Steel / Cast Iron Shower Trays

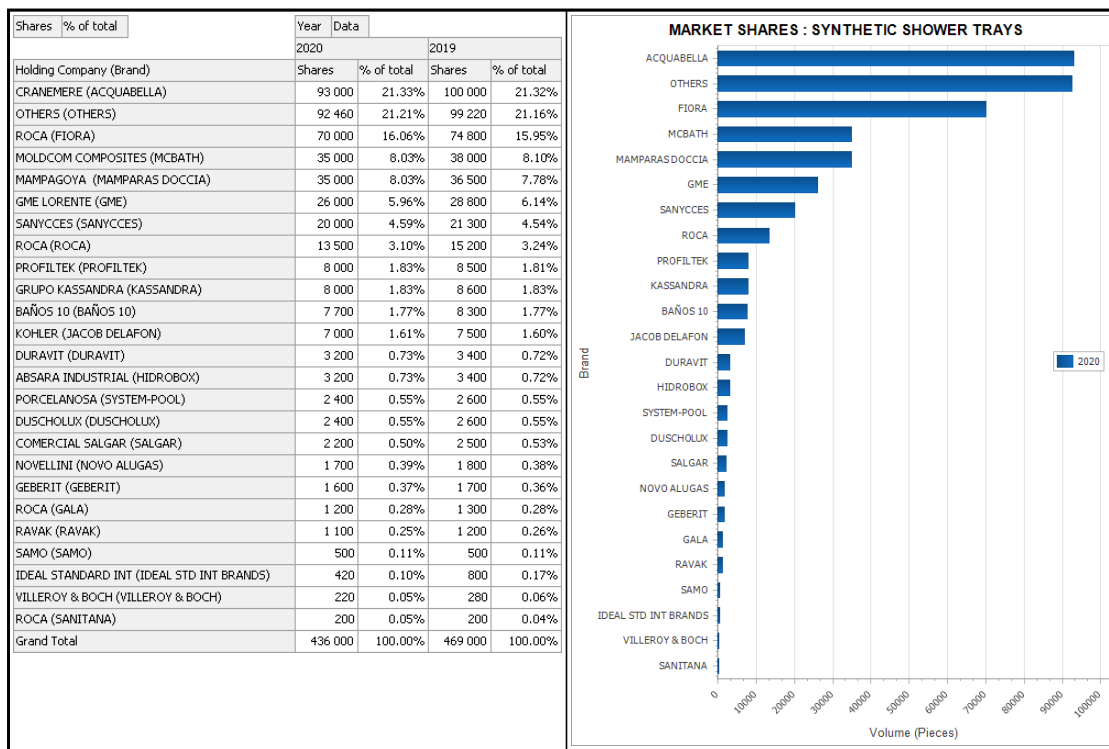
ES - ESTIMATED MARKET SHARES FOR STEEL / CAST IRON SHOWER TRAYS



Source: BRG based on industry interviews.

1.5.7 Market Shares : Synthetic Shower Trays

ES - ESTIMATED MARKET SHARES FOR SYNTHETIC SHOWER TRAYS



Source: BRG based on industry interviews.

1.6.1 ES - IMPORTS OF BATHS AND SHOWER TRAYS - CAST IRON 2020

Source Country	2020				2019			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
China	5	48.4%	39	44.8%	4	13.0%	24	21.8%
Portugal	3	28.9%	30	34.5%	21	71.8%	57	51.8%
France	2	14.9%	3	3.4%	3	11.3%	14	12.7%
Italy	1	5.2%	9	10.3%	1	3.6%	14	12.7%
Germany	0	1.7%	2	2.3%	0	0.2%	0	0.0%
OTHERS	0	0.9%	4	4.6%	0	0.2%	1	0.9%
Total	10	100.0%	87	100.0%	30	100.0%	110	100.0%

Source : Trademap

1.6.2 ES - EXPORTS OF BATHS AND SHOWER TRAYS - CAST IRON 2020

Destination	2020				2019			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Russian Federation	950	57.8%	1 826	54.2%	2 925	83.1%	5 742	79.6%
Switzerland	309	18.8%	547	16.2%	7	0.2%	10	0.1%
Hong Kong, China	113	6.9%	260	7.7%	190	5.4%	425	5.9%
Poland	69	4.2%	147	4.4%	75	2.1%	158	2.2%
Portugal	54	3.3%	184	5.5%	100	2.8%	258	3.6%
United Kingdom	25	1.5%	58	1.7%	12	0.3%	42	0.6%
France	24	1.4%	85	2.5%	27	0.8%	105	1.5%
OTHERS	100	6.1%	261	7.7%	186	5.3%	472	6.5%
Total	1 644	100.0%	3 368	100.0%	3 522	100.0%	7 212	100.0%

Source : Trademap

1.6.3 ES - IMPORTS OF BATHS AND SHOWER TRAYS - STEEL 2020

Source Country	2020				2019			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Portugal	4 473	94.6%	1 584	56.0%	852	80.2%	1 485	60.3%
Italy	150	3.2%	307	10.9%	129	12.1%	307	12.5%
OTHERS	105	2.2%	938	33.2%	82	7.7%	670	27.2%
Total	4 728	100.0%	2 829	100.0%	1 062	100.0%	2 462	100.0%

Source : Trademap

1.6.4 ES - EXPORTS OF BATHS AND SHOWER TRAYS - STEEL 2020

Destination	2020				2019			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Portugal	3 971	43.5%	583	6.0%	159	3.5%	476	5.2%
France	1 637	17.9%	3 269	33.8%	2 509	55.1%	4 767	52.0%
Germany	1 112	12.2%	1 905	19.7%	4	0.1%	59	0.6%
United Kingdom	683	7.5%	1 177	12.2%	222	4.9%	409	4.5%
Russian Federation	649	7.1%	1 111	11.5%	766	16.8%	1 362	14.9%
Poland	458	5.0%	175	1.8%	80	1.8%	182	2.0%
Austria	130	1.4%	230	2.4%	1	0.0%	0	0.0%
Chile	114	1.2%	235	2.4%	172	3.8%	332	3.6%
Czech Republic	96	1.0%	158	1.6%	6	0.1%	10	0.1%
OTHERS	290	3.2%	816	8.4%	638	14.0%	1 562	17.1%
Total	9 139	100.0%	9 659	100.0%	4 557	100.0%	9 159	100.0%

Source : Trademap

1.6.5 ES - IMPORTS OF BATHS AND SHOWER TRAYS - SYNTHETIC 2020

Source Country	2020				2019			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Portugal	2 478	26.5%	6 342	20.0%	3 054	28.5%	7 432	20.7%
Poland	1 899	20.3%	4 065	12.8%	1 647	15.4%	3 432	9.6%
Egypt	1 772	18.9%	4 102	12.9%	2 049	19.2%	5 041	14.0%
China	1 679	17.9%	6 882	21.7%	2 054	19.2%	7 277	20.3%
France	397	4.2%	2 219	7.0%	463	4.3%	2 863	8.0%
Italy	283	3.0%	2 836	8.9%	453	4.2%	3 783	10.5%
Germany	172	1.8%	1 533	4.8%	213	2.0%	2 124	5.9%
Czech Republic	136	1.5%	700	2.2%	85	0.8%	535	1.5%
United Kingdom	121	1.3%	600	1.9%	173	1.6%	815	2.3%
Bulgaria	107	1.1%	576	1.8%	155	1.4%	756	2.1%
OTHERS	320	3.4%	1 840	5.8%	352	3.3%	1 840	5.1%
Total	9 364	100.0%	31 695	100.0%	10 697	100.0%	35 898	100.0%

Source : Trademap

1.6.6 ES - EXPORTS OF BATHS AND SHOWER TRAYS - SYNTHETIC 2020

Destination	2020				2019			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
France	18 860	60.6%	61 924	56.1%	3 674	56.8%	53 988	54.5%
Italy	4 940	15.9%	18 046	16.4%	1 233	19.1%	17 246	17.4%
Portugal	1 762	5.7%	8 050	7.3%	363	5.6%	7 245	7.3%
Belgium	1 146	3.7%	3 839	3.5%	240	3.7%	2 835	2.9%
Poland	859	2.8%	1 704	1.5%	120	1.9%	933	0.9%
United Kingdom	819	2.6%	3 581	3.2%	138	2.1%	3 264	3.3%
Germany	341	1.1%	2 175	2.0%	46	0.7%	1 733	1.7%
OTHERS	2 375	7.6%	11 021	10.0%	654	10.1%	11 864	12.0%
Total	31 101	100.0%	110 340	100.0%	6 469	100.0%	99 108	100.0%

Source : Trademap

1.7.1

Route to Market: Baths
ES - ESTIMATED DISTRIBUTION FOR BATHS: 2020

Manufacturer / Importer

Manufacturers / Importers
100.0%

Wholesale Level

82.2%
Wholesalers / Merchants
82.2%

Retail Level

Manufacturer	Wholesaler
0.8%	1.5%
Internet Retailers	
2.3%	

Manufacturer	Wholesaler
5.2%	7.5%
DIY Retailers	
12.7%	

Manufacturer	Wholesaler
10.1%	12.0%
Specialist Retailers	
22.1%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
1.6%	57.6%	0.2%	4.5%	3.3%
Installers				
67.1%				

End Use Level

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.0%	3.5%	2.1%	8.3%	18.8%	65.9%
Residential					
98.6%					
New Build			Residential RMI		
13.1%			85.5%		
Project	Non-Project		Project	Non-Project	
9.0%	4.1%		0.3%	85.2%	

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.0%	0.2%	0.0%	0.0%	0.0%	1.2%
Non-Residential					
1.4%					
New Build			Non-Residential RMI		
0.6%			0.8%		
Project	Non-Project		Project	Non-Project	
0.4%	0.2%		0.6%	0.2%	

1.7.2

Route to Market: Baths
ES - ESTIMATED DISTRIBUTION FOR BATHS: 2025

Manufacturer / Importer

Manufacturers / Importers
100.0%

Wholesale Level

80.3%
Wholesalers / Merchants
80.3%

Retail Level

Manufacturer	Wholesaler
1.7%	2.7%
Internet Retailers	
4.4%	

Manufacturer	Wholesaler
6.8%	8.6%
DIY Retailers	
15.4%	

Manufacturer	Wholesaler
9.5%	10.2%
Specialist Retailers	
19.7%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
1.7%	55.4%	0.3%	5.4%	3.0%
Installers				
65.8%				

End Use Level

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.0%	3.2%	4.0%	10.0%	16.8%	64.6%
Residential					
98.7%					
New Build			Residential RMI		
11.4%			87.3%		
Project	Non-Project		Project	Non-Project	
8.0%	3.4%		4.0%	83.3%	

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.0%	0.2%	0.0%	0.0%	0.0%	1.1%
Non-Residential					
1.3%					
New Build			Non-Residential RMI		
0.5%			0.8%		
Project	Non-Project		Project	Non-Project	
0.3%	0.2%		0.7%	0.1%	

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

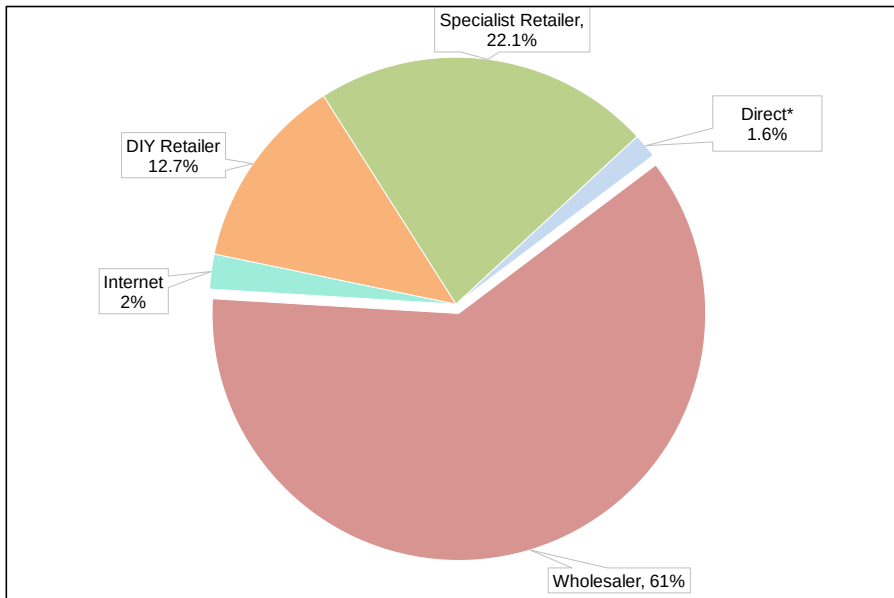
1.7.3 Route to Market - Consolidated View : Baths
ES - ESTIMATED DISTRIBUTION FOR BATHS : 2020

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
61.2%	2.3%	12.7%	22.1%	1.6%	9.3%	1.0%	89.3%	0.4%
100%					10.3%		89.7%	

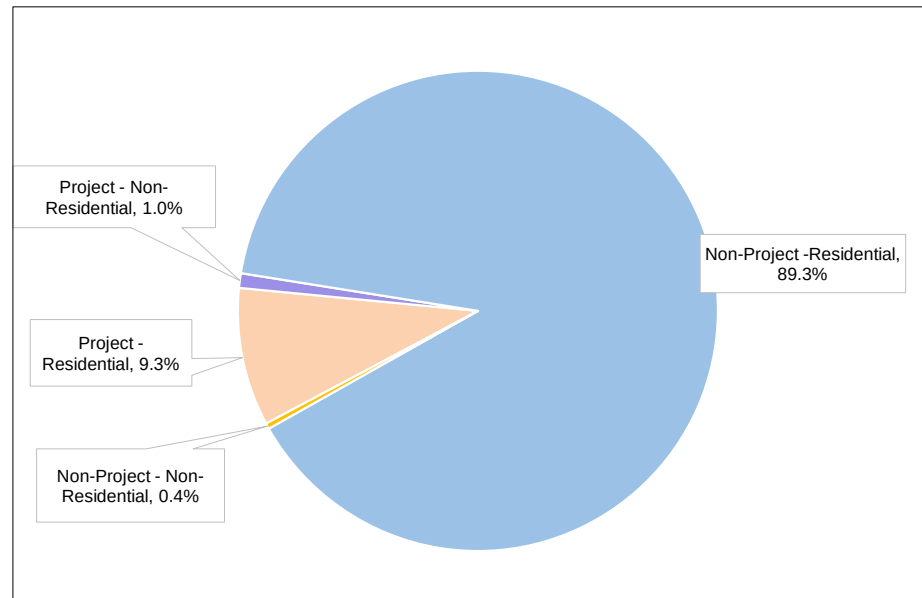
1.7.4 Route to Market - Consolidated View : Baths
ES - ESTIMATED DISTRIBUTION FOR BATHS : 2025

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
58.9%	4.4%	15.4%	19.7%	1.7%	12.0%	1.0%	86.7%	0.3%
100%					13.0%		87.0%	

ES - SALES OF BATHS BY DISTRIBUTION CHANNEL: 2020



ES - SALES OF BATHS BY POINT OF DECISION AND END-USE SECTOR: 2020



Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

1.7.5

Route to Market: Shower Trays
ES - ESTIMATED DISTRIBUTION FOR SHOWER TRAYS: 2020

Manufacturer / Importer

Manufacturers / Importers
100.0%

Wholesale Level

82.8%
Wholesalers / Merchants
82.8%

Retail Level

Manufacturer	Wholesaler
1.5%	2.7%
Internet Retailers	
4.2%	

Manufacturer	Wholesaler
4.6%	11.7%
DIY Retailers	
16.3%	

Manufacturer	Wholesaler
7.9%	15.4%
Specialist Retailers	
23.3%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
3.2%	49.7%	0.3%	5.7%	3.5%
Installers				
62.4%				

End Use Level

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.0%	3.0%	3.9%	10.6%	19.8%	60.3%
Residential					
97.6%					

New Build			Residential RMI		
11.1%			86.6%		
Project	Non-Project		Project	Non-Project	
9.0%	2.1%		4.0%	82.6%	

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.0%	0.4%	0.0%	0.0%	0.0%	2.0%
Non-Residential					
2.4%					

New Build			Non-Residential RMI		
1.0%			1.4%		
Project	Non-Project		Project	Non-Project	
0.8%	0.2%		1.0%	0.4%	

1.7.6

Route to Market: Shower Trays
ES - ESTIMATED DISTRIBUTION FOR SHOWER TRAYS: 2025

Manufacturer / Importer

Manufacturers / Importers
100.0%

Wholesale Level

80.6%
Wholesalers / Merchants
80.6%

Retail Level

Manufacturer	Wholesaler
3.2%	4.9%
Internet Retailers	
8.1%	

Manufacturer	Wholesaler
6.0%	13.1%
DIY Retailers	
19.1%	

Manufacturer	Wholesaler
7.4%	12.3%
Specialist Retailers	
19.8%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
2.7%	47.2%	0.6%	6.7%	3.0%
Installers				
60.1%				

End Use Level

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.0%	2.8%	7.5%	12.4%	16.8%	58.2%
Residential					
97.7%					

New Build			Residential RMI		
9.6%			88.1%		
Project	Non-Project		Project	Non-Project	
8.0%	1.6%		5.5%	82.6%	

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.0%	0.4%	0.0%	0.0%	0.0%	2.0%
Non-Residential					
2.3%					

New Build			Non-Residential RMI		
0.9%			1.4%		
Project	Non-Project		Project	Non-Project	
0.7%	0.2%		1.0%	0.4%	

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

1.7.7 Route to Market - Consolidated View : Shower Trays

ES - ESTIMATED DISTRIBUTION FOR SHOWER TRAYS : 2020

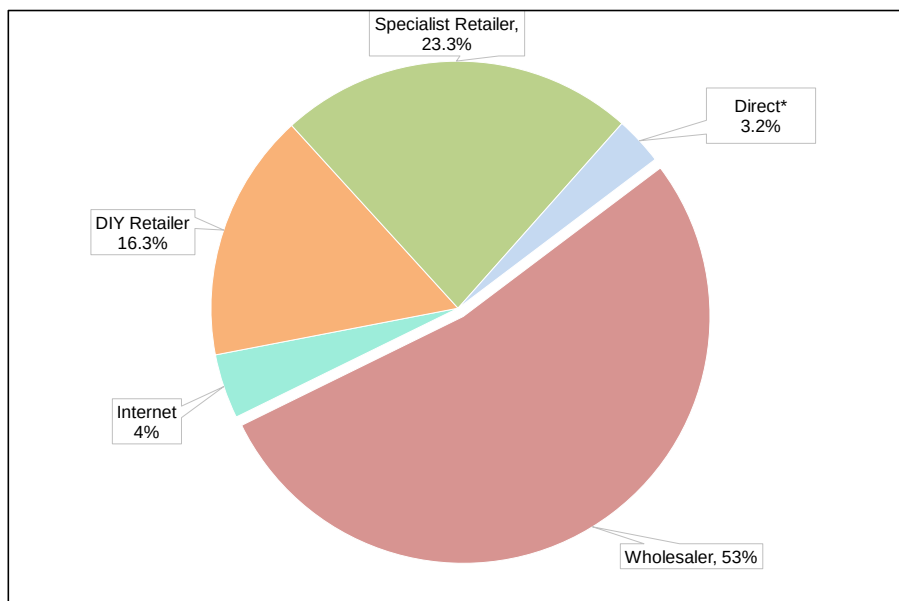
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
53.0%	4.2%	16.3%	23.3%	3.2%	13.0%	1.8%	84.6%	0.6%
100%					14.8%		85.2%	

1.7.8 Route to Market - Consolidated View : Shower Trays

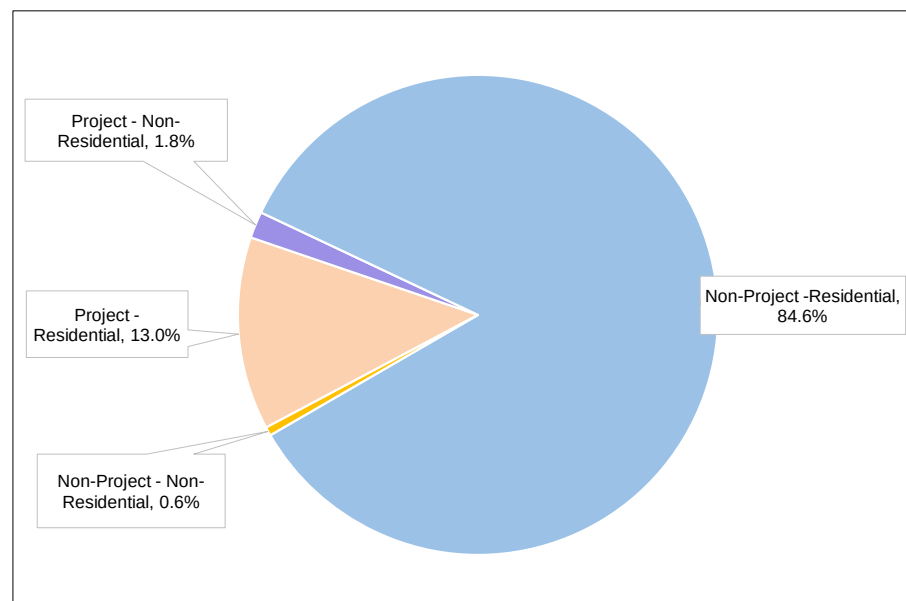
ES - ESTIMATED DISTRIBUTION FOR SHOWER TRAYS : 2025

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
50.4%	8.1%	19.1%	19.8%	2.7%	13.5%	1.7%	84.2%	0.6%
100%					15.2%		84.8%	

ES - SALES OF SHOWER TRAYS BY DISTRIBUTION CHANNEL: 2020



ES - SALES OF SHOWER TRAYS BY POINT OF DECISION AND END-USE SECTOR: 2020



Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

1.8 Revisions in the Spanish Baths and Shower Trays Market (April 2021)

ES - REVISIONS IN THE SPANISH BATHS AND SHOWER TRAYS MARKET

Data Comparison: October 2020



Upward revisions have been made to the market sizes for both cast iron and steel baths, largely due to an underestimation of domestic supply, especially for more historical years. Although domestic production has suffered strongly over the last two decades, domestic supply continues to be strong. Whereas in 2001, around 1.6 million cast iron baths were produced, by 2008 this had dropped to 1.1 million pieces which dropped further to 500,000 pieces by 2013 and to reach 367,000 by 2019. Although most of these products are aimed at the export market, with an export ratio of around 81% in 2019, domestic supply was previously understated, resulting in an upward revision for the entire trend line for both products. Steel baths continue to hold a significant share of the market, in turn due to its favourable price compared to synthetic models. At the same time, European imports were also slightly understated, especially from Portugal, and less so Germany and Italy. Imports from Portugal are accounted for by BLB, part of ROCA, which supplies steel baths to GALA under OEM agreements, whereas German imports include both KALDEWEI and BETTE and Italian imports are accounted for by SMAVIT.

BRG has also revised the market size for synthetic baths, including hydromassage baths, for the entire trendline. This is a result of an underestimation in domestic supply, combined with the impact of rising imports, which both affected market volumes. The Spanish market for synthetic products, including baths and shower trays as well as sinks and basins, has quickly developed in favour of these materials, as opposed to steel and cast iron, which have declined almost consistently, year after year, with many new players entering the synthetic market over the last 15 years. Synthetic shower trays have gained shares rapidly, benefitting from the trend towards showering, combined with the shift away from ceramic shower trays, similar to developments seen in the French market. For example, in 2001, domestic production stood around 780,000 pieces, which dropped to 622,000 in 2008, due to the troubling market climate, but has increased year-by-year since 2010, from 650,000 in 2010, to 1.04 million in 2014 to reach 1.9 million pieces by 2019. As with steel and cast iron baths, many of these are aimed at the export market, although the export ratio is a lot lower for synthetic products than it is for steel and/ or cast iron baths, with less than 50% of total volumes aimed at exports, meaning more is sold domestically. Players that have done particularly well include AQUABELLA, FIORA, MAMPARAS DOCCIA and MCBATH who now dominate domestic supply, whereas more established players, such as GME, SANYCCES and ROCA, have all recently lost market share.

Downward revisions have been made to the MSPs for all types of baths, excluding cast iron baths, due to more detailed analysis of available trade statistic and domestic production statistics. Steel baths are very low priced in Spain, mostly aimed at the economy/ lower price segment, often preferred in project sales, whereas synthetic baths are largely higher priced, often due to the materials used. The MSP for synthetic baths were predominantly revised down due the fact that most synthetic baths sold on the Spanish market are still acrylic, whereas the share of mineral cast and solid surface remains low, but gaining share, as opposed to synthetic shower trays which are mostly non-acrylic.

Cast iron baths were revised up for all years. Historically cast iron baths very basic, the market is now increasingly becoming more luxurious, especially the ones imported from Italy, Portugal and Spain, affecting average prices. As with synthetic baths, BRG has also made upward revisions to the market size for synthetic shower trays. Ceramic shower trays accounted for over 70% of the total shower tray sales in 2005, its share has continued to decline, relatively strongly, ever since then, to reach 58% by 2012 and as little as 20% by 2020.

Market volumes for synthetic shower trays were mostly revised up because domestic supply was underestimated since many new players have entered the market for these products in Spain, which is less affected by rising imports compared to taps and mixers as well as ceramic sanitary ware. The Spanish shower tray market has quickly developed in favour of synthetic materials, as opposed to ceramic, which have declined in share almost consistently year after year, with many new players entering the synthetic market over the last 15 years. Synthetic shower trays have gained share rapidly, benefitting from the trend towards showering, combined with the shift away from ceramic shower trays, similar to the developments seen in the French market. For example, in 2001, domestic production stood around 780,000 pieces, which dropped to 622,000 in 2008, due to the troubling market climate, but has increased year-by-year since 2010, from 650,000 in 2010, to 1.04 million in 2014 to reach 1.9 million pieces by 2019. As with steel and cast iron baths, many of these are aimed at the export market, although the export ratio is a lot lower for synthetic products than it is for steel and/or cast iron baths, with less than 50% of total volumes aimed at exports, meaning more is sold domestically. Players that have done particularly well include AQUABELLA, FIORA, MAMPARAS DOCCIA and MCBATH who now dominate domestic supply, whereas more established players, such as GME, SANYCCES and ROCA, have all recently lost market share.

Downward revisions were made to the market size for steel shower trays due to revised manufacturer sales data.

Minor revisions were made to the MSPs for steel and ceramic shower trays due to changes made to sales per price segment, including average prices per price segment. Stronger revisions were made to the MSP for synthetic shower trays. This is largely due to revisions made to the market size for synthetic shower trays, with a number of new players added to the market, such as AQUABELLA, which all predominantly sells mineral cast and/or solid surface shower trays. Spain unlike to some more established shower tray market, such as Germany, has a very high share of non-acrylic shower trays and these are often very expensive compared to acrylic.

SPAIN

SANITARY WARE

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Product Mix

The sanitary ware market is one of the most mature bathroom markets in Spain, incorporating ceramic sanitary ware (CSW) and alternatives. As for any mature market, sanitary ware has an important share coming from RMI sales. New construction is also a key driver, as some products within these markets are a basic necessity in new dwellings.

After growing rapidly during the construction boom of the late 1980s, sales of sanitary ware fell back sharply in the early 1990s, before growing strongly up until 2006 when the market reached its peak – mainly due to new construction. After 2007, it suffered drastically from the decline in new housing, as with the other products in Spain, resulting in unprecedented decreases.

The penetration of ceramics in the total sanitary ware market is high in the country. A large proportion of water closet (WC) cisterns are still ceramic, with sales of plastic cisterns only increasing slowly, and exposed plastic cisterns are not regarded as attractive alternatives to ceramic solutions for private homes. Floor-standing WCs account for the majority of total WC sales, although wall-hung WCs are increasing in popularity, especially in the non-housing segment and the Mediterranean area.

Historically, bidets used to be a popular product, but the gap between WCs and bidets has been widening considerably since space has become limited. In renovation there is a declining trend, because consumers want to get rid of the bidet in order to gain more space.

In addition, concealed plastic cisterns are much more popular than exposed plastic cisterns, mainly for aesthetic and hygienic reasons. Most of the plastic cisterns are installed in the CII (commercial, institutional and industrial) sector in Spain, although penetration in the new housing sector has been increasing. The vast majority of plastic cisterns are concealed models, which are typically installed with a dry installation module. Compared with other European countries, such as France for example, exposed plastic cisterns do not have a market in social housing, which means that sales opportunities for these products are very limited. The only market for exposed plastic cisterns at present is through replacement in some tourist areas and local bars. Moreover, exposed plastic cisterns still suffer from a stereotype of lower product quality when compared with ceramic cisterns, which makes replacement sales in the domestic sector very unlikely. In general, when renovations are made and it is not possible to carry out the installation of a concealed cistern, especially in old buildings, it is common for Spaniards to continue installing the ceramic cisterns instead of the exposed ones.

With regards to washbasins, the majority of sales are of countertop washbasins. People in Spain mainly prefer to install washbasins with furniture. Monobloc countertops should also gain market share in the future, in line with demand for

bathroom furniture.

Recent Market Trends

In 2020, the overall ceramic sanitary ware market witnessed a significant decline as a result of the negative impact on the market caused by the COVID-19 pandemic. The decline was mainly driven by the drop in construction activity during in the year, owing to lockdown and further restrictions to contain the spread of the virus. The RMI sector, which accounts for the bulk of sales, performed much more slowly than in previous years, as there were frequent market shutdowns, delayed/cancelled renovation projects and an overall subdued economic activity.

Sales of WC/toilets and 'other CSW', as well as washbasins, experienced a significant drop among ceramic sanitary ware categories in 2020. This in turn led to a steep decline in demand for concealed and exposed plastic cisterns. The sudden and unexpected decline in construction has pushed the bathroom product sales down, with the CSW segment witnessing the greatest impact, since these items hold more importance and priority over all other product segments.

RMI household spending increased largely from 2010 to 2017, and continued to do so until 2019. Had it not been for the pandemic, the RMI market could have witnessed growth again in 2020 and driven the market positively, after a slightly subdued previous year. Instead, as a result of the negative market activity and a weak economic situation, the RMI market suffered and the overall sanitary ware market suffered losses.

The main trends in the country have been consistent, such as the share of sales of pedestals and bidets continuing to decline at a faster rate than other products. Pedestals continue to lose share due to a continuing rise in popularity of base units, whereas bidets are going out of fashion as new bathrooms are more compact than they used to be. However, bidets should not completely disappear from the market since culturally a 'complete Spanish bathroom' often includes this item, although the number of bidets being installed in new construction has reduced considerably.

It is important to highlight the introduction of a new technology: bidet seats. This trend is relatively strong and is expected to grow, mainly due to the features of these new products such as lid washes, auto washing, heated seats, lighting, etc. These new products may replace the need for the bidet. These innovative products are substantially more expensive than the traditional ones, but any future drop in prices should make them more accessible. Nonetheless, the most common substitute of the bidet for now is the hand spray tap, which uses the water outlet using a flexible hose and a support attached to the wall, as it is considered one of the cheapest and practical solutions.

As the travel and tourism industry suffered the worst during 2020, with the majority of hotels and hospitality establishments shutting down due to either quarantine restriction and/or lack of business, non-housing sales suffered a great deal, with

larger declines in sales of various CSW items than in other end-use segments, especially wall-hung WCs and urinals. However, BRG has observed other non-ceramic washbasins such as acrylic, glass, steel, mineral cast, and others (including solid surface, wood, concrete, etc.) becoming popular among commercial establishments. These products compete directly with the traditional ceramic washbasins, and prevent them from growing further.

As far as plastic cisterns are concerned, the market in 2020 became smaller than it already was in 2019 if compared with the ceramic cisterns market in Spain. This is mainly because Spanish consumers are traditionally used to installing an exposed ceramic cistern instead of plastic, especially in the residential sector, due to its durability compared to an exposed plastic cistern. The RMI sector has been the main driver for concealed cistern sales, because when a complete bathroom refurbishment takes place a concealed plastic cistern with a wall-hung WC is usually installed. The trend of increasing space and having a more functional and minimalist bathroom has been growing in Spain. New housing demand also has had an important impact on the market, due to its strong preference for concealed plastic cisterns pushing the market up.

Prices and Market Values

The overall MSP for sanitary ware witnessed an increase in 2020 when compared to the previous year. Except for washbasins and concealed plastic cisterns, all items saw a very modest growth in MSPs. Most manufacturers decided against steep price increases and passing the cost onto consumers, even as manufacturing and logistics costs grew during the year. Most of them decided to keep the prices competitive in order to stimulate sales, as the market was already subdued and weak all through the year. The average price has not increased at a greater pace, also due to the fact that there is high competition – mainly occurring in the new housing segment.

New Housing

New dwelling construction activity experienced a significant decline in 2020, which has been the main reason for the drop in new housing CSW sales. Although there were enough building permits handed out in 2019 for the new housing construction to grow the following year, the threat of COVID-19 and ensuing lockdowns and restrictions on construction activities resulted in a negative impact on construction projects – with delays and temporary suspensions.

The average bathroom size is decreasing in terms of square metres. Consequently, this affects what can be installed. The standard new dwelling in Spain has one or two bathrooms. When there is only one main bathroom, the typical new bathroom suite consists of a shower, one countertop washbasin on a base unit, and a WC with a ceramic cistern, although the penetration of concealed cisterns is increasing. If space allows, then double washbasins or two washbasins are popular in Spain, typically in-set countertop models. However, in a dwelling with two bathrooms it would be the same for the main bathroom, but perhaps instead of a shower tray a

bath will be installed and in the small bathroom you would have a shower, WC with a ceramic or concealed cistern, and a countertop or pedestal washbasin. In some cases, the second bathroom would not have space for a shower, having only a washbasin and WC.

Housing RMI

Sales in the RMI segment account for the large majority of sales of ceramic sanitary ware. This share has grown quite quickly, given the sharp drop in new residential construction since 2006. Macroeconomic figures in Spain, such as consumer expenditure and confidence, experienced a continued growth from 2014 to 2017, leading to a large increase in RMI expenditure in the country.

In 2020, the repercussions of COVID-19 led to weak economic activity across all segments, subdued market activity, low demand, and reduced private consumption – which in turn led to further postponement of refurbishment activity and thus resulted in an overall drop in sales. RMI demand declined sharply in 2020 as there were very few installations between March and May, and even though demand has returned to 2019 levels, it has not been enough to offset the lost sales.

The replacement market for CSW in Spain is mainly focused on WC and 'other CSW' sales.

BRG believes that overall sales of sanitary ware products to housing RMI should continue to play a vital role in the sanitary ware market in Spain. Sales should grow again, but at a slow pace, over the forecast period.

Non-Housing

Overall sales to the non-residential sector witnessed a drastic decline in 2020. In Spain, the non-housing segment depends mainly on investment in leisure and tourism buildings, with an increasing share of foreign investment in this segment. Investment in both leisure and tourism has shown positive developments in the last few years, leading to an increase of RMI expenditure in the tourism sector.

With the hospitality and travel industry suffering the worst among all major industries during the COVID-19 pandemic, non-housing sales have witnessed the largest decline among all end-use segments for all product segments during 2020. The extent of the drop in sales has also been the worst in the last few years. Non-residential demand suffered substantially in 2020, and should continue to decline at a strong rate in 2021. The reduction in activity for the tourist and hospitality industry has put many investments on hold, and with a marked slowdown in RMI expenditure and very weak business prospects, demand is not expected to return to the 2019 levels until the end of the forecast period.

Typically, the non-housing segment is the sole market for commercial products such as urinals, and accounts for the large majority of sales for wall-hung WCs. For this reason, its performance is highly correlated with this end use.

Supply Structure

The Spanish ceramic sanitary ware market remains characterised by domestic suppliers, above all ROCA.

In the 'other CSW' market ROCA remains the leader, followed by PORCELANOSA's brand NOKEN. GROHE, the well-known bathroom manufacturer, increased the new product range of ceramic sanitary ware in the Spanish market. There are a large number of cheap products from China that are sold through DIYs and wholesalers, which account for the large share of 'others'. LEROY MERLIN is believed to sell more than half of this amount with its own brand SENSEA, but also with other unbranded products it has available. BRICOMART is also very strong, and accounts for a considerable amount of these unbranded sales. Another strong player is BAUHAUS, which has been growing recently.

The washbasin market remains almost the same, with ROCA leading the market, followed by PORCELANOSA and DURAVIT. There is also an addition of two market players, SANYCCES and GROHE (with its new product range). The share of 'others' is also big, with brands from LEROY MERLIN, BAUHAUS, and BRICOMART accounting for a large share of the unbranded products in the market. The washbasin market has many sales of washbasins together with the base unit, which helps sales of branded products in the market. Non-ceramic washbasins, for instance, have been gaining share in this product category, with the main players in this segment being KALDEWEI and SANYCCES.

In the WCs/toilets market ROCA remains the market leader, followed by PORCELANOSA's brand NOKEN. The share of 'others' is significant, given the fact that many unbranded sales imported from China have gained a substantially large share – with LEROY MERLIN accounting for the largest share of these. ECZACIBASI's brand VITRA and STROHM, the sanitary ware brand by TEKA, are other prominent players in the Spanish market that are active in all three ceramic sanitary ware product segments especially, WC/toilets.

GEBERIT remains the market leader in Spain in terms of sales of plastic cisterns, and has been dominating the market for many years, followed by PORCELANOSA and GROHE. VILLEROY & BOCH has been introduced as a new market player, with residual sales.

Many of the new build sales are directed through wholesalers, which then sell to the contract market. These merchants handle plumbing product ranges as well as a full range of heavy and light building products (examples are SAINT-GOBAIN and MANAU). Some are also specialist sanitary and plumbing wholesalers.

ROCA, with its strong network of distributors, follows the same strategy as for all other bathroom products.

Forecasts

Sales for sanitary ware are predicted to recover and resume growth in 2021. However, with the threat of COVID-19 still looming over all of Europe and Spain, sales might still be restricted, with the market not expected to reach the pre-COVID levels of 2019. Recovery is mainly attributed to the postponed demand during the country's lockdown and loss of sales thereof. The rate of growth is expected to be positive, due to the increasing number of RMI for this period, but at a slower pace. However, the residential sector is expected to grow in 2021 and demand from new housing installations is expected to be positive. The same is not the case for non-residential uptake in 2021, and presumably throughout the forecast period. International travel restrictions are still in place for most of the countries in Europe and across the world, and there is uncertainty in the travel and hospitality industries. This will indeed restrict further investments and will impact the demand for bathroom products, including sanitary ware products.

During the forecast period sales should continue growth until 2023, banking on RMI housing sales. However, growth is expected to slow down in 2024 and 2025, as RMI demand stabilises and grows at a steady pace.

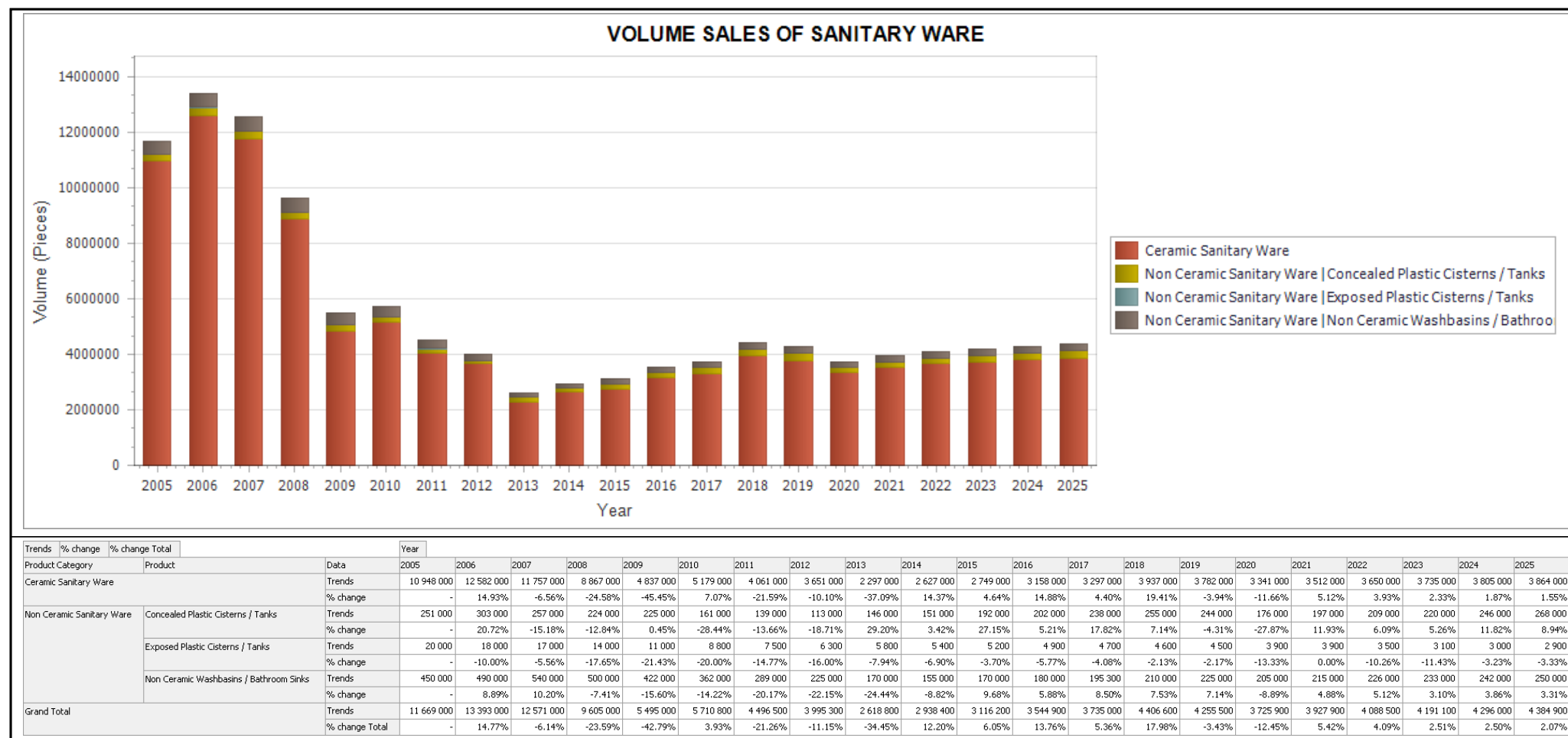
The trend towards concealed plastic cisterns over exposed models is expected to continue. From 2021 onwards sales of concealed models are directly related to sales of wall-hung WCs, which are expected to continue to grow throughout the forecast period, especially as a consequence of increasing new construction, while demand for exposed cisterns is expected to grow at a slow pace.

Even though the Spanish economy is expected to register one of biggest rebounds in the European Union during 2021 and 2022, the political, health and economic ramifications of COVID-19 might have a long-term impact on the economy, with many investments potentially being put on hold as a result of the lack of direction and clarity, especially in the non-housing sector. Moreover, tourism is only expected to start gaining momentum in 2022, which in turn also depends on external factors and the vaccination programmes of other countries across the globe, while also the country is warned of a resurgence of infections that could delay economic recovery further.

At the time of the writing (April 2021) there is still a great level of uncertainty regarding the economic recovery and expected demand for bathroom products. Many countries in Europe have gone into another lockdown, as vaccination efforts continue. If more lockdowns and constraints to economic activity continue over 2021, the forecasts for sales should be more negative than previously expected.

2.2.1 Historical Trends and Forecasts : Sanitary Ware

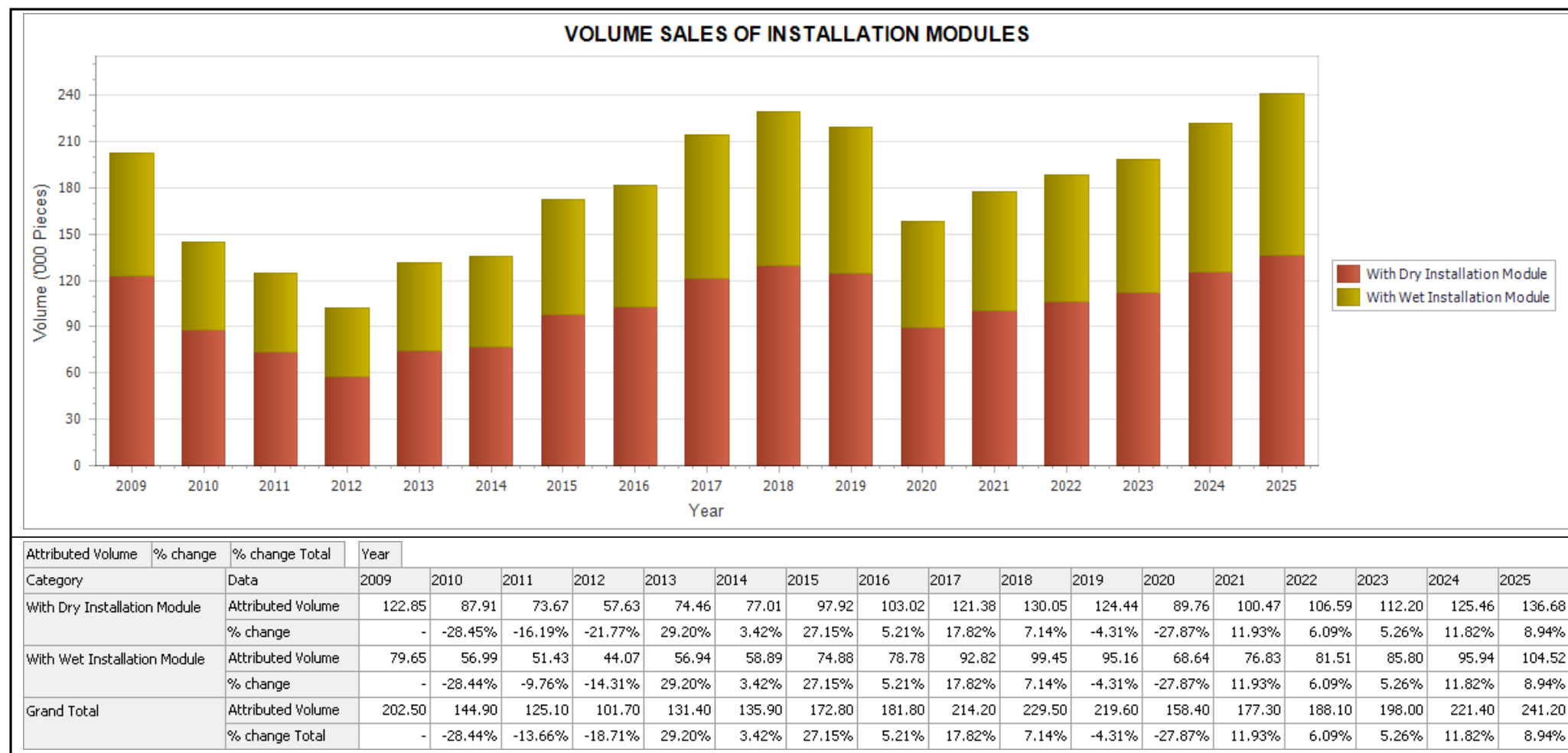
ES - SUMMARY OF TRENDS IN THE SANITARY WARE MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews. NB: Ceramic Sanitary Ware Includes Ceramic Shower Trays.

2.2.2 Historical Trend and Forecasts: Installation Mod.

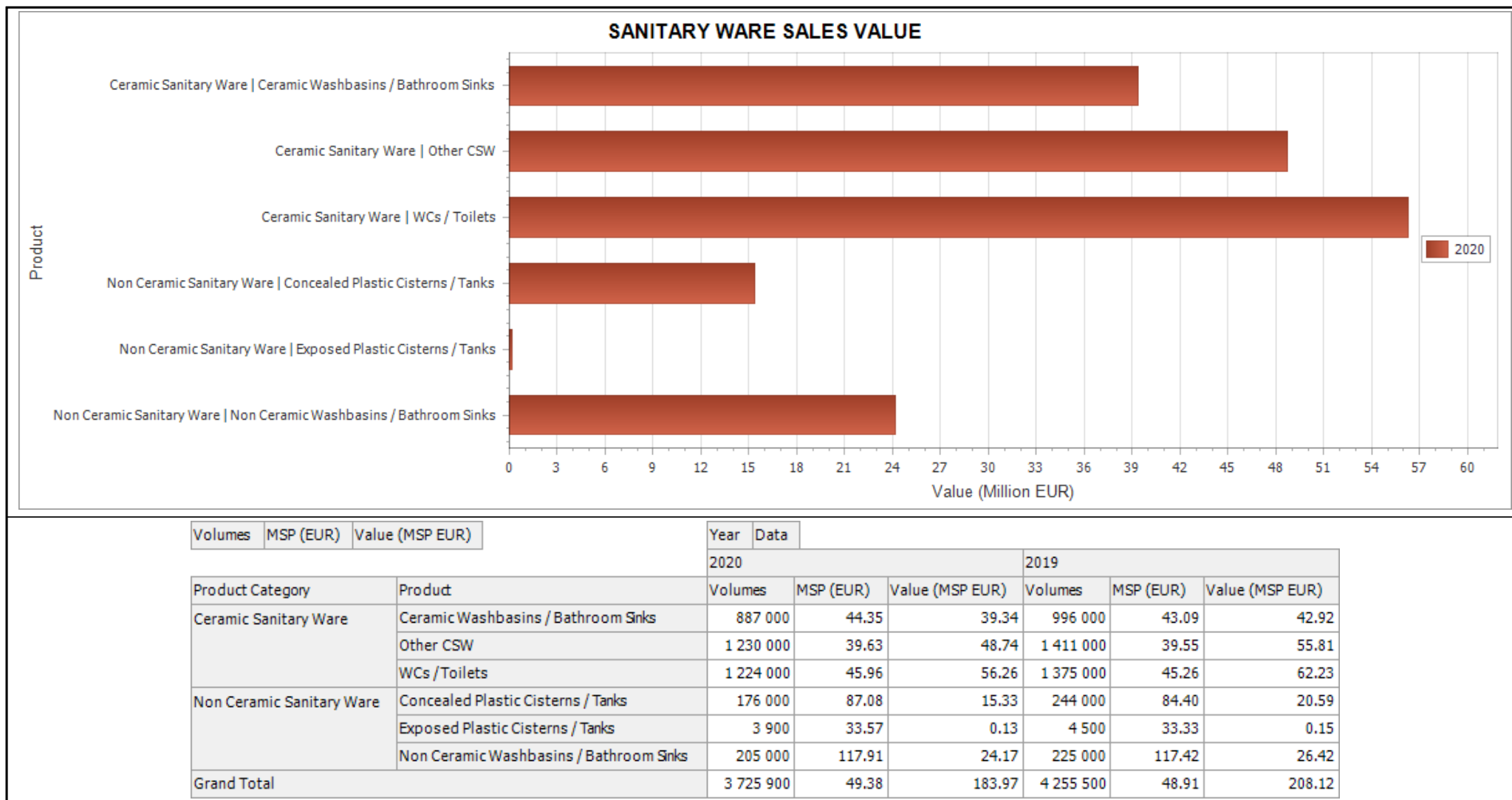
ES - SUMMARY OF TRENDS IN THE INSTALLATION MODULE MARKET : HISTORICAL AND FORECASTS ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

2.3.1 Prices and Market Values : Sanitary Ware

ES - ESTIMATED VALUES OF THE SANITARY WARE MARKET



Source: BRG based on industry interviews. Values Shown in Millions (at MSP = Manufacturers' Selling Price)

2.3.2 Prices and Market Values by Type : CSW

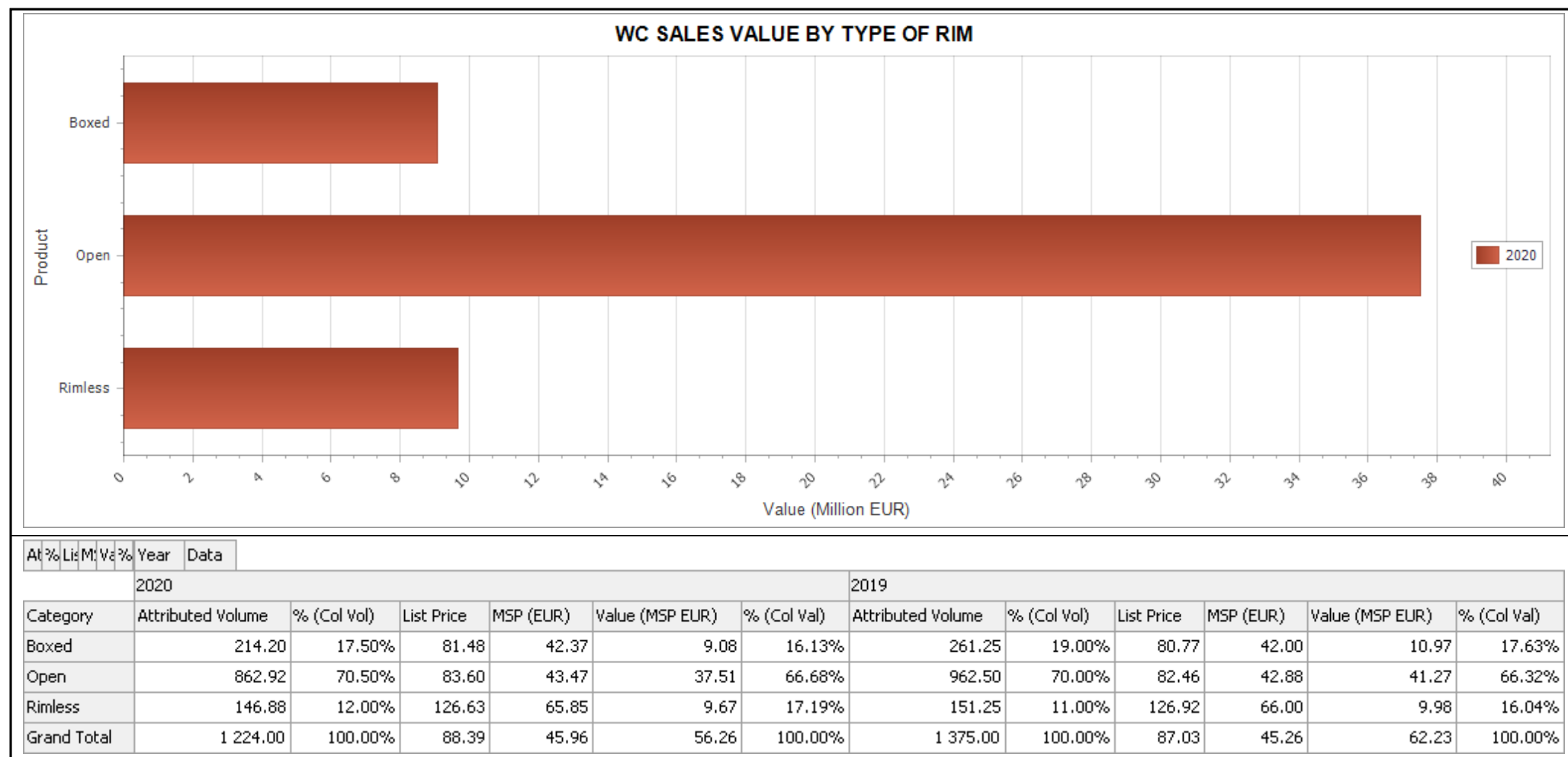
ES - ESTIMATED VALUES OF THE CERAMIC SANITARY WARE MARKET BY TYPE OF PRODUCT

Attributed \ % (Col Vol)	List Price	MSP (EUR)	Value (MSP % (Col Val)	Year	Data								
2020							2019						
Alt Product	Category	Attributed Volume	% (Col Vol)	List Price	MSP (EUR)	Value (MSP EUR)	% (Col Val)	Attributed Volume	% (Col Vol)	List Price	MSP (EUR)	Value (MSP EUR)	% (Col Val)
Ceramic Washbasins / Bathroom Sinks	Countertop Washbasins	355.18	40.04%	113.69	57.98	20.59	52.35%	401.74	40.33%	109.18	55.68	22.37	52.12%
	Hand Washbasins	19.65	2.22%	48.39	24.68	0.48	1.23%	22.61	2.27%	48.98	24.98	0.56	1.32%
	Inset Washbasins	78.06	8.80%	68.71	32.98	2.57	6.54%	86.65	8.70%	68.75	33.00	2.86	6.66%
	Pedestal Washbasins	71.83	8.10%	58.78	29.98	2.15	5.47%	85.21	8.56%	58.90	30.04	2.56	5.96%
	Semi-Recessed Washbasins	8.87	1.00%	74.96	35.98	0.32	0.81%	9.96	1.00%	72.83	34.96	0.35	0.81%
	Undermount Washbasins	102.89	11.60%	57.50	27.60	2.84	7.22%	117.53	11.80%	54.22	26.03	3.06	7.13%
	Wall Hung Washbasins	250.53	28.24%	81.18	41.40	10.37	26.37%	272.31	27.34%	80.33	40.97	11.16	25.99%
Other CSW	Bidets	76.26	6.20%	93.25	37.30	2.84	5.84%	90.97	6.45%	91.50	36.60	3.33	5.97%
	Close-Coupled Cisterns	825.82	67.14%	75.96	37.98	31.36	64.34%	902.58	63.97%	75.16	37.58	33.92	60.78%
	Kitchen Sinks	4.00	0.33%	304.77	162.29	0.65	1.33%	4.33	0.31%	304.91	162.43	0.70	1.26%
	Others	41.96	3.41%	58.57	28.70	1.20	2.47%	48.07	3.41%	57.56	28.20	1.36	2.43%
	Pedestals & Half Pedestals	73.56	5.98%	38.60	19.30	1.42	2.91%	87.26	6.18%	37.90	18.95	1.65	2.96%
	Shower Trays	110.00	8.94%	114.66	58.02	6.38	13.09%	149.00	10.56%	113.73	57.55	8.57	15.36%
	Urinals	98.40	8.00%	105.53	49.60	4.88	10.01%	128.80	9.13%	103.60	48.69	6.27	11.24%
WCs / Toilets	Close-Coupled WC Bowls	799.76	65.34%	79.81	41.50	33.19	59.00%	867.90	63.12%	76.94	40.01	34.72	55.80%
	Floor Standing WC Bowls	188.69	15.42%	77.88	40.50	7.64	13.58%	184.62	13.43%	74.99	38.99	7.20	11.57%
	Wall Hung WC Bowls	235.55	19.24%	125.96	65.50	15.43	27.42%	322.48	23.45%	121.08	62.96	20.30	32.63%
Grand Total		3 341.01	100.00%	85.42	43.20	144.34	100.00%	3 782.01	100.00%	84.20	42.56	160.95	100.00%

Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price).

2.3.3 Prices and Market Values by Type of Rim : WCs

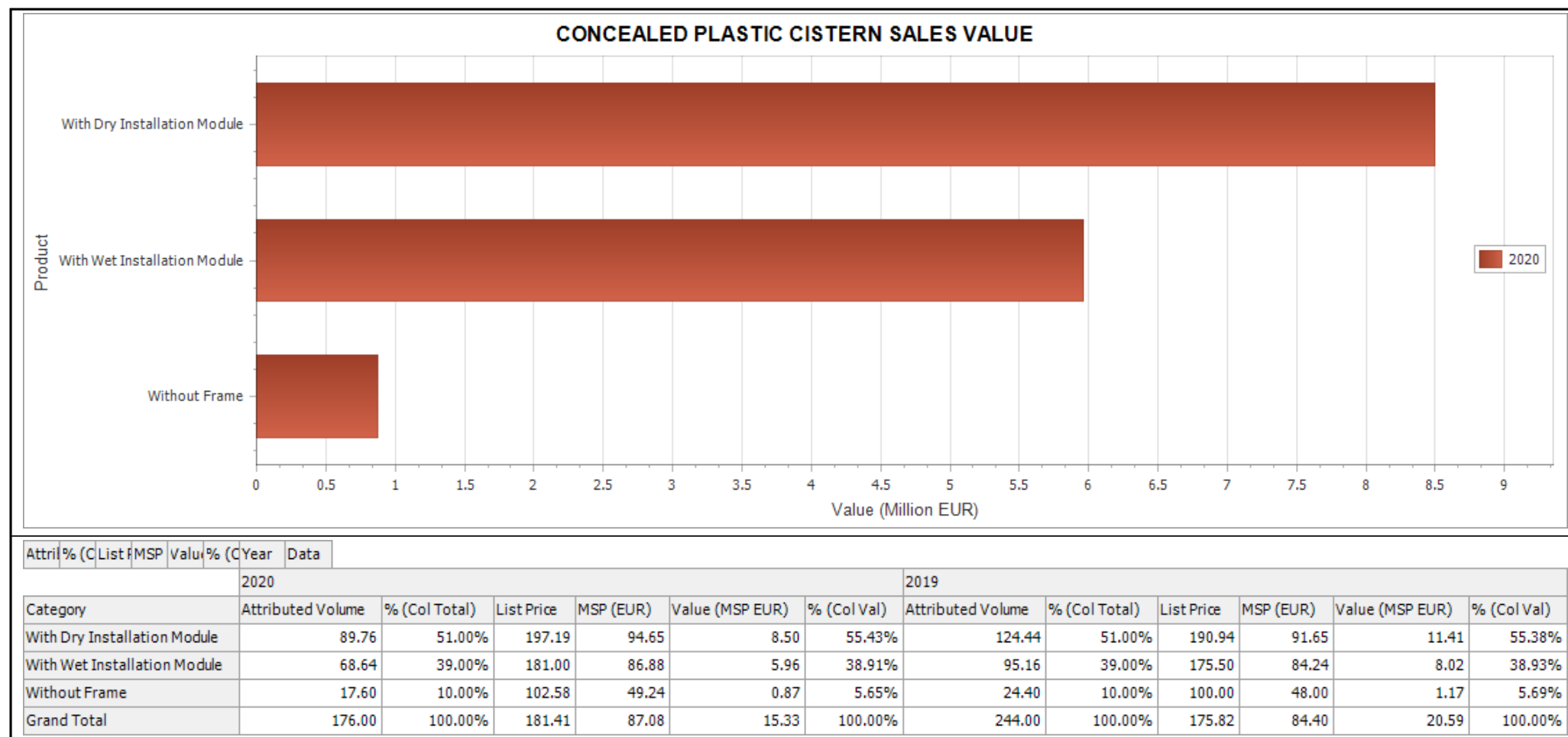
ES - ESTIMATED VALUES OF THE WC MARKET BY TYPE OF RIM



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price).

2.3.4 Prices and Market Values by Type : Conc. Cisterns

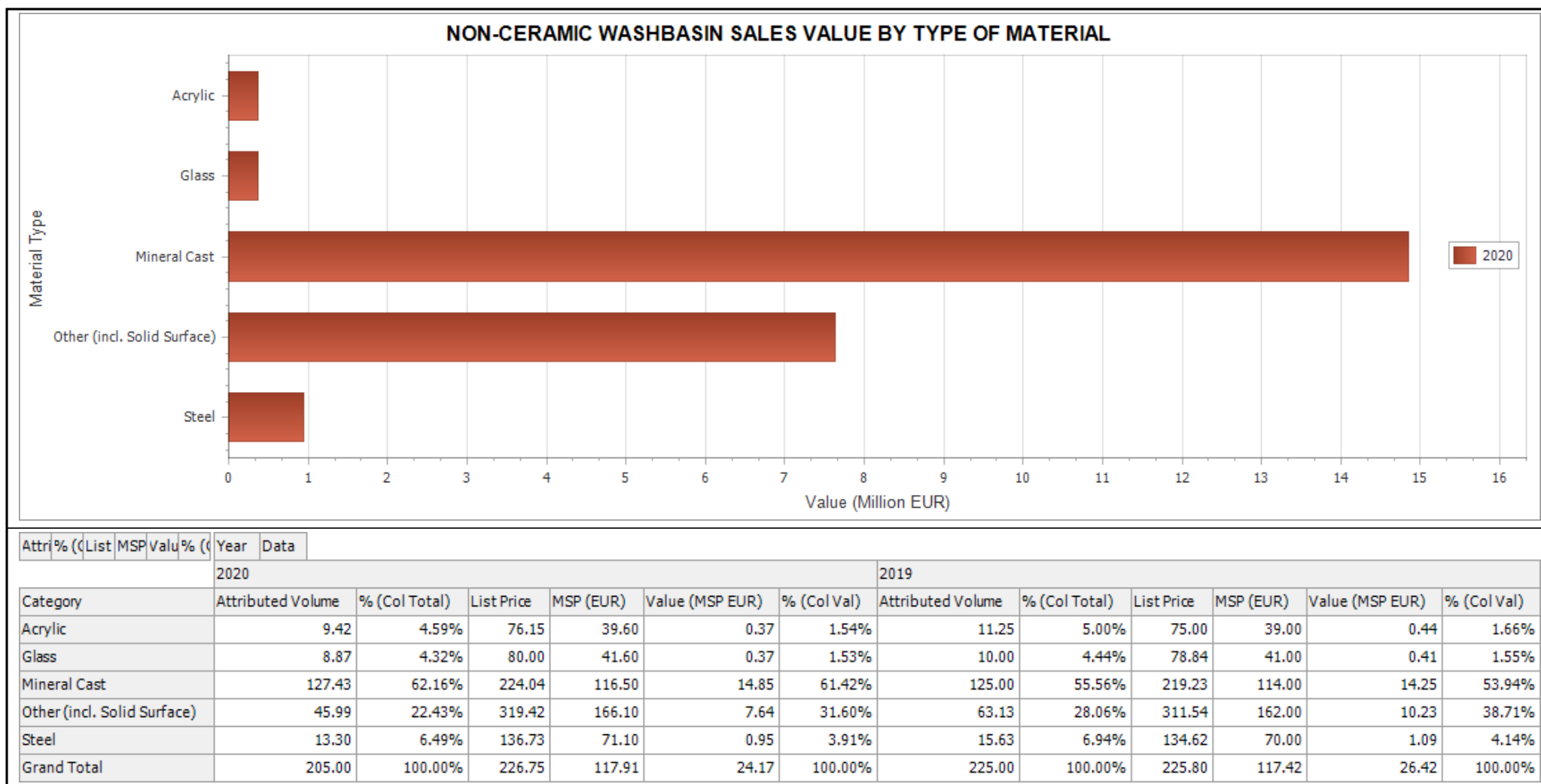
ES - ESTIMATED VALUE OF THE CONCEALED PLASTIC CISTERNS MARKET BY TYPE OF INSTALLATION



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price).

2.3.5 Prices and Market Values : Non-Ceramic Washbasins

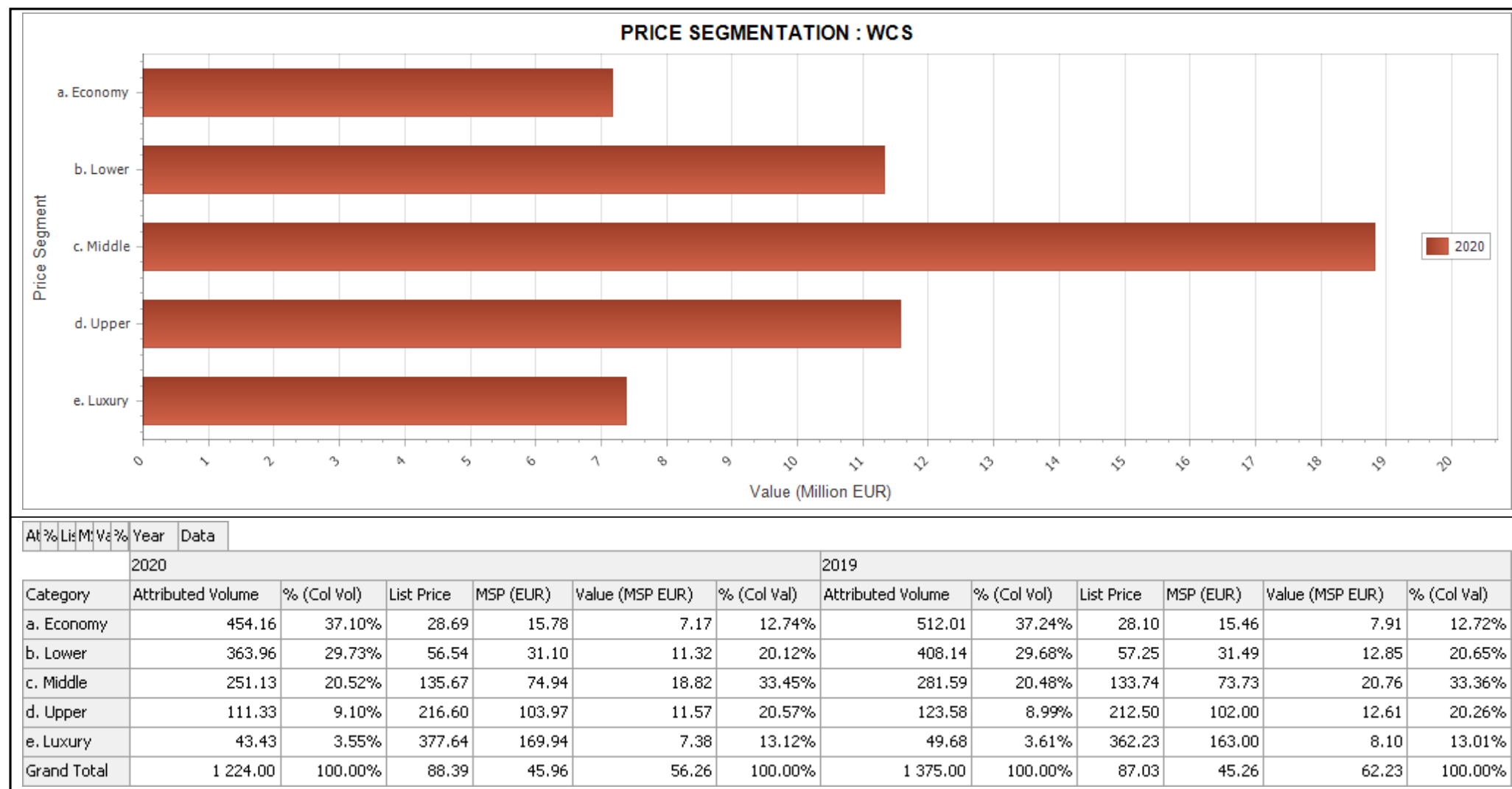
ES - ESTIMATED VALUE OF THE NON-CERAMIC WASHBASIN MARKET BY MATERIAL TYPE



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price).

2.3.6 Price Segmentation : WCs

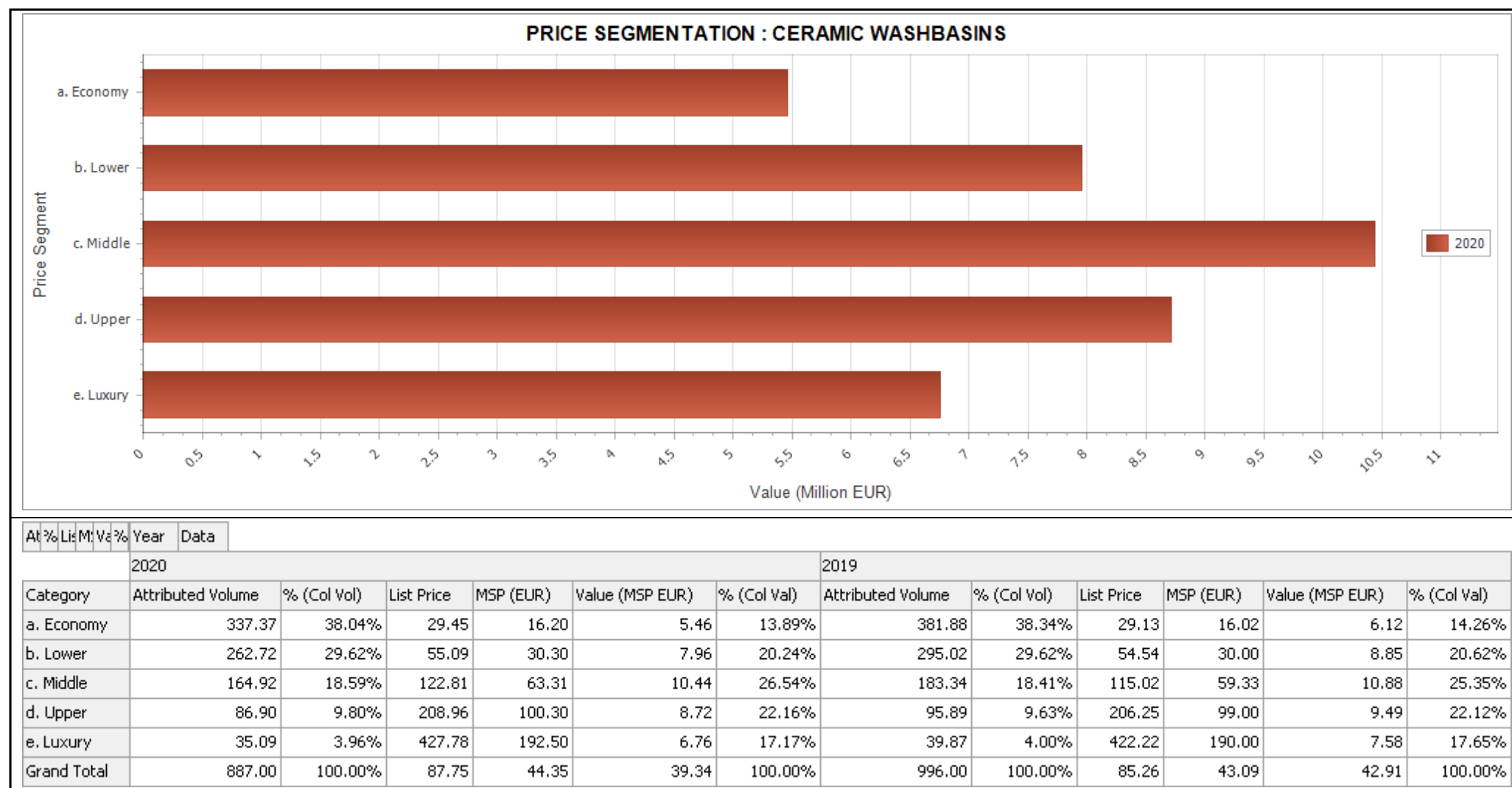
ES - ESTIMATED PRICE SEGMENTATION FOR WC



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Includes all WC Types. Volumes Shown in Thousands and Values Shown in Millions. Economy <€25, Lower €25-€50, Middle €50-€80, Upper €80-€100, Luxury >€100

2.3.7 Price Segmentation : Ceramic Washbasins

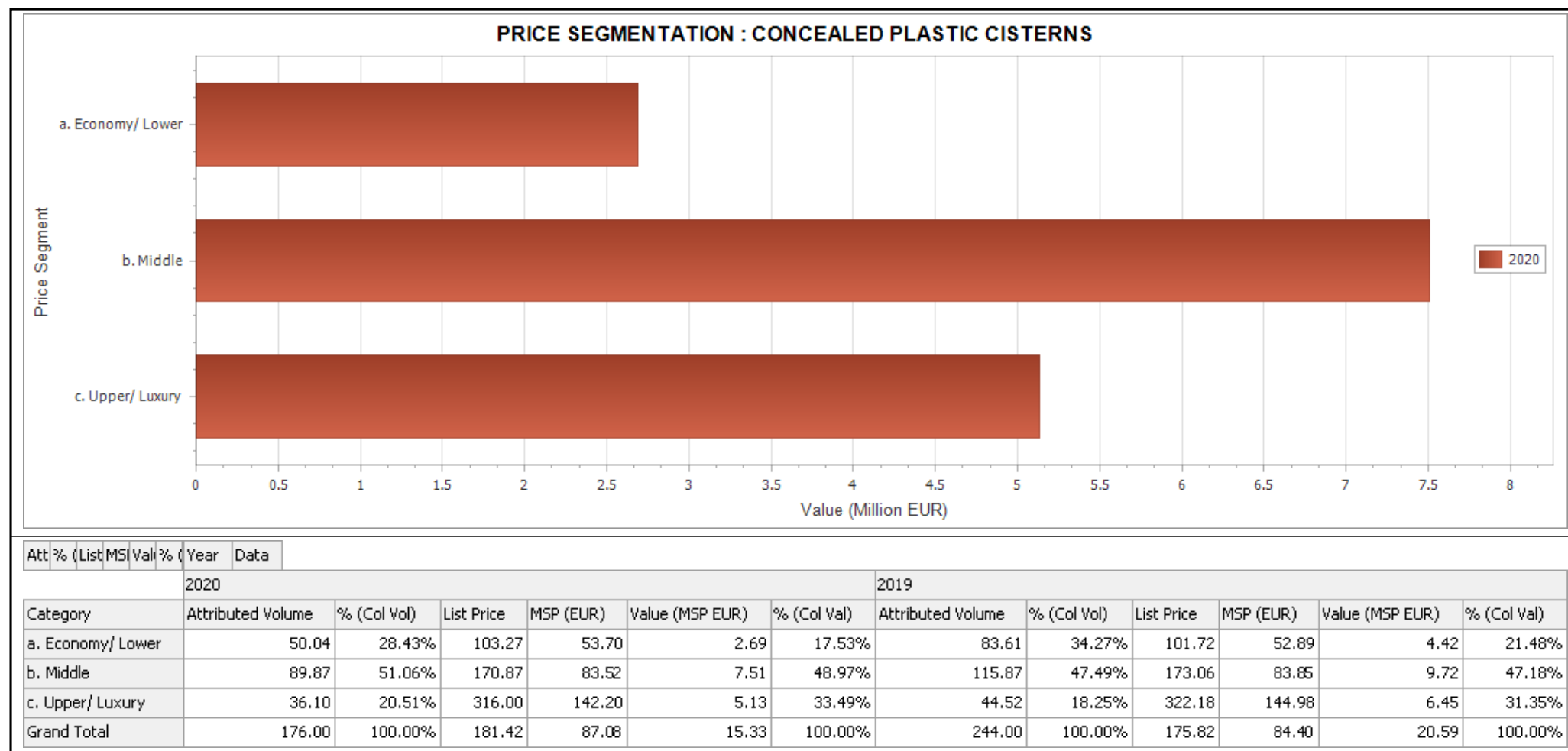
ES - ESTIMATED PRICE SEGMENTATION FOR CERAMIC WASHBASINS



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Includes all Washbasin Types. Volumes Shown in Thousands and Values Shown in Millions. Economy <€20, Lower €20-€40, Middle €40-€80, Upper €80-€120, Luxury >€120

2.3.8 Price Segmentation : Concealed Plastic Cisterns

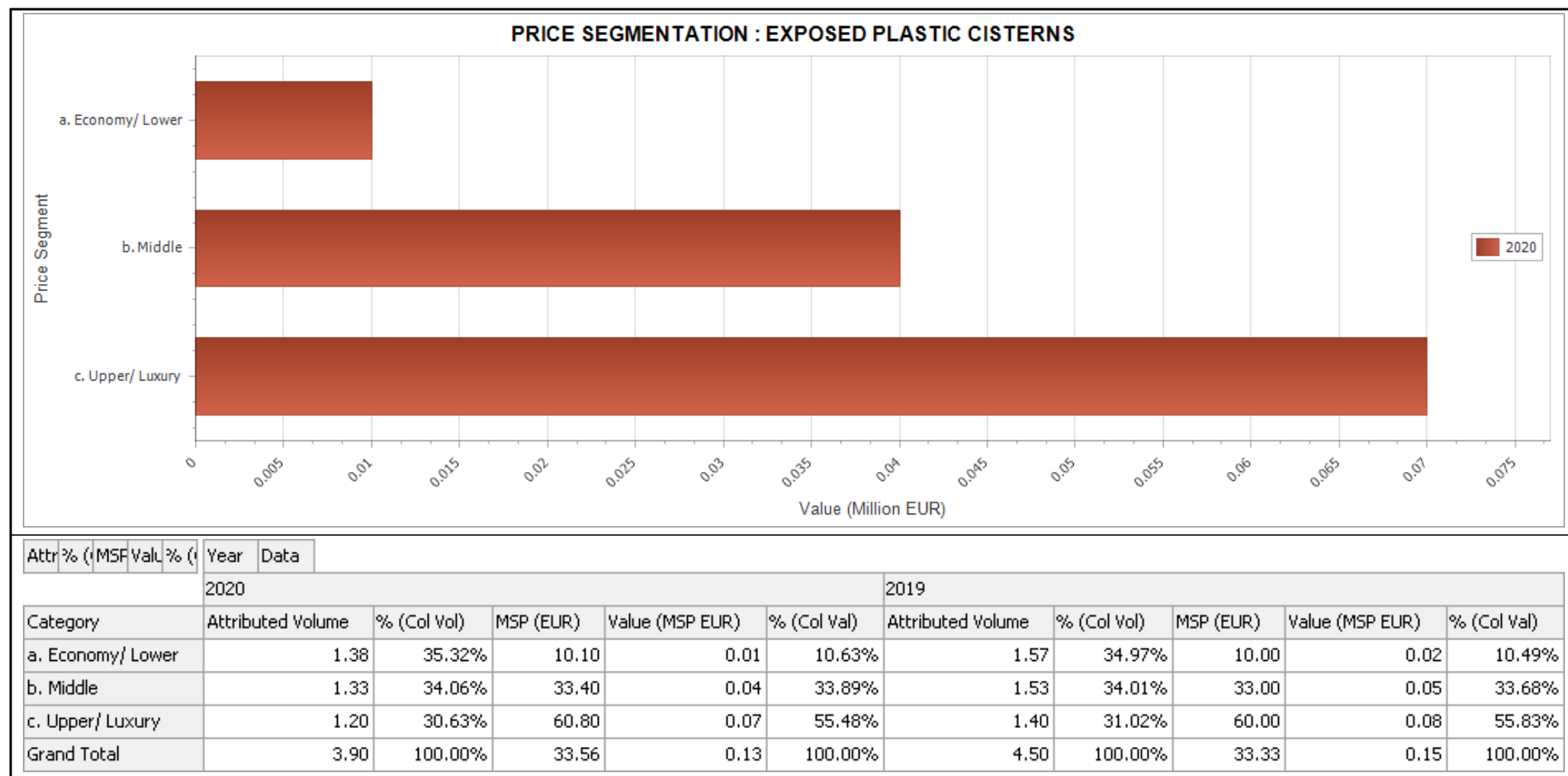
ES - ESTIMATED PRICE SEGMENTATION FOR CONCEALED PLASTIC CISTERNS



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions. Economy/ Lower <€60, Middle €60-€120, Upper/ Luxury >€120

2.3.9 Price Segmentation : Exposed Plastic Cisterns

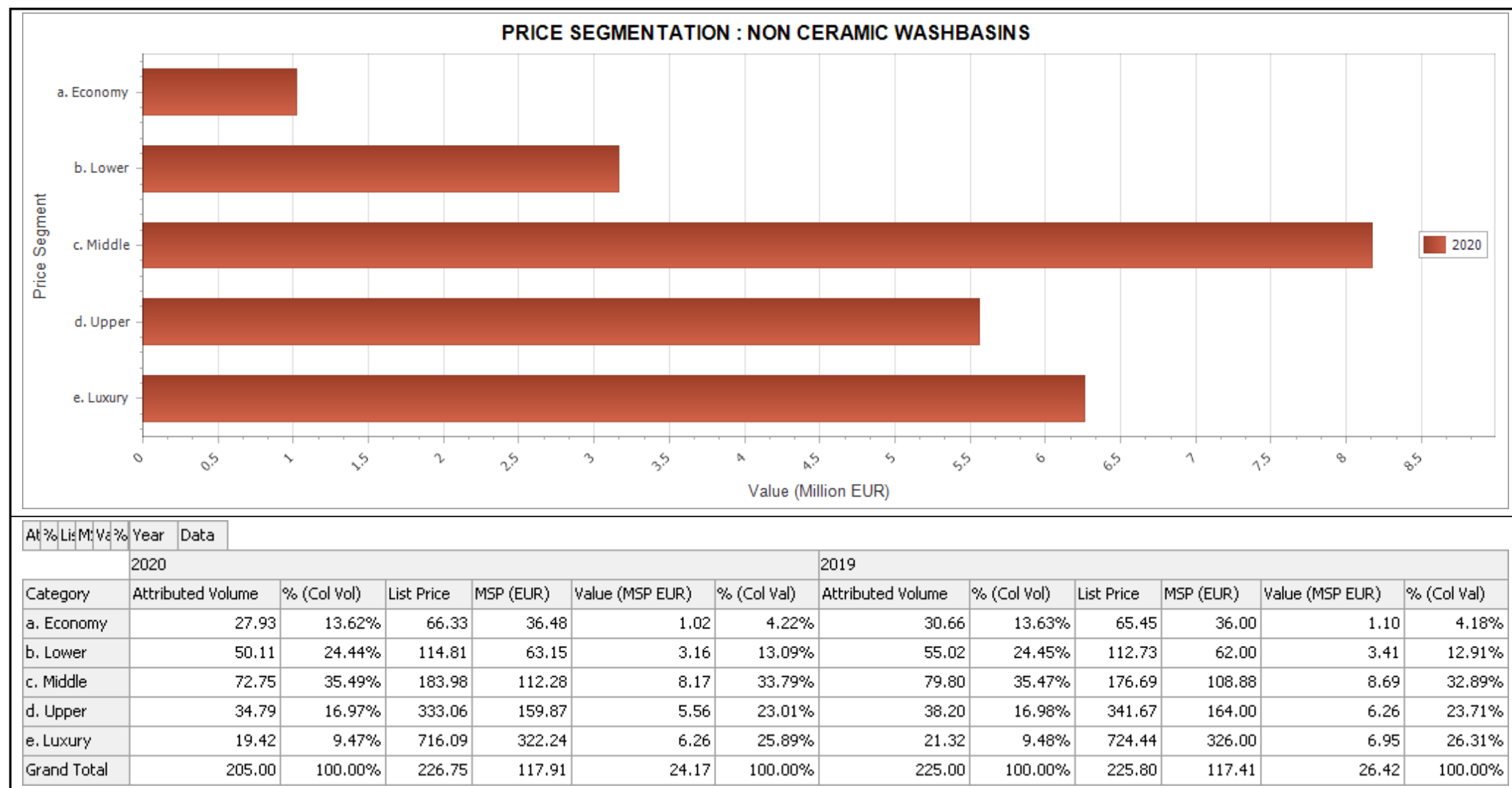
ES - ESTIMATED PRICE SEGMENTATION FOR EXPOSED PLASTIC CISTERNS



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions. Economy/ Lower <€20, Middle €20-€40, Upper/ Luxury >€40

2.3.10 Price Segmentation : Non Ceramic Washbasins

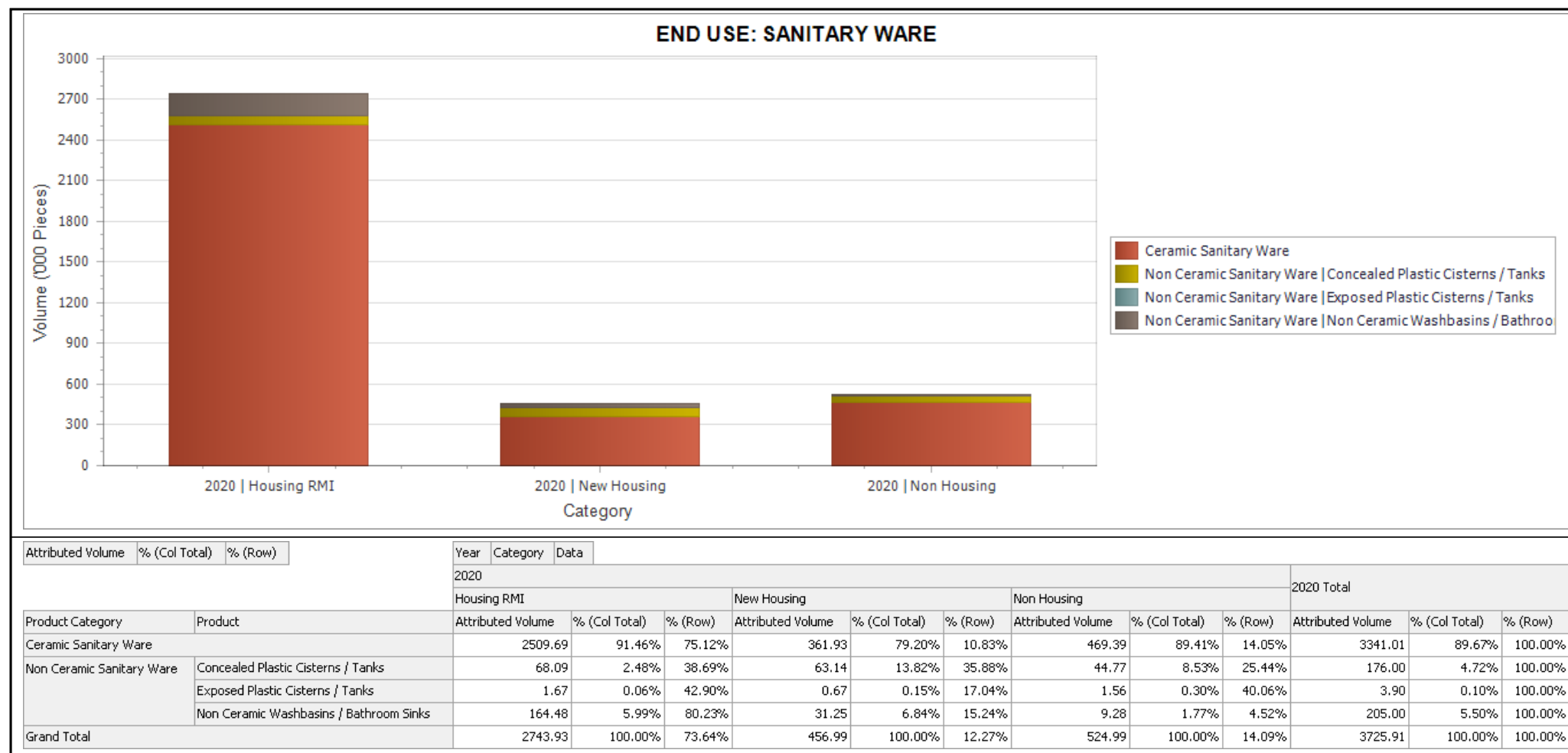
ES - ESTIMATED PRICE SEGMENTATION FOR NON CERAMIC WASHBASINS



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Includes all Washbasin Types. Volumes Shown in Thousands and Values Shown in Millions. Economy <€40, Lower €40-€80, Middle €80-€120, Upper €120-€200, Luxury >€200

2.4.1 End Use : Base Year

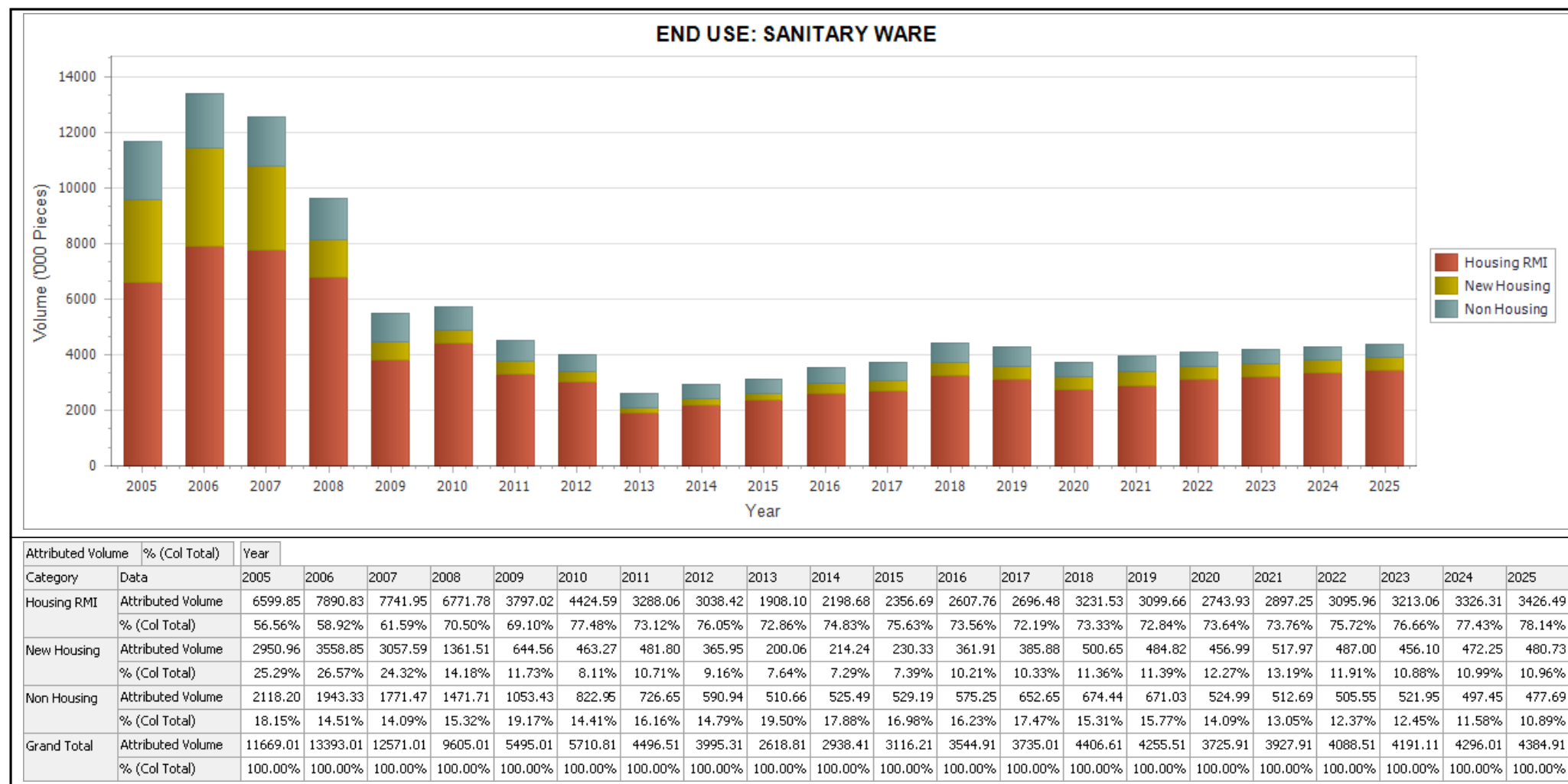
ES - SALES OF SANITARY WARE BY TYPE AND END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

2.4.2 End Use : Historical and Forecasts

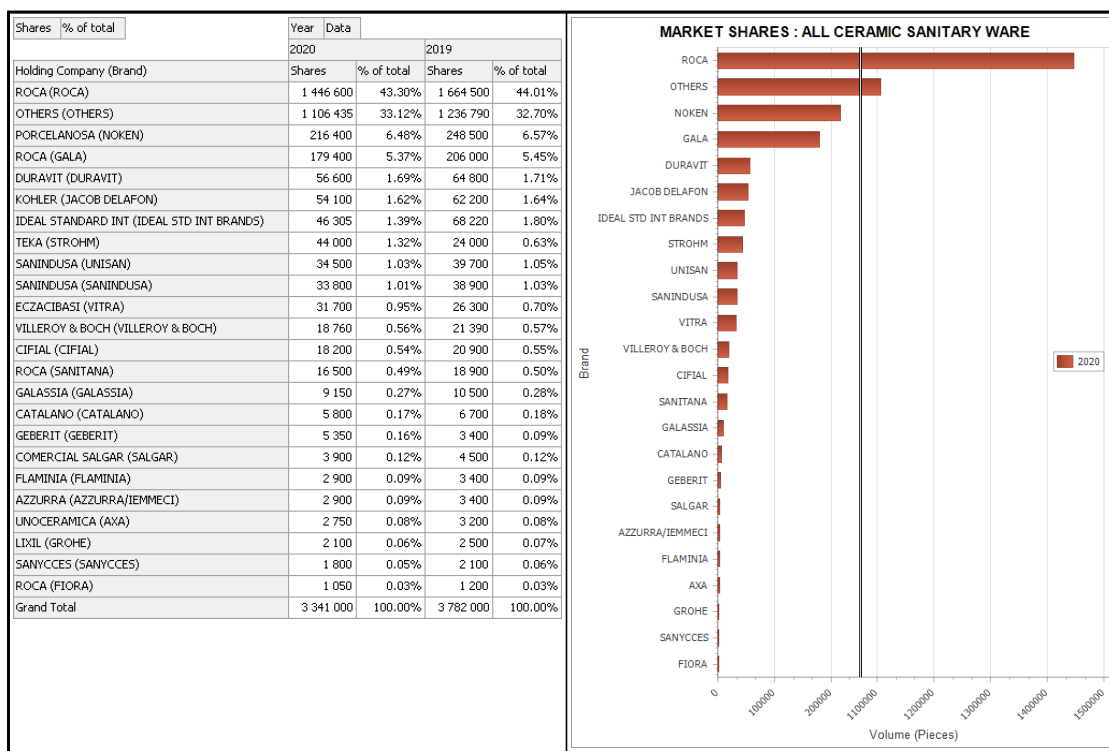
ES - SALES OF SANITARY WARE BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

2.5.1 Market Shares : All Ceramic Sanitary Ware

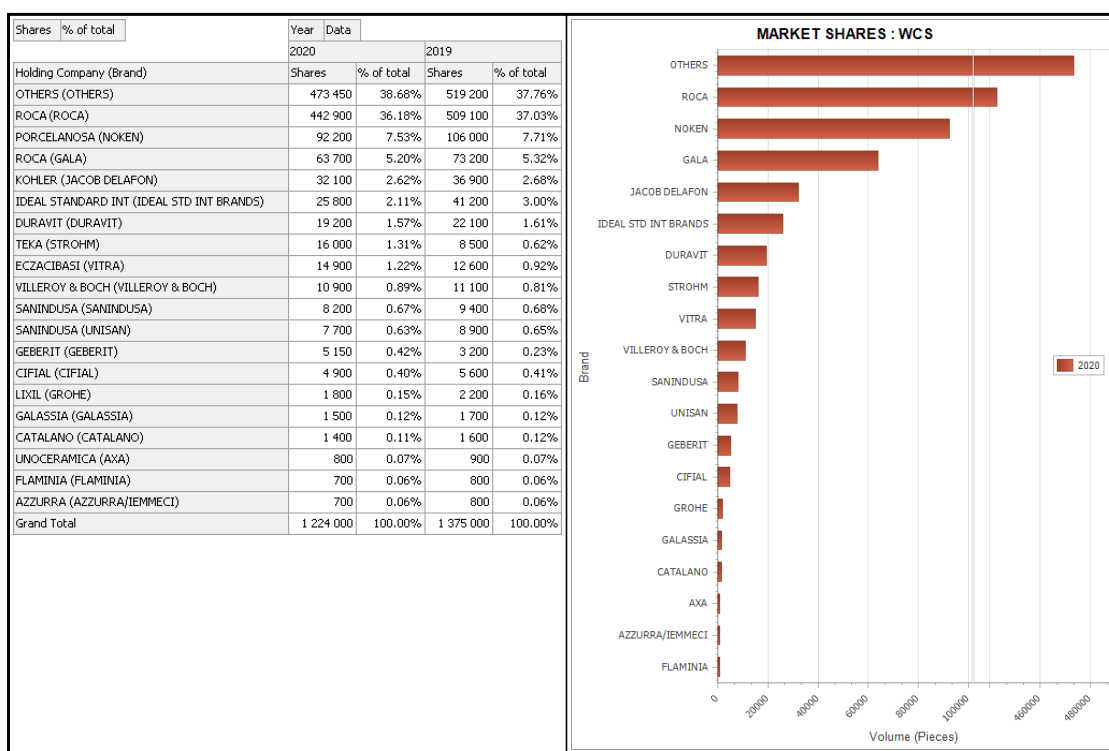
ES - ESTIMATED MARKET SHARES FOR ALL CERAMIC SANITARY WARE



Source: BRG based on industry interviews

2.5.2 Market Shares : WCs

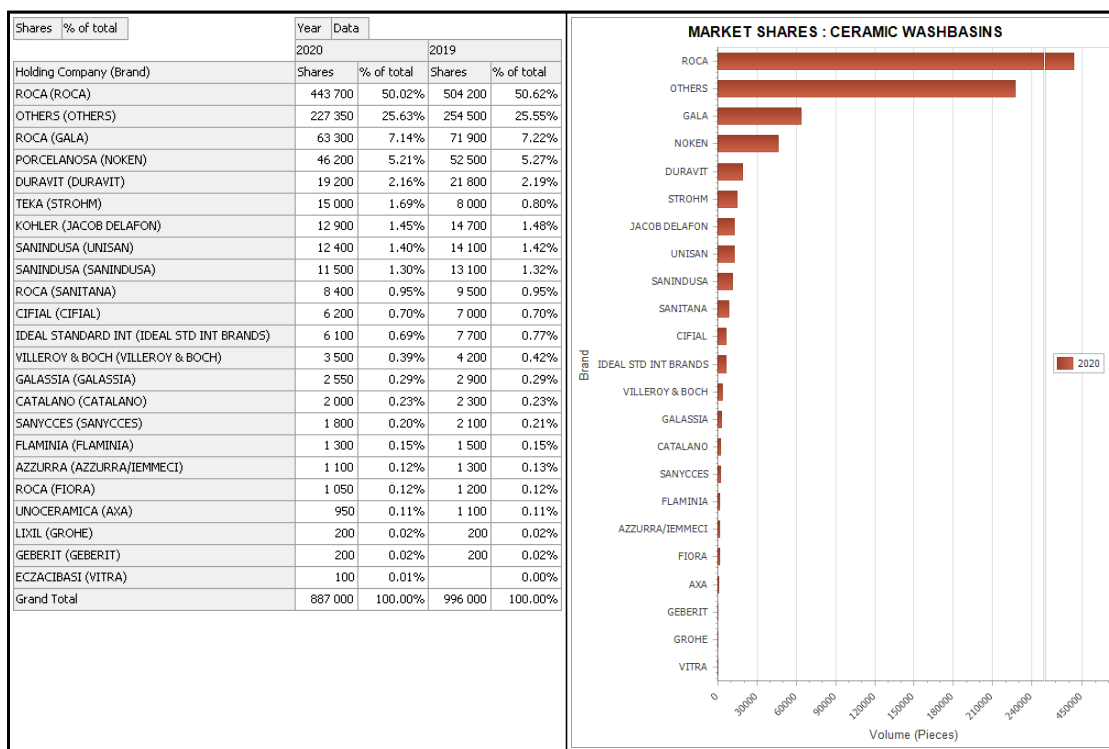
ES - ESTIMATED MARKET SHARES FOR WCS



Source: BRG based on industry interviews.

2.5.3 Market Shares : Ceramic Washbasins

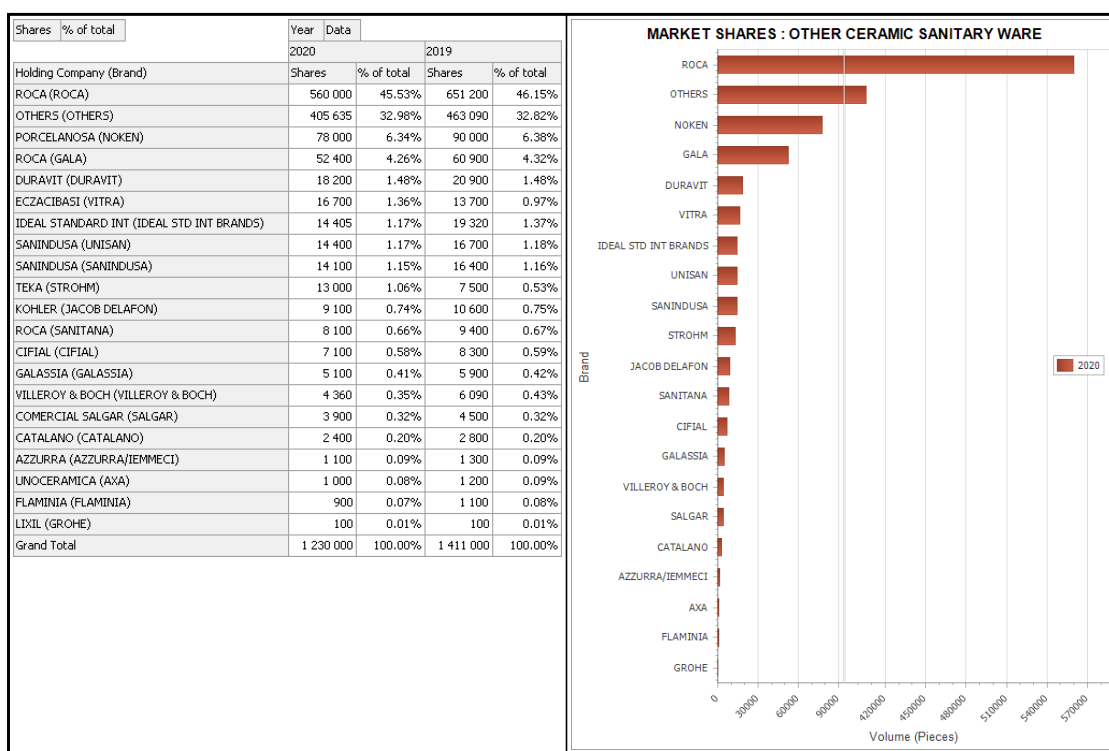
ES - ESTIMATED MARKET SHARES FOR CERAMIC WASHBASINS



Source: BRG based on industry interviews

2.5.4 Market Shares : Other Ceramic Sanitary Ware

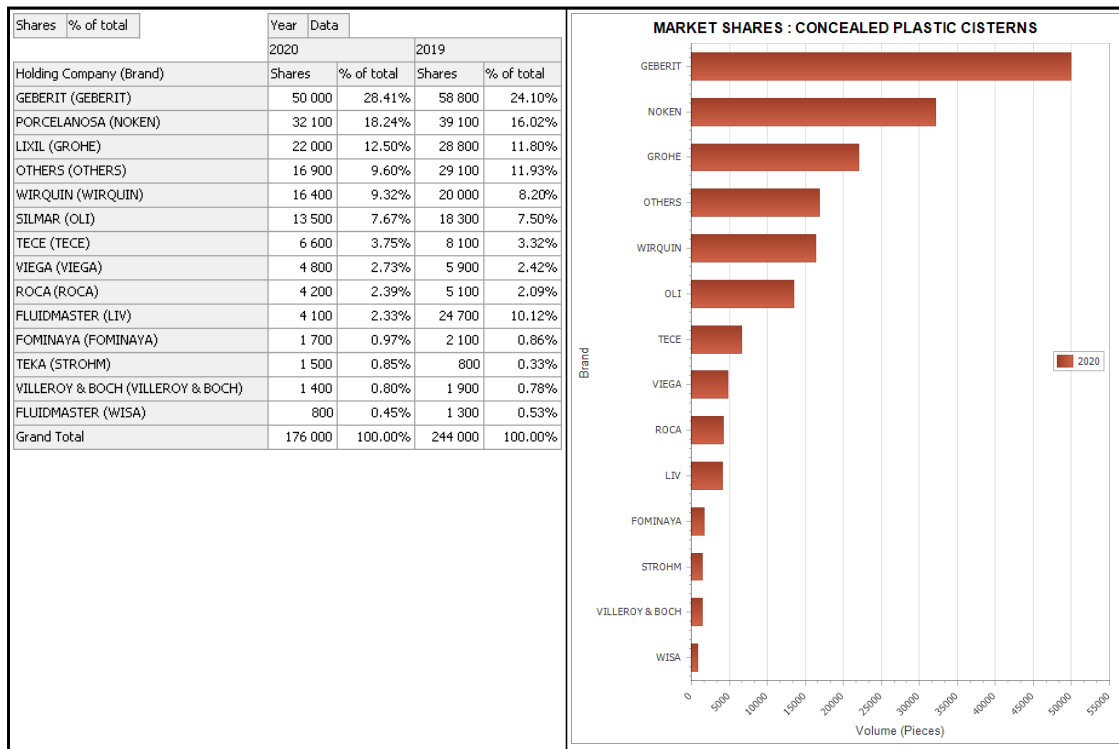
ES - ESTIMATED MARKET SHARES FOR OTHER CERAMIC SANITARY WARE



Source: BRG based on industry interviews

2.5.5 Market Shares : Concealed Plastic Cisterns

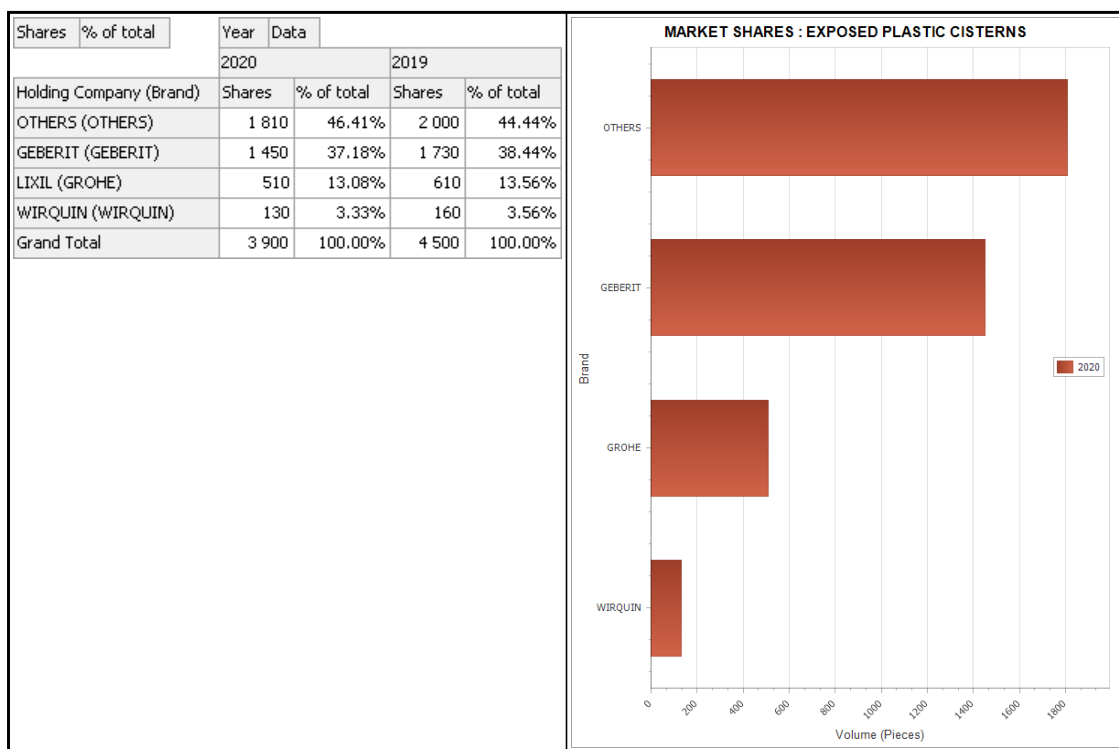
ES - ESTIMATED MARKET SHARES FOR CONCEALED PLASTIC CISTERNS



Source: BRG based on industry interviews

2.5.6 Market Shares : Exposed Plastic Cisterns

ES - ESTIMATED MARKET SHARES FOR EXPOSED PLASTIC CISTERNS



Source: BRG based on industry interviews.

2.6.1 ES - IMPORTS OF ALL CERAMIC SANITARY WARE 2020

Source Country	2020				2019			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
China	34 292	37.4%	41 141	28.1%	38 449	35.6%	46 446	27.1%
Portugal	33 982	37.1%	47 317	32.3%	43 108	39.9%	59 638	34.8%
Morocco	9 902	10.8%	14 604	10.0%	10 283	9.5%	14 982	8.7%
Turkey	4 221	4.6%	6 787	4.6%	4 216	3.9%	7 133	4.2%
France	2 458	2.7%	14 177	9.7%	2 326	2.2%	12 996	7.6%
Italy	1 721	1.9%	6 735	4.6%	2 961	2.7%	10 363	6.0%
Germany	1 465	1.6%	6 716	4.6%	1 796	1.7%	8 457	4.9%
OTHERS	3 576	3.9%	8 817	6.0%	4 817	4.5%	11 353	6.6%
Total	91 618	100.0%	146 294	100.0%	107 957	100.0%	171 368	100.0%

Source : Trademap

2.6.2 ES - EXPORTS OF ALL CERAMIC SANITARY WARE 2020

Destination	2020				2019			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
France	4 383	21.8%	16 893	24.0%	4 571	17.4%	15 957	19.2%
Portugal	3 644	18.2%	9 431	13.4%	4 421	16.9%	10 544	12.7%
Italy	1 229	6.1%	3 977	5.6%	944	3.6%	3 328	4.0%
United Kingdom	1 050	5.2%	4 434	6.3%	1 840	7.0%	6 710	8.1%
Morocco	707	3.5%	2 192	3.1%	724	2.8%	2 832	3.4%
Australia	472	2.4%	2 155	3.1%	457	1.7%	2 078	2.5%
Saudi Arabia	424	2.1%	1 016	1.4%	1 386	5.3%	3 658	4.4%
China	403	2.0%	1 146	1.6%	172	0.7%	697	0.8%
United Arab Emirates	399	2.0%	1 316	1.9%	696	2.7%	2 184	2.6%
Poland	392	2.0%	1 816	2.6%	801	3.1%	2 878	3.5%
Russian Federation	351	1.8%	1 406	2.0%	638	2.4%	2 101	2.5%
OTHERS	6 617	33.0%	24 697	35.0%	9 560	36.5%	30 211	36.3%
Total	20 072	100.0%	70 479	100.0%	26 207	100.0%	83 178	100.0%

Source : Trademap

2.6.3 ES - IMPORTS OF PLASTIC CISTERNS 2020

Source Country	2020				2019			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Germany	1 742	37.9%	9 071	35.5%	2 155	32.8%	11 729	33.0%
China	1 207	26.3%	4 897	19.1%	2 182	33.2%	9 831	27.7%
Turkey	679	14.8%	3 019	11.8%	427	6.5%	1 708	4.8%
France	229	5.0%	2 576	10.1%	280	4.3%	3 328	9.4%
Portugal	189	4.1%	1 665	6.5%	257	3.9%	2 165	6.1%
Italy	187	4.1%	1 547	6.0%	255	3.9%	1 296	3.6%
United Kingdom	94	2.0%	848	3.3%	164	2.5%	1 121	3.2%
Czech Republic	71	1.6%	282	1.1%	61	0.9%	248	0.7%
Slovenia	57	1.2%	429	1.7%	346	5.3%	1 392	3.9%
OTHERS	137	3.0%	1 239	4.8%	440	6.7%	2 694	7.6%
Total	4 593	100.0%	25 573	100.0%	6 567	100.0%	35 512	100.0%

Source : Trademap

2.6.4 ES - EXPORTS OF PLASTIC CISTERNS 2020

Destination	2020				2019			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Portugal	1 034	18.5%	6 991	21.7%	866	25.5%	6 349	23.6%
France	712	12.7%	5 159	16.0%	362	10.7%	4 230	15.7%
Italy	650	11.6%	1 990	6.2%	58	1.7%	699	2.6%
Ireland	529	9.5%	1 123	3.5%	7	0.2%	36	0.1%
United Kingdom	494	8.8%	2 570	8.0%	87	2.6%	1 317	4.9%
Germany	263	4.7%	2 338	7.2%	55	1.6%	1 475	5.5%
Morocco	245	4.4%	1 410	4.4%	182	5.4%	1 228	4.6%
Netherlands	236	4.2%	958	3.0%	15	0.4%	82	0.3%
United Arab Emirates	119	2.1%	1 013	3.1%	128	3.8%	1 117	4.1%
Belgium	107	1.9%	459	1.4%	15	0.4%	394	1.5%
Spain	101	1.8%	364	1.1%	84	2.5%	371	1.4%
OTHERS	1 096	19.6%	7 876	24.4%	1 536	45.2%	9 621	35.7%
Total	5 587	100.0%	32 251	100.0%	3 394	100.0%	26 919	100.0%

Source : Trademap

2.7.1 Route to Market: Ceramic Sanitary Ware
ES - ESTIMATED DISTRIBUTION FOR CERAMIC SANITARY WARE: 2020

Manufacturer / Importer

Manufacturers / Importers	
100.0%	

Wholesale Level

83.7%	
Wholesalers / Merchants	
83.7%	

Retail Level

Manufacturer	Wholesaler
0.7%	1.8%
Internet Retailers	
2.5%	

Manufacturer	Wholesaler
12.6%	7.3%
DIY Retailers	
19.9%	

Manufacturer	Wholesaler
1.4%	22.9%
Specialist Retailers	
24.3%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
1.7%	46.1%	0.4%	7.0%	3.6%
Installers				
58.7%				

End Use Level

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.0%	3.6%	2.1%	12.9%	20.6%	46.7%
Residential					
86.0%					
New Build			Residential RMI		
10.8%			75.1%		
Project	Non-Project	Project	Non-Project		
7.3%	3.5%	4.5%	70.6%		

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.0%	2.1%	0.0%	0.0%	0.0%	11.9%
Non-Residential					
14.0%					
New Build			Non-Residential RMI		
3.0%			11.0%		
Project	Non-Project	Project	Non-Project		
2.6%	0.4%	8.5%	2.5%		

2.7.2 Route to Market: Ceramic Sanitary Ware
ES - ESTIMATED DISTRIBUTION FOR CERAMIC SANITARY WARE: 2025

Manufacturer / Importer	Manufacturers / Importers				
	100.0%				
Wholesale Level	79.4%				
	Wholesalers / Merchants				
	79.4%				
Retail Level	Manufacturer		Wholesaler		
	1.5%		3.2%		
	Internet Retailers				
	4.7%				
	Manufacturer		Wholesaler		
	16.3%		8.3%		
	DIY Retailers				
	24.7%				
	Manufacturer		Wholesaler		
	1.3%		19.5%		
Specialist Retailers					
20.7%					

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

2.7.3 Route to Market - Consolidated View : Ceramic Sanitary Ware

ES - ESTIMATED DISTRIBUTION FOR CERAMIC SANITARY WARE : 2020

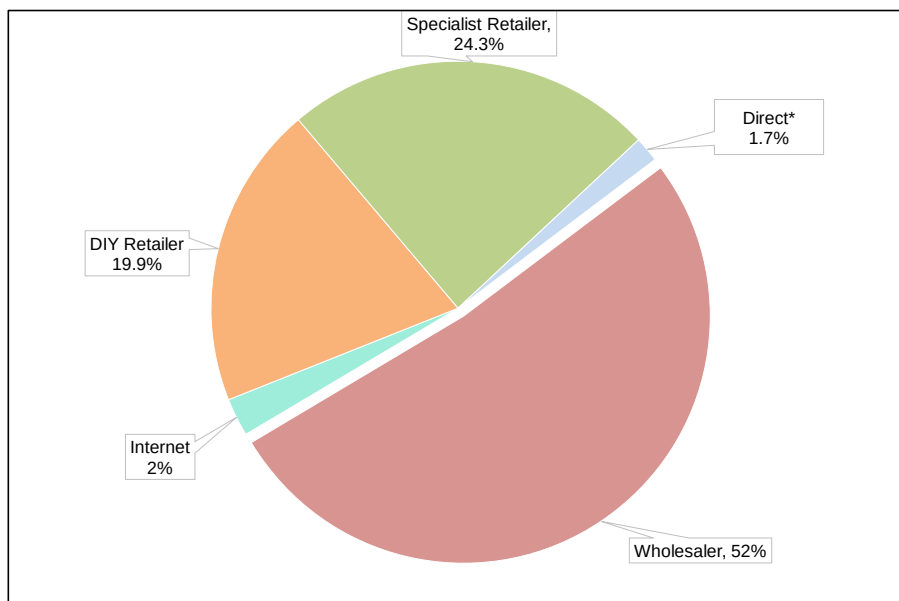
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
51.7%	2.5%	19.9%	24.3%	1.7%	11.8%	11.1%	74.2%	2.9%
100%					22.9%		77.1%	

2.7.4 Route to Market - Consolidated View : Ceramic Sanitary Ware

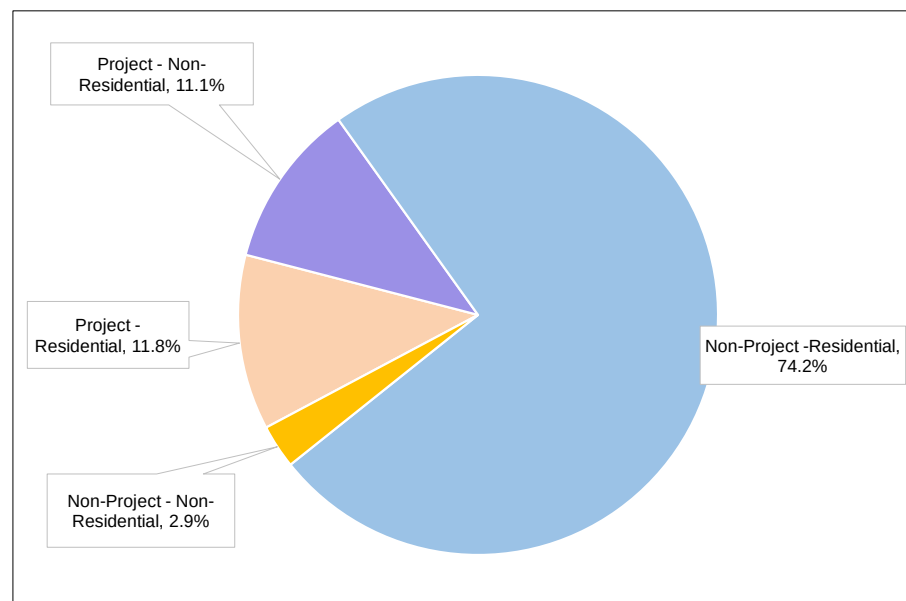
ES - ESTIMATED DISTRIBUTION FOR CERAMIC SANITARY WARE : 2025

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
48.3%	4.7%	24.7%	20.7%	1.6%	12.0%	8.2%	77.9%	1.9%
100%					20.2%		79.8%	

ES - SALES OF CERAMIC SANITARY WARE BY DISTRIBUTION CHANNEL: 2020



ES - SALES OF CERAMIC SANITARY WARE BY POINT OF DECISION AND END-USE SECTOR: 2020



Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

2.7.5 Route to Market: Plastic Cisterns
ES - ESTIMATED DISTRIBUTION FOR PLASTIC CISTERNS: 2020

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	86.8%
	Wholesalers / Merchants
	86.8%

Retail Level	Manufacturer 0.2%	Wholesaler 1.2%	Manufacturer 0.2%	Wholesaler 3.4%	Manufacturer 1.2%	Wholesaler 31.4%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	1.4%		3.6%		32.6%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
3.1%	41.6%	0.1%	1.3%	4.9%
Installers				
51.0%				

End Use Level	Manufacturer 1.4%	Wholesaler 6.5%	Internet 1.3%	DIY 2.3%	Specialist 27.7%	Installer 34.9%	Manufacturer 7.1%	Wholesaler 2.6%	Internet 0.0%	DIY 0.0%	Specialist 0.0%	Installer 16.0%
	Residential						Non-Residential					
	74.2%						25.8%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	35.5%			38.8%			4.0%			21.8%		
	Project		Non-Project	Project		Non-Project	Project		Non-Project	Project		Non-Project
	18.4%		17.1%	4.5%		34.3%	3.3%		0.7%	17.9%		3.9%

2.7.6 Route to Market: Plastic Cisterns
ES - ESTIMATED DISTRIBUTION FOR PLASTIC CISTERNS: 2025

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	84.2%
	Wholesalers / Merchants
	84.2%

Retail Level	Manufacturer 0.2%	Wholesaler 1.4%	Manufacturer 0.3%	Wholesaler 3.9%	Manufacturer 1.2%	Wholesaler 28.9%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	1.7%		4.1%		30.1%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
4.5%	40.4%	0.1%	1.5%	4.5%
Installers				
51.0%				

End Use Level	Manufacturer 1.5%	Wholesaler 6.7%	Internet 1.5%	DIY 2.7%	Specialist 25.6%	Installer 32.9%	Manufacturer 8.1%	Wholesaler 2.9%	Internet 0.0%	DIY 0.0%	Specialist 0.0%	Installer 18.1%
	Residential						Non-Residential					
	70.9%						29.1%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	34.7%			36.1%			4.5%			24.6%		
	Project		Non-Project	Project		Non-Project	Project		Non-Project	Project		Non-Project
	19.0%		15.7%	5.5%		30.6%	3.6%		0.9%	20.0%		4.6%

Source: BRG Based on Industry Interviews. N.B. Include both Exposed and Concealed Plastic Cisterns - Totals may vary due to roundings

2.7.7 Route to Market - Consolidated View : Plastic Cisterns

ES - ESTIMATED DISTRIBUTION FOR PLASTIC CISTERNS : 2020

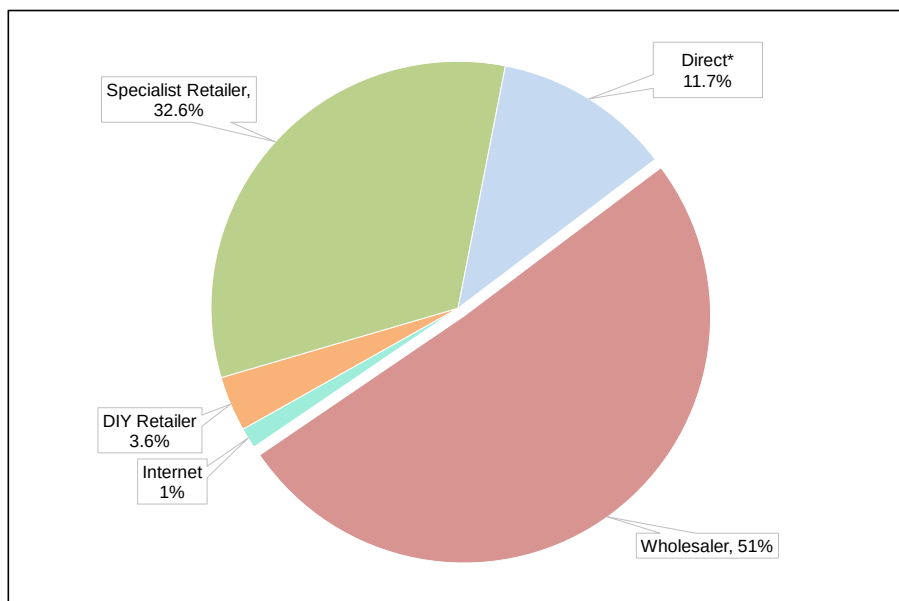
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
50.8%	1.4%	3.6%	32.6%	11.7%	22.9%	21.2%	51.3%	4.6%
100%					44.1%		55.9%	

2.7.8 Route to Market - Consolidated View : Plastic Cisterns

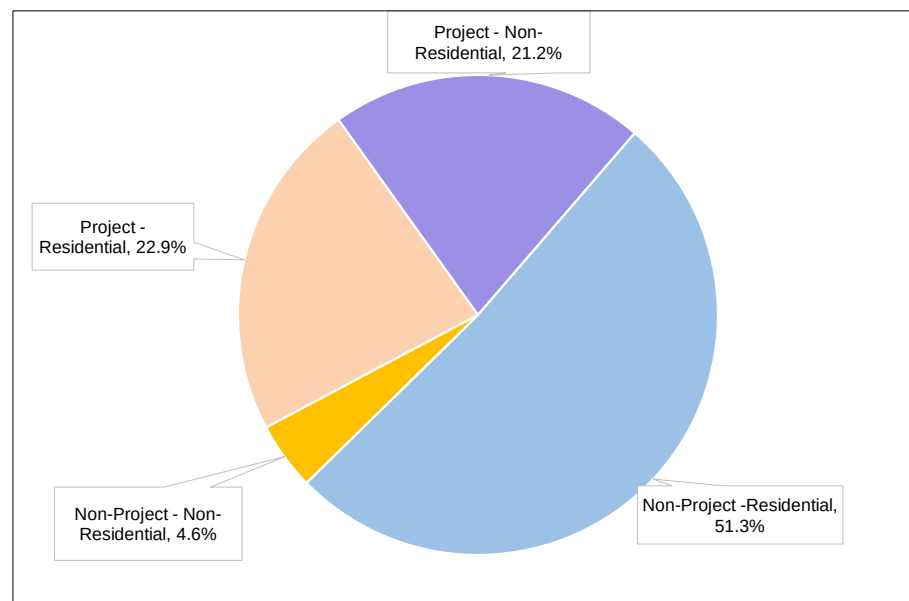
ES - ESTIMATED DISTRIBUTION FOR PLASTIC CISTERNS : 2025

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
50.0%	1.7%	4.1%	30.1%	14.1%	24.5%	23.6%	46.4%	5.5%
100%					48.1%		51.9%	

ES - SALES OF PLASTIC CISTERNS BY DISTRIBUTION CHANNEL: 2020



ES - SALES OF PLASTIC CISTERNS BY POINT OF DECISION AND END-USE SECTOR: 2020



Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

2.8 Revisions in the Spanish Sanitary Ware Market (April 2021)

ES - REVISIONS IN THE SPANISH SANITARY WARE MARKET

Data Comparison: October 2020



It has been necessary to make upward revisions, minor for recent years but more significant for historical years, to the market size for all types of sanitary ware, apart from exposed plastic cisterns, for the entire trendline. The historical market sizes were largely revised up due to an underestimation in domestic supply, largely based on domestic production statistics, combined (but to a lesser extent) with an underestimation in the number of imports, from both other European countries as well as from the Far East. The Spanish sanitary market, especially for CSW, has historically been driven by domestic supply, such as ROCA but also IDEAL STANDARD, KOHLER and SANINDUSA's UNISAN brand, but during the construction boom, in the early- to mid-2000s, domestic production could not meet domestic demand, meaning more products were sourced from production sites abroad, such as Brazil, Morocco and Portugal, resulting in an upward revision in the market size for 2005 to 2008.

In recent times, several manufacturers, including ROCA, have closed some of their production sites in Spain, which are now sourced from their domestic plants. Whereas domestic production has weakened dramatically over the last two decades, imports have almost risen year-by-year; for example, in 2001, domestic production stood at 8.3 million pieces, accounting for 93% of domestic demand, by 2008 this already dropped to 6.1 million pieces, accounting for 69% of domestic demand and this has continued to decline further, to reach 1.2 million pieces in 2015 and has dropped to an estimated one million pieces in more recent years. Imports, on the other hand, have developed favourably over the last two decades, which now also include sales of 'domestic' players, sourced from their foreign plants, such as North Africa and the Far East, but may also include re-exports; e.g. imports accounted for as little as 6% of total demand in 2001, to 35% by 2006 and to reach nearly 70% in more recent years. Although most of these imports were already included in previous data, some of these were not actually accounted for, especially imports from China but also Turkey, Poland and Italy. Most imports are still accounted for by European and North Africa imports, but imports from the Far East, mostly China, have also increased, which includes DIY's private label ranges, such as LEROY MERLIN's SENSEA brand, but also PORCELANOSA's NOKEN brand.

Concealed plastic cisterns were largely revised up because imports from a number of countries were previously unaccounted for, such as Germany, Portugal, France and Italy. Although Germany remains to be the most important country of origin, imports from other European countries have gained share in more recent years.

Non-ceramic washbasins have also been revised upwards for the more historical years and downward for more recent years. This is largely due to developments seen on the Spanish new build market, which increased strongly in the early- to mid-2000s, but contracted dramatically between 2007 and 2013, negatively affecting demand for non-ceramic washbasins which are mostly sold with bathroom furniture.

Minor revisions were made to the MSPs for ceramic sanitary ware due to a detailed analysis of prices of domestically produced products compared to imported products. Other CSW were revised up, whereas the other two segments were revised down. Unlike many other European countries, most products produced in Spain are aimed at the lower end of the market, whereas imported products end up in the middle to higher price segments.

The MSP for concealed plastic cisterns was revised up for all years as prices were considered to be too low, especially prices for the economy/ lower price segment. Given the importance of German supply, prices should not differ too much between France and Spain, which was previously rather different and has now been realigned.

SPAIN

TAPS AND MIXERS

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Product Mix

The Spanish taps and mixers market is a mature one, and experienced exceptionally high growth between 2000 and 2006 due to the boom in the Spanish construction industry. Before and after this boom, development has been mainly cyclical and strongly dependent on replacement and refurbishments. The collapse of construction activity and the global and local economic crises have resulted in dramatic decreases of sales across all end-use segments.

In terms of product mix, Spain moved very rapidly to one-head mixers from a low base in the early 1990s, and it is nowadays the type of product that accounts for the large majority of the market. The major trend has been towards thermostatic mixers and, more recently, shower pipes. Pillar taps have seen a decrease in sales in the last decade, given that a pair of pillar taps is now more frequently being replaced by a one-head mixer. The market for pillar taps can therefore now be considered as a niche market sector.

The development of thermostatic mixers affected one-head mixers' share in the market, but in the last few years it has remained quite stable. Since their introduction in the 1990s, consumers' and installers' acceptance of thermostatic mixers has increased significantly, especially in the replacement of old taps installed in showers. The entrance into the market of very cheap, low-quality products has somewhat damaged the reputation of the segment. This is mainly because some thermostatic products had experienced a few issues in places near the sea due to limescale, and as a result customers have been less eager to use this type of mixer. Manufacturers have moved production facilities to countries with lower costs (mainly Portugal and China).

The share of two-head mixers has been declining for the past few years, and the situation is unlikely to change in the next few. There will always be a market for two-head mixers, although mainly two-head / one-hole mixers. Many models are so called 'retro' or 'vintage style' (Victorian style) mixers.

The Spanish market for self-closing taps and electronic mixers is, overall, fairly developed and these products generally fall into the CII (commercial, institutional and industrial) product category; they are especially used for public washbasins in commercial buildings, petrol stations, restaurants, bars, schools, etc. This market still has some growth potential, as it is very residual compared to the overall market. However, as some parts of Spain often suffer severe droughts, and these products could lead to savings in water consumption, they are a very attractive prospect.

Manual push type self-closing taps were originally introduced by ROCA and PRESTO IBERICA, with the PRESTO brand. Sales of electronic self-closing taps and mixers and valves are thought to have grown since 1999. BRG estimates that there is still a large potential market for electronic taps and mixers in the CII

market, especially in shopping centres and office blocks, and the market has started to grow quickly, although it remains small in overall terms.

Self-closing flushing valves are a replacement product for cisterns and are connected directly to the mains. Most are used for commercial applications. It is believed that sales to the non-housing segment represent around half of the total sales of WC flushing valves, the other half being replacement sales for the majority of products. Residential sales are thought to be low.

After a dramatic drop following the collapse of the new residential market in 2007, the overall market benefitted from increased RMI activity and non-housing demand. The improvement in macroeconomic figures and disposable income continued to drive RMI sales, and had a positive impact on tap and mixer demand as its main end-use segment in terms of volume.

Recent Market Trends

The taps and mixers market declined in 2020, following the trend of steep decline in sanitary ware sales. The sanitary ware and taps and mixers markets complement each other to a certain extent, so when sales for one are down, the other invariably does not have a good market either. The taps and mixers market suffered a drop, owing to a drastic decline in overall construction activity during the year as a result of COVID-19 restrictions and disruptions in supplies and production thereafter.

The decrease in employment in 2020 negatively affected RMI demand in Spain. Renovation of old taps and mixers were further postponed by the looming economic disruption. RMI is one of the main drivers of the market in Spain.

Nowadays, Spanish consumers prefer better-quality products built in Europe over cheap, imported alternatives, as they are looking for products with longer lifespans and designs that reflect a sense of personality in the bathroom. Colours have also begun to play an important part, along with personalised patterns. However, the market is still dominated by Chinese private label brands in the DIY distribution segment.

Taps and mixers differ from some other bathroom products as they can be installed easily by the consumer, avoiding installation service costs. This usually makes the purchase decision for these products more straightforward and consumer-centred.

Prices and Market Values

Average prices, at MSP, for taps and mixers increased in the Spanish market in 2020. The price growth was mainly attributed to a rise in production costs, as costs of raw materials (metals) witnessed a growth during the year. However, the domination of cheap Chinese products in the market has kept the prices in check.

Prices had already dropped in the pre-COVID years, due to the economic conditions during the financial crisis and the rise of unbranded DIY products. However, growing demand allowed manufacturers to increase prices to keep up with increasing material costs, and consumers have shifted towards higher-priced products due to quality and preference.

Furthermore, the increase in average MSP can be explained by the change in the product mix, as one-head and thermostatic mixers now account for the majority of the market – rather than pillar taps, which are cheaper. As a result, the overall average MSP has increased. Domestic RMI demand is responsible for an important share of sanitary taps and mixers, and the household preference for better-quality products has also been driving the average price up.

The most noticeable trend in the Spanish market is that most companies are trying to move into, or at least offer models in, the upper segments of the market. Volumes sold by national manufacturers into the middle and upper segments are tending to experience higher growth rates when compared to the economic performance, due to competition from Chinese products. Manufacturers are moving towards these models to increase their turnover and penetrate the upper/luxury non-residential and residential segments. However, the economy and low price segments still dominate the market by a long way.

New Housing

Sales to the new housing sector experienced a decline in 2020 for all applications types, owing to the negative growth of the residential construction sector as a fallout of COVID-19 – with countrywide restrictions impacting new housing completions. Some building companies began to work again in the middle of April, although with many restrictions and fewer personnel due to social distancing rules. In addition, only projects in the open air were allowed to restart their activities. There was some improvement in sales near the end of the year as housing construction started slowly to pick up, although this was not enough to offset the losses incurred during the rest of 2020. The number of installations in this segment should grow at a positive pace in all applications during this period, and one-head mixers should dominate this end-use sector.

Housing RMI

As with most bathroom products, RMI sales have continued to carry the bulk of sales. Also, since Spain is a mature market, RMI accounts for the vast majority of annual tap and mixer sales. However, the RMI market experienced a steep negative growth during 2020, due to the economic disruption caused by the COVID-19 pandemic.

RMI includes full home improvements and replacements. It is significant to highlight that sales in this segment dropped for several years due to the financial crisis and sales levels remained low compared to those before 2007. Sales to the RMI sector are mostly conducted via the traditional route, given the fact that most projects are

carried out by individuals.

Non-Housing

Taps and mixers are a fundamental element in any occupied building with a bathroom, including non-residential structures. Sales to the non-housing segment continued to decline further in 2020. Although the peak in refurbishments in the non-housing segment had already occurred during the previous years, 2020 was an exceptional year when the drop in sales to this sector was attributed to sudden economic downturn and loss of business, and thus demand in the commercial sector, especially from the tourism and hospitality industry.

Public and private investments for infrastructure remained weak for many years, but from 2017 had been contributing to a better performance in this segment. Although new non-housing projects were released in 2019, mainly offices and miscellaneous buildings, they had to be suspended and, in a few cases, even cancelled, owing to the impact of the COVID-19 virus outbreak.

All sales of electronic and self-closing mixers have taken place in the non-housing segment due to their commercial utilities, and it is expected to be a segment that will experience growth in the future.

Supply Structure

A group of Spanish manufacturers dominate the market in terms of volume, and they are particularly strong in the new build market. This group includes ROCA (leader of the market in both volume and value), RAMON SOLER, STANDARD HIDRAULICA, TRES GRIFERIA, GROHE, NOKEN, TEKA, and HANS GROHE. These manufacturers have mainly established their positions in the Spanish market by offering a wide range of products. The price level reached by these companies allows them to not only be competitive in the domestic market, but also to establish significant positions in export markets (primarily France and Portugal)

There are also specialist Spanish manufacturers that focus on a few types of taps and mixers, including MZ DEL RIO, GENE BRE, BORRAS, GROBER, MAIER, CLEVER, PRESTO, and GALINDO, which are the main players. These manufacturers have much smaller volumes of sales than those mentioned above. In general, the products offered are also lower- to middle-priced products, exported to different continents.

There are also a limited number of German brands, clearly dominated by GROHE, which have managed to compete directly with the large Spanish manufacturers. Other German manufacturers in the Spanish market are HANS GROHE, HANSA, and DORN BRACHT (with a small volume but a far higher market value share). The main strength of these manufacturers is in the fact that they enjoy an image of quality in the Spanish market but have also been able to adapt to this market and its lower price levels.

In addition, there are a reasonable number of Italian importers present in the market (most of the time one brand is distributed through one distributor in one town). These include ZUCCHETTI (in Barcelona), FANTINI (in Barcelona), OTTONE MELODA, and CRISTINA, among others. Other imported brands include IDEAL STANDARD and the French JACOB DELAFON. The taps and mixers activity of these manufacturers in the Spanish market is very much complementary to their activity in the ceramic sanitary ware segment. Sales of mixers mostly cater for the upper end of the market, although to a limited degree.

Similarly to other segments in the overall bathroom market, the taps and mixers market is dominated by the domestic manufacturer ROCA; however, it is more fragmented in terms of supply than other bathroom product markets. It is also worth noting that the leaders in volume in this market are not necessarily leaders in sales value. Apart from ROCA, the Spanish ceramic sanitary ware manufacturer PORCELANOSA, with its NOKEN brand, also produces its own taps. GROHE, for instance, has introduced ceramic sanitary ware products in the Spanish market. The only substantial importer in terms of volume is GROHE, although other German manufacturers such as HANSGROHE, HANSA, and even DORNBRACHT (although on a smaller scale) are also present.

A large number of Spanish manufacturers import taps and mixers or components from China, and then sell them under their own brand names. There are even some sanitary product distributors that are also importing from China and then selling under their own brand names as well. Some of the manufacturers have set up factories in China, and import products from there.

It also appears that some companies competing in other bathroom product sectors are now launching a few mixer lines. SALGAR, a bathroom furniture manufacturer, uses its own mixers as a complement to its product lines. The same happens in several other companies that are not specifically in the taps and mixers market, usually offering them as a complement to their product lines.

It is also believed that there are a few manufacturers that also offer OEM products within the country, and some of these sales are accounted for in 'others', since this type of market is less transparent.

The manual self-closing taps market is clearly dominated by three manufacturers: ROCA and two other Spanish manufacturers, RAMON SOLER and STANDARD HIDRAULICA. In this market, manufacturers have only a limited number of models (sometimes only one self-closing tap model) and sales of these products are very limited. This type of faucet is installed in washbasins in the non-housing sector, and a few in showers.

The electronic mixers market is divided mainly between ROCA, TRES, GROHE, NOKEN, and ORAS – with the brand HANSA. It is believed, however, that there are also a handful of other Spanish manufacturers that are present in the market. It is also likely that the number of suppliers will increase significantly over the next few

years, as the market develops. Washbasins in commercial buildings are the most common application, although some kitchen sink applications are also common.

Suppliers of self-closing flushing valves include GEBERIT, GROHE, SCHELL, and the company PRESTO IBERICA. It is also believed that a large number of imported products are present in the Spanish market.

ROCA still remains very strong in different distribution channels, with a large part of its network distributing exclusively ROCA product ranges.

Forecasts

Sales of taps and mixers should recover from the impact of COVID-19 from 2021 onwards. Growth in construction, steady recovery in the overall economy and an improving demand growth are expected to propel the sales in 2021. Sales are expected to grow at a much better rate throughout this year, although the sales volume should remain much below the volumes seen in 2019.

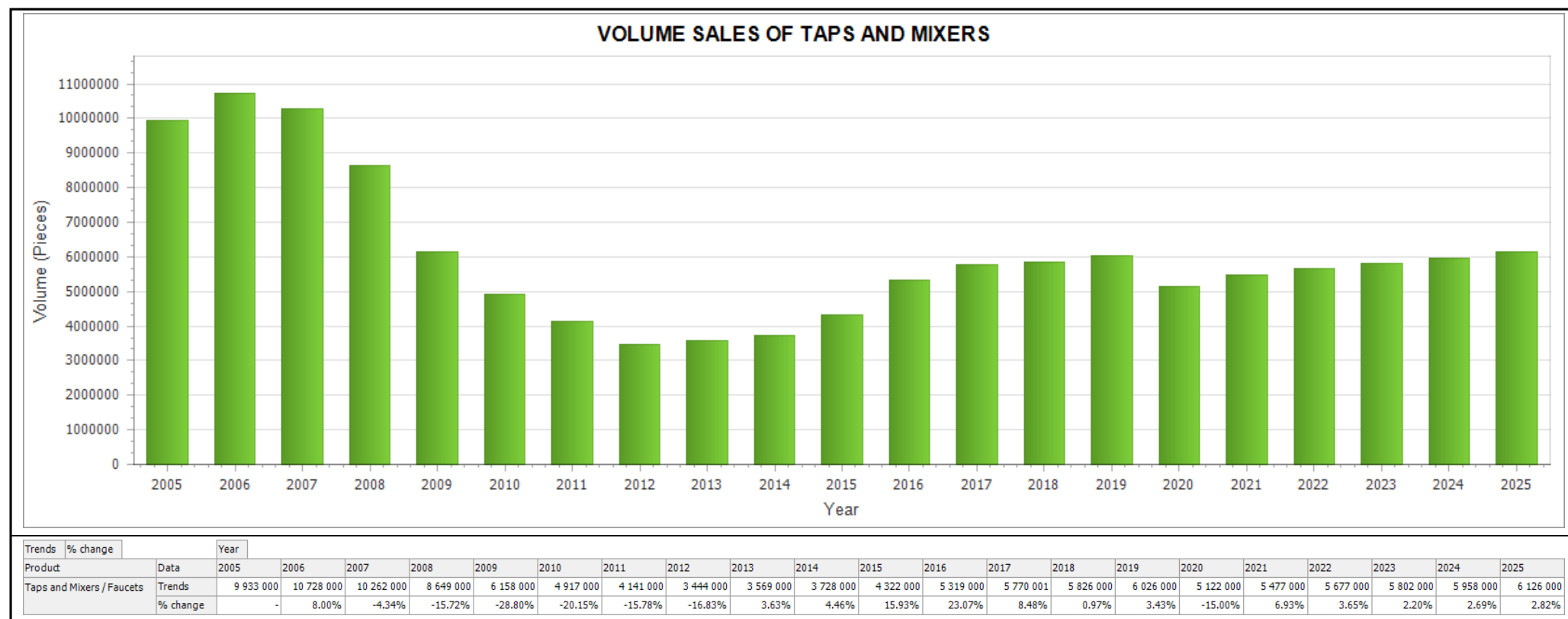
The expectation is for RMI demand to recover and exhibit positive growth, and also account for the bulk of sales. With recovering income levels and an increasing number of new houses slated to be constructed every year for the next five years, the forecast period outlook for this market is optimistic.

New housing demand is expected to slow down in 2022 and 2023, but should be back to growth from 2024 onwards. The outlook for private consumption and non-residential investments is expected to show a recovery from late 2021 onwards.

At the time of the writing (April 2021) there is still a great level of uncertainty regarding the economic recovery and expected demand for bathroom products. Many countries in Europe have gone into another lockdown, as vaccination efforts continue. If more lockdowns and constraints to economic activity continue over 2021, the forecasts for sales should be more negative than previously expected.

3.2 Historical Trends and Forecasts : Taps and Mixers

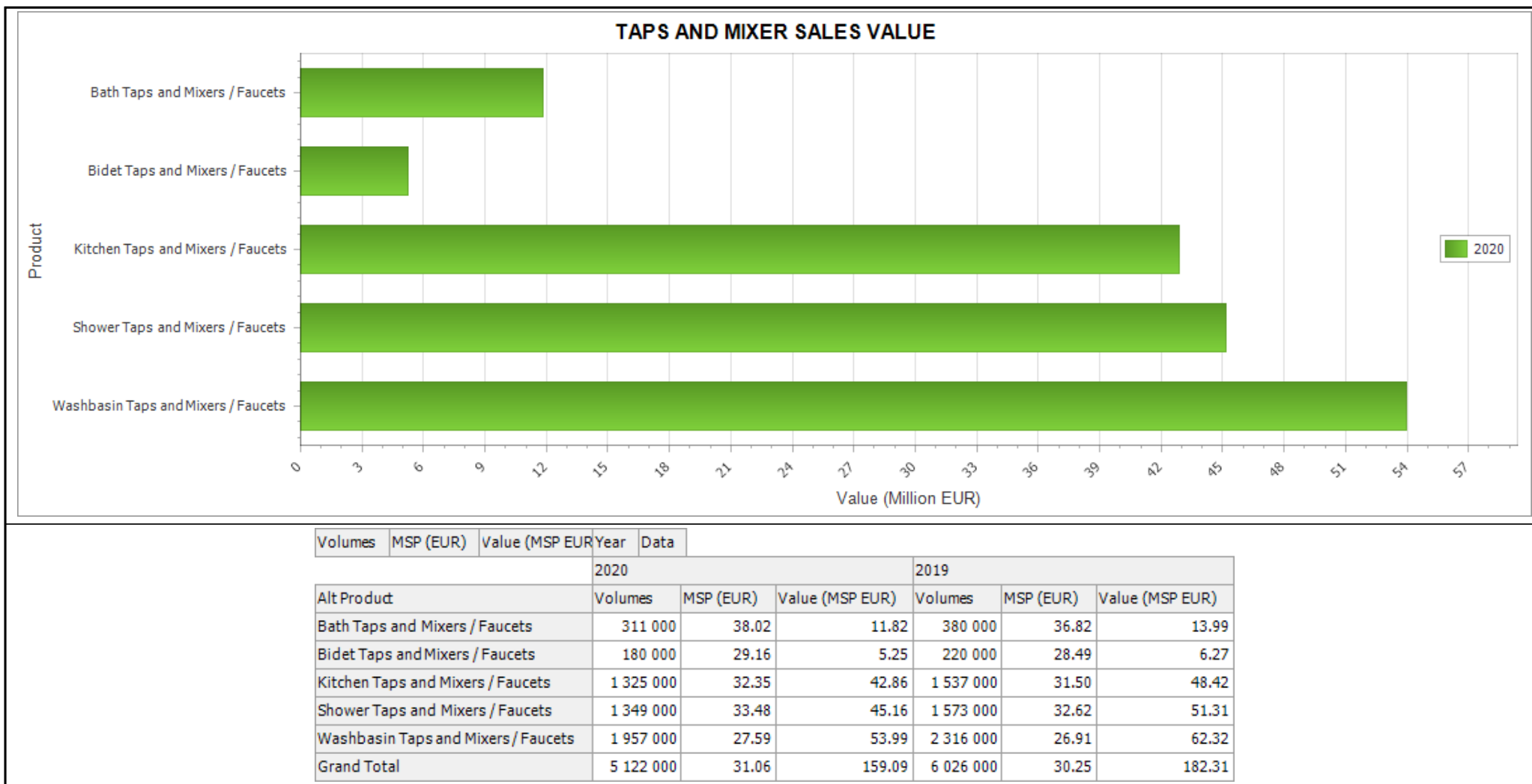
ES - SUMMARY OF TRENDS IN THE TAP AND MIXER MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews. N.B. Includes Both Kitchen and Sanitary Taps & Mixers

3.3.1 Prices and Market Values : Taps and Mixers

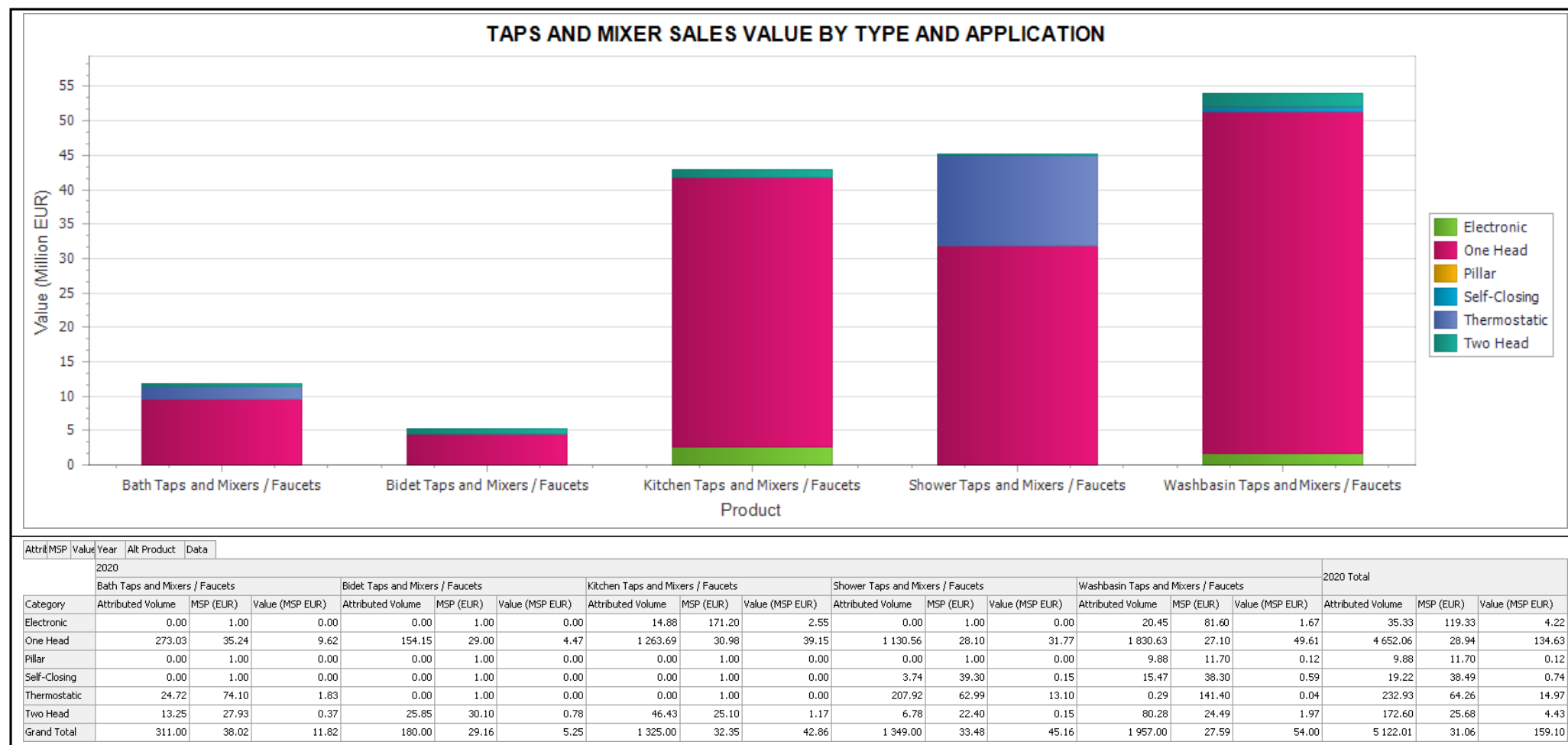
ES - ESTIMATED VALUES OF THE TAP AND MIXER MARKET



Source: BRG based on industry interviews. Values Shown in Millions (at MSP = Manufacturers' Selling Price).

3.3.2 Prices and Market Values by Type : Taps & Mixers

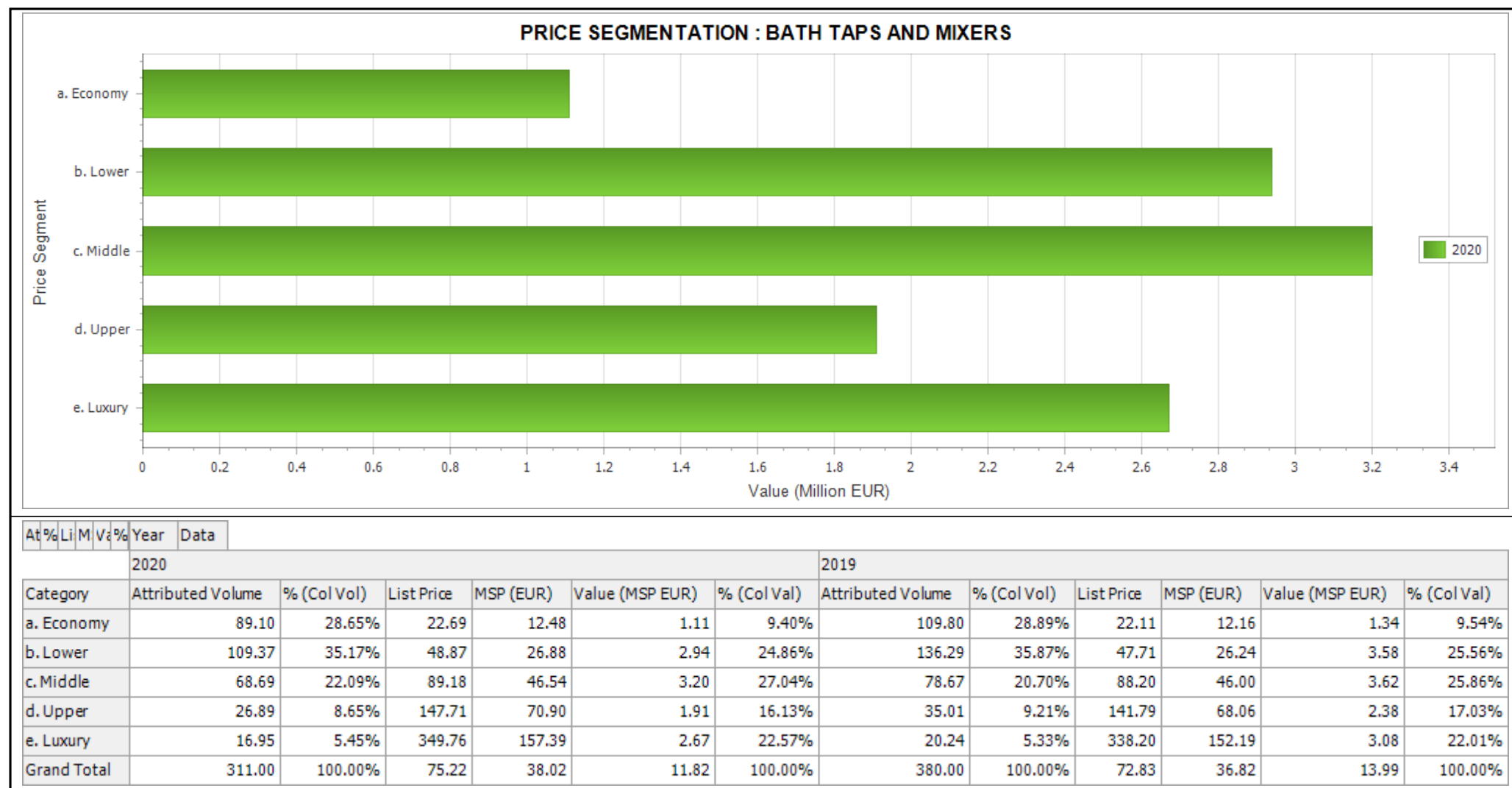
ES - ESTIMATED VALUES OF THE TAP AND MIXER MARKET BY TYPE AND APPLICATION



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price).

3.3.3 Price Segmentation : Bath Taps and Mixers

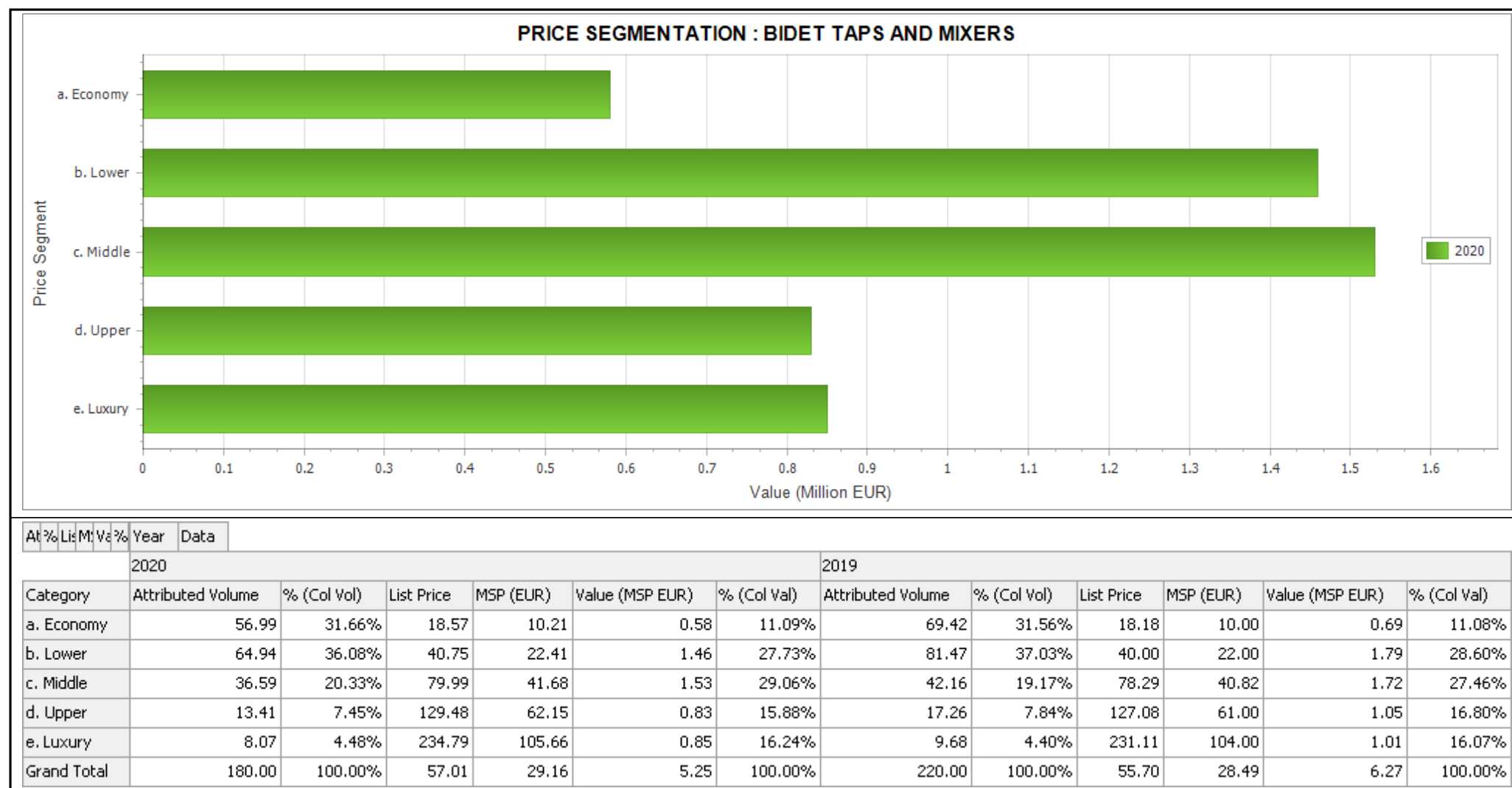
ES - ESTIMATED PRICE SEGMENTATION FOR BATH TAPS AND MIXERS



Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy <€20, Lower €20-€30, Middle €30-€50, Upper €50-€80 and Luxury >€80

3.3.4 Price Segmentation : Bidet Taps and Mixers

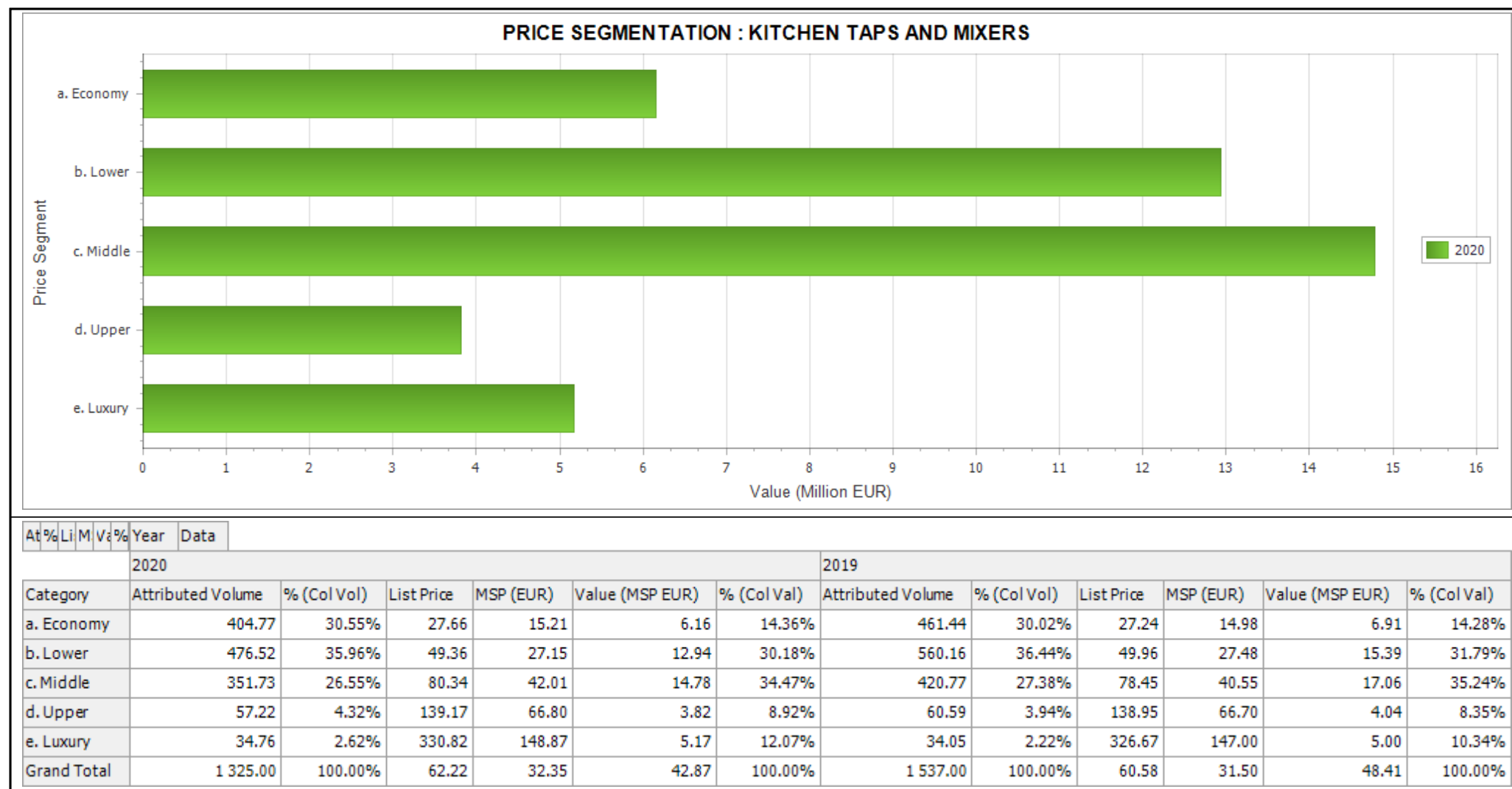
ES - ESTIMATED PRICE SEGMENTATION FOR BIDET TAPS AND MIXERS



Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy <€15, Lower €15-€25, Middle €25-€50, Upper €50-€80 and Luxury >€80

3.3.5 Price Segmentation : Kitchen Taps and Mixers

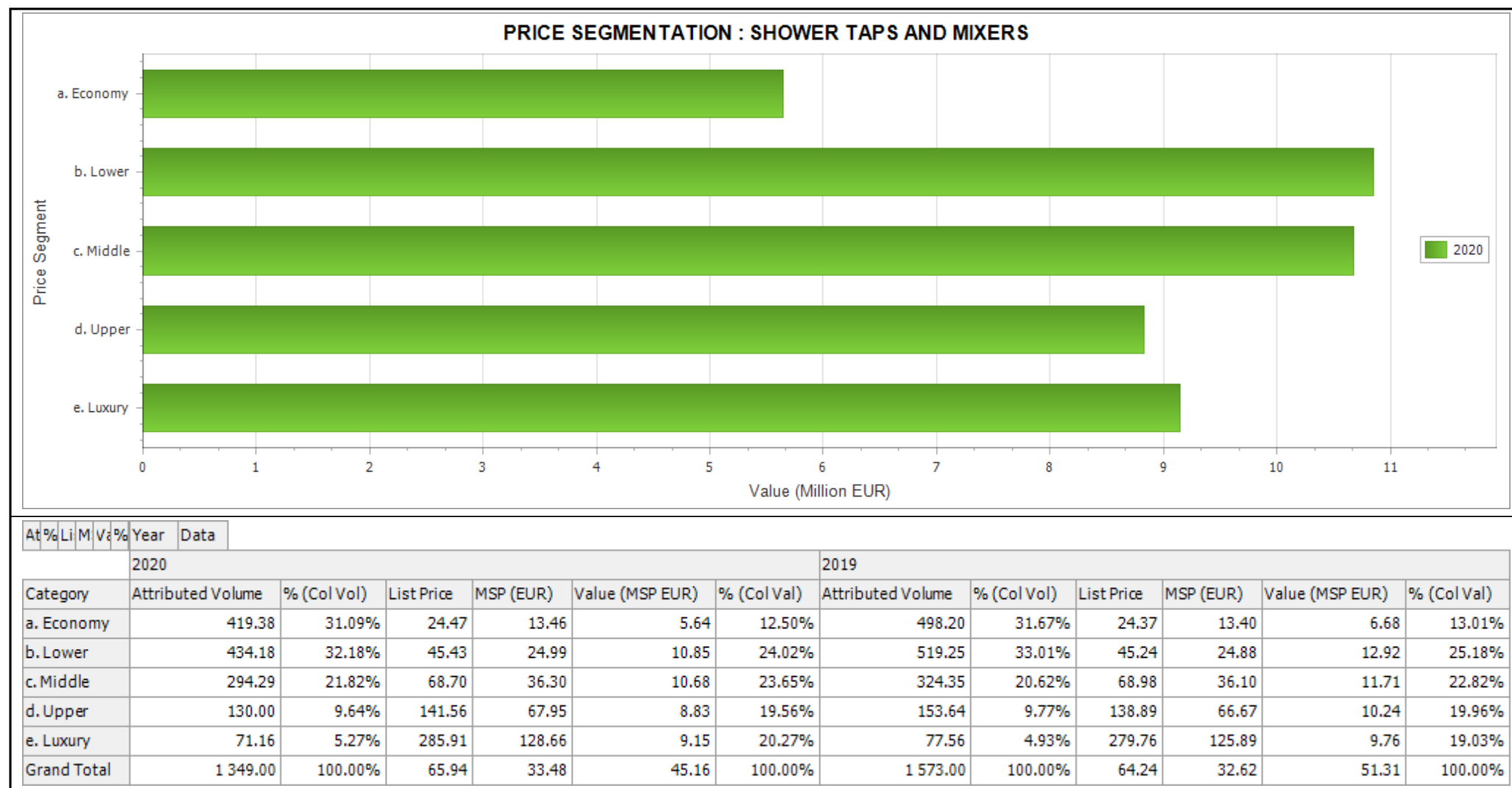
ES - ESTIMATED PRICE SEGMENTATION FOR KITCHEN TAPS AND MIXERS



Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy <€20, Lower €20-€30, Middle €30-€50, Upper €50-€80 and Luxury >€80

3.3.6 Price Segmentation : Shower Taps and Mixers

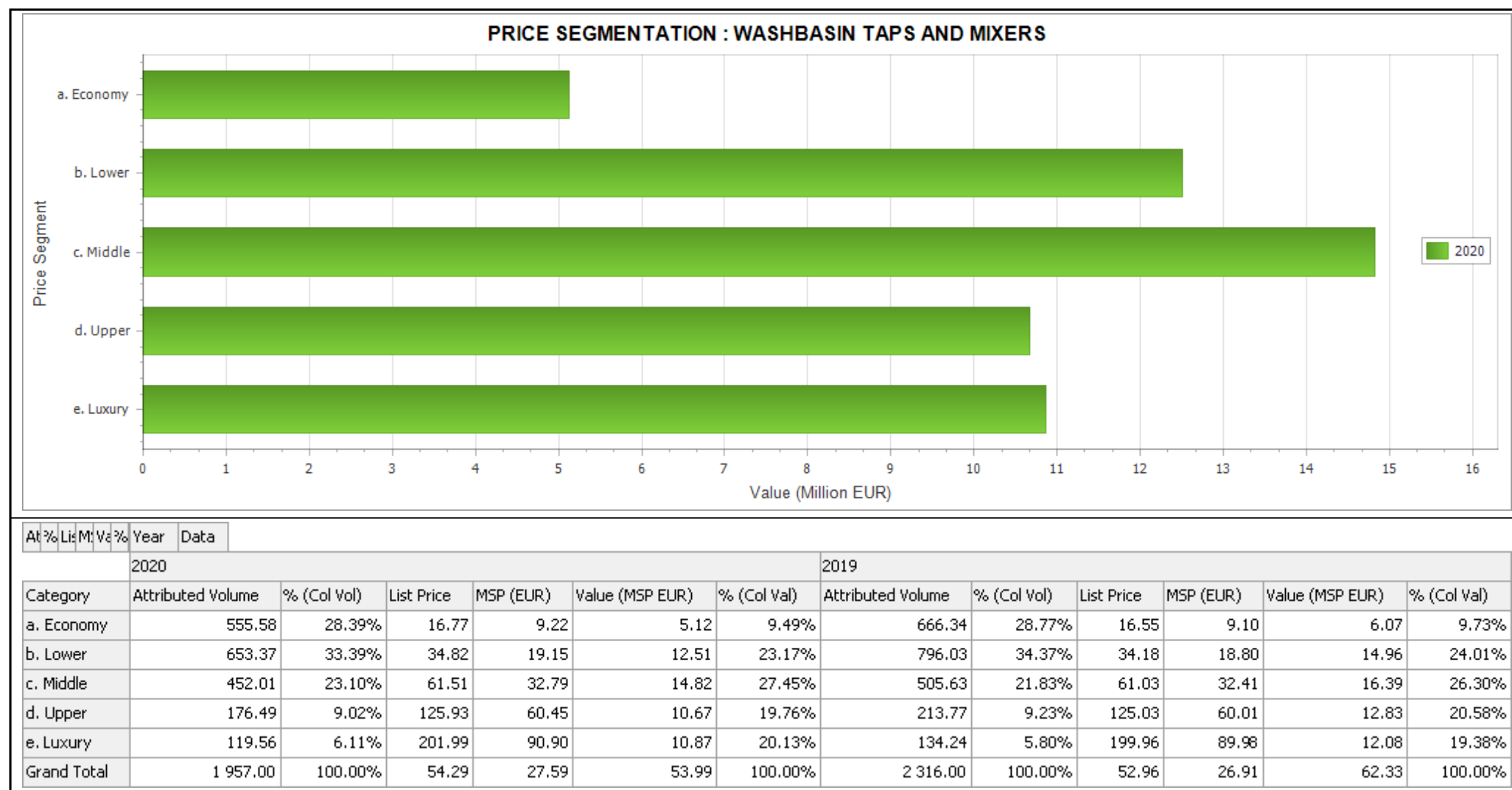
ES - ESTIMATED PRICE SEGMENTATION FOR SHOWER TAPS AND MIXERS



Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy <€20, Lower €20-€30, Middle €30-€50, Upper €50-€80 and Luxury >€80

3.3.7 Price Segmentation : Washbasin Taps and Mixers

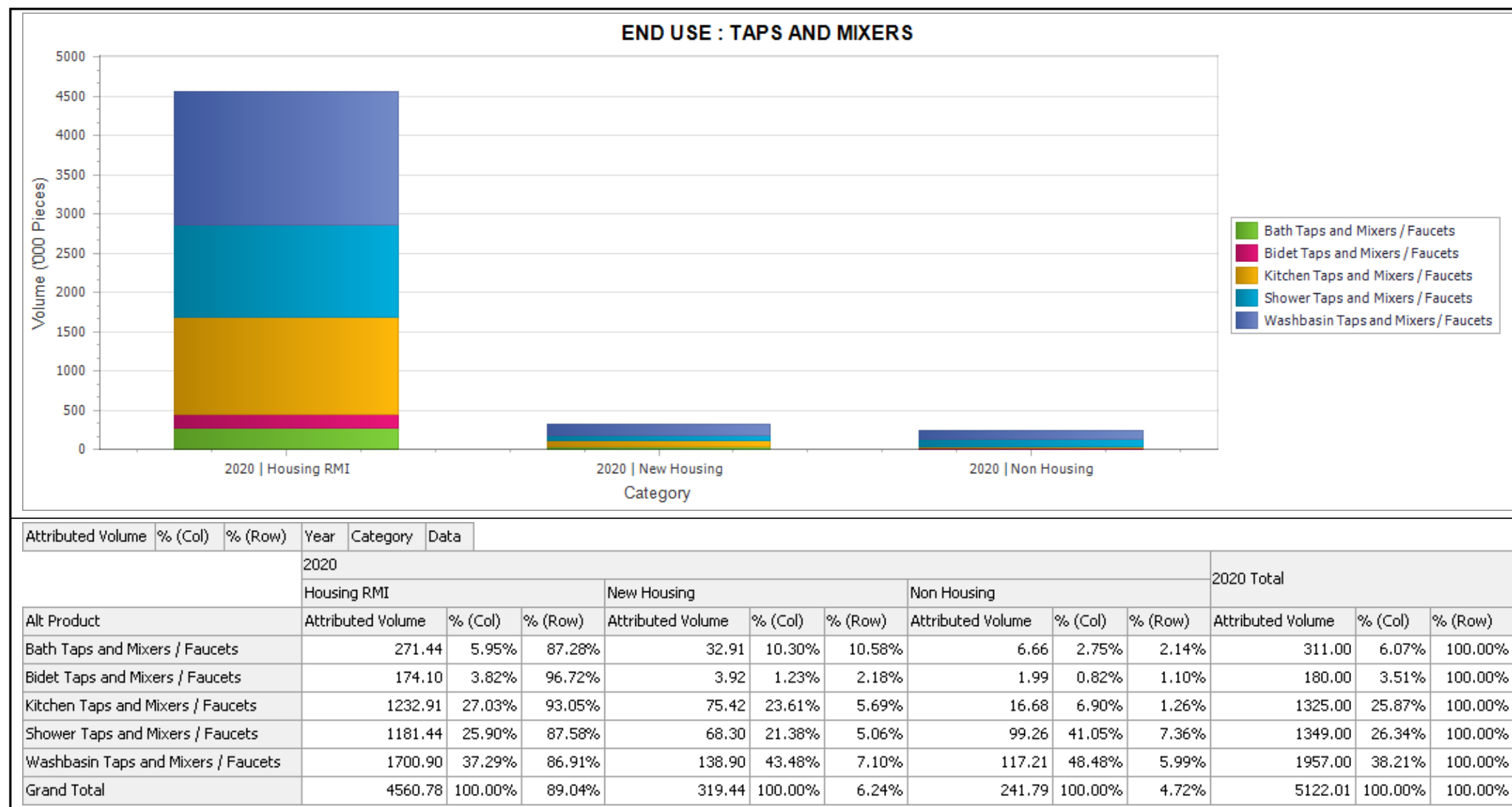
ES - ESTIMATED PRICE SEGMENTATION FOR WASHBASIN TAPS AND MIXERS



Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy <€15, Lower €15-€25, Middle €25-€50, Upper €50-€80 and Luxury >€80

3.4.1 End Use : Base Year

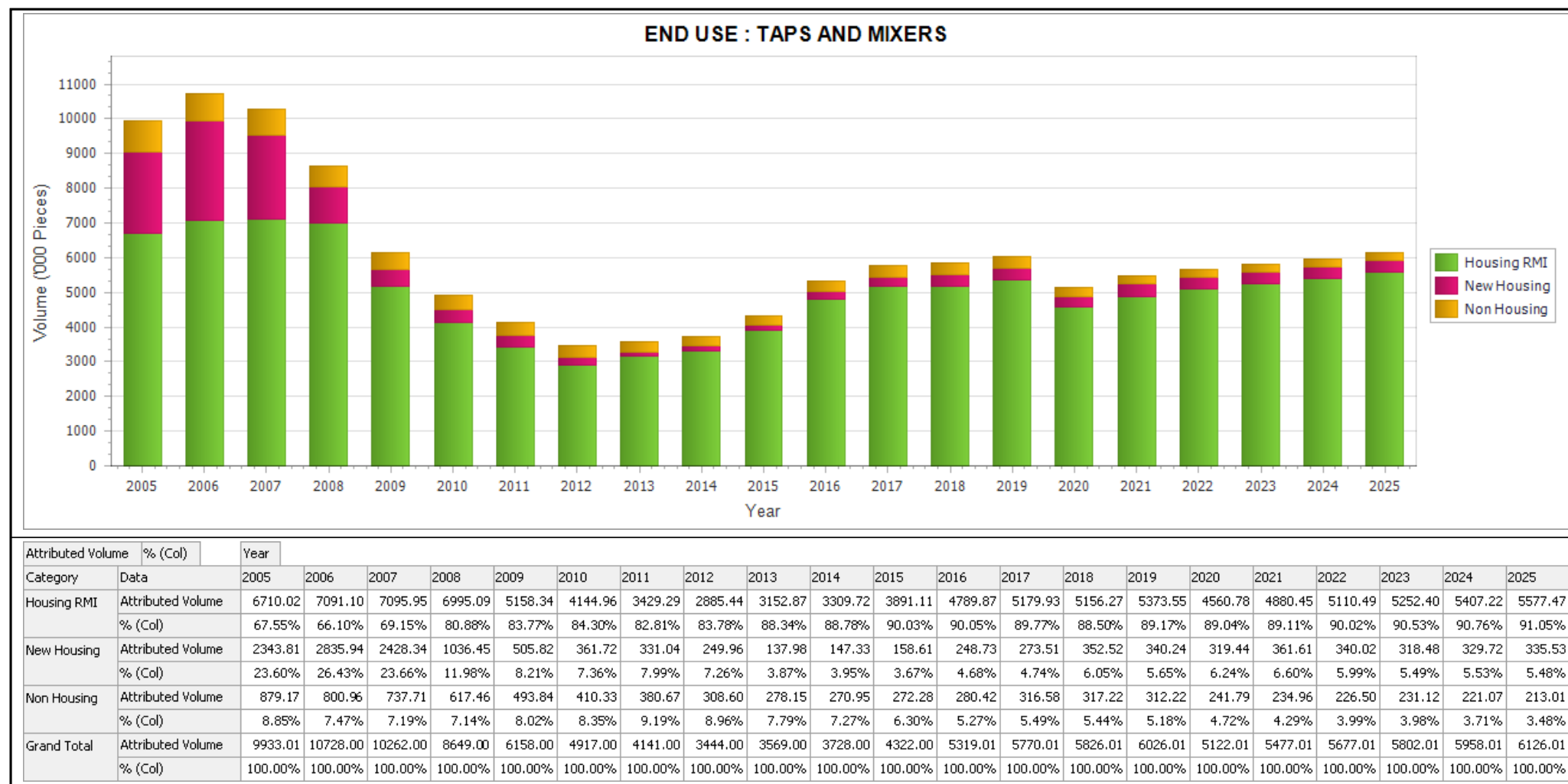
ES - SALES OF TAPS AND MIXERS BY TYPE AND END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance due to rounding. N.B. Includes Kitchen and Sanitary Taps & Mixers

3.4.2 End Use : Historical and Forecasts

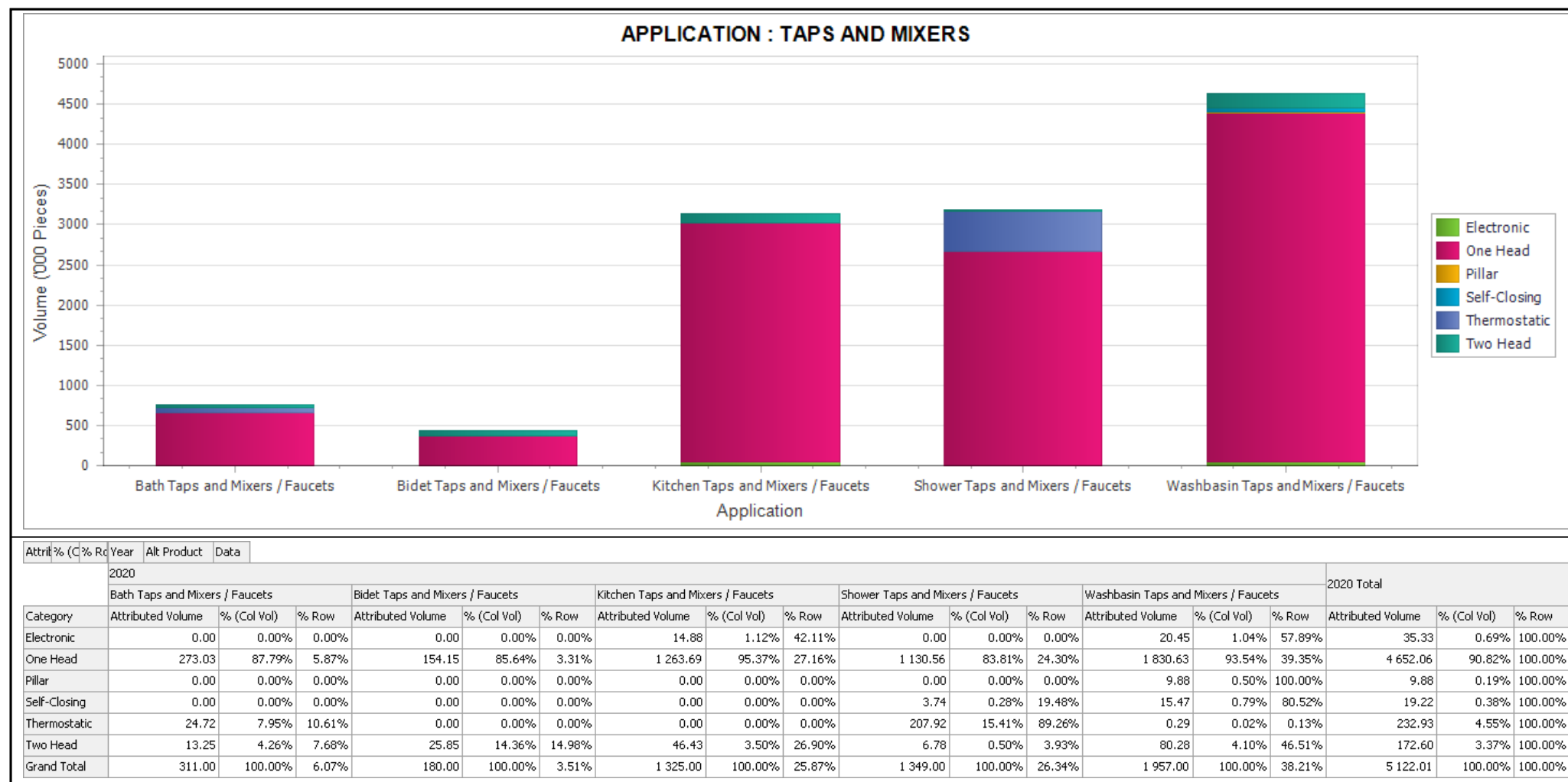
ES - SALES OF TAPS AND MIXERS BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. N.B. Includes Both Kitchen and Sanitary Taps & Mixers

3.4.3 Sales by Type and Application : Taps and Mixers

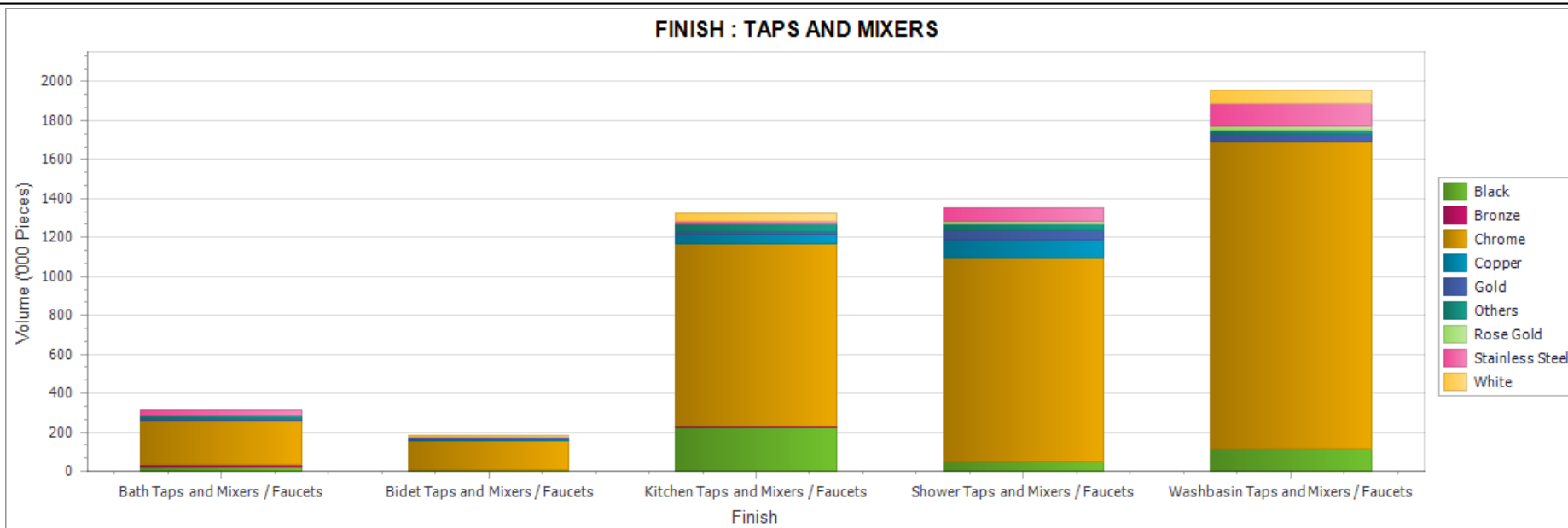
ES - TAP AND MIXER SALES BY TYPE AND APPLICATION ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

3.4.4 Sales by Type of Finish : Taps and Mixers

ES - SALES OF TAPS AND MIXERS BY FINISH TYPE : BASE YEAR '000 PIECES)

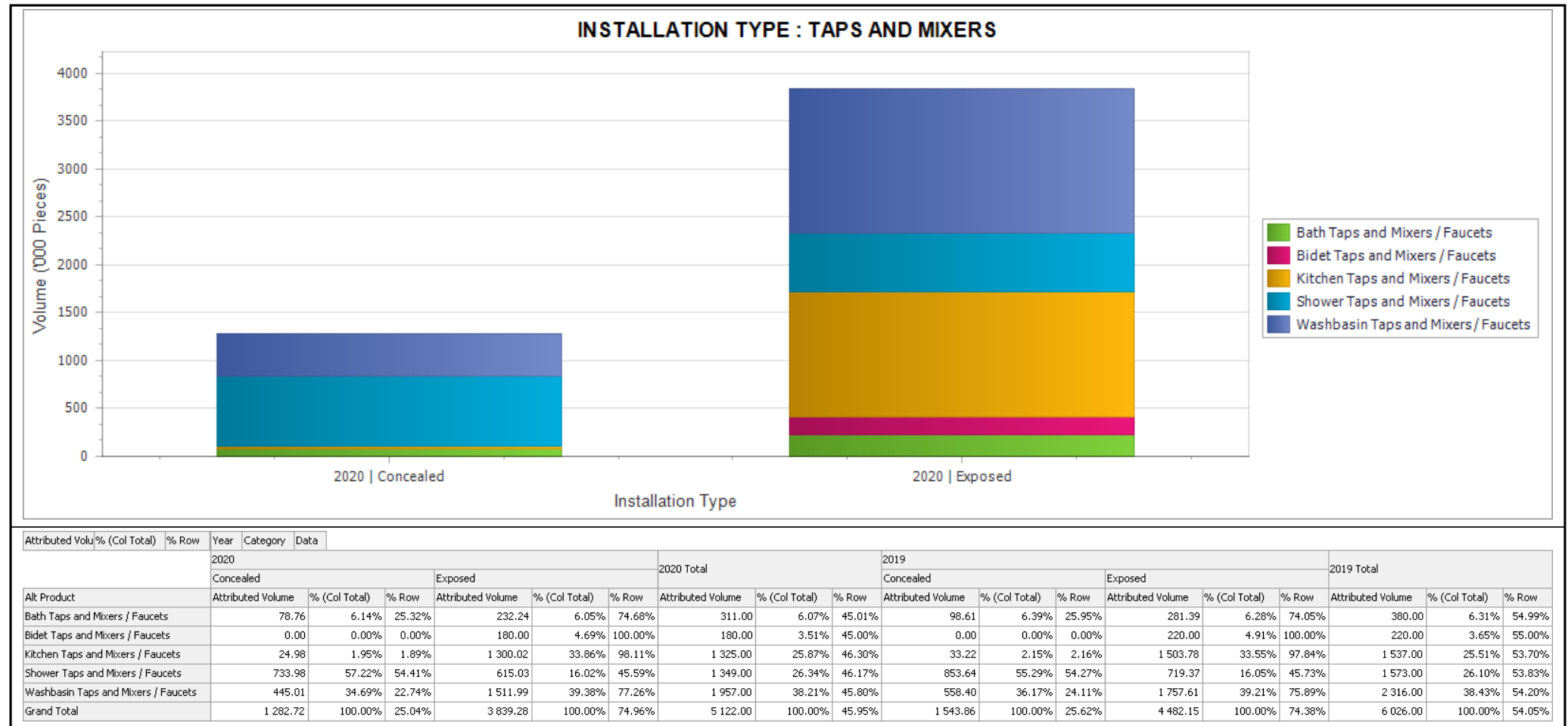


Attrib	% (C	% R	Year	Alt Product	Data															
2020																				
Bath Taps and Mixers / Faucets						Bidet Taps and Mixers / Faucets			Kitchen Taps and Mixers / Faucets			Shower Taps and Mixers / Faucets			Washbasin Taps and Mixers / Faucets			2020 Total		
Category	Attributed Volume	% (Col Vol)	% Row	Attributed Volume	% (Col Vol)	% Row	Attributed Volume	% (Col Vol)	% Row	Attributed Volume	% (Col Vol)	% Row	Attributed Volume	% (Col Vol)	% Row	Attributed Volume	% (Col Vol)	% Row		
Black	23.06	7.41%	5.54%	6.12	3.40%	1.47%	225.25	17.00%	54.10%	44.52	3.30%	10.69%	117.42	6.00%	28.20%	416.37	8.13%	100.00%		
Bronze	14.04	4.52%	66.42%	1.80	1.00%	8.51%	5.30	0.40%	25.07%	0.00	0.00%	0.00%	0.00	0.00%	0.00%	21.14	0.41%	100.00%		
Chrome	219.12	70.45%	5.57%	150.12	83.40%	3.82%	940.49	70.98%	23.91%	1 050.87	77.90%	26.71%	1 573.43	80.40%	40.00%	3 934.02	76.81%	100.00%		
Copper	0.00	0.00%	0.00%	1.62	0.90%	1.18%	41.61	3.14%	30.22%	94.43	7.00%	68.60%	0.00	0.00%	0.00%	137.66	2.69%	100.00%		
Gold	17.54	5.64%	13.70%	8.28	4.60%	6.47%	13.25	1.00%	10.35%	45.87	3.40%	35.84%	43.06	2.20%	33.64%	127.99	2.50%	100.00%		
Others	13.69	4.40%	11.97%	3.60	2.00%	3.15%	45.05	3.40%	39.42%	32.38	2.40%	28.33%	19.57	1.00%	17.12%	114.28	2.23%	100.00%		
Rose Gold	0.52	0.17%	1.50%	0.72	0.40%	2.10%	0.00	0.00%	0.00%	13.49	1.00%	39.34%	19.57	1.00%	57.06%	34.30	0.67%	100.00%		
Stainless Steel	23.05	7.41%	10.24%	1.26	0.70%	0.56%	15.90	1.20%	7.06%	67.45	5.00%	29.97%	117.42	6.00%	52.17%	225.08	4.39%	100.00%		
White	0.00	0.00%	0.00%	6.48	3.60%	5.83%	38.16	2.88%	34.32%	0.00	0.00%	0.00%	66.54	3.40%	59.85%	111.18	2.17%	100.00%		
Grand Total	311.00	100.00%	6.07%	180.00	100.00%	3.51%	1 325.00	100.00%	25.87%	1 349.00	100.00%	26.34%	1 957.00	100.00%	38.21%	5 122.01	100.00%	100.00%		

Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

3.4.5 Sales by Type of Installation : Taps and Mixers

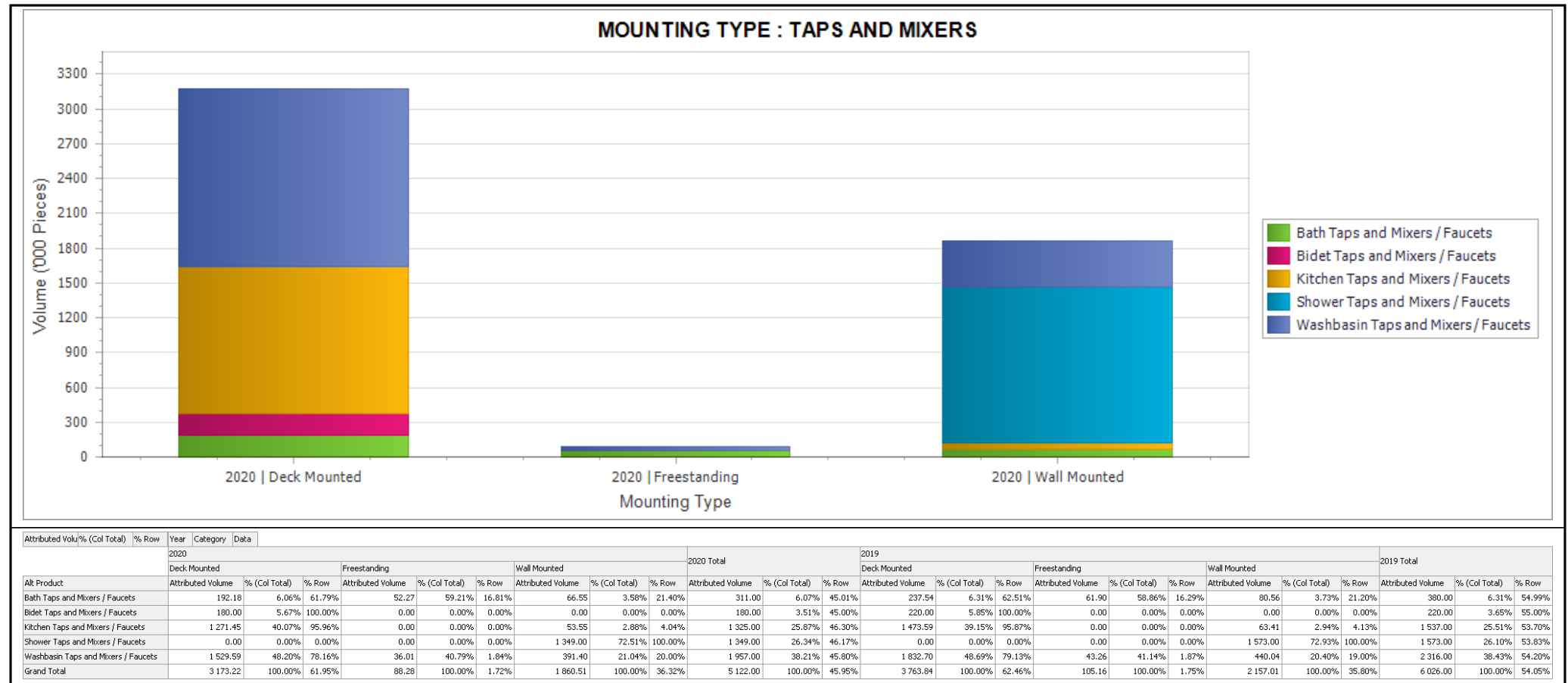
ES - TAP AND MIXER SALES BY INSTALLATION TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

3.4.6 Sales by Type of Mounting : Taps and Mixers

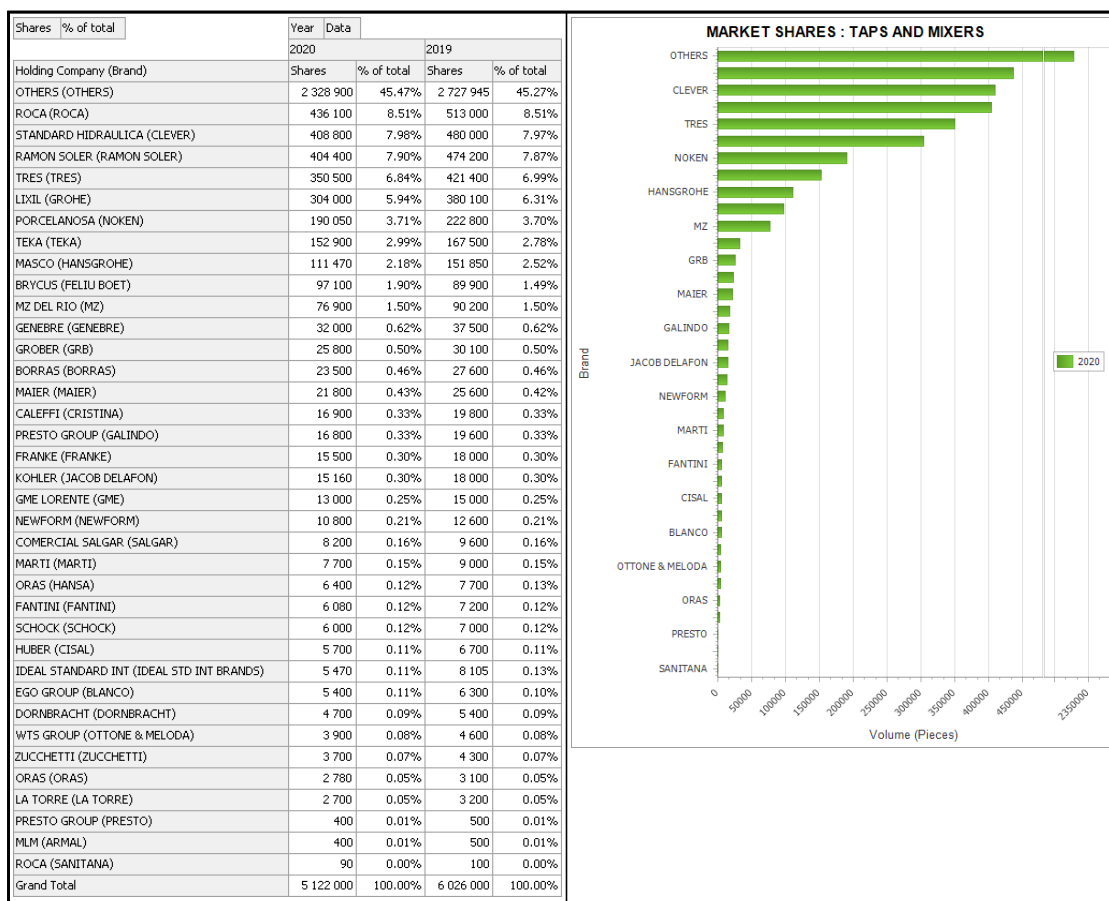
ES - TAP AND MIXER SALES BY MOUNTING TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

3.5 Market Shares : Taps and Mixers

ES - ESTIMATED MARKET SHARES FOR TAPS AND MIXERS



Source: BRG based on industry interviews. N.B. Includes Both Kitchen and Sanitary Taps & Mixers.

3.6.1 ES - IMPORTS OF TAPS & MIXERS 2020

Source Country	2020				2019			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
China	8 408	63.7%	87 775	45.7%	8 768	57.3%	96 133	45.2%
Germany	1 472	11.1%	40 592	21.1%	1 705	11.1%	44 425	20.9%
Portugal	1 351	10.2%	22 177	11.5%	1 923	12.6%	29 856	14.0%
Italy	821	6.2%	20 196	10.5%	943	6.2%	22 450	10.6%
Denmark	269	2.0%	3 219	1.7%	146	1.0%	1 519	0.7%
Turkey	257	1.9%	3 894	2.0%	313	2.0%	3 887	1.8%
France	164	1.2%	4 243	2.2%	238	1.6%	5 164	2.4%
OTHERS	468	3.5%	9 978	5.2%	1 274	8.3%	9 180	4.3%
Total	13 209	100.0%	192 074	100.0%	15 311	100.0%	212 614	100.0%

Source : Trademap

3.6.2 ES - EXPORTS OF TAPS & MIXERS 2020

Destination	2020				2019			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
France	1 253	18.8%	24 500	19.8%	1 253	16.6%	25 457	19.1%
Portugal	1 017	15.3%	16 680	13.5%	1 196	15.9%	17 270	12.9%
Morocco	743	11.2%	8 556	6.9%	786	10.4%	9 537	7.1%
Poland	286	4.3%	10 294	8.3%	271	3.6%	9 494	7.1%
Algeria	269	4.0%	2 623	2.1%	213	2.8%	3 030	2.3%
Spain	211	3.2%	1 588	1.3%	706	9.4%	4 148	3.1%
Mauritania	207	3.1%	1 038	0.8%	224	3.0%	1 063	0.8%
Italy	166	2.5%	3 844	3.1%	256	3.4%	6 464	4.8%
United Kingdom	156	2.3%	5 532	4.5%	176	2.3%	6 267	4.7%
United Arab Emirates	138	2.1%	2 703	2.2%	296	3.9%	5 883	4.4%
Germany	106	1.6%	4 358	3.5%	77	1.0%	3 118	2.3%
OTHERS	2 106	31.6%	42 261	34.1%	2 082	27.6%	41 681	31.2%
Total	6 655	100.0%	123 977	100.0%	7 535	100.0%	133 412	100.0%

Source : Trademap

3.7.1 Route to Market: Kitchen Taps & Mixers / Faucets
ES - ESTIMATED DISTRIBUTION FOR KITCHEN TAPS & MIXERS / FAUCETS: 2020

Manufacturer / Importer

Manufacturers / Importers	
100.0%	

Wholesale Level

75.6%	
Wholesalers / Merchants	
75.6%	

Retail Level

Manufacturer	Wholesaler
1.4%	3.5%
Internet Retailers	
4.9%	

Manufacturer	Wholesaler
14.1%	13.5%
DIY Retailers	
27.6%	

Manufacturer	Wholesaler
8.1%	38.4%
Specialist Retailers	
46.5%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.7%	15.9%	0.4%	9.7%	27.4%
Installers				
54.0%				

End Use Level

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.0%	4.1%	4.6%	17.9%	19.1%	53.1%
Residential					
98.7%					
New Build			Residential RMI		
5.7%			93.0%		
Project	Non-Project	Project	Non-Project		
4.7%	1.0%	5.0%	88.0%		

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.1%	0.2%	0.0%	0.0%	0.0%	0.9%
Non-Residential					
1.3%					
New Build			Non-Residential RMI		
0.6%			0.7%		
Project	Non-Project	Project	Non-Project		
0.4%	0.2%	0.5%	0.2%		

3.7.2 Route to Market: Kitchen Taps & Mixers / Faucets
ES - ESTIMATED DISTRIBUTION FOR KITCHEN TAPS & MIXERS / FAUCETS: 2025

Manufacturer / Importer	<table><tr><td colspan="5">Manufacturers / Importers</td></tr><tr><td colspan="5">100.0%</td></tr></table>					Manufacturers / Importers					100.0%																																															
Manufacturers / Importers																																																										
100.0%																																																										
Wholesale Level	<table><tr><td colspan="5">71.4%</td></tr><tr><td colspan="5">Wholesalers / Merchants</td></tr><tr><td colspan="5">71.4%</td></tr></table>					71.4%					Wholesalers / Merchants					71.4%																																										
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Wholesalers / Merchants																																																										
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Retail Level	<table><tr><td>Manufacturer</td><td>Wholesaler</td></tr><tr><td>3.0%</td><td>6.3%</td></tr><tr><td colspan="2">Internet Retailers</td></tr><tr><td colspan="2">9.3%</td></tr></table>		Manufacturer	Wholesaler	3.0%	6.3%	Internet Retailers		9.3%		<table><tr><td>Manufacturer</td><td>Wholesaler</td></tr><tr><td>17.2%</td><td>14.6%</td></tr><tr><td colspan="2">DIY Retailers</td></tr><tr><td colspan="2">31.8%</td></tr></table>		Manufacturer	Wholesaler	17.2%	14.6%	DIY Retailers		31.8%		<table><tr><td>Manufacturer</td><td>Wholesaler</td></tr><tr><td>7.6%</td><td>30.7%</td></tr><tr><td colspan="2">Specialist Retailers</td></tr><tr><td colspan="2">38.3%</td></tr></table>		Manufacturer	Wholesaler	7.6%	30.7%	Specialist Retailers		38.3%																													
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	<table><tr><td>Manufacturer</td><td>Wholesaler</td><td>Internet</td><td>DIY</td><td>Specialist</td></tr><tr><td>0.7%</td><td>16.1%</td><td>0.7%</td><td>11.1%</td><td>22.6%</td></tr><tr><td colspan="5">Installers</td></tr><tr><td colspan="5">51.2%</td></tr></table>					Manufacturer	Wholesaler	Internet	DIY	Specialist	0.7%	16.1%	0.7%	11.1%	22.6%	Installers					51.2%																																					
Manufacturer	Wholesaler	Internet	DIY	Specialist																																																						
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Installers																																																										
51.2%																																																										
End Use Level	<table><tr><td>Manufacturer</td><td>Wholesaler</td><td>Internet</td><td>DIY</td><td>Specialist</td><td>Installer</td></tr><tr><td>0.0%</td><td>3.6%</td><td>8.6%</td><td>20.6%</td><td>15.7%</td><td>50.6%</td></tr><tr><td colspan="6">Residential</td></tr><tr><td colspan="6">99.2%</td></tr></table>					Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	0.0%	3.6%	8.6%	20.6%	15.7%	50.6%	Residential						99.2%						<table><tr><td>Manufacturer</td><td>Wholesaler</td><td>Internet</td><td>DIY</td><td>Specialist</td><td>Installer</td></tr><tr><td>0.1%</td><td>0.1%</td><td>0.0%</td><td>0.0%</td><td>0.0%</td><td>0.6%</td></tr><tr><td colspan="6">Non-Residential</td></tr><tr><td colspan="6">0.8%</td></tr></table>					Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	0.1%	0.1%	0.0%	0.0%	0.0%	0.6%	Non-Residential						0.8%					
Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer																																																					
0.0%	3.6%	8.6%	20.6%	15.7%	50.6%																																																					
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0.8%																																																										
	<table><tr><td colspan="3">New Build</td><td colspan="3">Residential RMI</td></tr><tr><td colspan="3">5.0%</td><td colspan="3">94.2%</td></tr><tr><td>Project</td><td colspan="2">Non-Project</td><td>Project</td><td colspan="2">Non-Project</td></tr><tr><td>3.9%</td><td colspan="2">1.1%</td><td>5.5%</td><td colspan="2">88.7%</td></tr></table>					New Build			Residential RMI			5.0%			94.2%			Project	Non-Project		Project	Non-Project		3.9%	1.1%		5.5%	88.7%		<table><tr><td colspan="3">New Build</td><td colspan="3">Non-Residential RMI</td></tr><tr><td colspan="3">0.4%</td><td colspan="3">0.4%</td></tr><tr><td>Project</td><td colspan="2">Non-Project</td><td>Project</td><td colspan="2">Non-Project</td></tr><tr><td>0.3%</td><td colspan="2">0.1%</td><td>0.3%</td><td colspan="2">0.1%</td></tr></table>					New Build			Non-Residential RMI			0.4%			0.4%			Project	Non-Project		Project	Non-Project		0.3%	0.1%		0.3%	0.1%	
New Build			Residential RMI																																																							
5.0%			94.2%																																																							
Project	Non-Project		Project	Non-Project																																																						
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New Build			Non-Residential RMI																																																							
0.4%			0.4%																																																							
Project	Non-Project		Project	Non-Project																																																						
0.3%	0.1%		0.3%	0.1%																																																						

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

3.7.3 Route to Market - Consolidated View : Kitchen Taps and Mixers

ES - ESTIMATED DISTRIBUTION FOR KITCHEN TAPS AND MIXERS : 2019

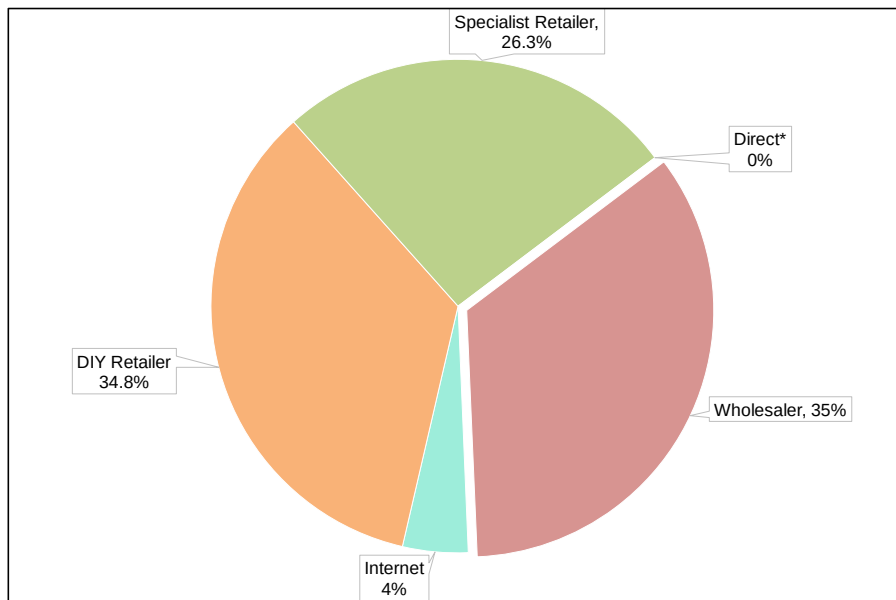
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
34.6%	4.3%	34.8%	26.3%	0.0%	11.2%	5.1%	82.4%	1.3%
100%					16.3%		83.7%	

3.7.4 Route to Market - Consolidated View : Kitchen Taps and Mixers

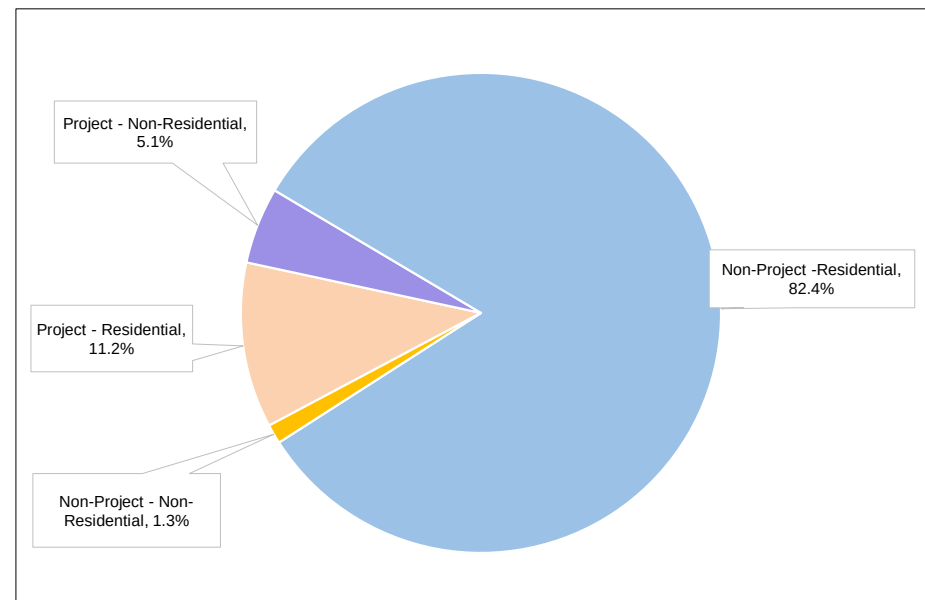
ES - ESTIMATED DISTRIBUTION FOR KITCHEN TAPS AND MIXERS : 2024

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
34.0%	5.9%	37.0%	23.1%	0.0%	11.3%	4.9%	82.6%	1.2%
100%					16.2%		83.8%	

ES - SALES OF KITCHEN TAPS AND MIXERS BY DISTRIBUTION CHANNEL: 2019



ES - SALES OF KITCHEN TAPS AND MIXERS BY POINT OF DECISION AND END-USE SECTOR: 2019



Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

3.7.5

Route to Market: Sanitary Taps & Mixers / Faucets
ES - ESTIMATED DISTRIBUTION FOR SANITARY TAPS & MIXERS / FAUCETS: 2020

Manufacturer / Importer

Manufacturers / Importers	
100.0%	

Wholesale Level

76.8%
Wholesalers / Merchants
76.8%

Retail Level

Manufacturer	Wholesaler
1.0%	4.7%
Internet Retailers	
5.7%	

Manufacturer	Wholesaler
12.4%	11.2%
DIY Retailers	
23.6%	

Manufacturer	Wholesaler
6.9%	17.4%
Specialist Retailers	
24.3%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.9%	38.0%	0.4%	8.3%	3.5%
Installers				
51.1%				

End Use Level

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.7%	4.6%	5.2%	15.2%	20.7%	47.7%
Residential					
94.1%					
New Build			Residential RMI		
6.4%			87.6%		
Project	Non-Project		Project	Non-Project	
5.4%	1.0%		4.2%	83.4%	

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
1.3%	0.9%	0.0%	0.1%	0.2%	3.4%
Non-Residential					
5.9%					
New Build			Non-Residential RMI		
1.3%			4.6%		
Project	Non-Project		Project	Non-Project	
1.0%	0.3%		3.0%	1.6%	

3.7.6

Route to Market: Sanitary Taps & Mixers / Faucets
ES - ESTIMATED DISTRIBUTION FOR SANITARY TAPS & MIXERS / FAUCETS: 2025

Manufacturer / Importer

Manufacturers / Importers	
100.0%	

Wholesale Level

74.8%
Wholesalers / Merchants
74.8%

Retail Level

Manufacturer	Wholesaler
2.0%	8.5%
Internet Retailers	
10.5%	

Manufacturer	Wholesaler
15.1%	12.1%
DIY Retailers	
27.2%	

Manufacturer	Wholesaler
6.5%	13.9%
Specialist Retailers	
20.4%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.0%	35.6%	0.8%	9.5%	2.9%
Installers				
48.8%				

End Use Level

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.6%	4.1%	9.7%	17.6%	17.3%	46.3%
Residential					
95.6%					
New Build			Residential RMI		
5.7%			89.9%		
Project	Non-Project		Project	Non-Project	
4.9%	0.8%		5.1%	84.8%	

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
1.0%	0.7%	0.0%	0.1%	0.1%	2.5%
Non-Residential					
4.4%					
New Build			Non-Residential RMI		
1.1%			3.3%		
Project	Non-Project		Project	Non-Project	
0.9%	0.2%		2.9%	0.4%	

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

3.7.7 Route to Market - Consolidated View : Sanitary Taps and Mixers

ES - ESTIMATED DISTRIBUTION FOR SANITARY TAPS AND MIXERS : 2019

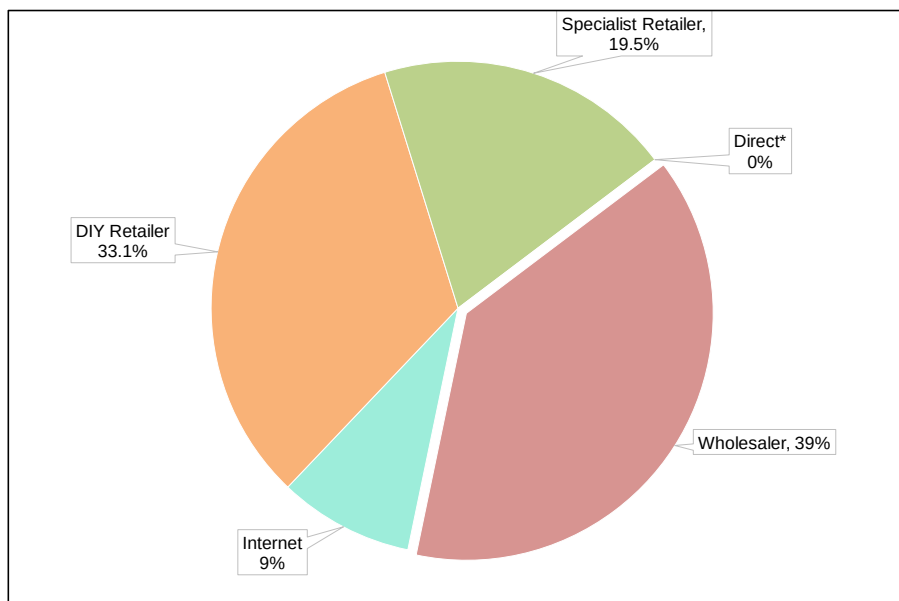
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
38.5%	8.8%	33.1%	19.5%	0.0%	10.3%	12.6%	73.2%	3.8%
100%					23.0%		77.0%	

3.7.8 Route to Market - Consolidated View : Sanitary Taps and Mixers

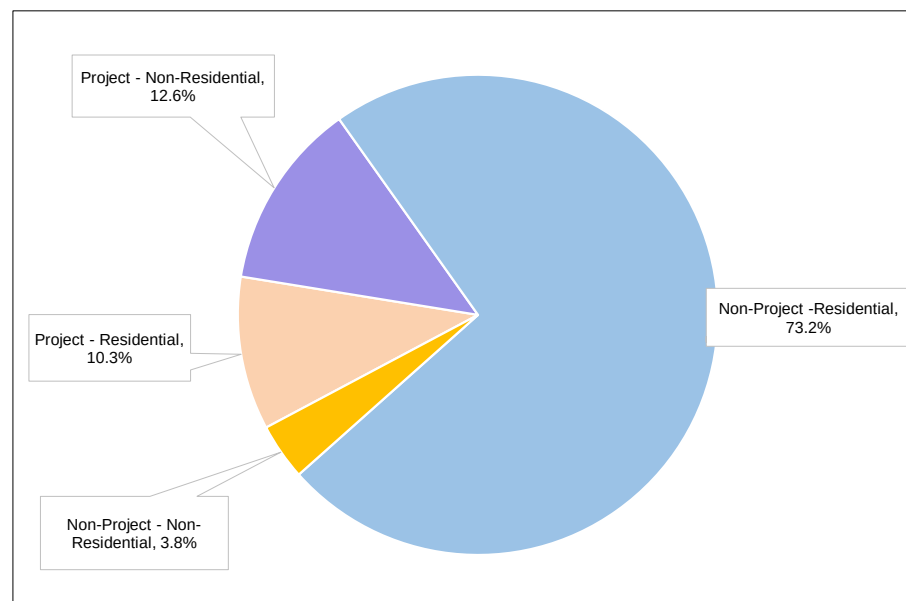
ES - ESTIMATED DISTRIBUTION FOR SANITARY TAPS AND MIXERS : 2024

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
31.2%	10.8%	37.0%	17.0%	4.0%	10.5%	12.7%	73.0%	3.8%
100%					23.2%		76.8%	

ES - SALES OF SANITARY TAPS AND MIXERS BY DISTRIBUTION CHANNEL: 2019



ES - SALES OF SANITARY TAPS AND MIXERS BY POINT OF DECISION AND END-USE SECTOR: 2019



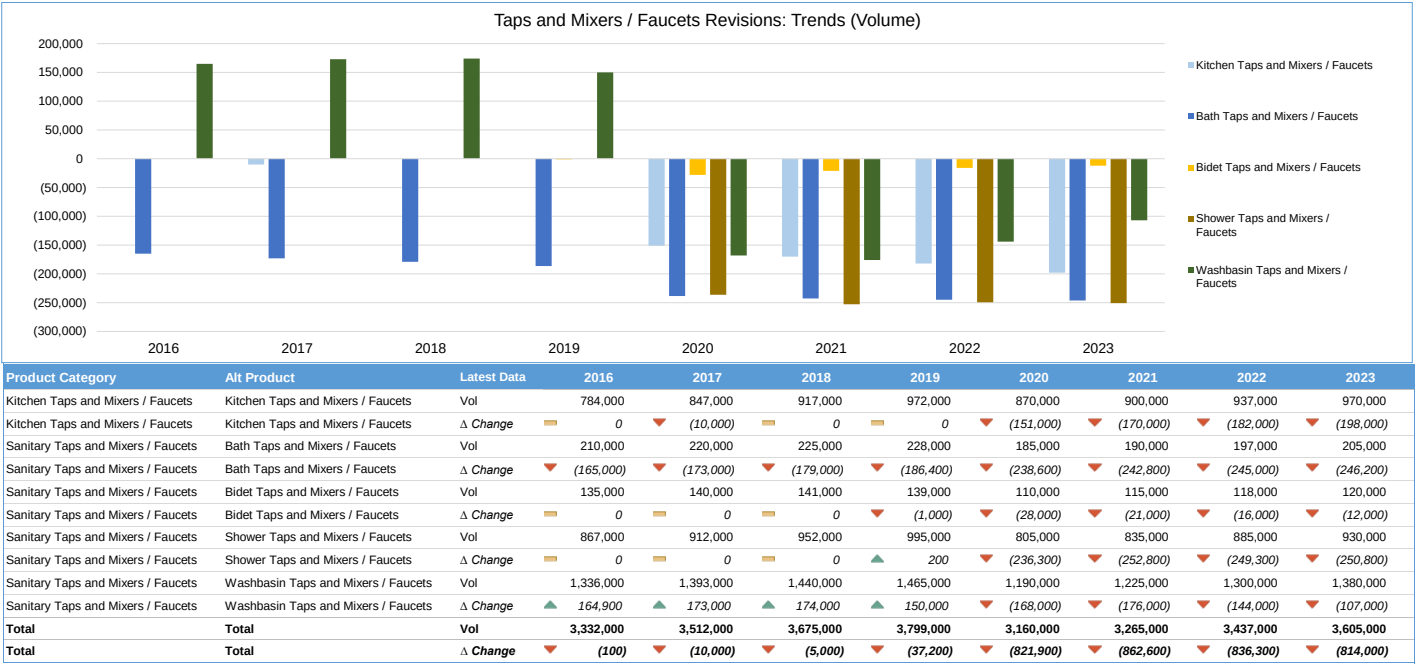
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

3.8 Revisions in the Spanish Taps and Mixers / Faucets Market (October 2020)

ES - REVISIONS IN THE SPANISH TAPS AND MIXERS / FAUCETS MARKET

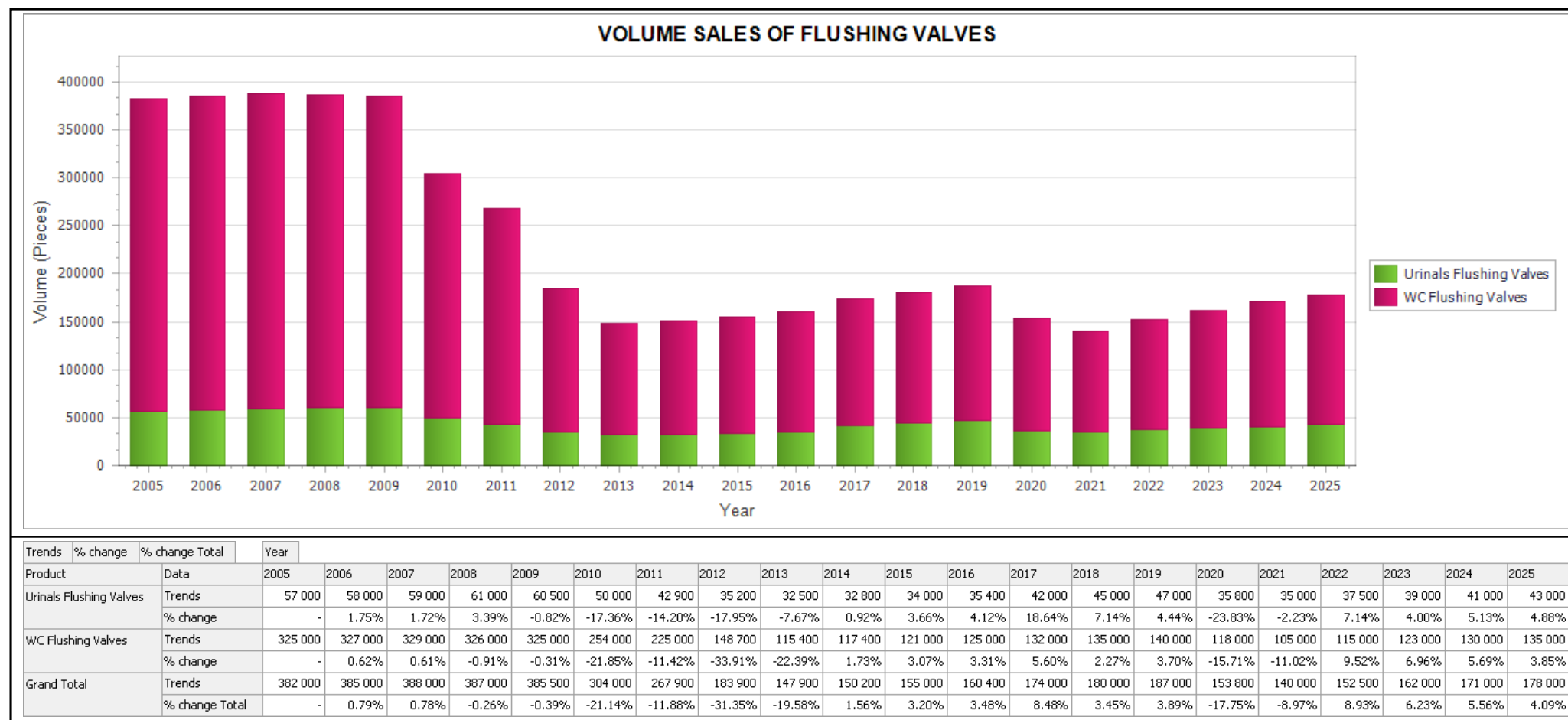
Data Comparison: April 2019



The historical market sizes for washbasin and bath taps and mixers were substantially revised as sales previously attributed to bath mixers were reallocated to washbasin mixers. Further research indicated that manufacturers believed that the bath taps and mixer market size was considerably smaller the BRG's previous estimations due to the switch from bathing to showering, thus leading to the revision of the washbasin taps and mixers market size.

3.9.1 Historical Trends and Forecasts : Flushing Valves

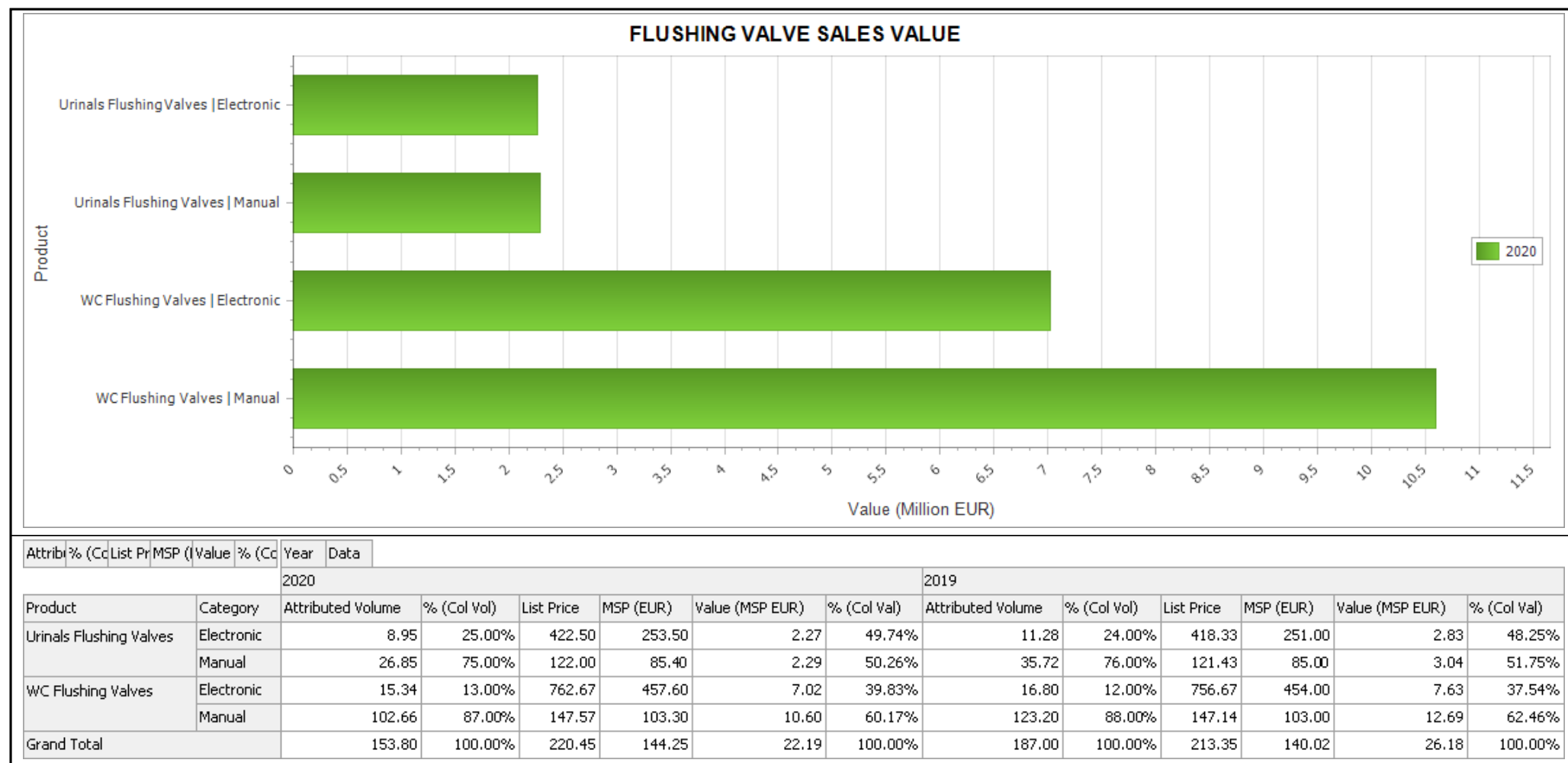
ES - SUMMARY OF TRENDS IN THE FLUSHING VALVE MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews.

3.9.2 Prices and Market Values : Flushing Valves

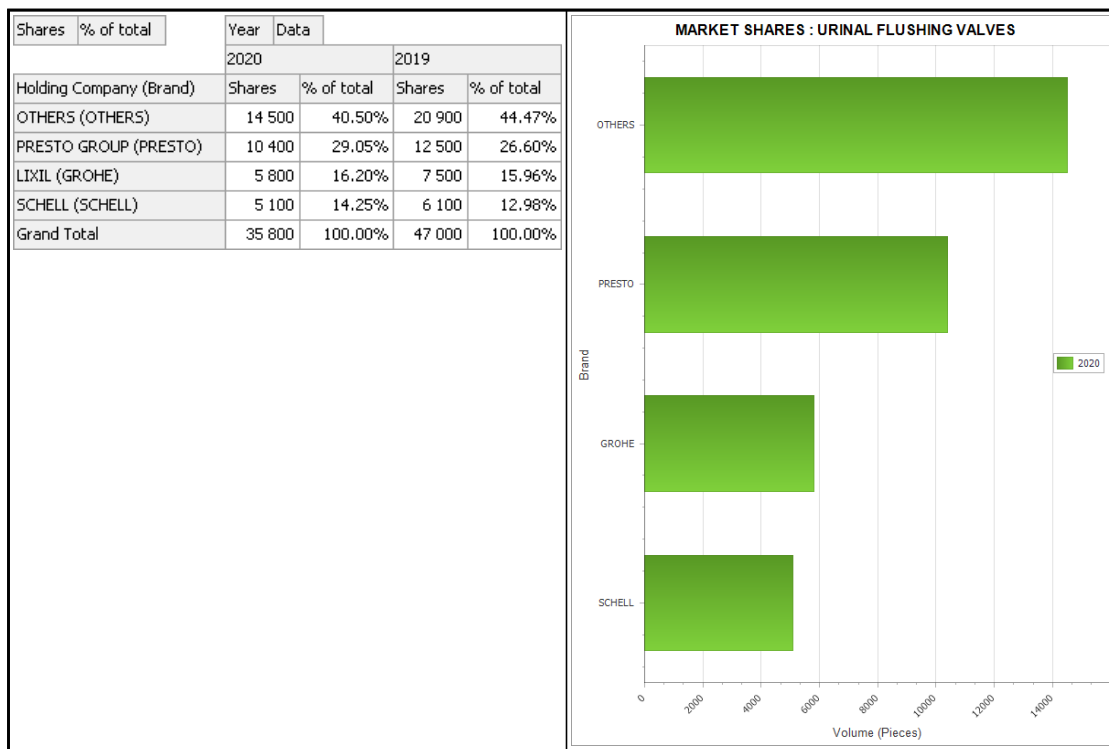
ES - ESTIMATED VALUES OF THE FLUSHING VALVE MARKET



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price)

3.9.3 Market Shares : Urinal Flushing Valves

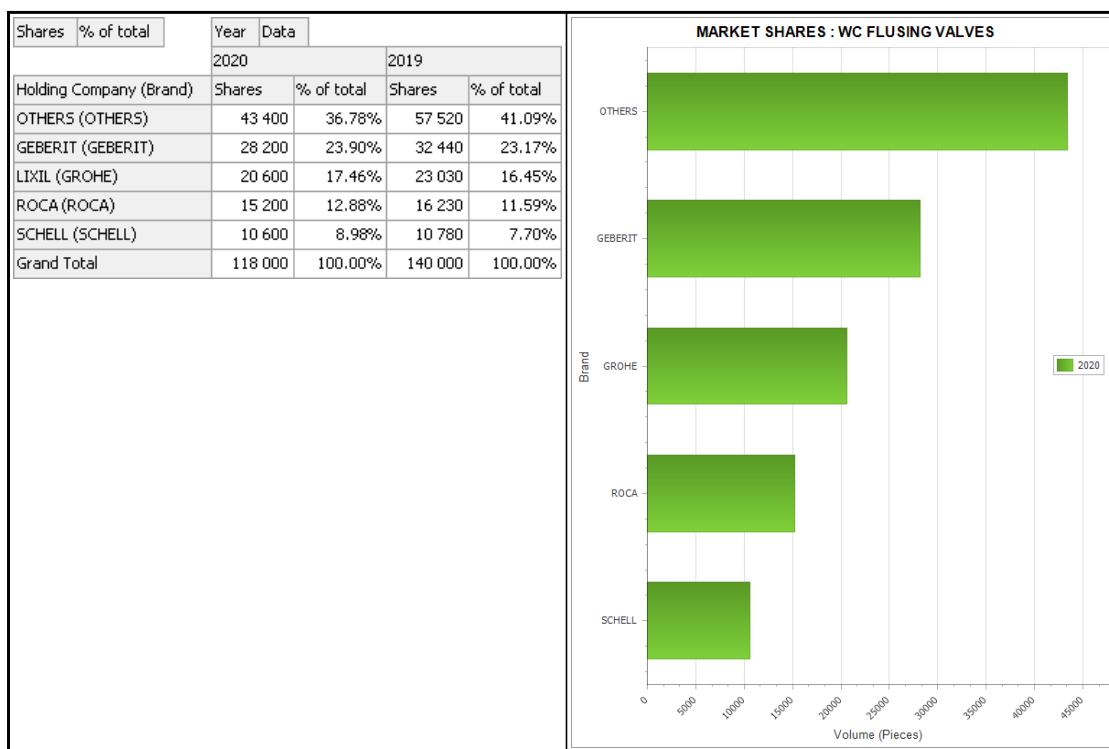
ES - ESTIMATED MARKET SHARES FOR URINAL FLUSHING VALVES



Source: BRG based on industry interviews.

3.9.4 Market Shares : WC Flushing Valves

ES - ESTIMATED MARKET SHARES FOR WC FLUSHING VALVES

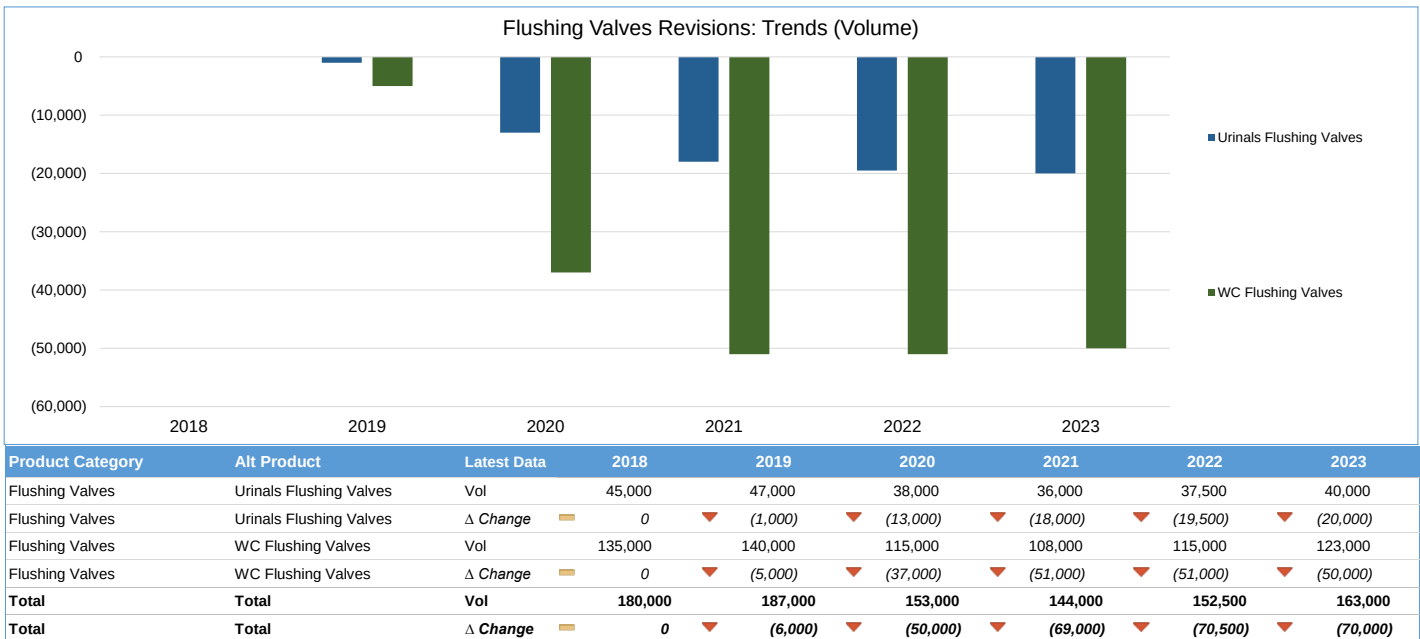


Source: BRG based on industry interviews.

3.10 Revisions in the Spanish Flushing Valves Market (October 2020)

ES - REVISIONS IN THE SPANISH FLUSHING VALVES MARKET

Data Comparison: April 2019



No changes have been made to historical volumes for this market.

SPAIN

SHOWER WALL

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Product Mix

The overall Spanish shower wall market has followed a similar trend to the market for baths, and in particular shower trays. Shower wall sales achieved strong growth from the late 1980s until 2006, with most growth coming from shower enclosures rather than bath screens. This market for shower enclosures has been able to benefit from a large number of flats in urban areas being newly built or refurbished with a shower tray, due to lack of space. Another factor is the ease of access that showers provide for older people.

During the financial crisis, Chinese products were taking a big part of the market, with cheaper products. This trend was changing due to the positive outlook for the economy in Spain, as consumers were demanding higher-quality products with higher prices. However, the COVID-19 pandemic has halted economic growth, but this should grow again in 2021.

The Spanish shower wall market has developed in a similar way to the Spanish shower market. Shower enclosure sales continue to account for the bulk of sales in the market and represent more than three quarters of the overall sales of shower walls; shower enclosure sales exceeded bath screen sales for the first time in 1998, and have been outperforming this market segment ever since and continue to grow. The bath screen segment experienced a larger decrease in sales than shower enclosures. This trend can be explained by the continued preference for the replacement of baths by shower trays, as people maximise the use of space and older generations tend to use showers. Sales of conventional shower cubicles have always been residual.

One of the main market trends has been the move from plastic to glass products, and this continues to be the case. The share of glass in all shower wall products has grown strongly over the last two decades, now accounting for the majority of sales in all segments of the shower wall market. Glass products used to be sold mainly through wholesalers, but DIY stores have replaced most plastic enclosures with glass enclosures as well. Also, DIY stores have been working with domestic and European manufacturers in order to offer a range of products with better quality and higher warranties.

Recent Market Trends

2020 was an exceptional year, with a significant decline not only for the larger market of shower enclosures but also for other shower wall product segments. The main reason for this was the decline in construction activity as an impact of the pandemic. In fact, if it were not for COVID-19, sales for most bathroom products including shower wall items would have grown steadily.

The market is usually driven by a robust RMI demand in conjunction with demand from the new housing sector. Sales of shower walls have enjoyed fast growth over

the years, both in share and in volume, as installations of showers continue to gain share from bath installations in new housing and non-housing. Moreover, private consumption and growing RMI activity has continued to support a positive performance of the shower wall market. However, the same was not the case for the year 2020. The shower wall market saw a decline in sales for all product segments, owing to decline in RMI demand and diminished new housing installations – and even worse non-housing sales.

Bath screen sales experienced the steepest decline among all shower wall products, with RMI installations being impacted significantly in 2020. The market for hydrotherapy cubicles continued its downward trend, declining even more strongly in 2020, as bathrooms continue to move towards more minimalistic tendencies – affecting sales of products such as this. Sales of conventional shower cubicles remain residual, on a decreasing trend.

Although the shower enclosure market saw a decline, in terms of product mix, shower enclosure sales continued to gain share in 2020, mostly as a result of the preferences in the Spanish market to install shower trays in combination with shower enclosures. Conversions of baths into showers also helped shower enclosures to gain share in this market.

Prices and Market Values

The overall prices at MSP (manufacturers' selling price) decreased slightly in 2020, with only shower enclosures witnessing a modest increase in MSP. Most of the manufacturers decided to keep the prices competitive in order to stimulate sales, as the market was already subdued and weak all through the year. The average price has not increased at a greater pace, also due to the fact that there is high competition – mainly in the new housing segment – while a slight increase in the share of middle price products for the shower wall market prevented the average prices at MSP from rising any further in 2020.

Regarding the different price range by product category, the bulk of sales for shower enclosures and bath screens took place in the middle price range in 2020. The market tends to be mostly middle/high-quality products nowadays, and consumers are becoming less price-sensitive for this product.

Although the popularity of cheap products from China is still significant, increased purchasing power has counteracted this somewhat as consumers are increasingly able to opt for more upmarket models. It should be further mentioned that the change in the product mix, more towards glass products as opposed to plastic products, is pushing average MSPs up and, therefore, increasing the overall market value.

New Housing

The penetration rate of shower wall products in new housing dropped significantly in 2020 due to the weak performance of new residential construction in Spain,

owing to disruption by COVID-19. New housing demand accounted for a low share of sales compared to other product categories within the bathroom market. Shower enclosures are more often preferred in this segment, due to their low cost when compared to conventional cubicles. Many builders install shower enclosures in new houses as the design of buildings has changed in Spain, with bathrooms getting more compact.

Housing RMI

Housing RMI is the most important end-use sector for the shower enclosure market, given the large park of baths and showers in the country that still use a curtain or nothing at all. Also, many replacements continue to take place, as well as displacements of baths per showers in existing dwellings, which require a shower enclosure to be installed. The demand for this sector declined considerably during 2020 due to weak demand on account of the COVID-19 impact. However, this market is expected to recover from 2021 onwards.

The main source of sales in the shower screen market is shower trays with shower enclosures. These products have increasingly replaced the bath screens and baths that were installed previously.

Non-Housing

Demand for bath screens, shower enclosures, and conventional shower cubicles in the non-housing segment comes predominantly from hotels and other hospitality establishments, followed by gyms and spas. The sales for this segment declined during 2020 on the account of an abrupt halt of commercial and non-residential construction activity. This was true for all segments of shower wall products.

It is expected that sales will improve slightly over the forecast period. Shower enclosure/door products represent the majority of the sales, as these products are often installed in hotels, leisure centres, spas, etc.

Supply Structure

The supply structure of the shower wall market in Spain is always challenging to estimate, due to the high fragmentation of the market and the high volumes of imports, especially from China. The Spanish market remains characterised by domestic suppliers for shower enclosures, with GROPO KASSANDRA, MAMPARAS DOCCIA, and PROFILTEK being the leading brands, followed by COMERCIAL SALGAR, SANYCCES, NOVELLINI, and ECOMAMPARAS. International brands, such as MASCO and DUSCHOLUX, are also present in the shower enclosure market.

For bath screens, 'others' also have an important share due to the high volumes imported from China. The leaders of this market are still MAMPARAS DOCCIA and PROFILTEK. This market is also very fragmented.

There are also OEM sales and small manufacturers that sell on a very small scale in Spain, as they specialise in producing glass products.

Forecasts

The main driver continues to be RMI demand, and sales of all products of shower wall grew slightly during the first quarter of 2021, as construction activity is recovering gradually to almost pre Covid levels and the Spanish economy is slowly moving on the path to recovery. There is demand growth from the residential RMI and new housing sectors, although it remains especially slow for the non-residential (hospitality) sector.

Displacements of baths for showers should continue to take place, and should benefit installations of shower enclosures in the RMI sector. Also, there is a considerable share of the park of baths and shower trays that are still unequipped, and some demand is expected to come from this side during the forecast period.

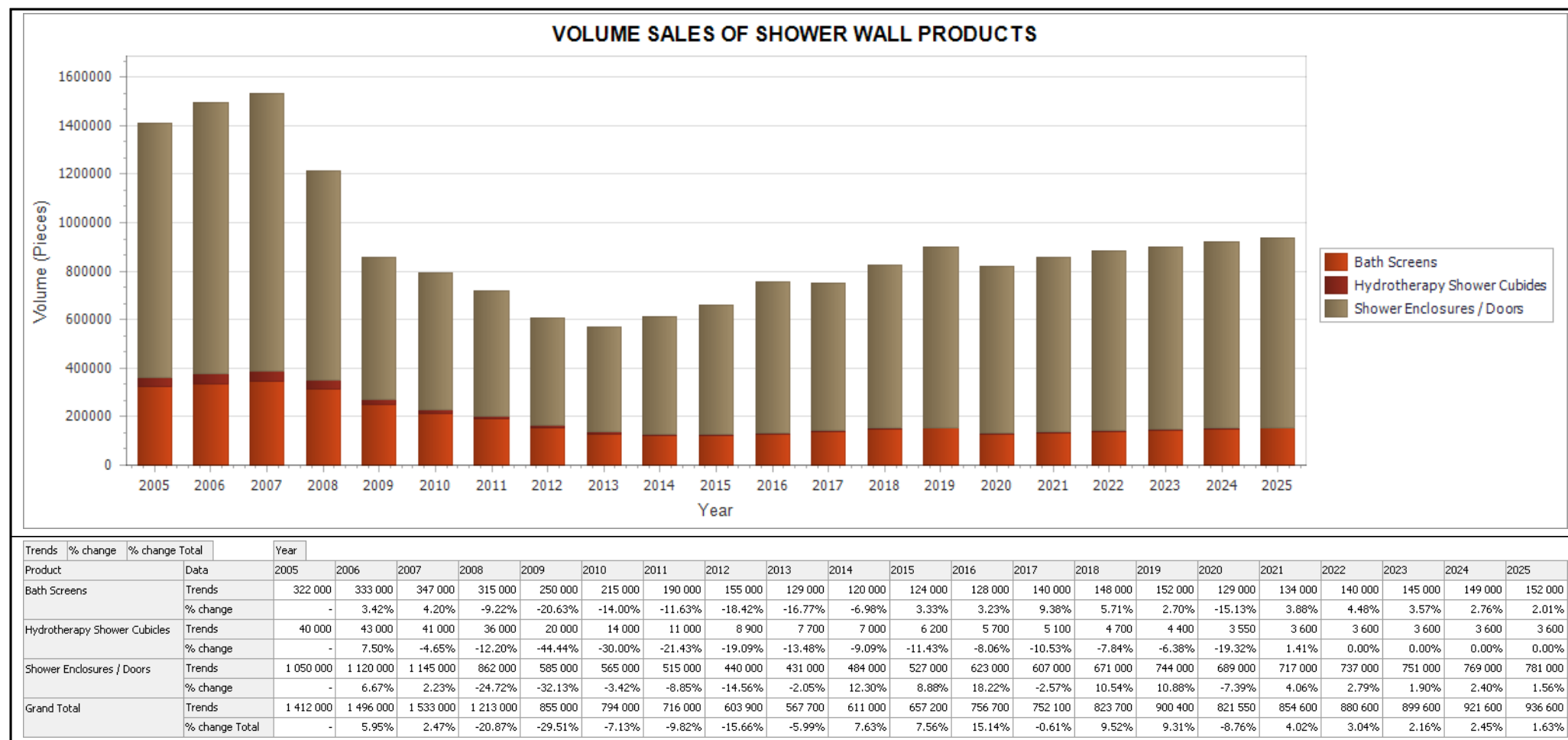
New residential construction should recover and remain positive in 2021. New housing completions should grow strongly in the year, and sales of shower walls should benefit strongly from that trend, although some correction in housing construction growth from 2022 until 2024 might affect the market. Sales are expected to record a positive development, although at a slower pace. The increasingly important role of the new build sector is likely to favour manufacturers that produce multiple bathroom products, as they tend to be preferred by housing contractors for their ability to equip an entire bathroom in a new build home, with their products being at a bulk discount rate.

Replacement and remodelling sales are anticipated to shift toward design-oriented products, in line with consumers' increasing demand for aesthetically pleasing and better-quality products.

At the time of the writing (April 2021) there is still a great level of uncertainty regarding the economic recovery and expected demand for bathroom products. Many countries in Europe have gone into another lockdown, as vaccination efforts continue. If more lockdowns and constraints to economic activity continue over 2021, the forecasts for sales should be more negative than previously expected.

4.2 Historical Trends and Forecasts : Shower Wall

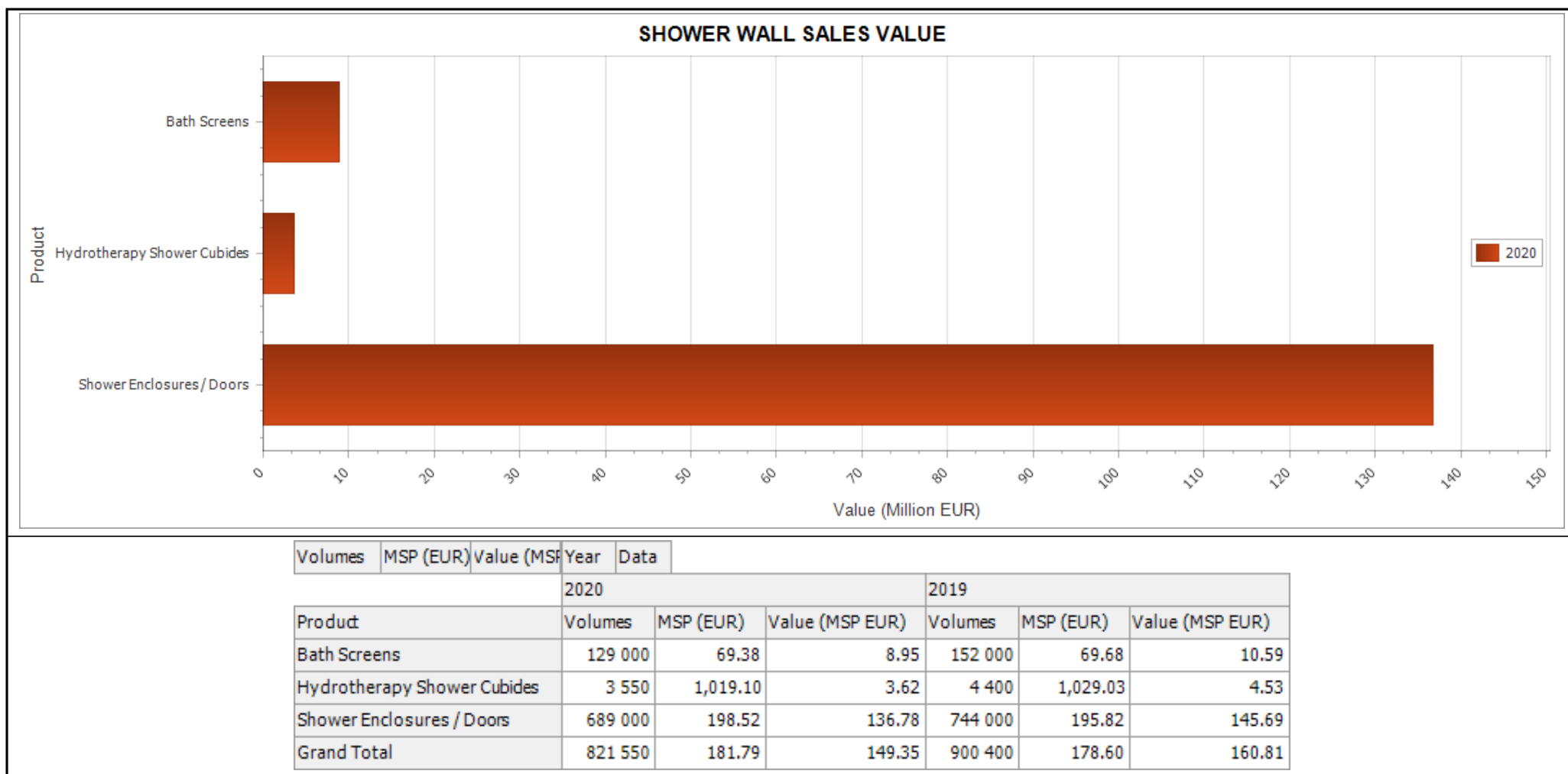
ES - SUMMARY OF TRENDS IN THE SHOWER WALL MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews.

4.3.1 Prices and Market Values : Shower Wall

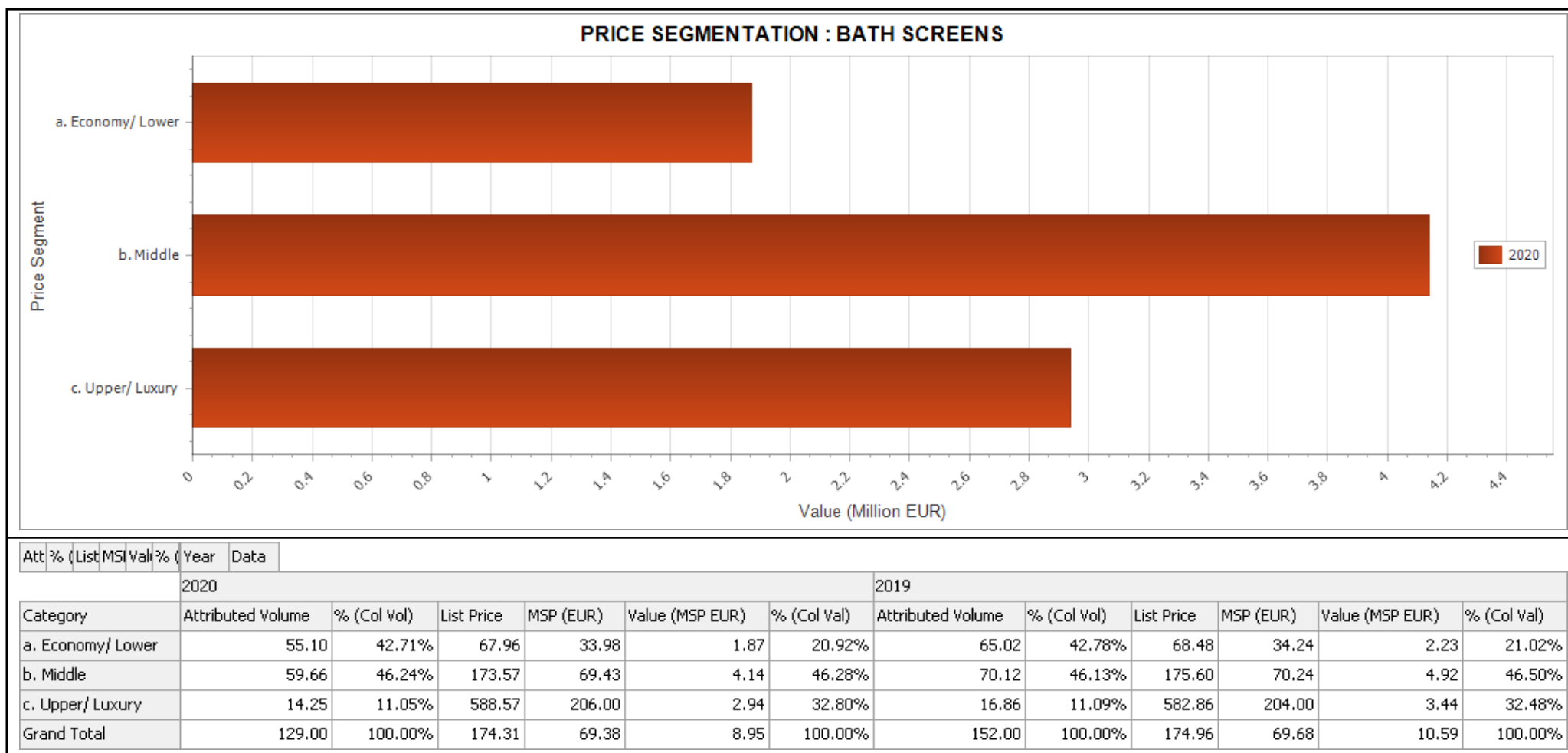
ES - ESTIMATED VALUES OF THE SHOWER WALL MARKET



Source: BRG based on industry interviews. Values Shown in Millions (at MSP = Manufacturers' Selling Price)

4.3.2 Price Segmentation : Bath Screens

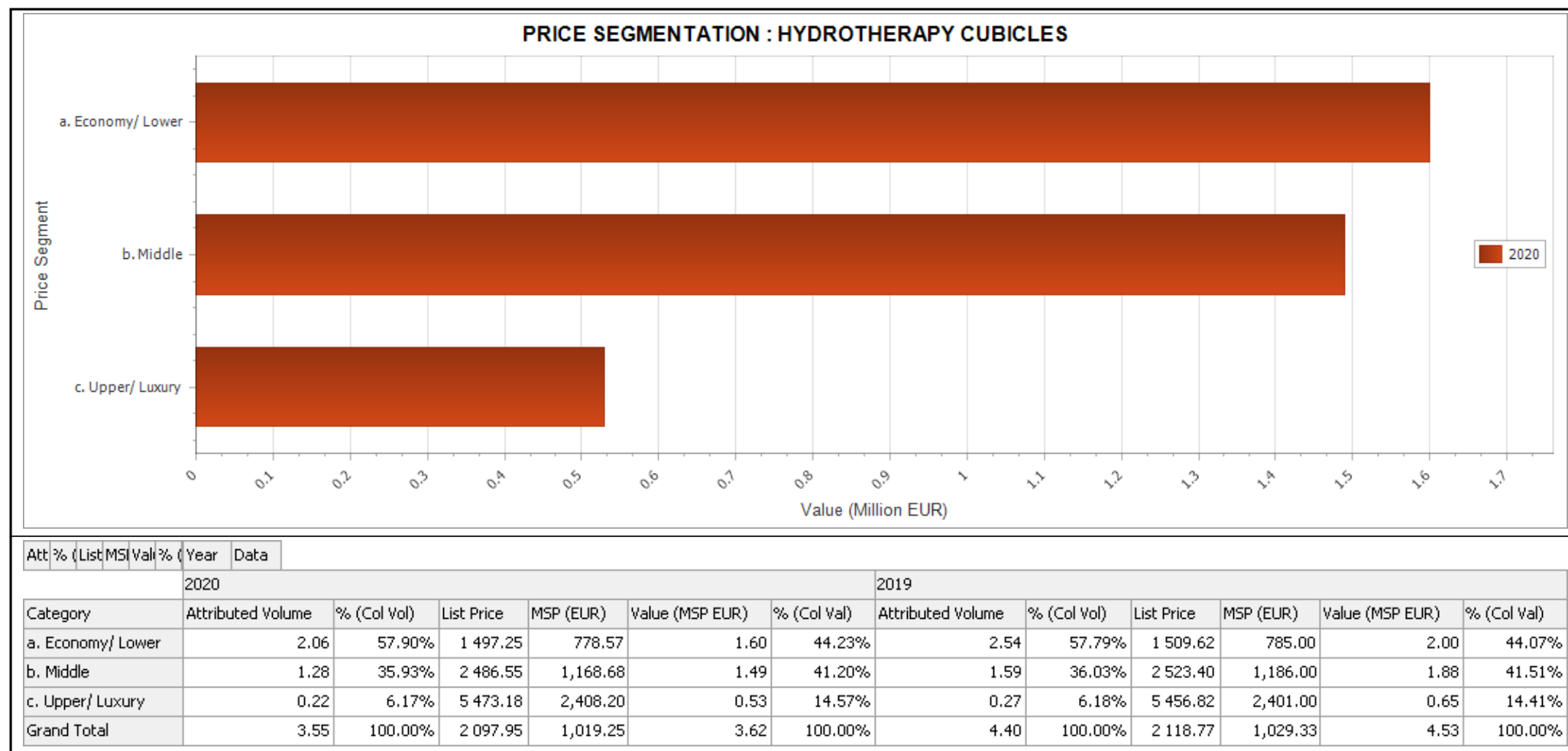
ES - ESTIMATED PRICE SEGMENTATION FOR BATH SCREENS



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€50, Middle €50-€100, Upper/ Luxury >€100

4.3.4 Price Segmentation : Hydrotherapy Shower Cubicles

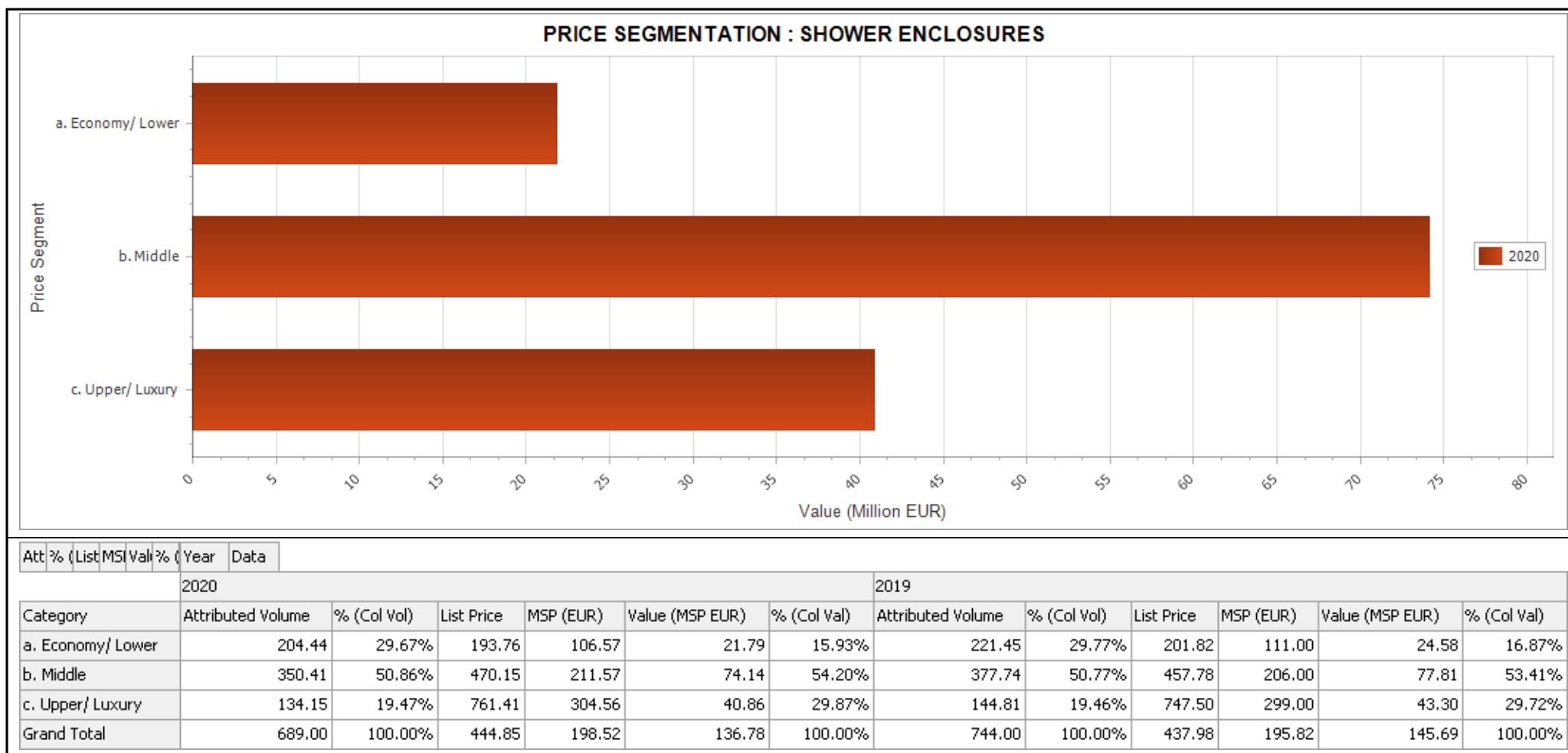
ES - ESTIMATED PRICE SEGMENTATION FOR HYDROTHERAPY CUBICLES



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€900, Middle €900-€1,600, Upper/ Luxury >€1,600

4.3.5 Price Segmentation : Shower Enclosures

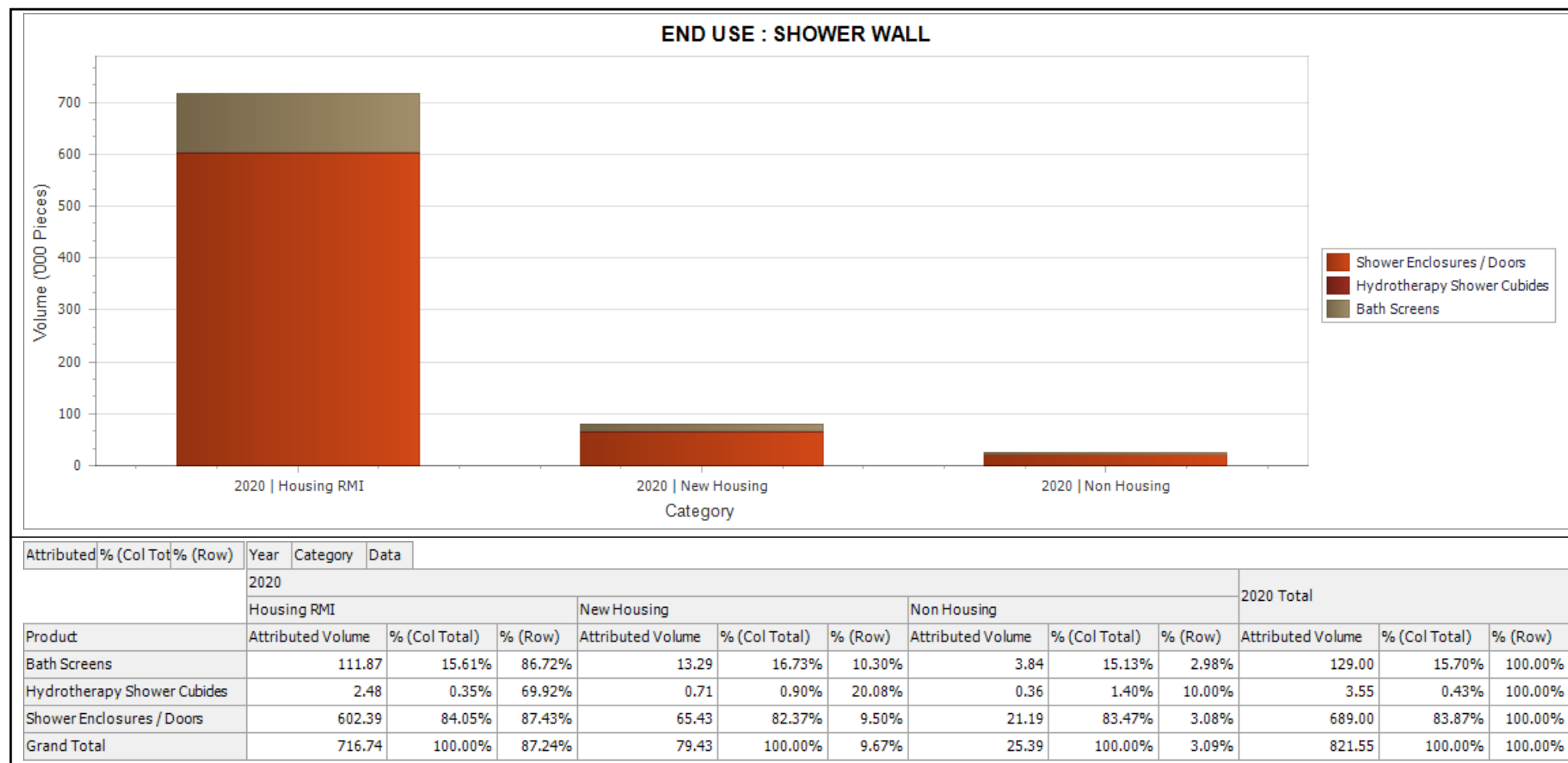
ES - ESTIMATED PRICE SEGMENTATION FOR SHOWER ENCLOSURES



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€125, Middle €125-€250, Upper/ Luxury >€250

4.4.1 End Use : Base Year

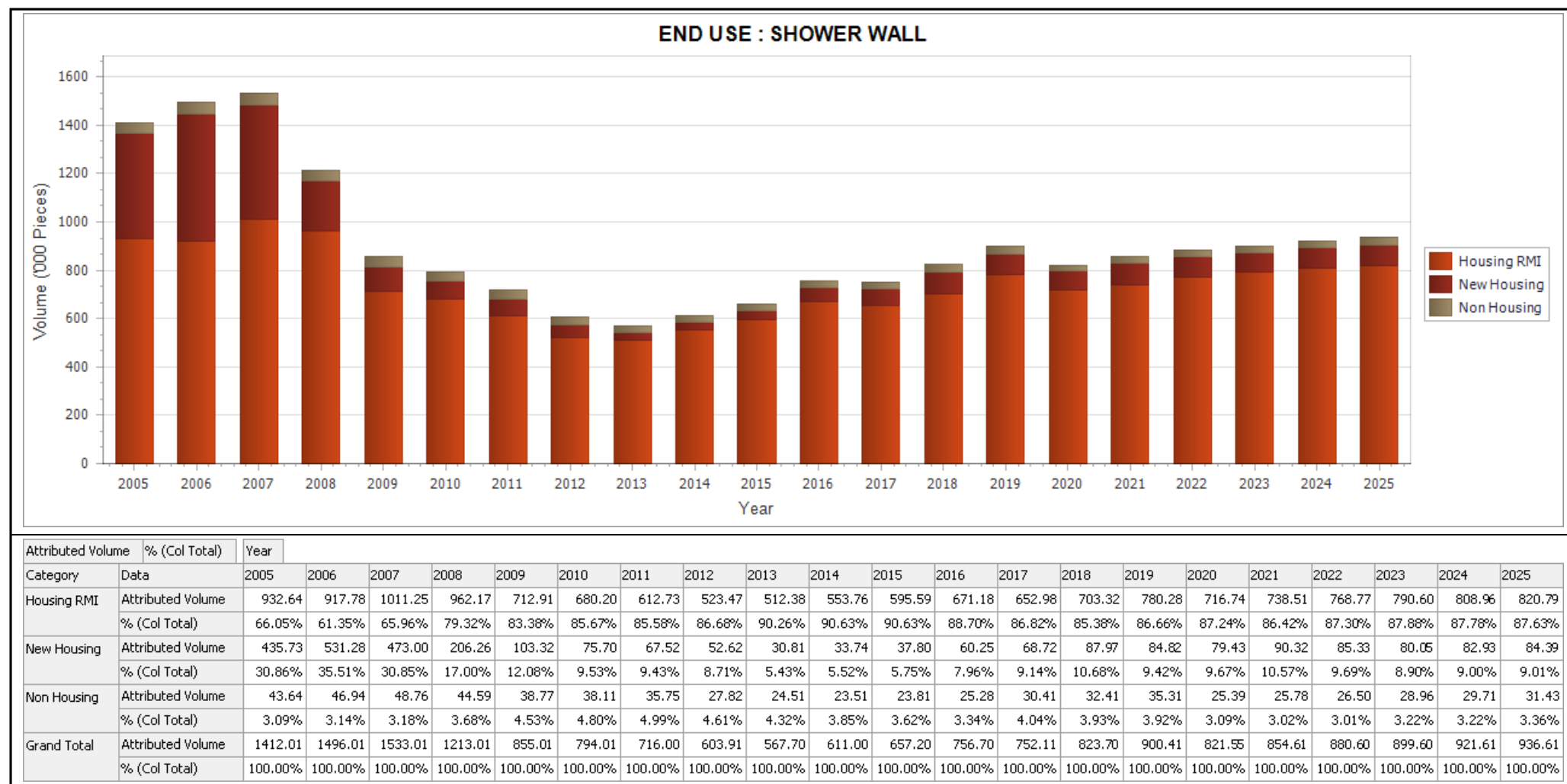
ES - SALES OF SHOWER WALL BY TYPE AND END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

4.4.2 End Use : Historical and Forecasts

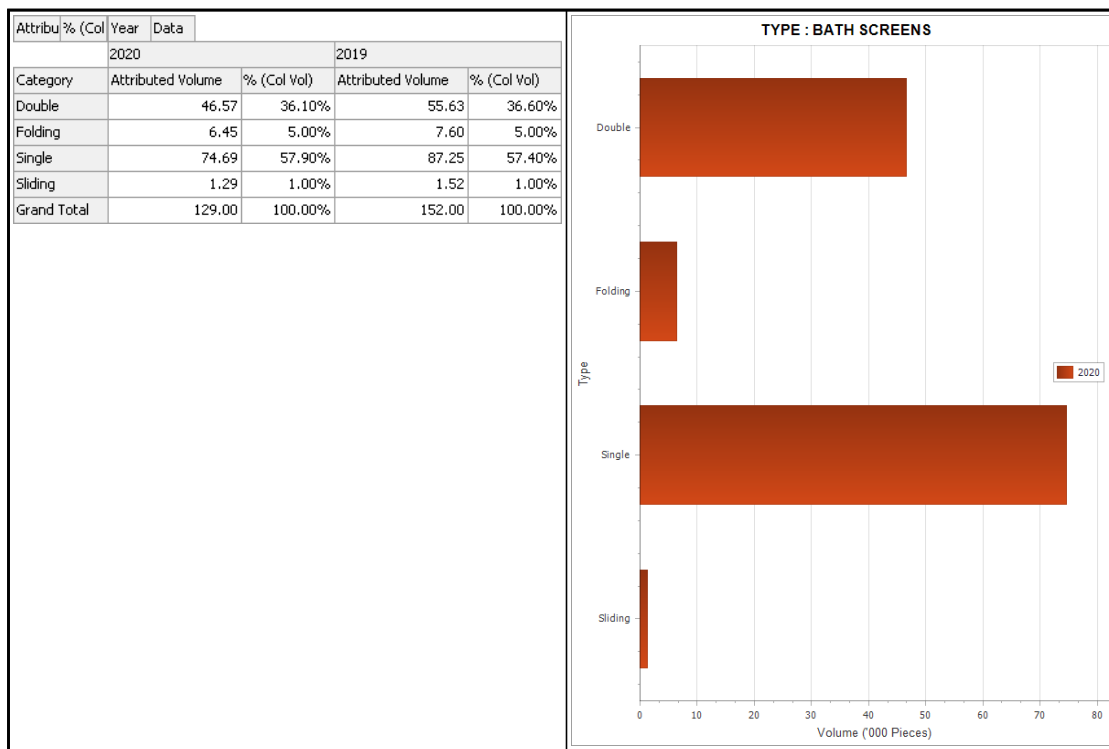
ES - SALES OF SHOWER WALL PRODUCTS BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

4.4.3 Sales by Type : Bath Screens

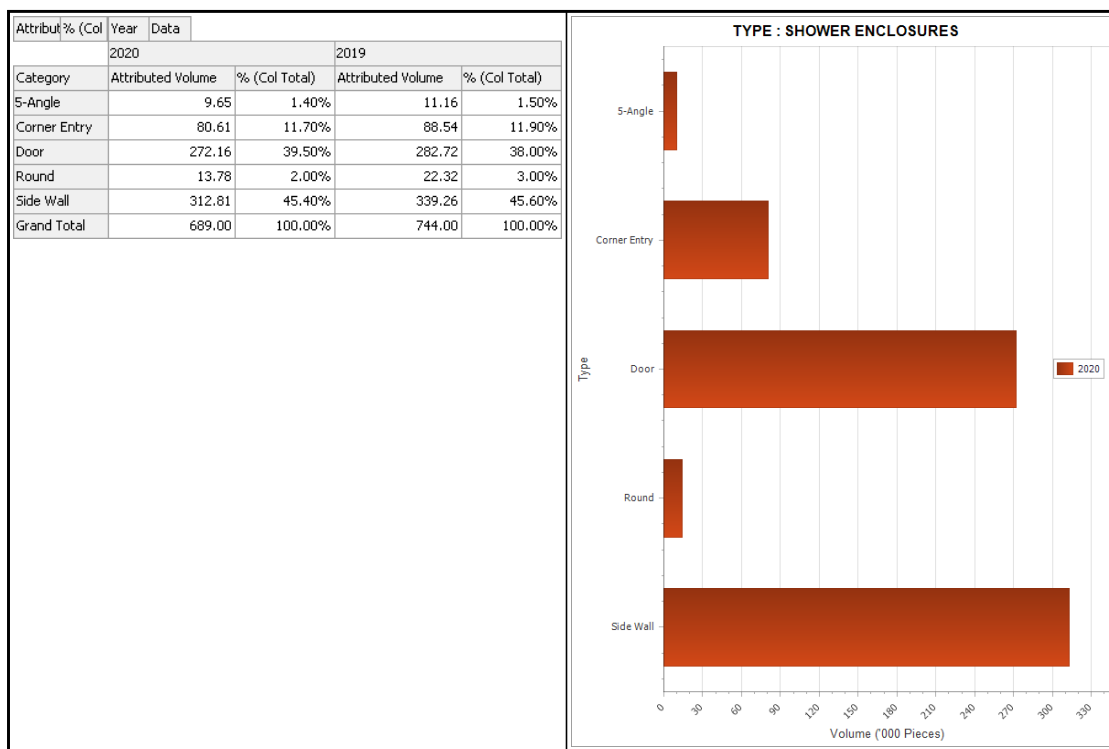
ES - BATH SCREEN SALES BY TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

4.4.4 Sales by Type : Shower Enclosures

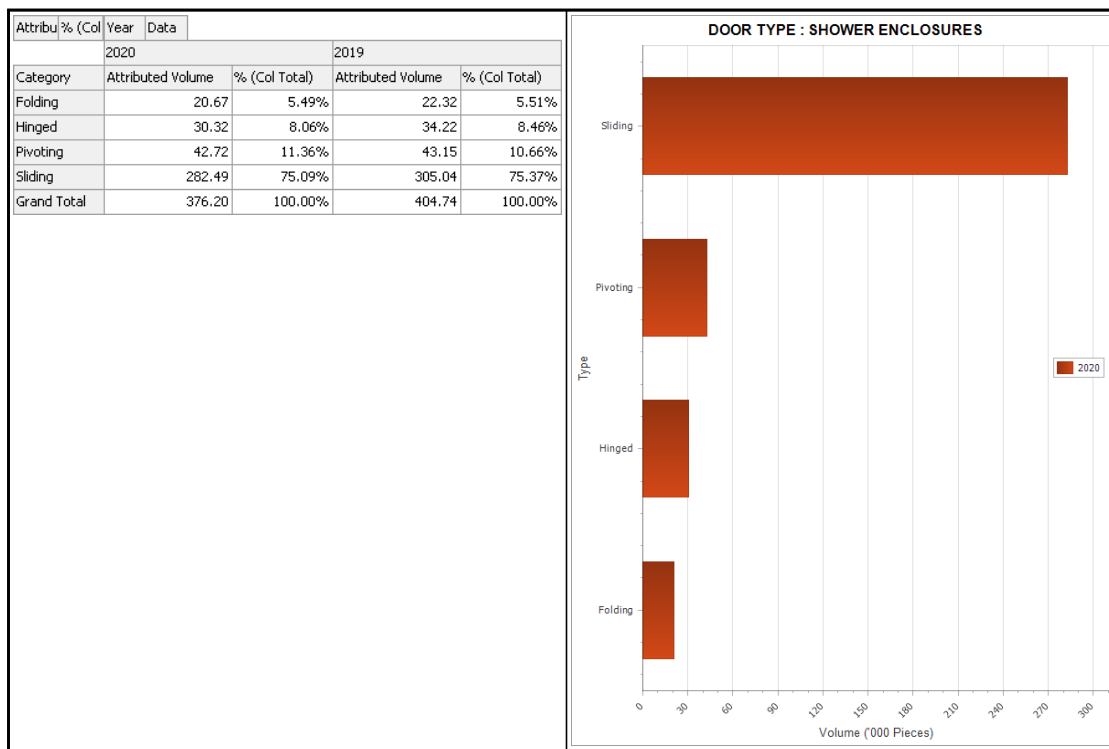
ES - SHOWER ENCLOSURE SALES BY TYPE ('000 PIECES)



Source: BRG based on industry interviews

4.4.5 Sales by Type of Door : Shower Enclosures

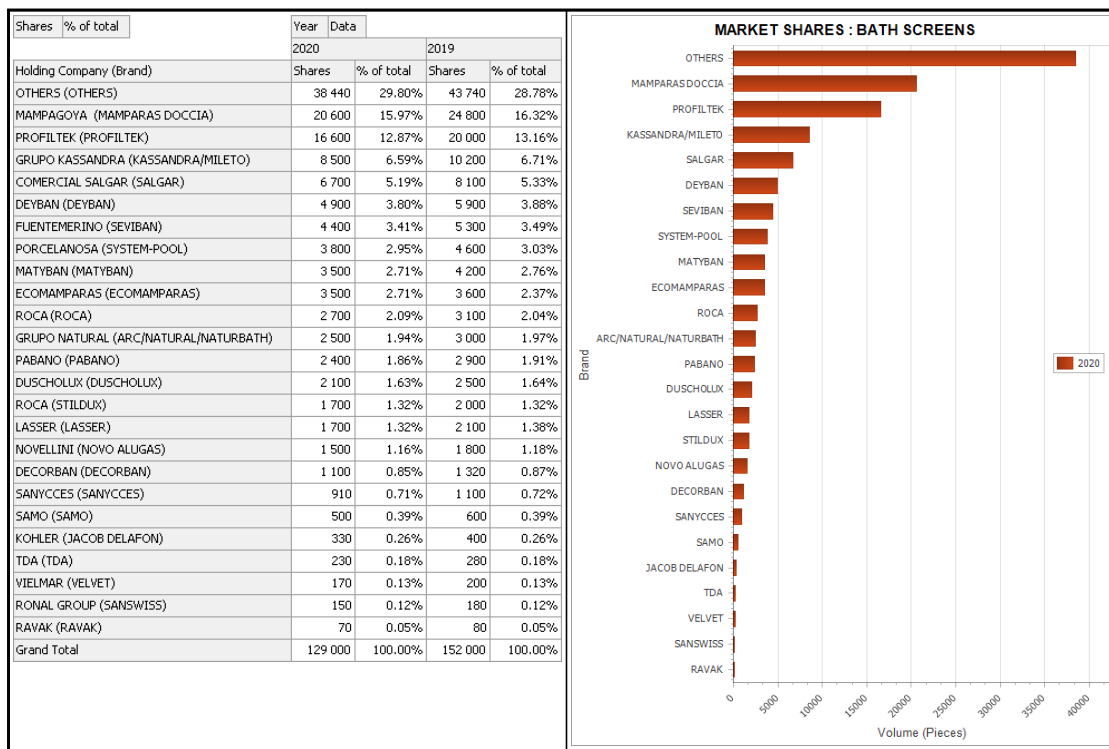
ES - SHOWER ENCLOSURE SALES BY DOOR TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

4.5.1 Market Shares : Bath Screens

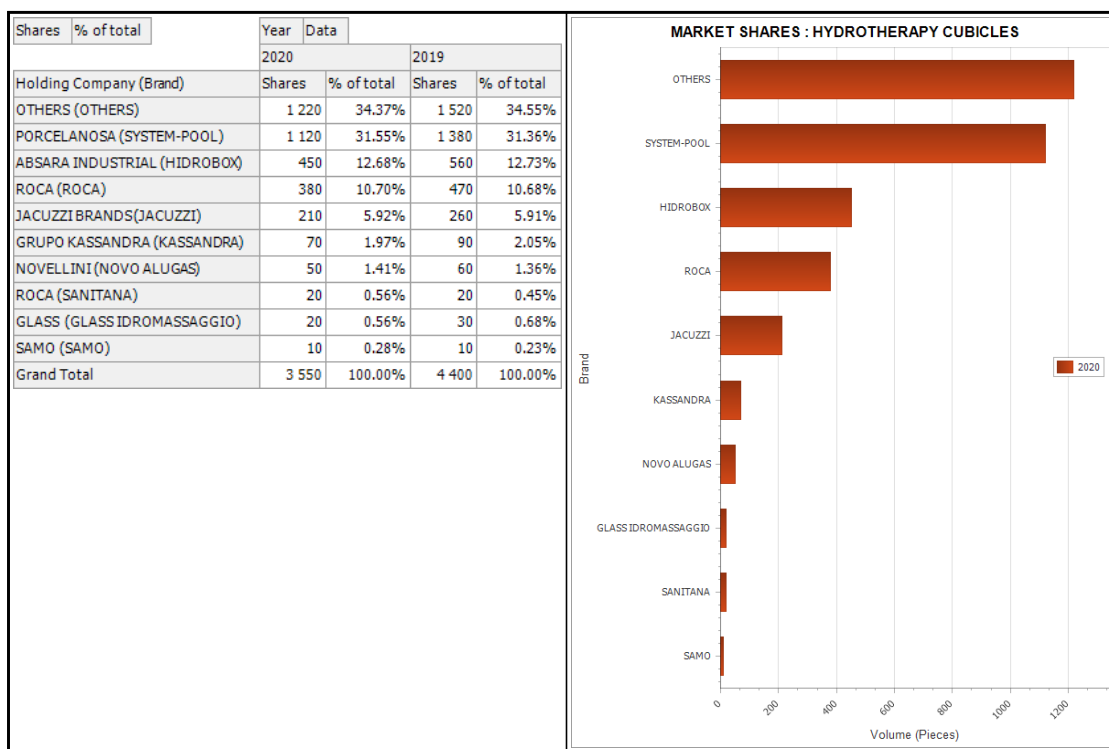
ES - ESTIMATED MARKET SHARES FOR BATH SCREENS



Source: BRG based on industry interviews.

4.5.2 Market Shares : Hydrotherapy Shower Cubicles

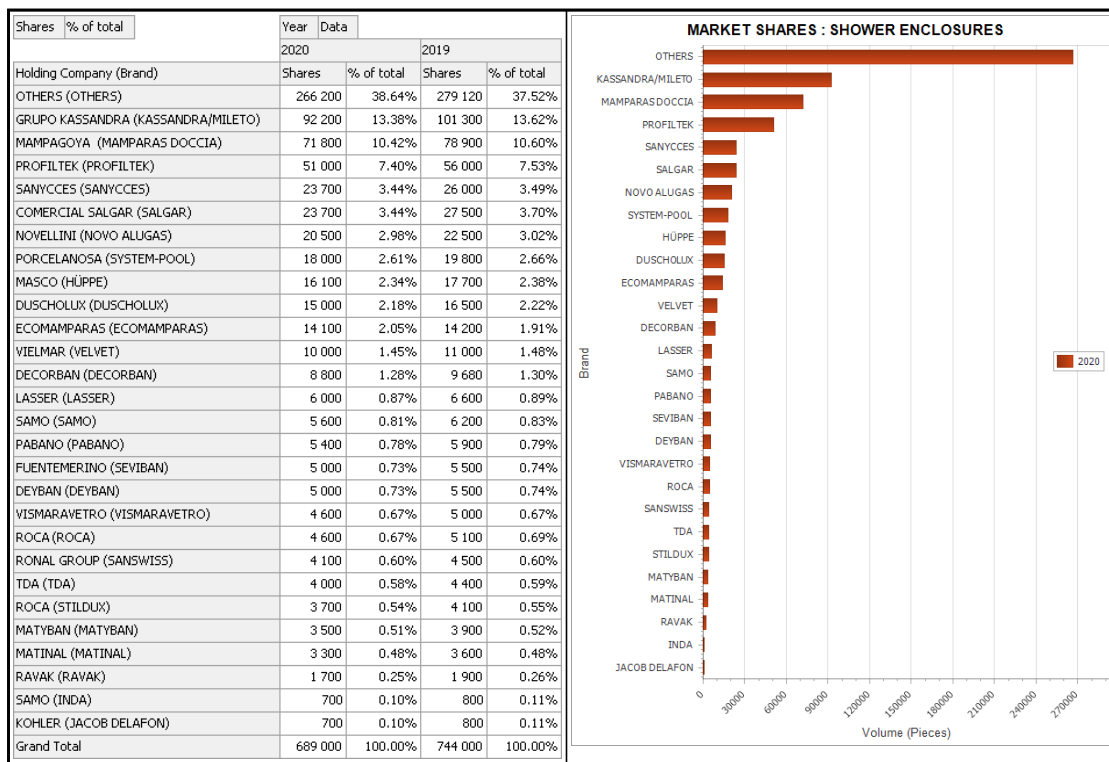
ES - ESTIMATED MARKET SHARES FOR HYDROTHERAPY CUBICLES



Source: BRG based on industry interviews.

4.5.3 Market Shares : Shower Enclosures

ES - ESTIMATED MARKET SHARES FOR SHOWER ENCLOSURES



Source: BRG based on industry interviews.

4.6.1 Route to Market: Shower Wall
ES - ESTIMATED DISTRIBUTION FOR SHOWER WALL: 2020

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	49.1%
	Wholesalers / Merchants
	49.1%

Retail Level	Manufacturer 1.7%	Wholesaler 2.0%	Manufacturer 7.3%	Wholesaler 17.2%	Manufacturer 27.3%	Wholesaler 5.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	3.7%		24.5%		32.3%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
14.6%	22.1%	0.3%	8.6%	4.8%
Installers				
50.4%				

End Use Level	Manufacturer 0.0%	Wholesaler 2.4%	Internet 3.4%	DIY 15.9%	Specialist 27.4%	Installer 47.8%	Manufacturer 0.0%	Wholesaler 0.5%	Internet 0.0%	DIY 0.0%	Specialist 0.0%	Installer 2.6%
	Residential						Non-Residential					
	96.9%						3.1%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	9.7%			87.2%			1.0%			2.1%		
	Project	Non-Project		Project	Non-Project		Project	Non-Project		Project	Non-Project	
	7.8%	1.9%		4.0%	83.2%		0.7%	0.3%		1.5%	0.6%	

4.6.2 Route to Market: Shower Wall
ES - ESTIMATED DISTRIBUTION FOR SHOWER WALL: 2025

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	47.9%
	Wholesalers / Merchants
	47.9%

Retail Level	Manufacturer 3.5%	Wholesaler 3.6%	Manufacturer 8.9%	Wholesaler 18.6%	Manufacturer 25.7%	Wholesaler 4.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	7.1%		27.5%		29.7%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
14.1%	19.6%	0.5%	9.6%	5.7%
Installers				
49.5%				

End Use Level	Manufacturer 0.0%	Wholesaler 1.6%	Internet 6.6%	DIY 17.8%	Specialist 24.0%	Installer 46.7%	Manufacturer 0.0%	Wholesaler 0.5%	Internet 0.0%	DIY 0.0%	Specialist 0.0%	Installer 2.9%
	Residential						Non-Residential					
	96.6%						3.4%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	9.0%			87.6%			1.1%			2.3%		
	Project	Non-Project		Project	Non-Project		Project	Non-Project		Project	Non-Project	
	7.6%	1.4%		4.5%	83.1%		0.8%	0.3%		1.8%	0.5%	

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

4.6.3 Route to Market - Consolidated View : Shower Wall

ES - ESTIMATED DISTRIBUTION FOR SHOWER WALL : 2020

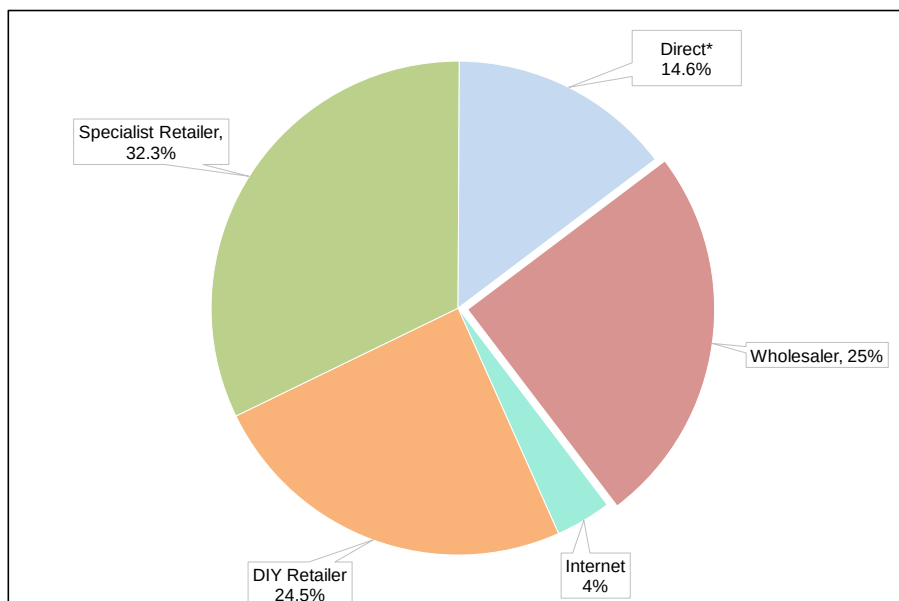
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
24.9%	3.7%	24.5%	32.3%	14.6%	11.8%	2.2%	85.1%	0.9%
100%					14.0%		86.0%	

4.6.4 Route to Market - Consolidated View : Shower Wall

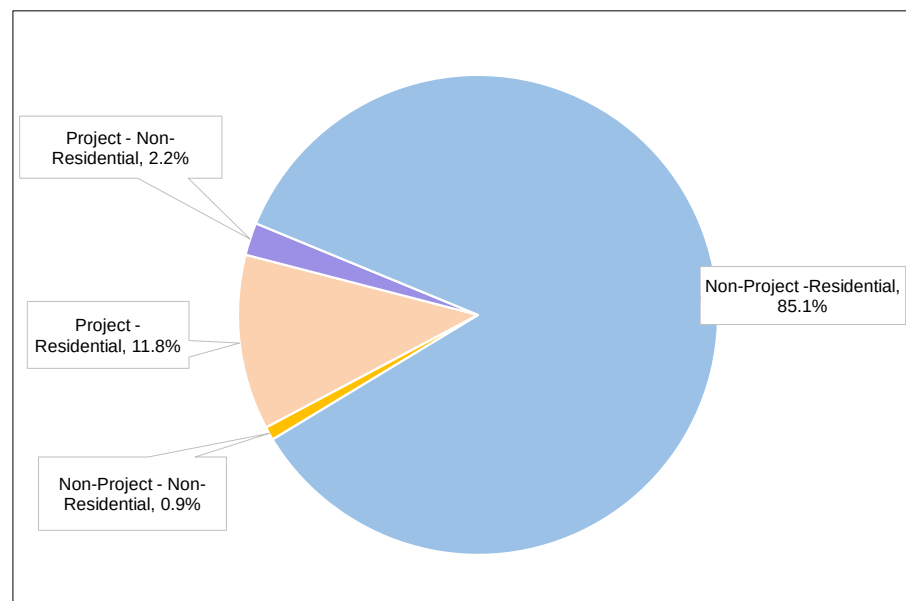
ES - ESTIMATED DISTRIBUTION FOR SHOWER WALL : 2025

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
21.7%	7.1%	27.5%	29.7%	14.1%	12.1%	2.6%	84.5%	0.8%
100%					14.7%		85.3%	

ES - SALES OF SHOWER WALL BY DISTRIBUTION CHANNEL: 2020



ES - SALES OF SHOWER WALL BY POINT OF DECISION AND END-USE SECTOR: 2020



Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

4.7 Revisions in the Spanish Shower Wall Market (April 2021)

ES - REVISIONS IN THE SPANISH SHOWER WALL MARKET

Data Comparison: October 2020



Following revisions made to the market size for shower trays, upwards revisions were consequently also made to the market size for shower enclosures since these two products are mostly installed together, on top of a growing market for wet rooms. No historical revisions were made to the market sizes for the other products.

Downward revisions were made to the MSP for bath screens, which were overestimated based on manufacturer feedback, whereas these were revised slightly up for shower enclosures.

SPAIN

BATHROOM FURNITURE

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Product Mix

Since the beginning of the 1990s, with numerous companies entering the Spanish market, the bathroom furniture industry has progressively seen considerable success both domestically and abroad. In the years up to 2006, the market was characterised by increasing levels of imports (principally cheaper products), strong growth rates in the new and renovation construction markets, a wider product range, and new designs and materials such as wood, glass and synthetic.

Over the years, although the current crisis has hampered this development, bathrooms in Spain have become an integral area of the dwelling, with people attaching more importance to the comfort and design of the bathroom. Spanish bathrooms are relatively small in size, and favour wall hung models; but the current trend to replace the bath with a shower has created more space, allowing the usage of the extra space, and consumers prefer the installation of an additional piece of furniture. When settling into a new dwelling, people will tend to buy rather cheap products, which they will often change at a later date; and when renovating, people will purchase higher-quality products to fulfil designs and their desire for comfort and pleasure. Immigration also has had a strong impact on the products sold; for instance, European immigrants coming to Spain for a better quality of life will choose high-standard products.

In 2008 with the financial crisis, however, the market experienced its first decline in 20 years, suffering from a sharp drop in construction output as the rest of the products correlated with construction. The bathroom furniture sector has experienced a two-digit decline in terms of turnover since 2008.

The low demand of all categories of bathroom furniture, the fall in profitability in the sector, and tight credit conditions led to the closure of some small companies between 2008 and 2012. During the low demand years, the main reason for consumers to buy these products was the price, and since expenditure capacity and consumer credit were at very low levels, consumers had become price-sensitive when choosing these products, mainly accessing cheap imported products, leading to an increase in popularity of the DIY channel.

Mirrors are more popular than mirror cabinets and this trend has not changed much over the past few years, as typical bathroom furniture is composed of a base unit and a mirror above it, whereas mirror cabinets tend to be installed above basins on pedestals, which is a declining segment.

Recent Market Trends

The Spanish bathroom furniture market suffered a decline in 2020. RMI sales, which constitute the largest share of sales, also could not have a positive performance because of the impact of COVID-19 on the Spanish economy. RMI demand for all bathroom furniture products was affected, due to fears of the virus

and job losses due to the pandemic. People either preferred to wait for things to settle down or even cancelled plans of purchases indefinitely, and private consumption and the unemployment rate continue to be the main factors that affect the market for bathroom furniture in the country.

Regarding the trends, consumers are moving away from pedestal washbasins, which only remain popular in social housing and some like-for-like replacements, with many replaced by a base unit with a countertop instead.

The base units / vanities segment declined in 2020, but continued to represent the bulk of sales, being made through mineral cast material, reflecting the high share of monobloc countertop type washbasins and, to a lesser extent, washbasins only. The main material for the base unit continued to be MDF, although chipboard has been gaining ground recently, due to its cheaper price. During the recession, consumers were very price-sensitive, making purchases based on price rather than quality and durability. Nowadays, consumers are opting for higher price tag products that offer better designs and quality. Spanish bathrooms are relatively small in size; however, the recent trend to replace baths with shower trays, as seen in neighbouring countries, has created more space in a bathroom, allowing for the installations of an additional piece of furniture.

Prices and Market Values

The overall manufacturers' selling prices (MSPs) of bathroom furniture in the country increased in 2020, as manufacturers pushed prices up in order to optimise profit margins and offset losses as production logistics costs grew with raw material prices, which were also rising during the year. Many leading manufacturers are also offering bathrooms customised to customers' wishes, targeting wealthier consumers, thus helping to push the average prices up.

New Housing

Bathroom furniture sales in the new housing sector declined in 2020, contrary to the trend witnessed in 2019. This was mainly because of the drop in new housing completions owing to COVID-19 repercussions. Although traditionally the Spanish bathroom market has shown low dependency on new housing, the increase in residential completions of both houses and apartments has had a positive impact on the overall development of the market. Also, the penetration of this product is growing in new housing when compared to other products.

Housing RMI

The housing RMI sector accounts for the bulk of installations of bathroom furniture, with much of the furniture installed in the 1990s now in need of replacement. Also, there is a substantial amount of the bathroom park still equipped with pedestals that are slowly being replaced with a base unit. Consumer confidence and the purchasing power of Spanish households play significant roles in the evolution of bathroom furniture sales. It is logical, therefore, that the rejuvenation of private

consumption in recent years has led to a strong growth in volume sales going into this sector. However, this trend was reversed in 2020 due to COVID-19, resulting in a strong decline in RMI sales.

Non-Housing

The lowest demand for bathroom furniture products usually comes from the non-housing sector; however, the non-housing/commercial sector was worst affected, with major losses in business during 2020, resulting in a strong decline in bathroom furniture sales to this sector.

Nevertheless, it is expected that new investments and the promotion of personal hygiene should help volumes and bathroom furniture sales to non-residential buildings to grow over the next few years. Base units remain the best-selling product in this sector. Refurbishing works in the thriving Spanish tourism industry have helped sales of bathroom furniture in the non-housing sector to grow over the last three years.

Supply Structure

Only a few companies play an important role at the national level and, of those, most export to Western Europe, with France being the main destination for exports of Spanish bathroom furniture. The Spanish bathroom furniture market is very fragmented, especially for base units, and over a hundred companies are believed to be present on the market. Base units are also produced and installed by a large number of local carpenters. There are three main regions in Spain where bathroom furniture is manufactured; these regions are the Valencia area, Lunera (Córdoba), and Bolaños (Ciudad Real).

Three companies lead the market, namely SALGAR, ROYO, and ARTYSAN, partly thanks to their modern production processes. These companies are improving the quality of the products they offer and starting to sell medium/upper to high-range products, mostly dedicated to the RMI market, as the new housing segment remains weak in Spain.

COMERCIAL SALGAR specialises in the manufacture of products within the upper price segment in order to differentiate from Asian imports, whereas the ROYO GROUP manufactures a vast range of products from the economy to the upper price segments. Behind these two market leaders there are a considerable number of companies, including ARTYSAN, INVE, and MACRAL. Some of these companies make an important share of their sales abroad and also supply other companies with bathroom furniture; for instance, ARTYSAN is one of the main providers of ROCA.

Imports are also becoming important in the bathroom market, especially those from Asia, with the principal exporters of bathroom furniture to Spain from Asia being China, Vietnam and Indonesia. These products are usually quite cheap and sold through the DIY segment, which is increasing its share in terms of distribution in the

Spanish market.

The market for mirrors and mirror cabinets is closely linked to the base unit market; in fact, the ranking of companies is almost identical. As every base unit is installed with some form of mirror, all manufacturers also offer mirrors with their base units.

COMERCIAL SALGAR and ROYO are clear market leaders within this category. The ranking for separate cupboard units is similar to the one for base units, as separate cupboard units are manufactured in the same material as the base unit and as such they are often part of a package, resulting in manufacturers creating separate cupboard units at the same time as the other pieces of furniture. ROCA acquired ROYO GROUP in early 2021, thus expanding its position in the bathroom furniture market.

Forecasts

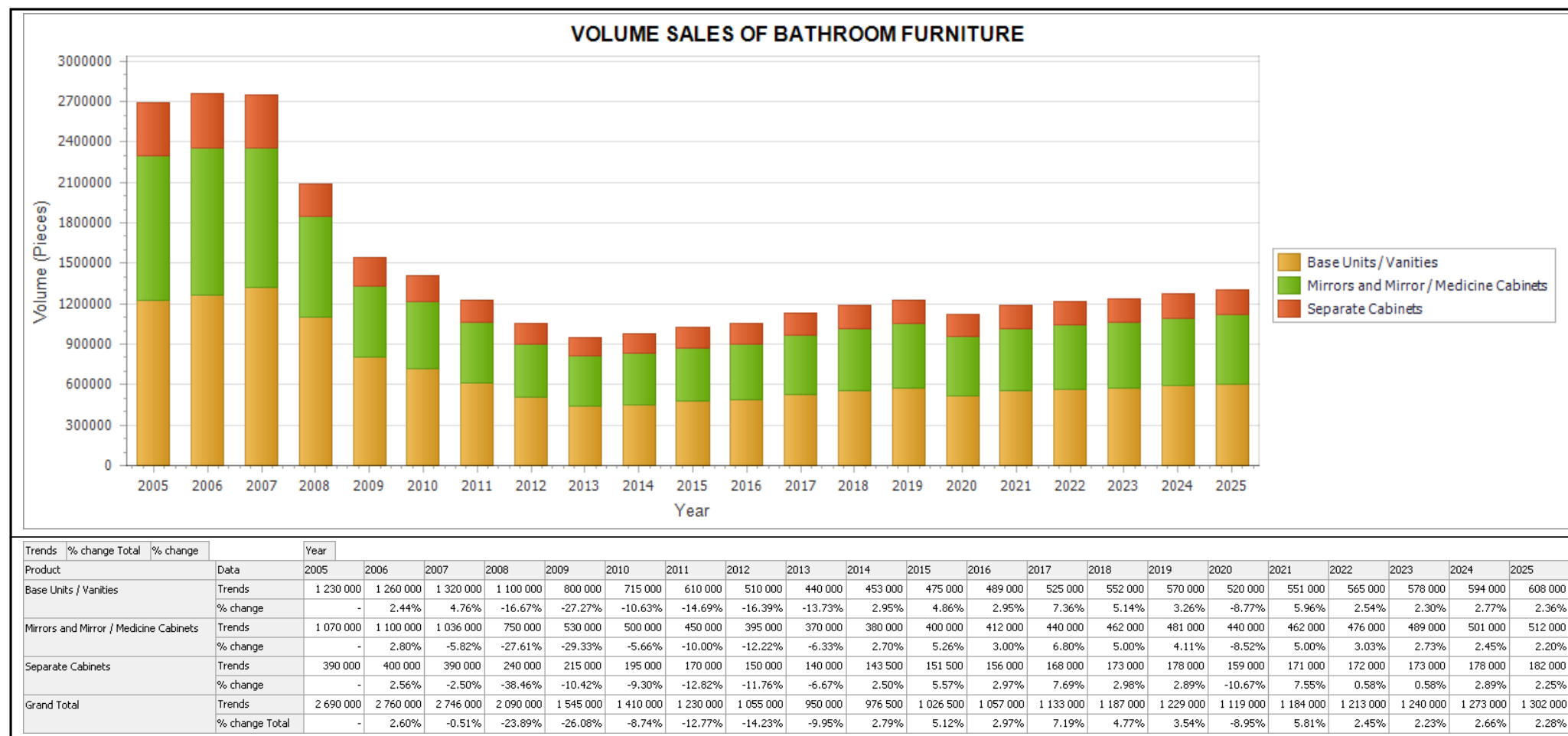
From 2021 onwards, bathroom furniture sales are projected to benefit from the improving RMI activity and also from the positive output of the new residential construction sector. Albeit small in comparison to the other end-use segments, non-housing demand is also anticipated to increase in the next few years, which should further elevate the overall development of the market.

In terms of product mix, mirror and mirror/medicine cabinets and separate cabinets are believed will account for a greater proportion of sales in the near future, although base units / vanities will continue to make up the bulk of the market.

At the time of writing (April 2021) there is still a great level of uncertainty regarding the economic recovery and expected demand for bathroom products. Many countries in Europe have gone into another lockdown, as vaccination efforts continue. If more lockdowns and constraints to economic activity continue over 2021, the forecasts for sales should be more negative than previously expected.

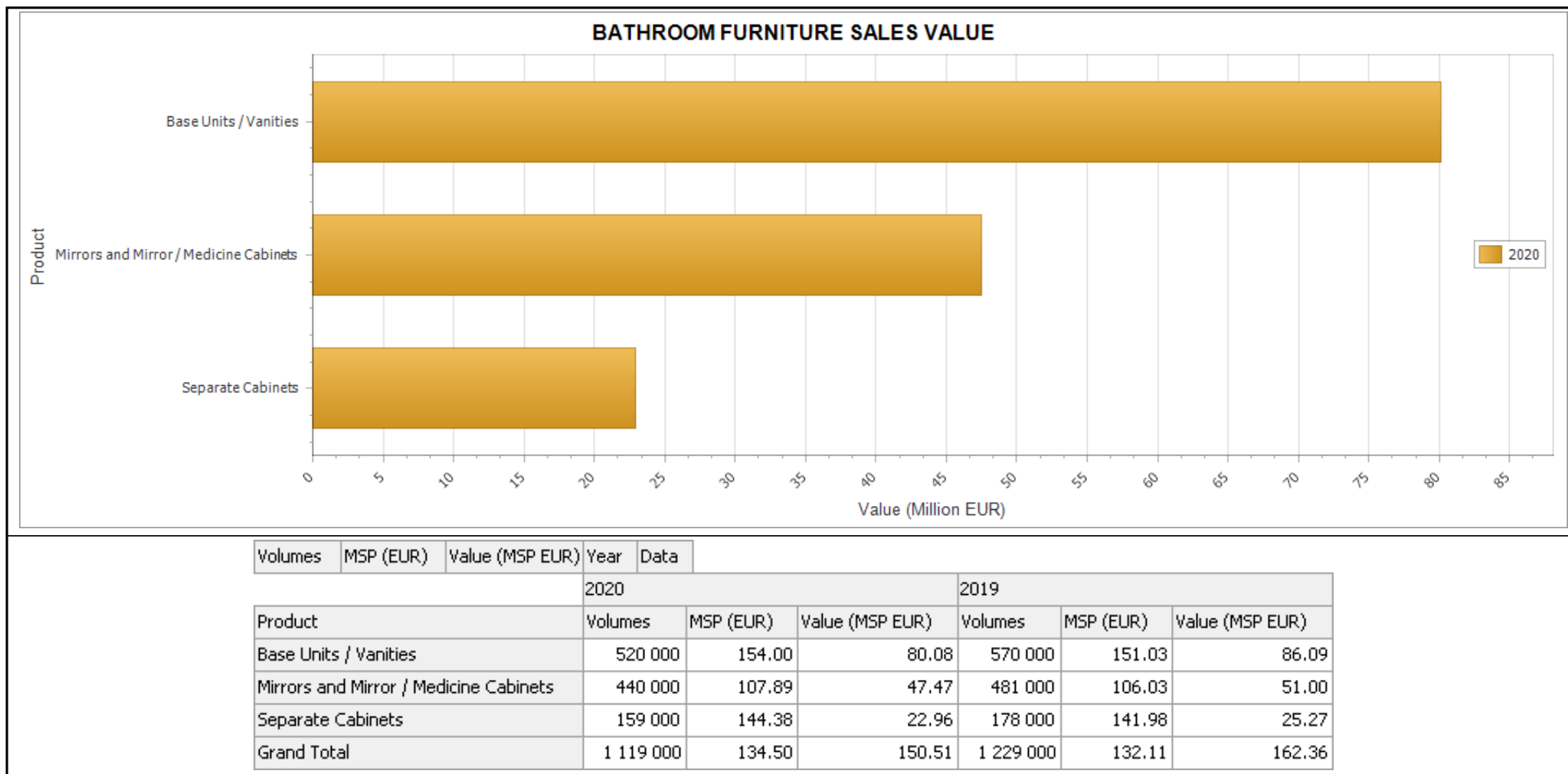
5.2 Historical Trends & Forecasts : Bathroom Furniture

ES - SUMMARY OF TRENDS IN THE BATHROOM FURNITURE MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews.

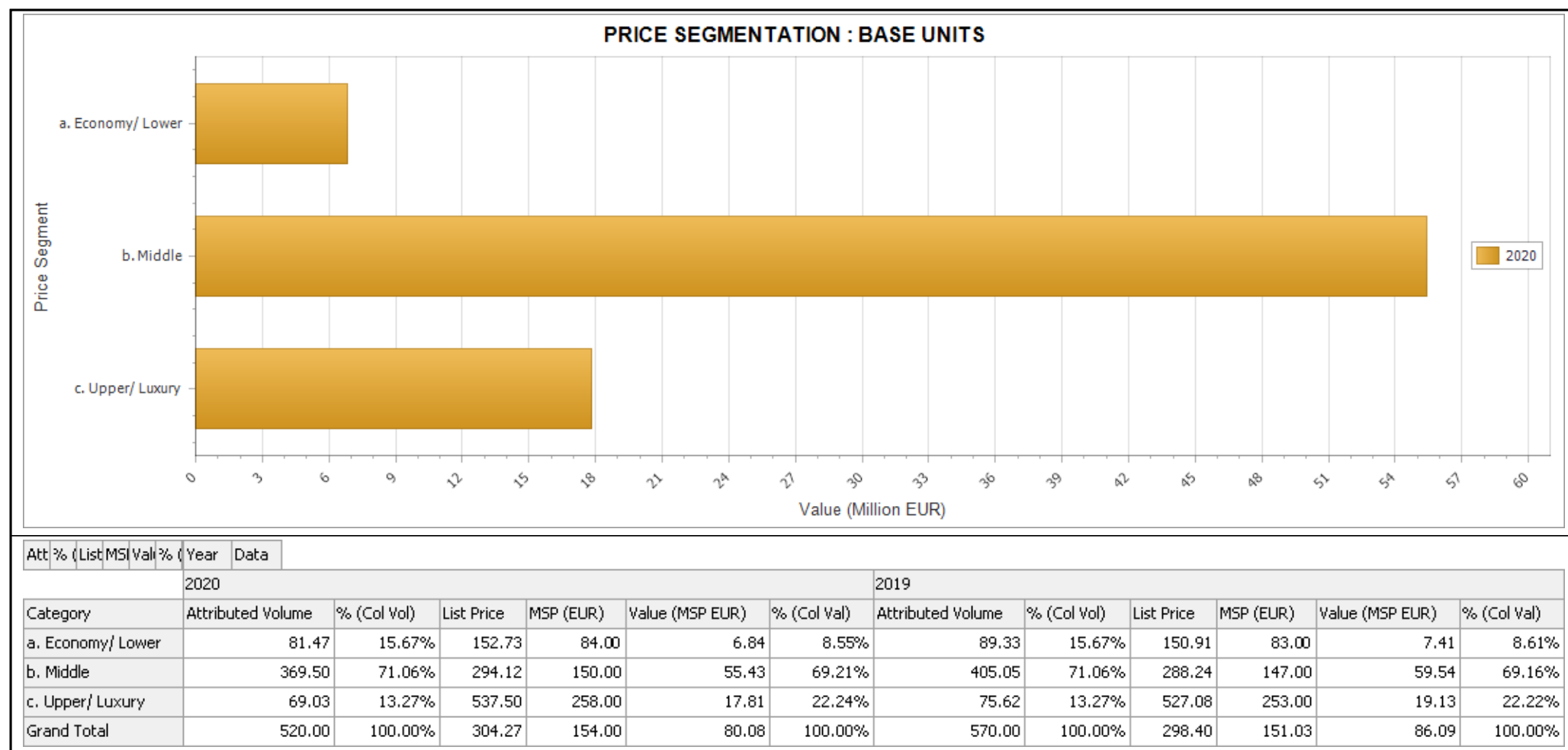
5.3.1 Prices and Market Values : Bathroom Furniture
ES - ESTIMATED VALUES OF THE BATHROOM FURNITURE MARKET



Source: BRG based on industry interviews. Values Shown in Millions (at MSP = Manufacturers' Selling Price)

5.3.2 Price Segmentation : Base Units

ES - ESTIMATED PRICE SEGMENTATION FOR BASE UNITS

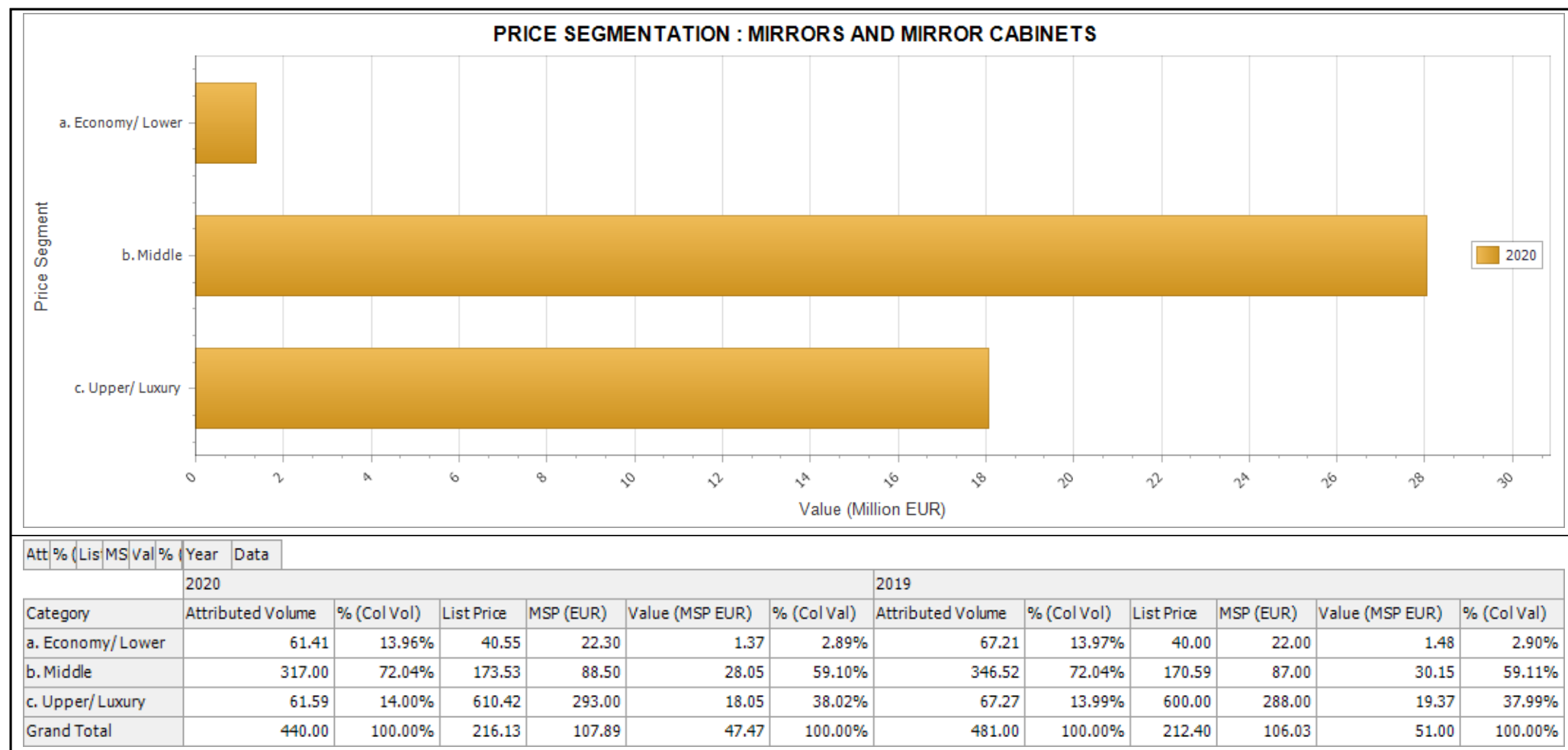


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€100, Middle €100-€200, Upper/ Luxury >€200

5.3.3 Price Segmentation : Mirrors and Mirror Cabinets

ES - ESTIMATED PRICE SEGMENTATION FOR MIRRORS AND MIRROR CABINETS

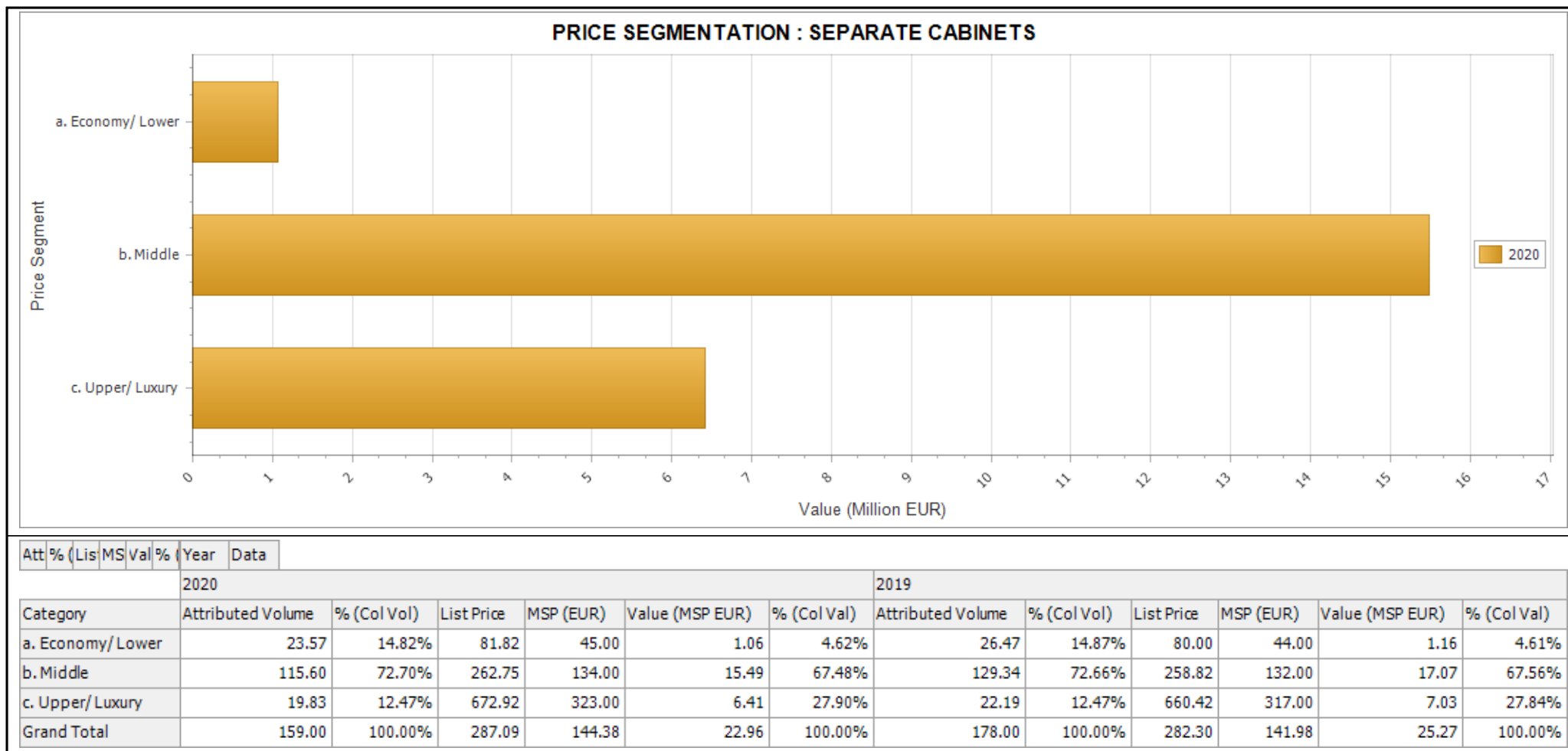


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€60 Middle €60-€120, Upper/ Luxury >€120

5.3.4 Price Segmentation : Separate Cabinets

ES - ESTIMATED PRICE SEGMENTATION FOR SEPARATE CABINETS

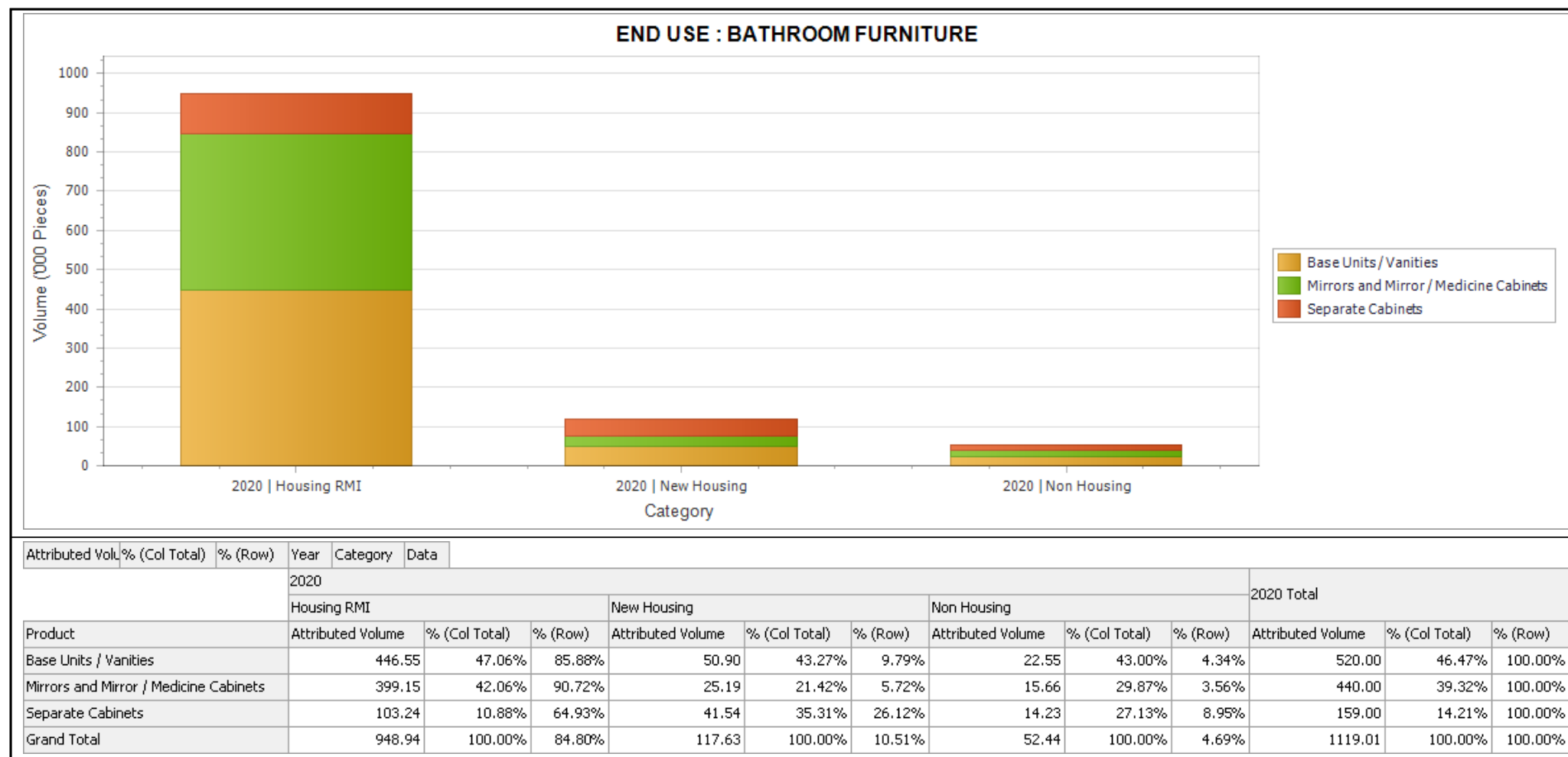


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€100, Middle €100-€200, Upper/ Luxury >€200

5.4.1 End Use : Base Year

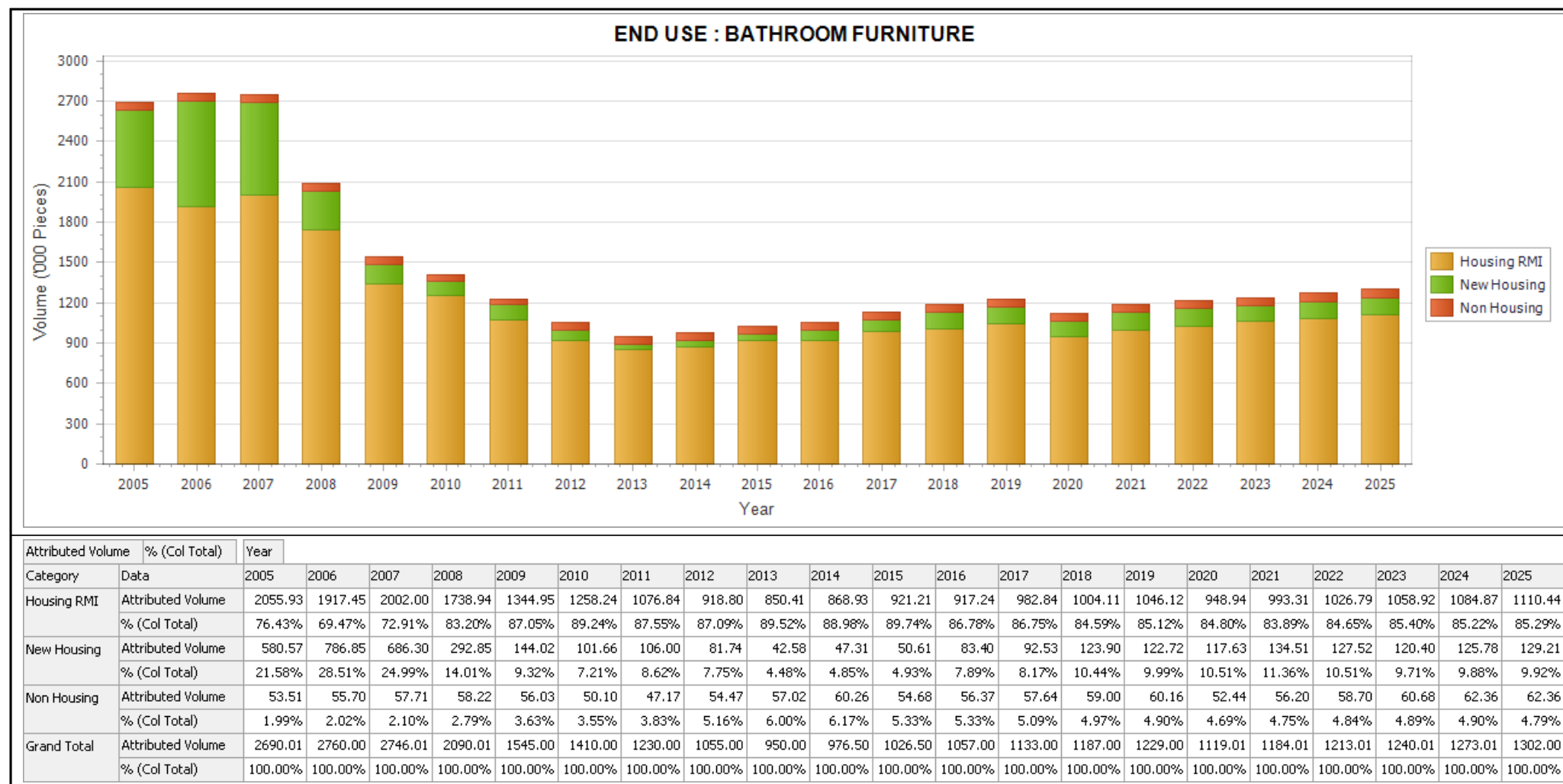
ES - SALES OF BATHROOM FURNITURE BY TYPE AND END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

5.4.2 End Use : Historical and Forecasts

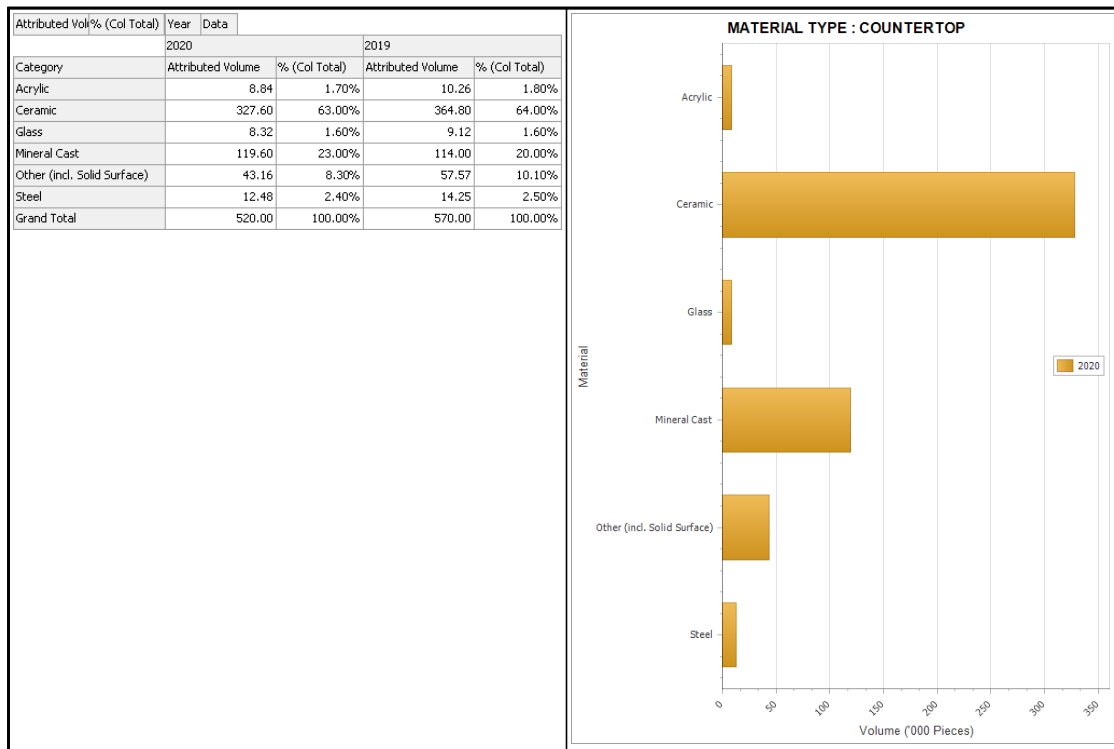
ES - SALES OF BATHROOM FURNITURE BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

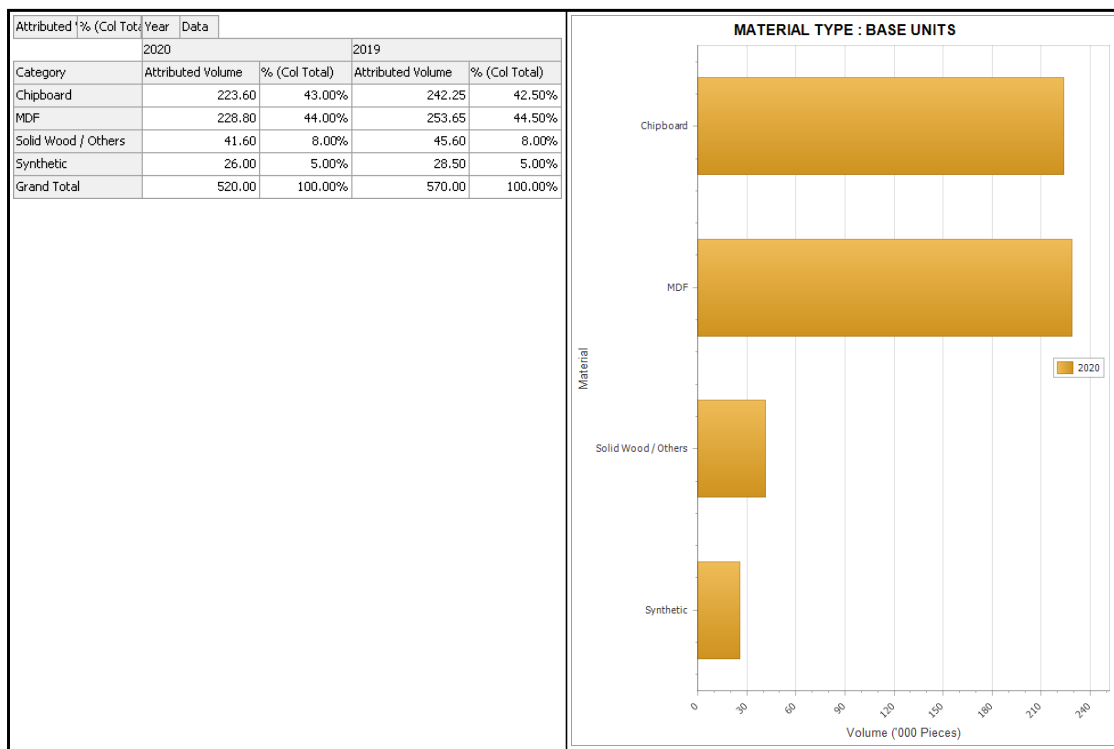
5.4.3 Sales by Type of Washbasin Material : Base Units

ES - BASE UNIT SALES BY WASHBASIN MATERIAL TYPE ('000 PIECES)



5.4.4 Sales by Type of Material : Base Units

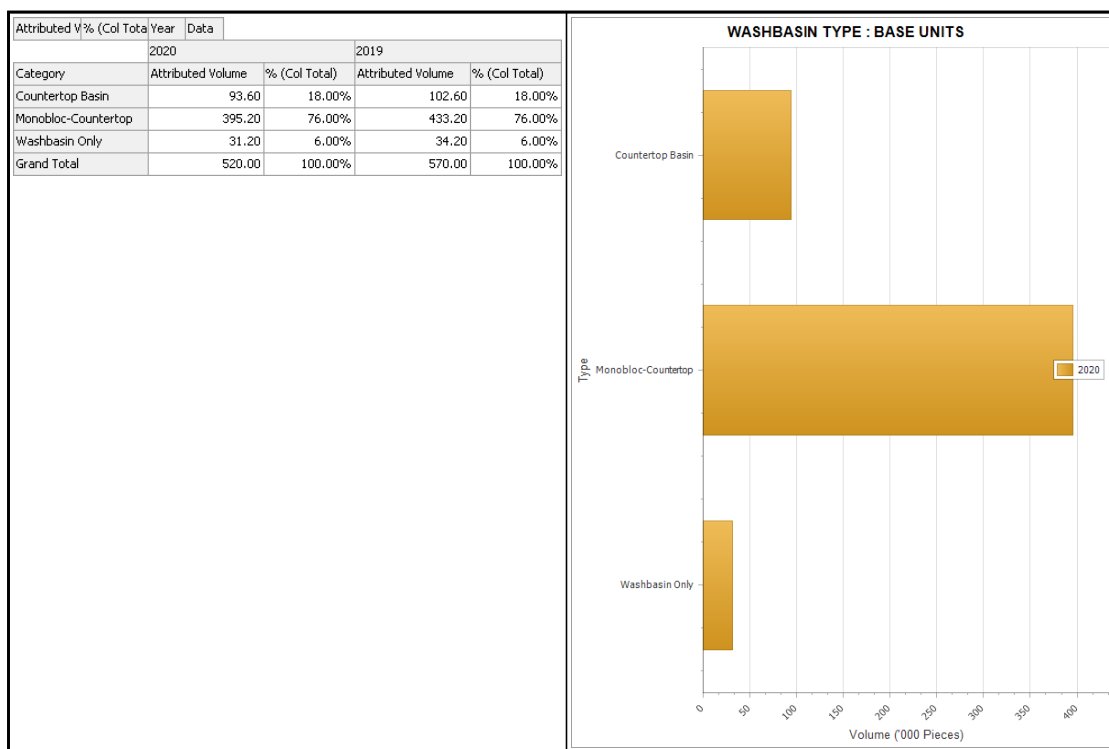
ES - BASE UNIT SALES BY MATERIAL TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

5.4.5 Sales by Type of Washbasin : Base Units

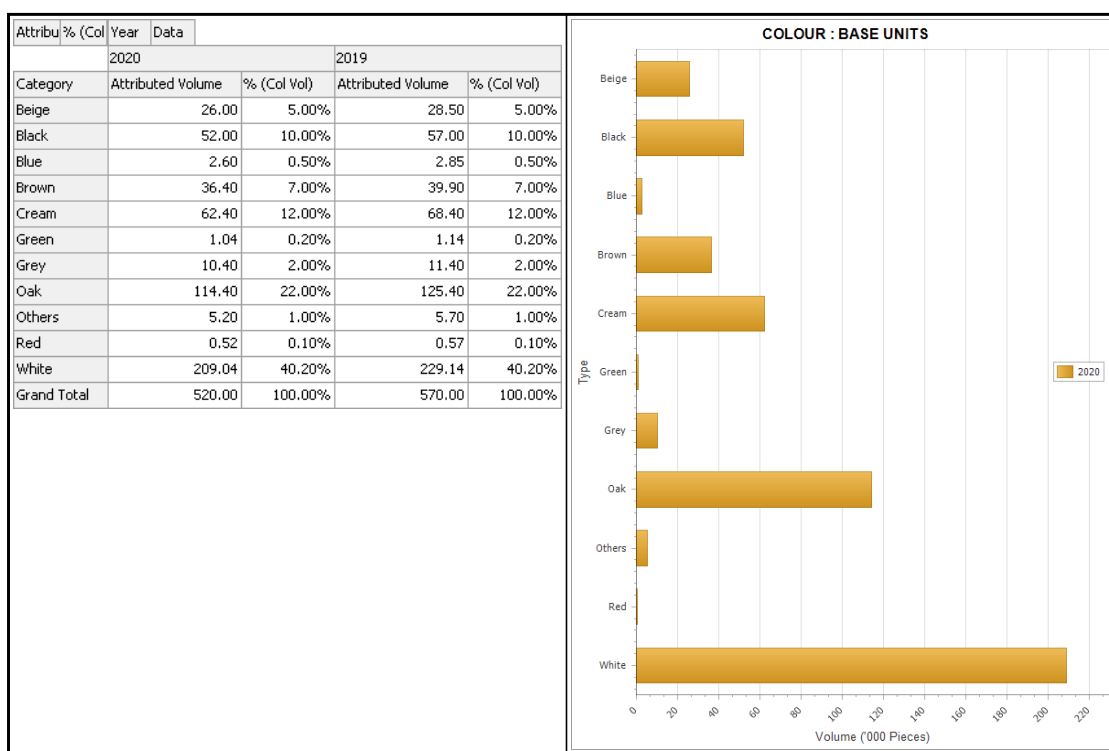
ES - BASE UNIT SALES BY WASHBASIN TYPE ('000 PIECES)



N.B. Washbasins only (non-countertop) are included in the above volumes for purposes of completeness.

5.4.6 Sales by Type of Colour : Base Units

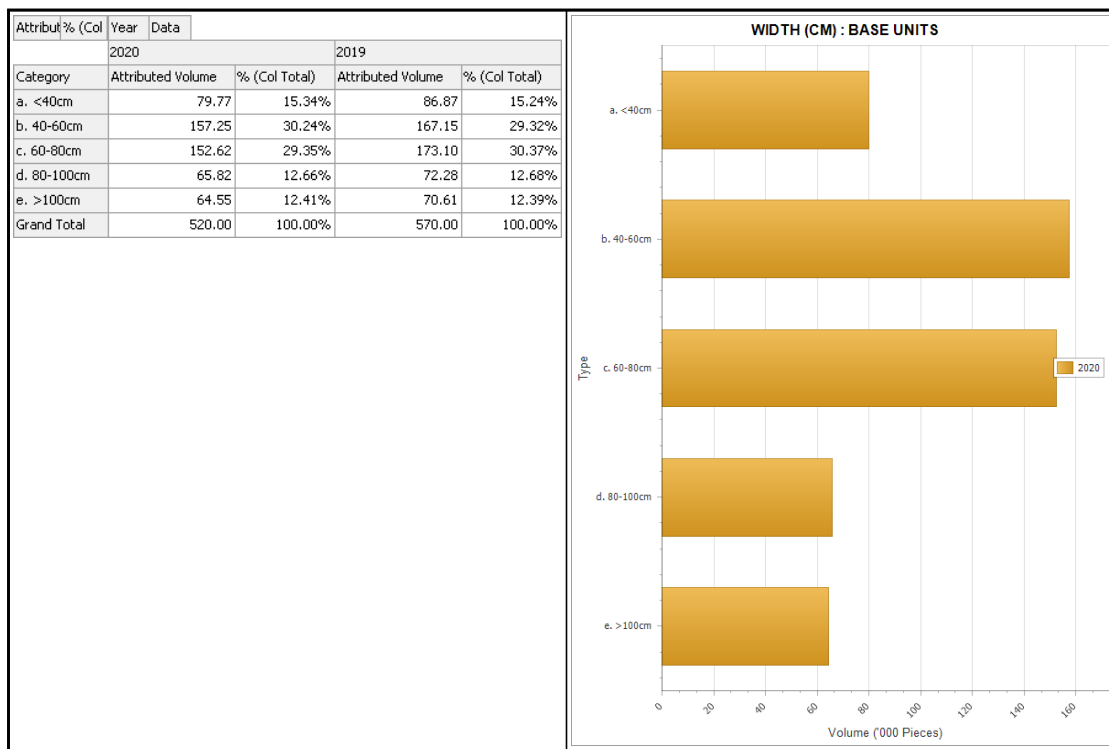
ES - BASE UNIT SALES BY COLOUR ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

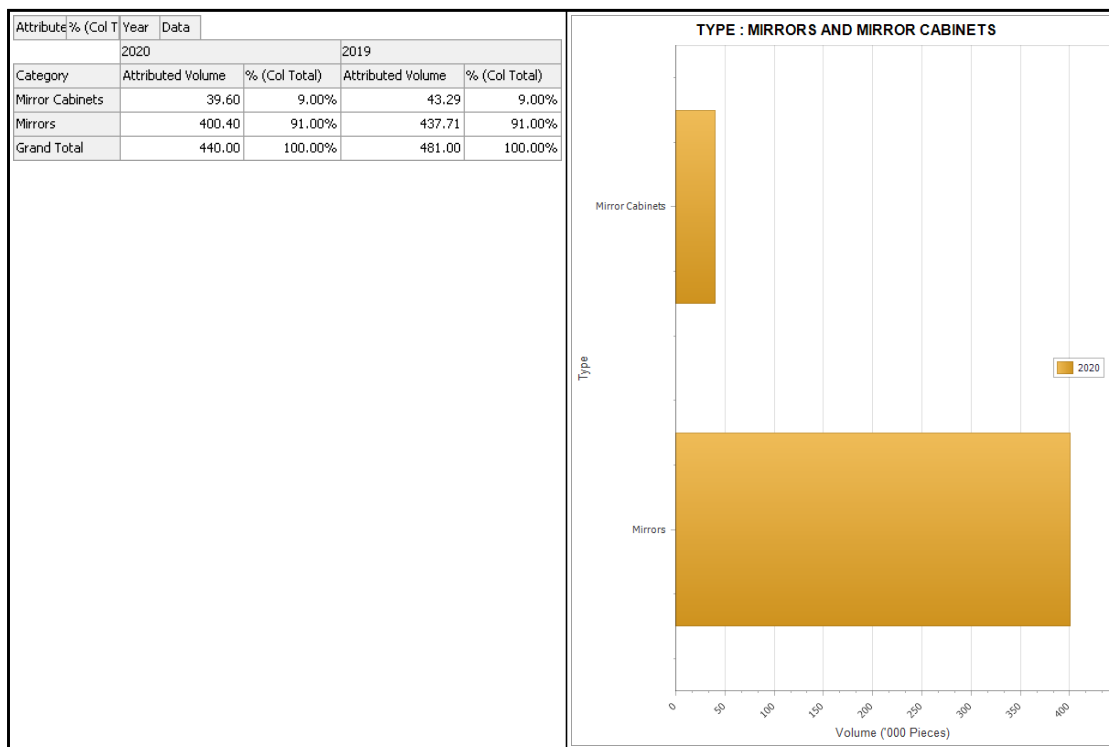
5.4.7 Sales by Width : Base Units

ES - BASE UNIT SALES BY WIDTH ('000 PIECES)



5.4.8 Sales by Type : Mirror and Mirror Cabinets

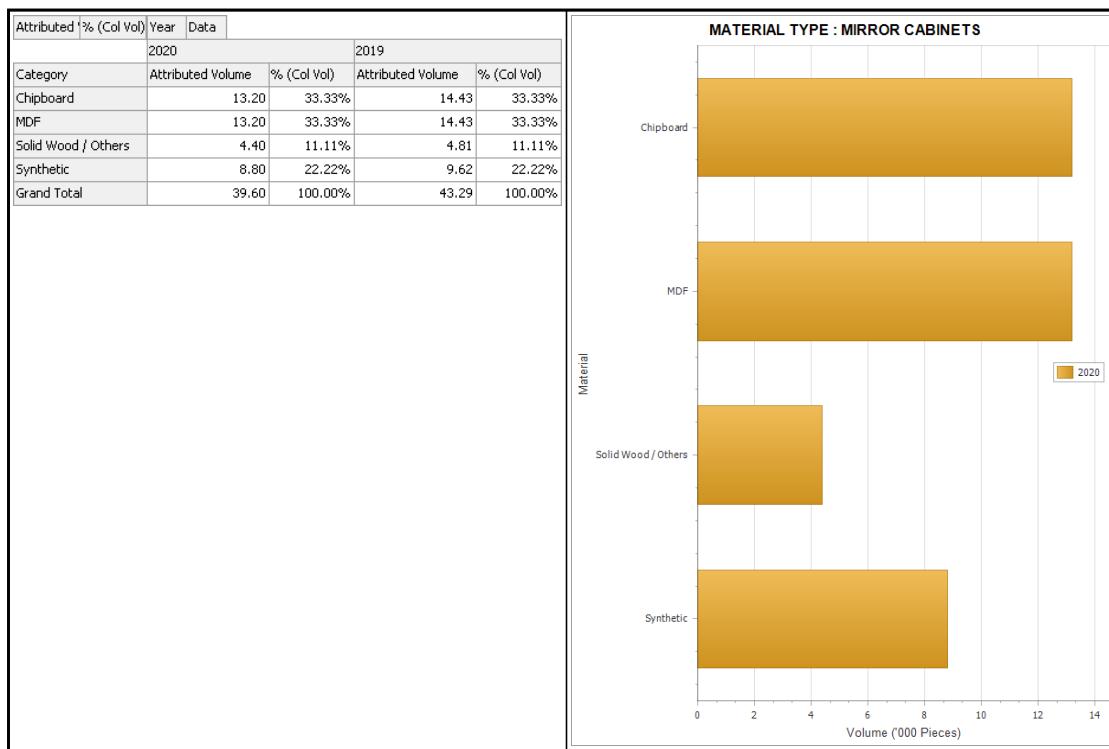
ES - MIRROR AND MIRROR CABINET SALES BY TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

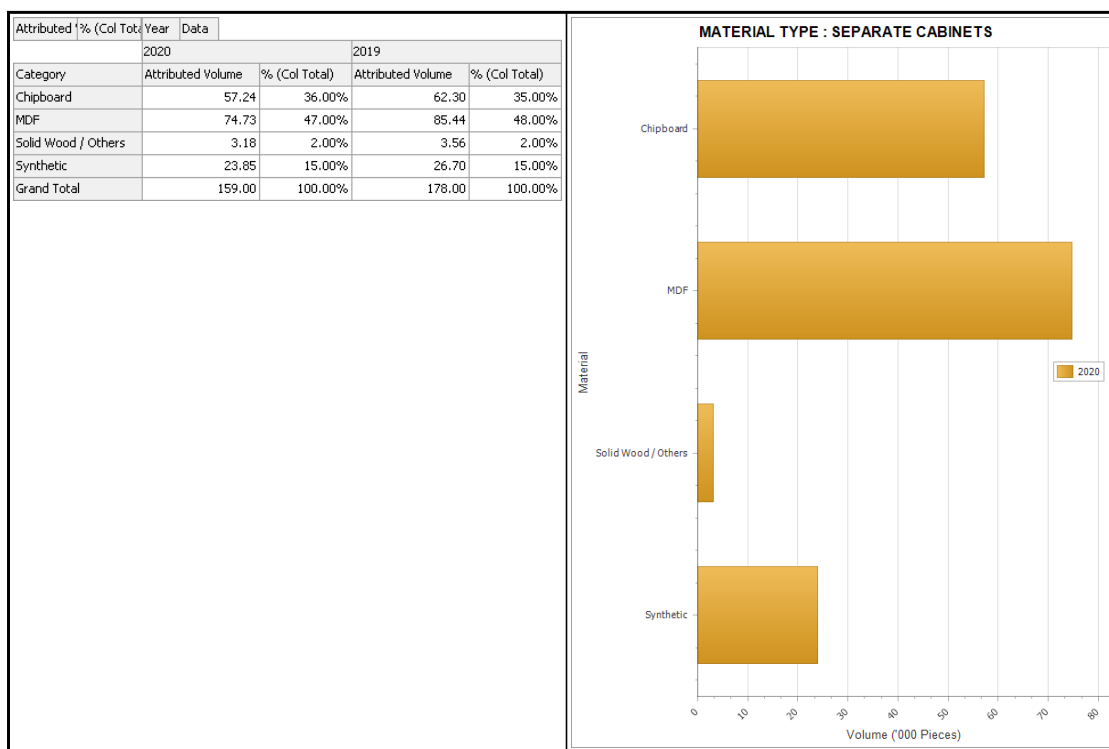
5.4.9 Sales by Type of Material : Mirror Cabinets

ES - MIRROR CABINET SALES BY MATERIAL TYPE ('000 PIECES)



5.4.10 Sales by Type of Material : Separate Cabinets

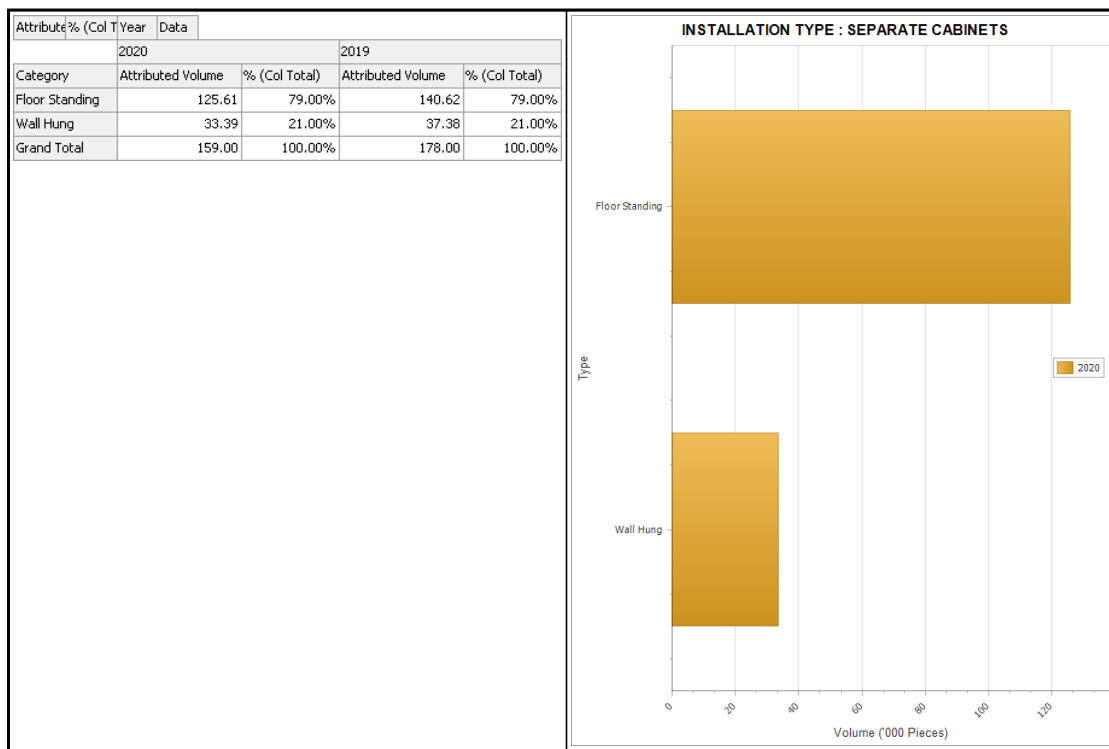
ES - SEPARATE CABINET SALES BY MATERIAL TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

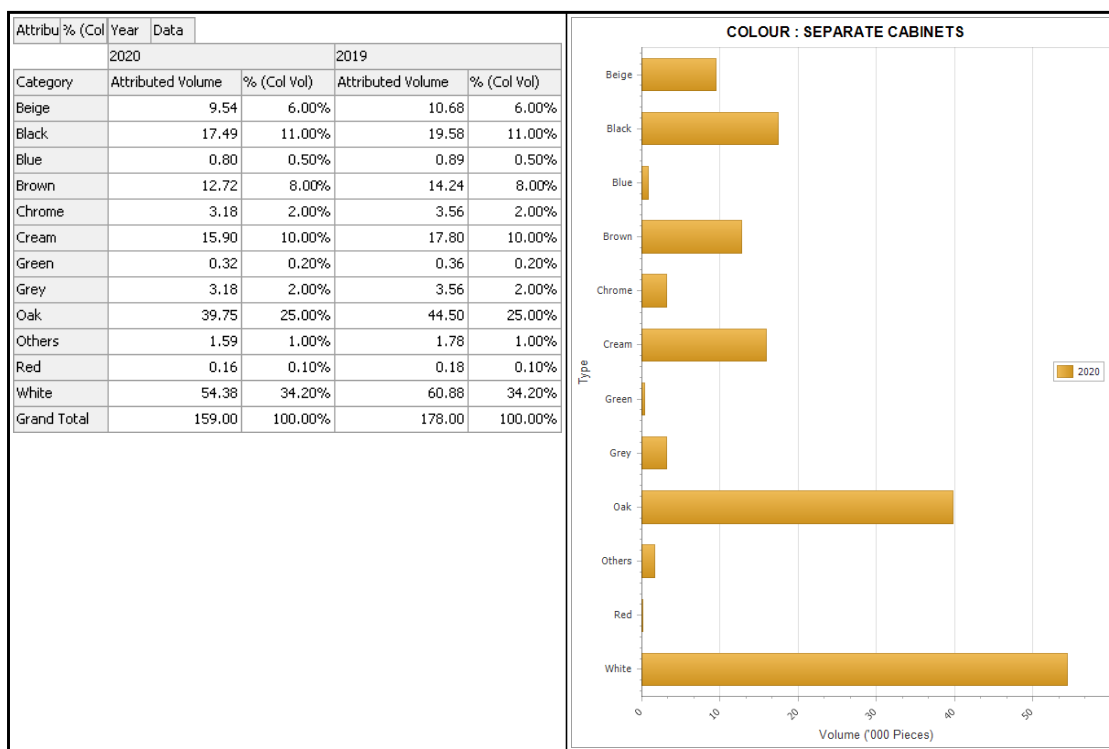
5.4.11 Sales by Type of Installation : Separate Cabinets

ES - SEPARATE CABINET SALES BY INSTALLATION TYPE ('000 PIECES)



5.4.12 Sales by Type of Colour : Separate Cabinets

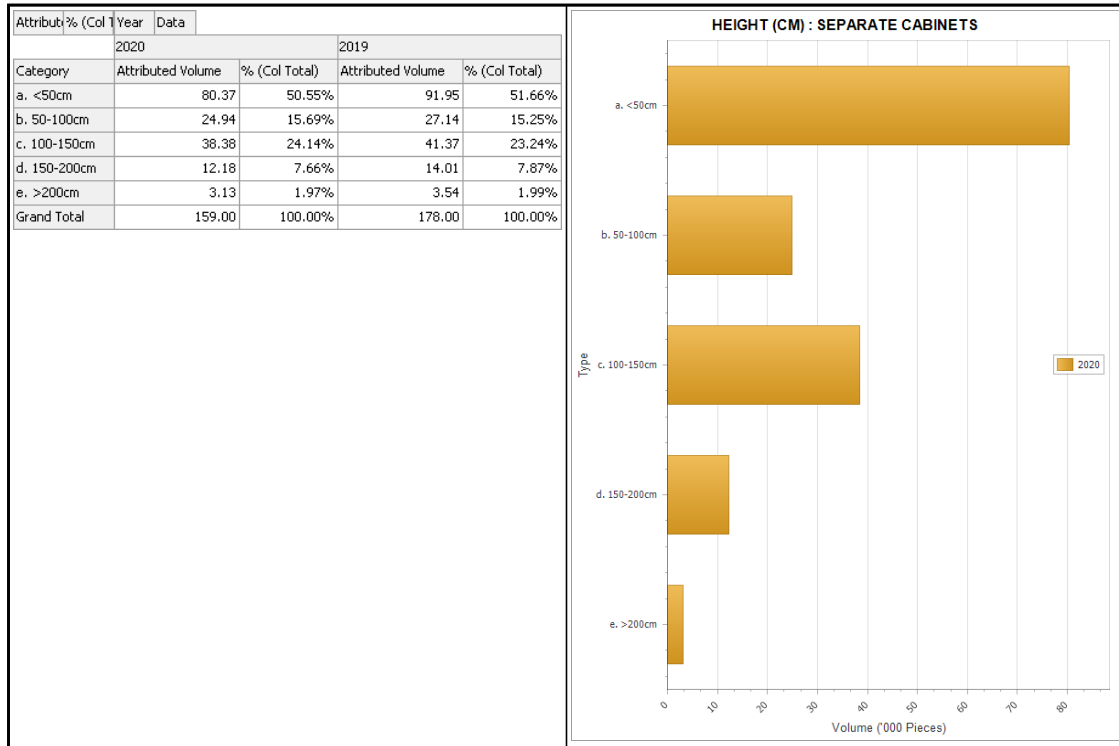
ES - SEPARATE CABINET SALES BY COLOUR ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

5.4.13 Sales by Height : Separate Cabinets

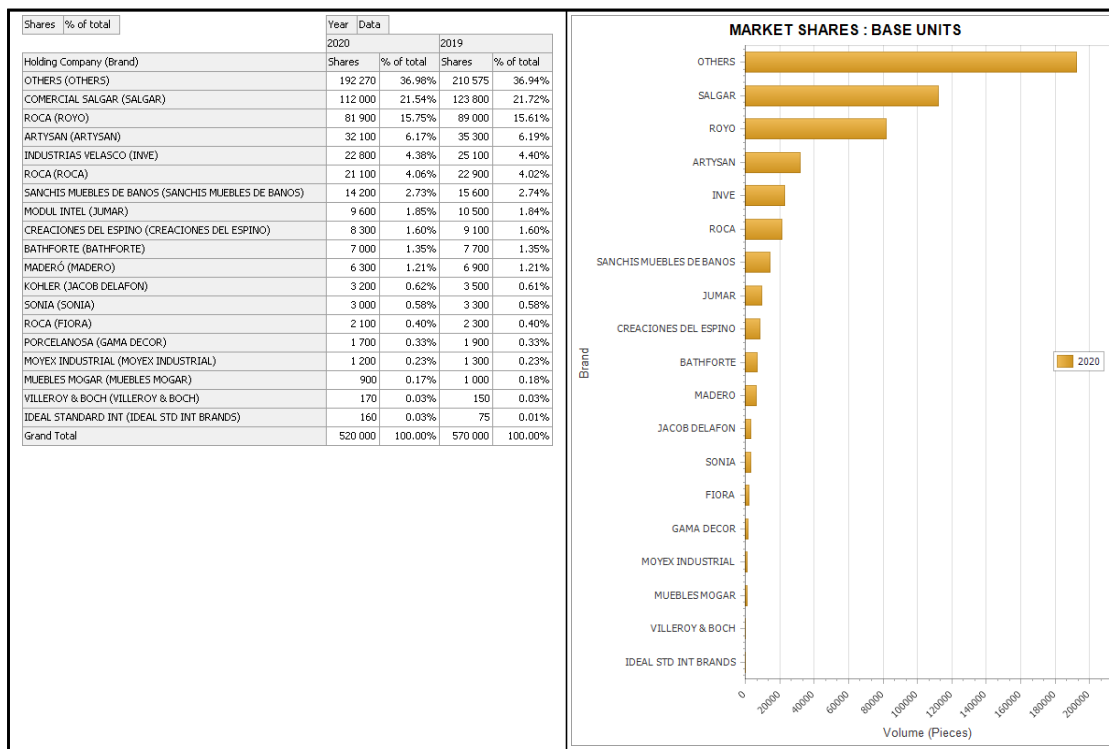
ES - SEPARATE CABINET SALES BY HEIGHT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

5.5.1 Market Shares : Base Units

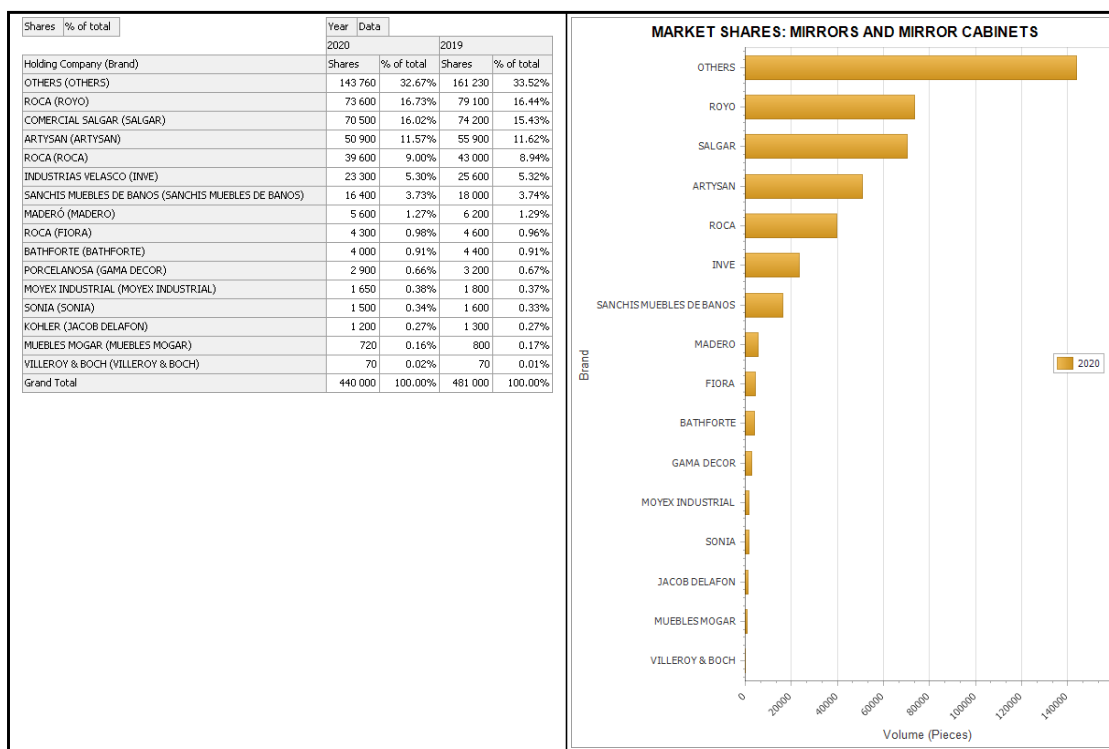
ES - ESTIMATED MARKET SHARES FOR BASE UNITS



Source: BRG based on industry interviews.

5.5.2 Market Shares : Mirror and Mirror Cabinets

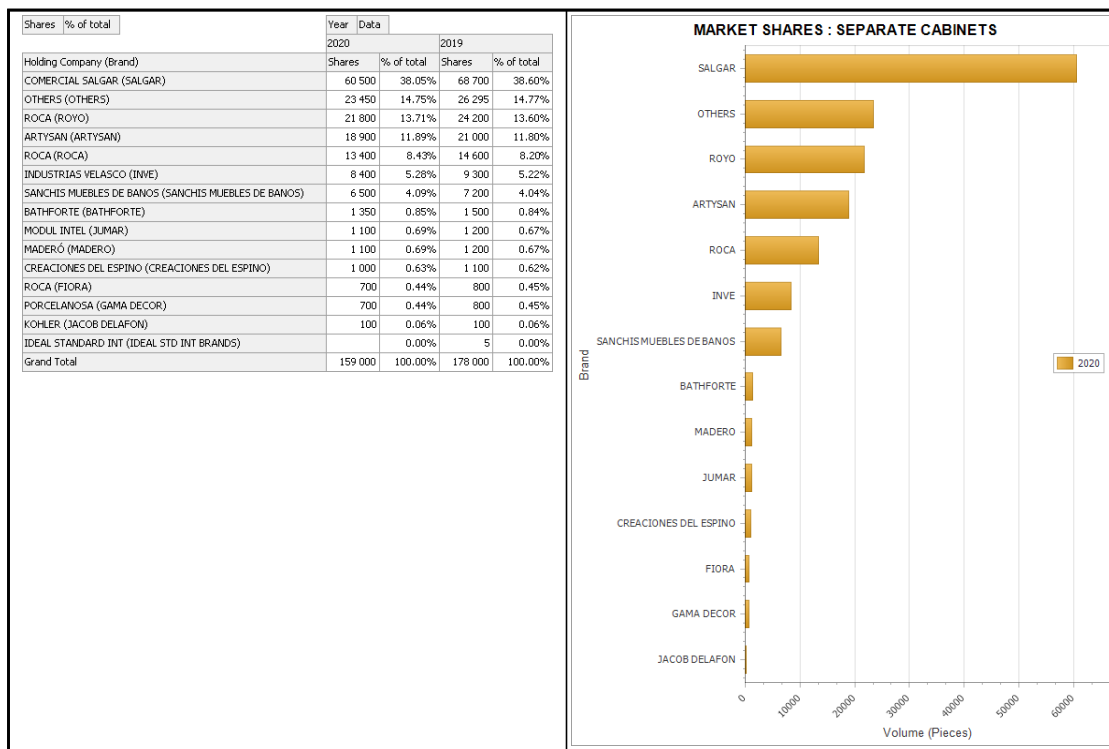
ES - ESTIMATED MARKET SHARES FOR MIRRORS AND MIRROR CABINETS



Source: BRG based on industry interviews.

5.5.3 Market Shares : Separate Cabinets

ES - ESTIMATED MARKET SHARES FOR SEPARATE CABINETS



Source: BRG based on industry interviews.

5.6.1

Route to Market: Bathroom Furniture
ES - ESTIMATED DISTRIBUTION FOR BATHROOM FURNITURE: 2020

Manufacturer / Importer

Manufacturers / Importers
100.0%

Wholesale Level

62.5%
Wholesalers / Merchants
62.5%

Retail Level

Manufacturer	Wholesaler
1.5%	2.0%
Internet Retailers	
3.5%	

Manufacturer	Wholesaler
16.6%	10.5%
DIY Retailers	
27.1%	

Manufacturer	Wholesaler
17.2%	5.4%
Specialist Retailers	
22.6%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
2.3%	40.6%	0.3%	11.0%	7.2%
Installers				
61.4%				

End Use Level

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.0%	3.9%	3.2%	16.0%	15.3%	56.8%
Residential					
95.3%					

New Build			Residential RMI		
10.5%			84.8%		
Project	Non-Project		Project	Non-Project	
7.4%	3.1%		4.5%	80.3%	

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.0%	0.1%	0.0%	0.0%	0.0%	4.6%
Non-Residential					
4.7%					

New Build			Non-Residential RMI		
2.3%			2.4%		
Project	Non-Project		Project	Non-Project	
1.9%	0.4%		1.8%	0.6%	

5.6.2

Route to Market: Bathroom Furniture
ES - ESTIMATED DISTRIBUTION FOR BATHROOM FURNITURE: 2025

Manufacturer / Importer

Manufacturers / Importers
100.0%

Wholesale Level

58.2%
Wholesalers / Merchants
58.2%

Retail Level

Manufacturer	Wholesaler
3.2%	3.6%
Internet Retailers	
6.7%	

Manufacturer	Wholesaler
18.5%	10.9%
DIY Retailers	
29.5%	

Manufacturer	Wholesaler
17.3%	4.8%
Specialist Retailers	
22.1%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
2.8%	37.8%	0.5%	12.0%	7.1%
Installers				
60.2%				

End Use Level

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.0%	1.0%	6.2%	17.5%	15.0%	55.5%
Residential					
95.2%					

New Build			Residential RMI		
9.9%			85.3%		
Project	Non-Project		Project	Non-Project	
7.3%	2.6%		4.7%	80.6%	

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.0%	0.1%	0.0%	0.0%	0.0%	4.7%
Non-Residential					
4.8%					

New Build			Non-Residential RMI		
2.4%			2.4%		
Project	Non-Project		Project	Non-Project	
2.0%	0.4%		1.9%	0.5%	

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

5.6.3 Route to Market - Consolidated View : Bathroom Furniture

ES - ESTIMATED DISTRIBUTION FOR BATHROOM FURNITURE : 2020

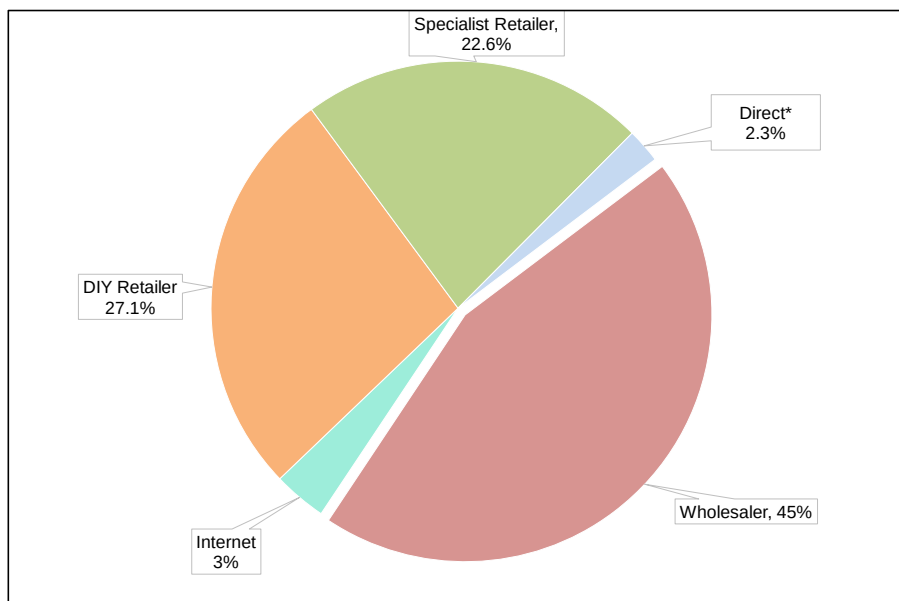
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
44.6%	3.5%	27.1%	22.6%	2.3%	11.9%	3.7%	83.4%	1.0%
100%					15.6%		84.4%	

5.6.4 Route to Market - Consolidated View : Bathroom Furniture

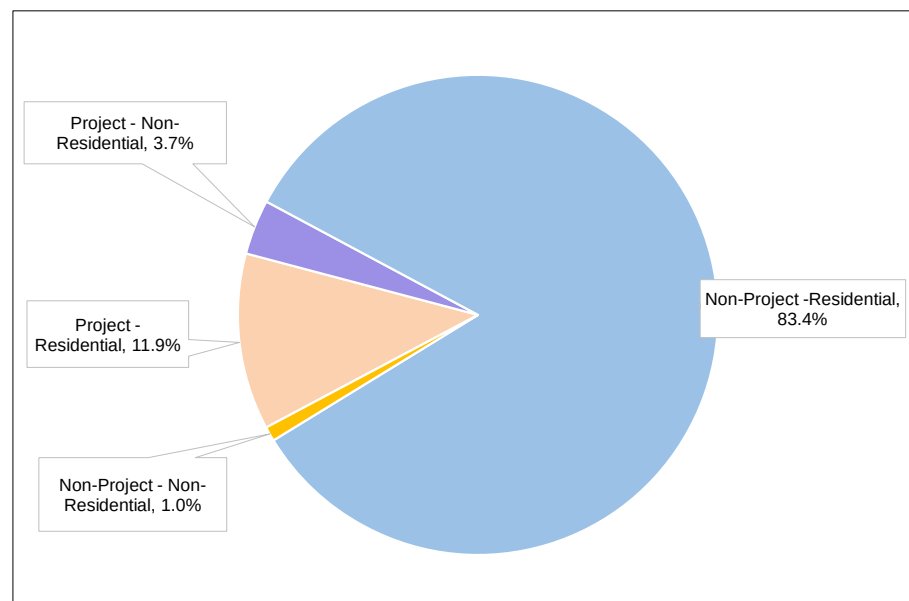
ES - ESTIMATED DISTRIBUTION FOR BATHROOM FURNITURE : 2025

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
38.9%	6.7%	29.5%	22.1%	2.8%	12.0%	3.9%	83.2%	0.9%
100%					15.9%		84.1%	

ES - SALES OF BATHROOM FURNITURE BY DISTRIBUTION CHANNEL: 2020



ES - SALES OF BATHROOM FURNITURE BY POINT OF DECISION AND END-USE SECTOR: 2020



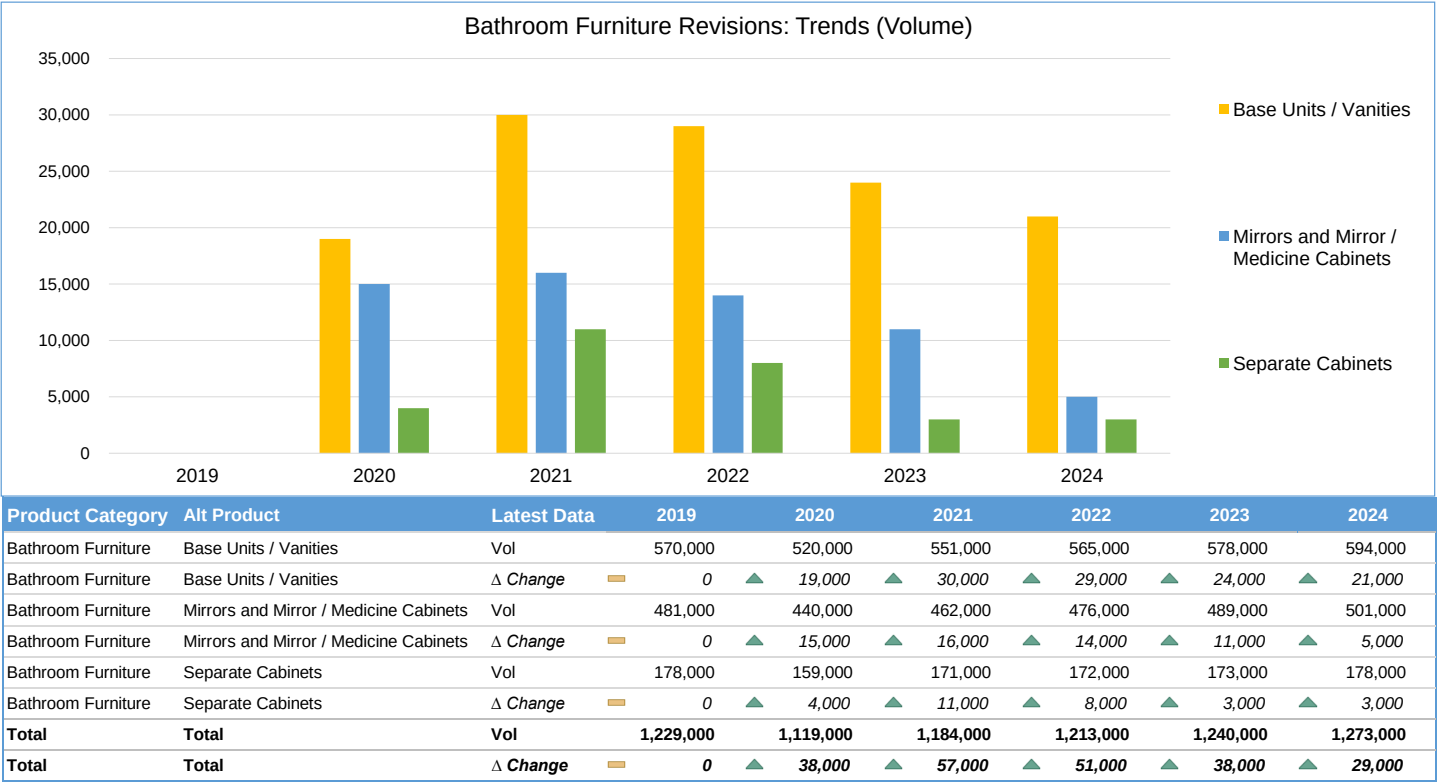
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

5.7 Revisions in the Spanish Bathroom Furniture Market (April 2021)

ES - REVISIONS IN THE SPANISH BATHROOM FURNITURE MARKET

Data Comparison: October 2020



No changes have been made to historical volumes and values for this market.

SPAIN

BATHROOM ACCESSORIES

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Product Mix

The Spanish bathroom accessories market experienced dynamic growth in the two decades leading up to 2006, before suffering from the collapse of Spain's economy in the second half of 2007. Prior to the crash, the Spanish bathroom accessories market benefitted from high levels of construction and renovation activity, combined with a growing desire among Spanish consumers for aesthetically pleasing products. After seven consecutive years of declining sales, the bathroom accessories market bounced back and returned to growth in 2015.

The Spanish bathroom accessories market has historically been supported by two products, towel and toilet paper holders, which are the most popular product categories. It has been reported that the range of products available on the Spanish bathroom accessories market has widened in the past decade, with manufacturers having extended their product ranges to satisfy the demand for new products.

The Spanish bathroom accessories market has been characterised by the dominant share of products made of metal in the last decade. These accessories (either in brass, steel the cheaper alternative zamac, i.e. aluminium + zinc) not only represent a modern design style for home furniture, but also present many advantages in terms of maintenance. The other material that has a significant share in the market is synthetic (mostly plastic). The increase in Asian imports (Chinese in particular) over the last decade has also contributed to the increasing share of plastic accessories.

It is relevant to mention that synthetic accessories relate more specifically to toilet brushes, towel rings and toothbrush holders, while other materials might be more commonly found in other products. In addition, plastic accessories are mainly found in the CII sector (commercial, institutional and industrial), such as restaurants, sport centres and lower-standard hotels. The rest of the market splits roughly between the other types of materials, although their shares have decreased slightly.

Recent Market Trends

After continuous growth since 2015, the bathroom accessories market witnessed a sharp decline in 2020. This sharp decline is mostly because of the negative impact of COVID-19 on the economy and general market conditions throughout the year. The drop in private consumption during 2020, and consequently a loss of purchasing power and a decline in disposable income during the year, led to much less demand in comparison to the previous year. Many prospective consumers delayed or even cancelled new purchases, with the threat of virus outbreak looming all through the year.

As a matter of fact, this market has experienced moderate growth over the years and is not gaining much traction in sales. The general preference at present for

consumers is to invest in other bathroom products such as bathroom furniture or designer sanitary ware, which holds back the potential of the market. Bathroom furniture and other costlier products tend to add more value and aesthetic appeal to a bathroom than bathroom accessories do, which explains the higher investment rate of these goods.

Prices and Market Values

In terms of price segmentation, Spain has always been a price-driven market, with sales being increasingly made in DIY stores, notably thanks to imports coming from Asia, especially China. Only slight increases in volumes sold have been seen in the case of luxury products. This has led to a strong growth over the last few years of products in the economy and lower categories, which have gained substantial share from the middle- and high-end categories. However, this trend was interrupted during 2020, with the middle, upper and luxury price segments gaining over the cheaper economy and lower price categories.

New Housing

With a decline in residential completions in both apartments and houses, the demand for bathroom accessories dropped in 2020. Bathroom accessories are regarded widely as replacement products in Spain, with the new housing sector only representing a small share of the overall sales of bathroom accessories in the country – as many new dwellings are only equipped with some basic accessories by the time of the purchase.

Housing RMI

Sales of bathroom accessories to the housing RMI sector also witnessed a sharp decline in 2020. This decrease in sales has been the worst in recent years, since it is the RMI market that drives the bathroom accessories market in Spain. Any drop in demand for this sector will indeed reflect on the overall market. A lacklustre performance of the Spanish economy, owing to the COVID-19 outbreak, a drop in consumer confidence and fear of the virus deterred many consumers from making purchases, or caused them to postpone them, thus directly impacting housing RMI sales.

The housing RMI segment remains the main end-use segment for bathroom accessories and, as in many other bathroom market product segments, also sees a diverse product mix. In the new build sector, however, the best-selling accessories include 'essential' items such as toilet paper holders and toilet brushes.

Non-Housing

In 2020, sales of bathroom accessories into the non-housing segment dropped significantly. The sales volume to this sector also witnessed a sharp decline in the year as commercial construction, hospitality and small restaurant businesses were hit hard by the pandemic. Although a number of small eateries and restaurants did

start takeaway and home delivery services much later in the year, the majority of them postponed renovations and replacement plans until the next year.

The hospitality industry is moving away from the most expensive items towards bathroom accessories that add design features at the minimum cost possible, which has been supporting sales of bathroom accessories to this end-use segment. However, this trend could not do much to enhance sales in 2020, due to the prevailing, depressing condition of businesses.

Supply Structure

The Spanish bathroom accessories market is stable, and is led by domestic manufacturers, followed by imports that are mainly from China, Italy and Germany. ROCA is the leader in this sector, with its brands COSMIC and POM D'OR. COMERCIAL SALGAR, BAÑO DISEÑO, and ROCA (ROCA) are the other important domestic manufacturers. It is believed that most Spanish bathroom accessories are being imported from China, with COSMIC even relocating its production to China. Some of the imported brands in the Spanish bathroom accessories market are INDA, from Italy, and KEUCO, from Germany.

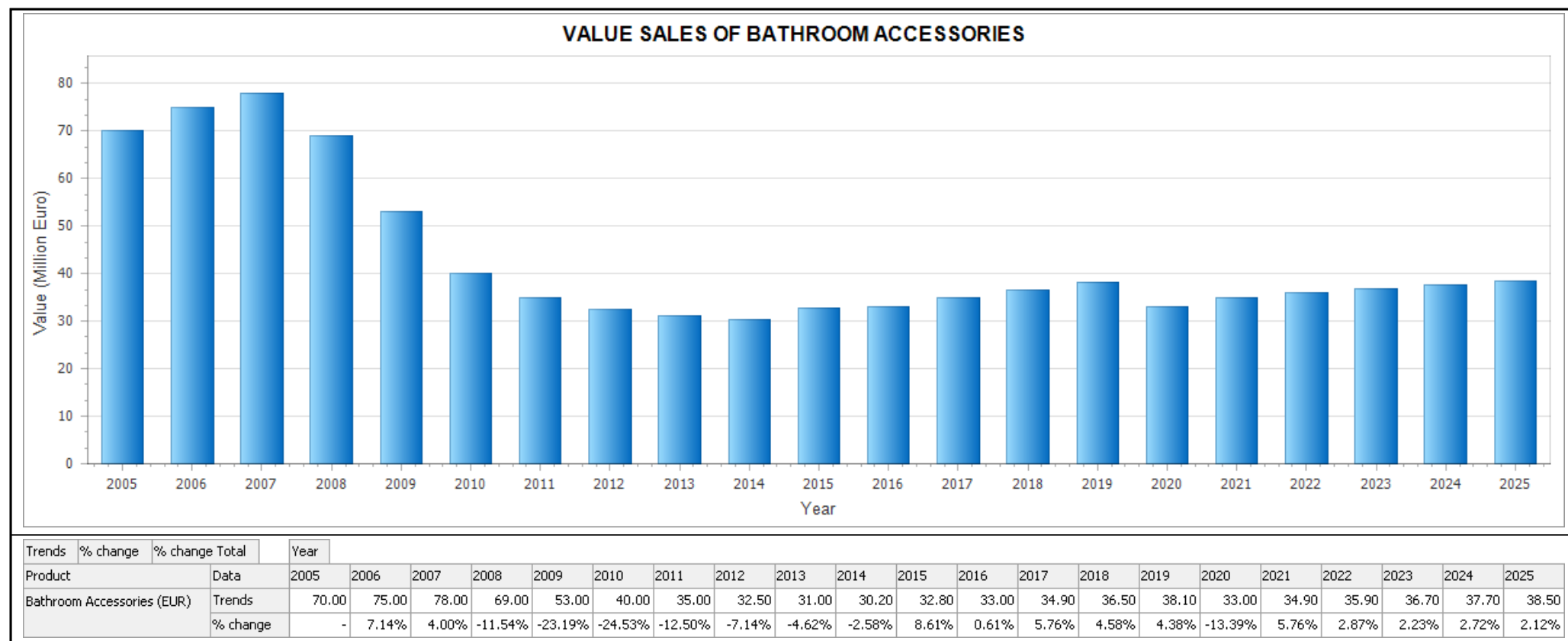
Forecasts

2021 is expected to be a better year for the Spanish bathroom accessories market, with the overall economy recovering and purchasing power improving. Increasing private and public investments are expected to ensure a recovery of the RMI and new housing sectors. RMI activity is set to remain the most important driver in Spain, due to the maturity of the market.

Demand from the non-housing sector is expected to decline further, as the tourism industry (one of Spain's key economic sectors) has been strongly impacted by the COVID-19 outbreak, and with the uncertainty still prevailing even during 2021, improvement in demand from this sector still has a long way to go. Indeed, the improvement in private consumption is expected to have a positive impact on the bathroom accessories market and may accelerate the recovery of this segment. It is worth mentioning, however, that the market is not believed will return to pre-recession levels over the forecast period. The product mix of bathroom accessories is unlikely to change substantially, although the number of accessories per bathroom might continue to decline as bathrooms in the country become smaller. At the time of writing (April 2021) there is still a great level of uncertainty regarding the economic recovery and expected demand for bathroom products. Many countries in Europe have gone into another lockdown, as vaccination efforts continue. If more lockdowns and constraints to economic activity continue over 2021, the forecasts for sales should be more negative than previously expected.

6.2 Historical Trends and Forecasts

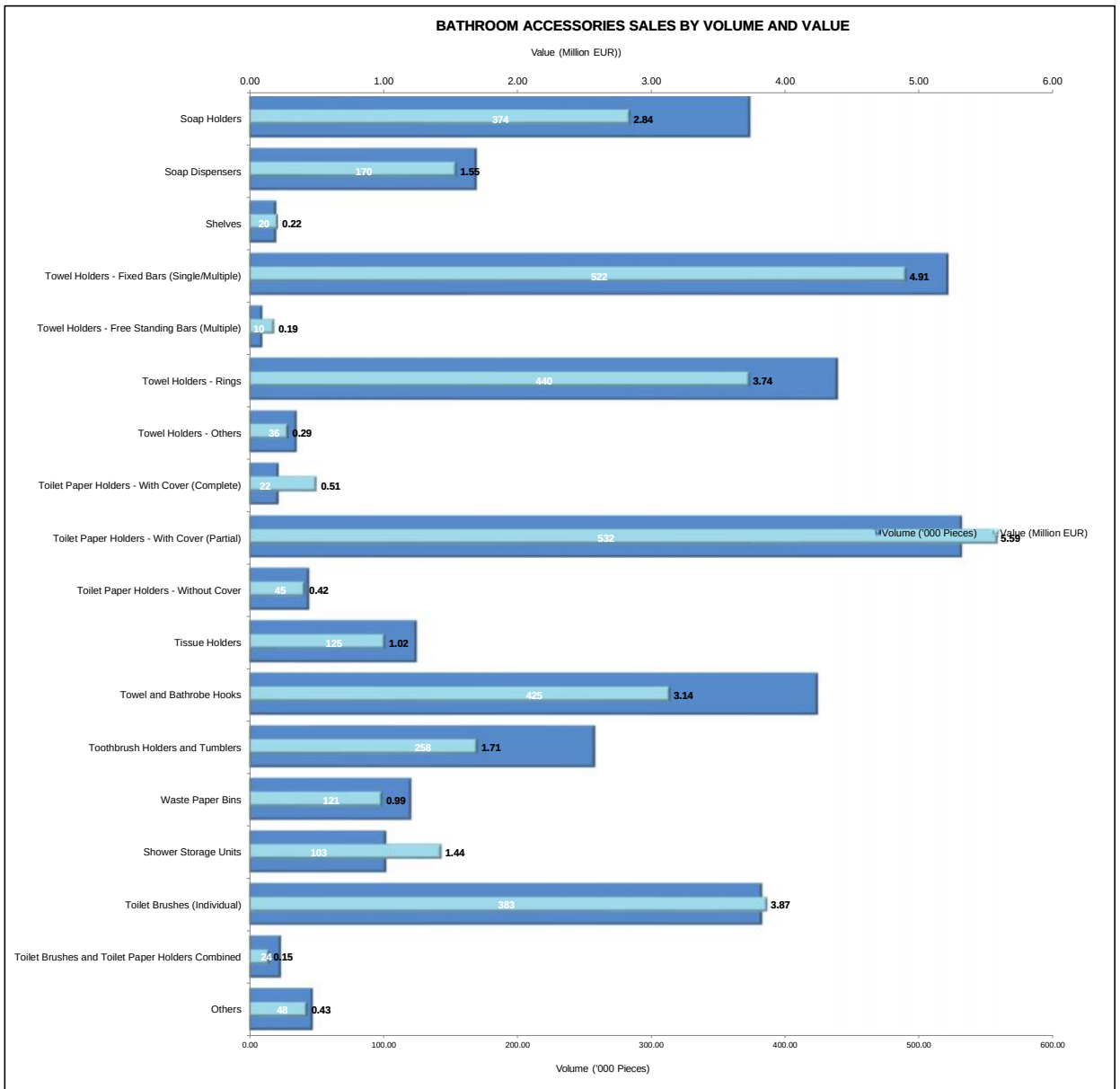
ES - SUMMARY OF TRENDS IN THE BATHROOM ACCESSORIES MARKET : HISTORICAL AND FORECASTS (MILLION EURO)



Source: BRG based on industry interviews.

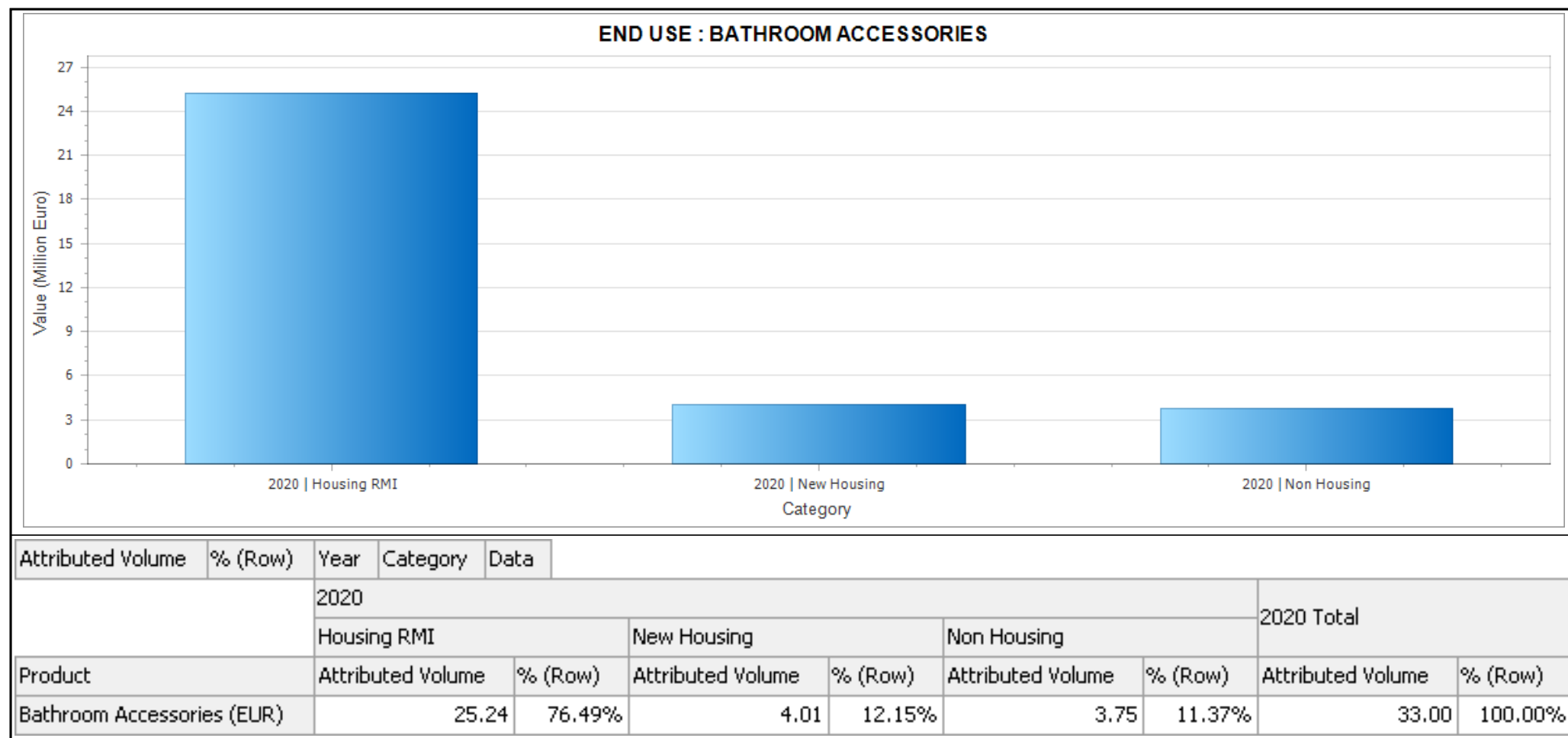
Market Value		2020	
		Volume ('000 Pieces)	Value (Million Euro)
Soap Holders	Volume / Value	374.3	2.8
	Share	10.2%	8.6%
	Average Price (EUR)		7.6
Soap Dispensers	Volume / Value	170.1	1.5
	Share	4.6%	4.7%
	Average Price (EUR)		9.1
Shelves	Volume / Value	20.5	0.2
	Share	0.6%	0.7%
	Average Price (EUR)		10.6
Towel Holders: Fixed Bars (Single/Multiple)	Volume / Value	522.0	4.9
	Share	14.3%	14.9%
	Average Price (EUR)		9.4
Towel Holders: Free Standing Bars (Multiple)	Volume / Value	10.2	0.2
	Share	0.3%	0.6%
	Average Price (EUR)		18.7
Towel Holders: Rings	Volume / Value	439.5	3.7
	Share	12.0%	11.3%
	Average Price (EUR)		8.5
Towel Holders: Others	Volume / Value	35.7	0.3
	Share	1.0%	0.9%
	Average Price (EUR)		8.2
Toilet Paper Holders: With Cover (Complete)	Volume / Value	22.3	0.5
	Share	0.6%	1.5%
	Average Price (EUR)		22.7
Toilet Paper Holders: With Cover (Partial)	Volume / Value	532.2	5.6
	Share	14.5%	16.9%
	Average Price (EUR)		10.5
Toilet Paper Holders: Without Cover	Volume / Value	45.0	0.4
	Share	1.2%	1.3%
	Average Price (EUR)		9.3
Tissue Holders	Volume / Value	125.3	1.0
	Share	3.4%	3.1%
	Average Price (EUR)		8.1
Towel and Bathrobe Hooks	Volume / Value	424.9	3.1
	Share	11.6%	9.5%
	Average Price (EUR)		7.4
Toothbrush Holders and Tumblers	Volume / Value	258.5	1.7
	Share	7.1%	5.2%
	Average Price (EUR)		6.6
Waste Paper Bins	Volume / Value	121.3	1.0
	Share	3.3%	3.0%
	Average Price (EUR)		8.2
Shower Storage Units	Volume / Value	102.6	1.4
	Share	2.8%	4.4%
	Average Price (EUR)		14.0
Toilet Brushes (Individual)	Volume / Value	383.1	3.9
	Share	10.5%	11.7%
	Average Price (EUR)		10.1
Toilet Brushes and Toilet Paper Holders Combined	Volume / Value	24.0	0.2
	Share	0.7%	0.5%
	Average Price (EUR)		6.3
Others	Volume / Value	47.8	0.4
	Share	1.3%	1.3%
	Average Price (EUR)		9.1
TOTAL	Volume in '000/Value in Million	3 659.3	33.0
	Share	100.0%	100.0%
	Average Price (EUR)		9.0

Source: BRG based on industry interviews
N.B. Prices Shown at MSP (= Manufacturers' Selling Price).



6.4.1 End Use : Base Year

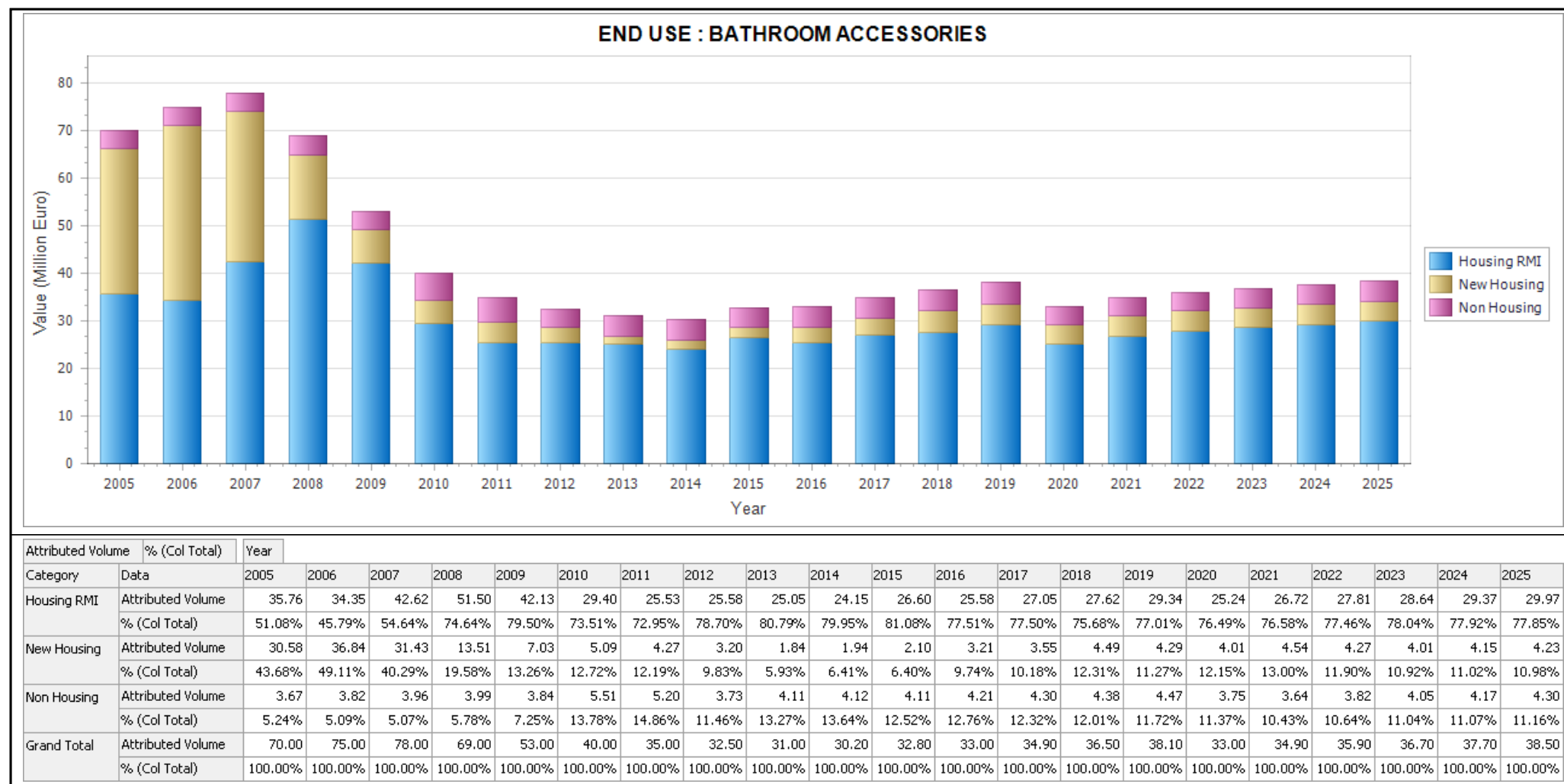
ES - SALES OF BATHROOM ACCESSORIES BY END USE SEGMENT (MILLION EURO)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

6.4.2 End Use : Historical and Forecasts

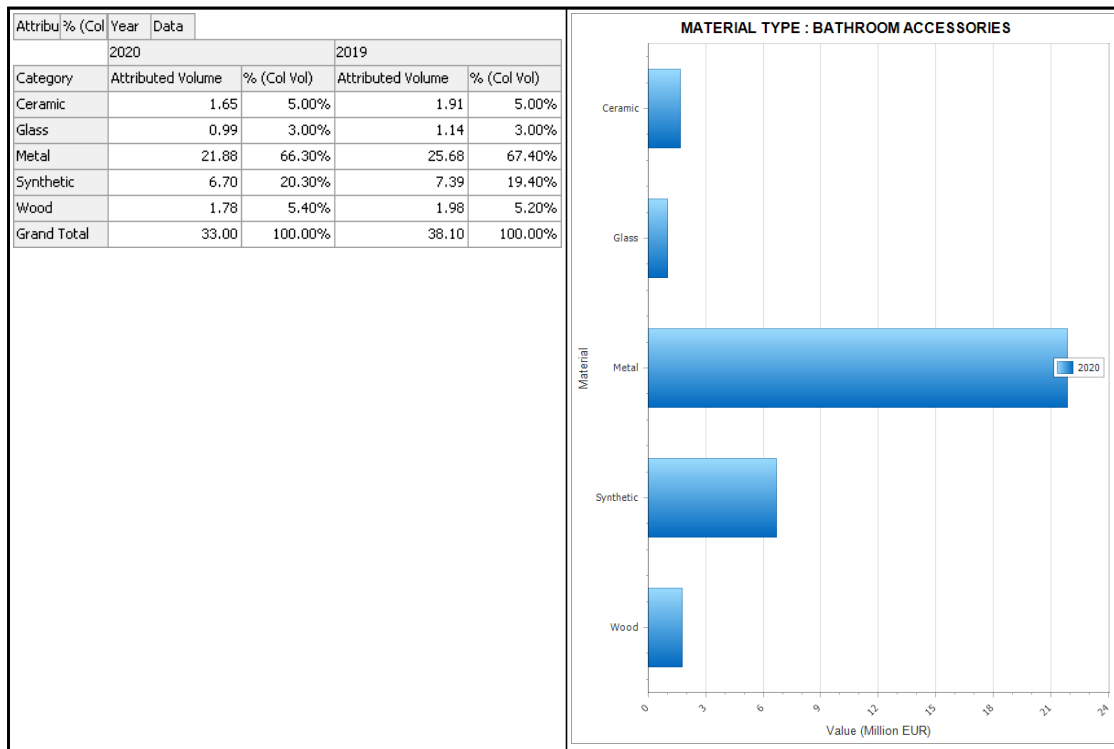
ES - SALES OF BATHROOM ACCESSORIES BY END USE SEGMENT (MILLION EURO)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

6.4.3 Sales by Type of Material : Bathroom Accessories

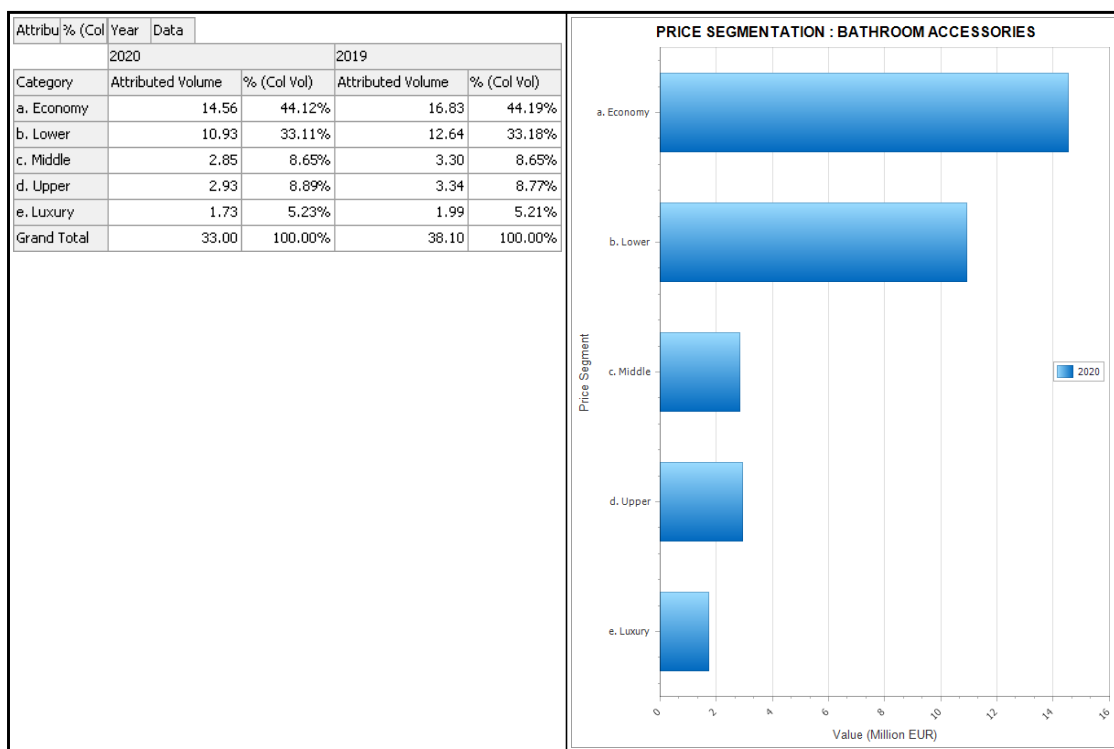
ES - BATHROOM ACCESSORY SALES BY MAIN MATERIAL TYPE (MILLION EUR)



Source: BRG based on industry interviews

6.4.4 Sales by Price Segment : Bathroom Accessories

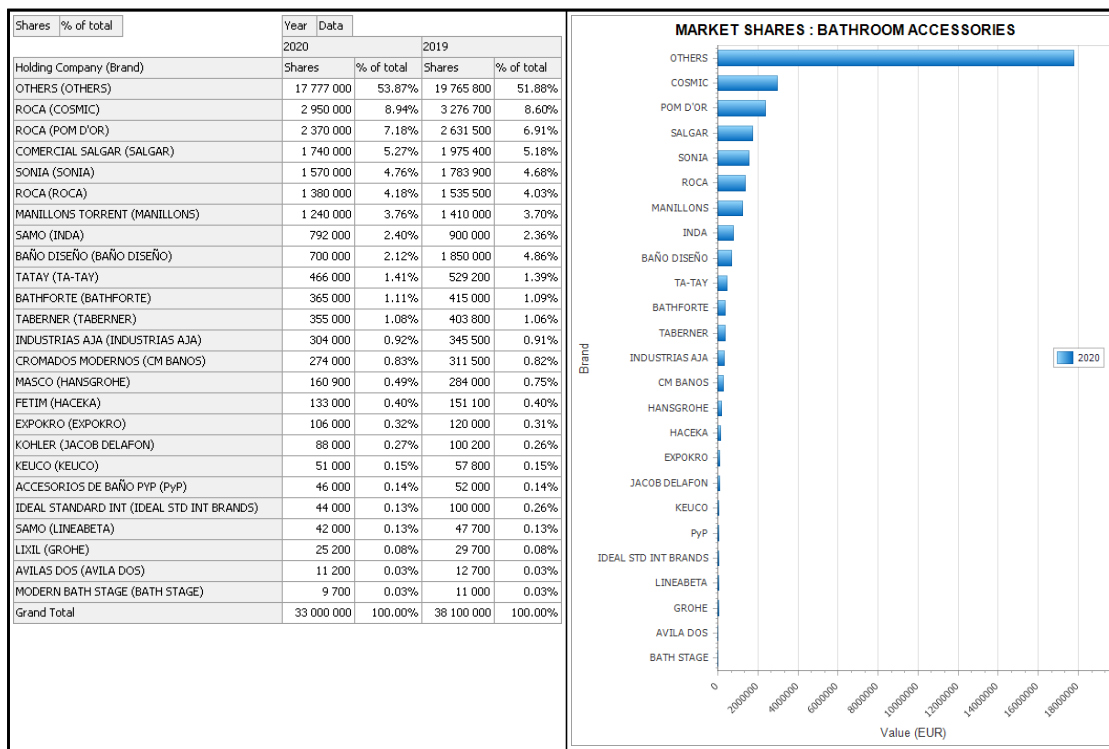
ES - BATHROOM ACCESSORY SALES BY PRICE SEGMENT (MILLION EUR)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

6.5 Market Shares : Bathroom Accessories

ES - ESTIMATED MARKET SHARES FOR BATHROOM ACCESSORIES (EUR)



Source: BRG based on industry interviews.

6.6.1 Route to Market: Bathroom Accessories (EUR)
ES - ESTIMATED DISTRIBUTION FOR BATHROOM ACCESSORIES (EUR): 2020

Manufacturer / Importer

Manufacturers / Importers	
100.0%	

Wholesale Level

65.1%
Wholesalers / Merchants
65.1%

Retail Level

Manufacturer	Wholesaler
4.3%	6.5%
Internet Retailers	
10.8%	

Manufacturer	Wholesaler
17.3%	7.4%
DIY Retailers	
24.7%	

Manufacturer	Wholesaler
12.2%	16.5%
Specialist Retailers	
28.7%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
1.1%	31.2%	0.6%	5.1%	1.1%
Installers				
39.2%				

End Use Level

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.0%	1.7%	10.2%	18.9%	27.3%	30.5%
Residential					
88.6%					

New Build		Residential RMI	
12.1%		76.5%	
Project	Non-Project	Project	Non-Project
9.5%	2.6%	4.0%	72.5%

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.0%	1.7%	0.0%	0.7%	0.3%	8.6%
Non-Residential					
11.4%					

New Build		Non-Residential RMI	
3.0%		8.4%	
Project	Non-Project	Project	Non-Project
2.5%	0.5%	6.4%	2.0%

6.6.2 Route to Market: Bathroom Accessories (EUR)
ES - ESTIMATED DISTRIBUTION FOR BATHROOM ACCESSORIES (EUR): 2025

Manufacturer / Importer	<table><tr><td colspan="5">Manufacturers / Importers</td></tr><tr><td colspan="5">100.0%</td></tr></table>					Manufacturers / Importers					100.0%																																										
Manufacturers / Importers																																																					
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Wholesale Level	<table><tr><td colspan="5">64.8%</td></tr><tr><td colspan="5">Wholesalers / Merchants</td></tr><tr><td colspan="5">64.8%</td></tr></table>					64.8%					Wholesalers / Merchants					64.8%																																					
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Retail Level	<table><tr><td>Manufacturer</td><td>Wholesaler</td></tr><tr><td>5.8%</td><td>9.4%</td></tr><tr><td colspan="2">Internet Retailers</td></tr><tr><td colspan="2">15.1%</td></tr></table>		Manufacturer	Wholesaler	5.8%	9.4%	Internet Retailers		15.1%		<table><tr><td>Manufacturer</td><td>Wholesaler</td></tr><tr><td>18.3%</td><td>7.7%</td></tr><tr><td colspan="2">DIY Retailers</td></tr><tr><td colspan="2">26.0%</td></tr></table>		Manufacturer	Wholesaler	18.3%	7.7%	DIY Retailers		26.0%		<table><tr><td>Manufacturer</td><td>Wholesaler</td></tr><tr><td>10.2%</td><td>14.9%</td></tr><tr><td colspan="2">Specialist Retailers</td></tr><tr><td colspan="2">25.1%</td></tr></table>	Manufacturer	Wholesaler	10.2%	14.9%	Specialist Retailers		25.1%																									
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End Use Level	<table><tr><td>Manufacturer</td><td>Wholesaler</td><td>Internet</td><td>DIY</td><td>Specialist</td><td>Installer</td></tr><tr><td>0.0%</td><td>1.4%</td><td>14.2%</td><td>20.0%</td><td>23.9%</td><td>29.4%</td></tr><tr><td colspan="6">Residential</td></tr><tr><td colspan="6">88.8%</td></tr><tr><td colspan="3">New Build</td><td colspan="3">Residential RMI</td></tr><tr><td colspan="3">11.0%</td><td colspan="3">77.9%</td></tr><tr><td>Project</td><td colspan="2">Non-Project</td><td>Project</td><td colspan="2">Non-Project</td></tr><tr><td>9.1%</td><td colspan="2">1.9%</td><td>4.3%</td><td colspan="2">73.6%</td></tr></table>					Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	0.0%	1.4%	14.2%	20.0%	23.9%	29.4%	Residential						88.8%						New Build			Residential RMI			11.0%			77.9%			Project	Non-Project		Project	Non-Project		9.1%	1.9%		4.3%	73.6%	
Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer																																																
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Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

6.6.3 Route to Market - Consolidated View : Bathroom Accessories

ES - ESTIMATED DISTRIBUTION FOR BATHROOM ACCESSORIES : 2020

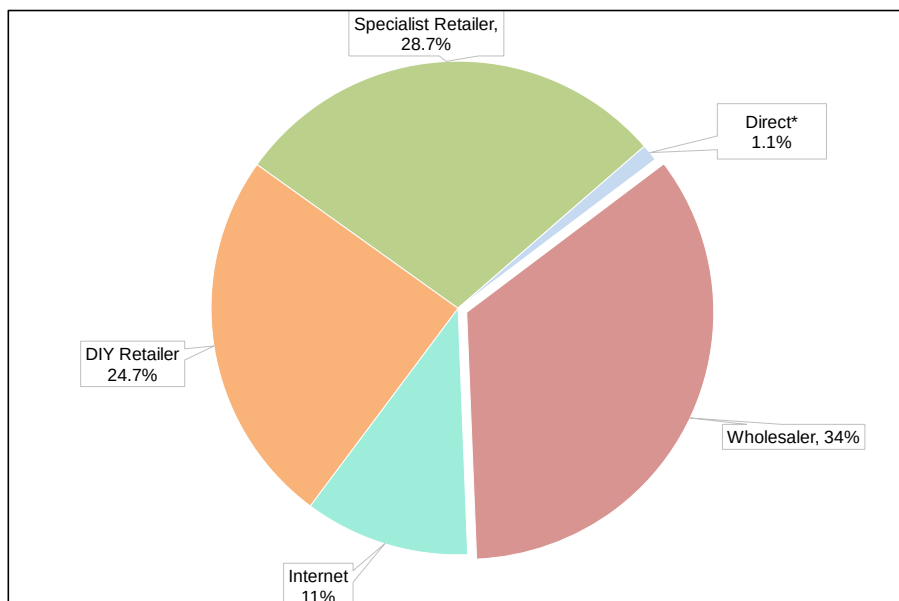
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
34.7%	10.8%	24.7%	28.7%	1.1%	13.5%	8.9%	75.1%	2.5%
100%					22.4%		77.6%	

6.6.4 Route to Market - Consolidated View : Bathroom Accessories

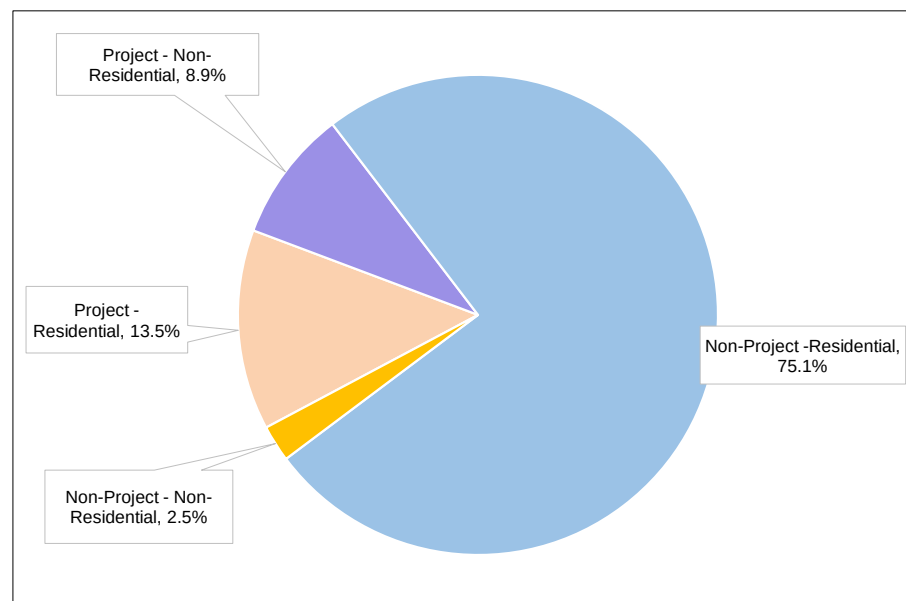
ES - ESTIMATED DISTRIBUTION FOR BATHROOM ACCESSORIES : 2025

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
32.8%	15.1%	26.0%	25.1%	0.9%	13.4%	8.9%	75.4%	2.3%
100%					22.3%		77.7%	

ES - SALES OF BATHROOM ACCESSORIES BY DISTRIBUTION CHANNEL: 2020



ES - SALES OF BATHROOM ACCESSORIES BY POINT OF DECISION AND END-USE SECTOR: 2020



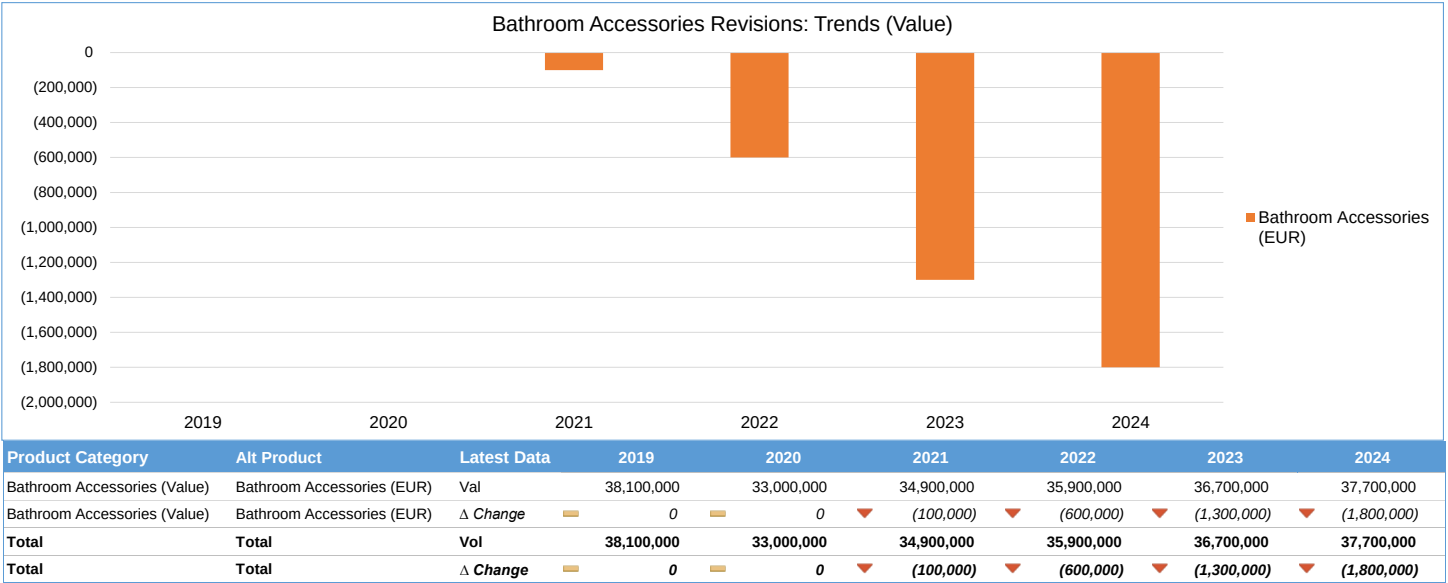
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

6.7 Revisions in the Spanish Bathroom Accessories Market (April 2021)

ES - REVISIONS IN THE SPANISH BATHROOM ACCESSORIES MARKET

Data Comparison: October 2020



No changes have been made to historical values for this market.

SPAIN

SHOWER ACCESSORIES

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Product Mix

The shower accessories market in Spain has generally followed the trends of other bathroom products, with strong RMI activity and the emergence of DIY stores as the main distribution channel – having helped to maintain general upward trends in sales.

The shower accessories market has followed a pattern of growth rather similar to that of the taps and mixers market. It was, indeed, positively driven by new build activity, but also by the replacement market, from the late 1980s until 2006. After 2007 the market showed a decline in overall sales for the first time in over a decade, due to the beginning of the construction crisis in the second half of 2007. The decline in sales of shower accessories continued until 2015, which saw the first increase in sales since 2006.

Due to the importance of the DIY channel in Spain, it has become quite normal practice to buy shower sets that include a handset, mixer, hose and support. Indeed, most bath/shower and shower mixers are sold together with the hose handset and usually a wall support (a few upper-price mixers are sold separately). Broadly speaking, where a replacement support is needed, the tendency in the Spanish market is to purchase a complete set, which is typically sold in a pre-packed form in supermarkets, DIY stores and department stores.

The emergence of shower pipes in Spain occurred in 2008, and the product has been a great success and the only bathroom product to experience consistent growth during the crisis. Although it used to be considered a luxury item, the price levels for shower pipes fell significantly due to the increasing share of Chinese products within the sector. The product has been gaining significant share of the shower set market, gradually phasing out shower panels.

Recent Market Trends

Like most of the bathroom products, in 2020 the Spanish shower accessories market witnessed a decline in sales due to the repercussions resulting from COVID-19 and lockdown restrictions thereafter, starting early in the year.

New residential completions dropped in 2020 due to the pandemic, which led to a decline in project sales while retail sales were negatively affected by fears of virus contraction and job losses. People either preferred to wait for things to settle down or ordered products online if required in an urgent manner, thus also impacting negatively the big RMI market.

Sales are mainly driven by new housing completions and demand from the RMI sector, as private consumption is an important factor for bathroom renovations. Dwelling completions increased in 2020 and so did private consumption, which had a negative effect on sales of shower accessories.

Negative growth was observed across all product segments, including shower panels, which have been in long-term decline. Shower panels have been losing share since 2008 due to the economic crisis and because of cheaper solutions such as shower sets, which have been gaining in market share. Also, they have lost popularity since consumers are only showering and not utilising their special jets – due to frequent low water pressure.

Shower pipes, which consist of a fixed pipe, a faucet, a flexible hose and two shower heads (one fixed and another hand-handle), have been gaining popularity among Spanish consumers and are easier to replace than the existing shower set. The shower pipe market is expected to continue growth during the forecast period as well, with the recovery of new housing construction and RMI demand. RMI also plays an important role, as this segment accounts for the largest volumes due to the trend of switching from baths to showers.

Prices and Market Values

In 2020, the average manufacturers' selling prices (MSPs) for shower accessories remained stable, with no changes in prices during the year. Most manufacturers kept their prices at similar levels to 2019, looking at low demand, a weak project market and an evidently declined purchasing power among prospective consumers.

New Housing

The demand for shower accessories in the new housing sector declined in line with the strong decline in dwelling completions during 2020. Demand was heavily impacted by the pandemic and the drastic decline in house completions due to restrictions and COVID protocols. Shower heads dominate overall new housing sales due to the fact that fixed shower heads, without the need for a flexible hose and support, are often preferred in new build dwellings. Both adjustable and single-function showers are preferred in this segment.

Housing RMI

RMI sales for all of the products dropped during 2020, owing to the impact of COVID-19.

RMI activity in existing homes is the main driver of shower accessory sales. This is mainly because most sets are sold to consumers for the distress replacement of old shower heads and hoses. Since the replacement of shower systems is not solely discretionary, demand for shower sets is supported by this trend even during an economic downturn, as well as consumer demand for remodelling for aesthetic purposes. Many consumers, however, now also buy new adjustable and volume-increasing shower heads and handsets, which offer greater comfort whilst saving water usage. Many of the sales of shower accessories rely on RMI activity, since shower accessories have shorter lifespans when compared to ceramic sanitary

ware or other bathroom products, resulting in a more frequent replacement of these products.

Non-Housing

The non-housing segment has faced the same impact as other end-use segments, with a substantial decline in sales owing to temporary suspension of non-residential, commercial construction activity during months of restrictions. However, the sales are expected to recover gradually from late 2021 onwards. The non-housing sector represents only a marginal share of the overall sales of shower accessories. Most products sold end up in hotels, water parks and wellness centres.

Supply Structure

The supply structure for flexible hoses and shower supports is very fragmented and a large proportion of sales are of unbranded products, sold mainly via DIY chains.

Traditional manufacturers such as RAMON SOLER and ROCA hold strong positions. As with the taps and mixers market and most other bathroom products, ROCA assumes a leading position in this market. It does not manufacture any of its shower accessory products, but buys them from specialist Spanish shower accessories manufacturers. It is known, for example, that ORFESA manufactures flexible hoses on behalf of ROCA. GROHE, together with other German manufacturers such as HANSGROHE, have proved particularly successful in recent years and are reported to have made significant progress in the Spanish market, selling shower handsets on their own as individual products.

Other significant players include TRES, TEKA, and the specialist shower accessories manufacturer INTERBATH (part of JINTEM), with its three brands INTERBATH, AQUALIN, and IDEA BAGNO. INTERBATH is more orientated towards the replacement market. The rest of the market is made up of products supplied mainly by tap and mixer manufacturers and specialist shower accessory manufacturers, which are generally present in DIY stores and hypermarkets (PLASTISAN and TATAY).

Forecasts

The short-term outlook for the Spanish shower accessories' market remains optimistic, due to a growth in demand and a gradual turnaround of the Spanish economy at the start of 2021 – with the residential real estate sector accounting for the majority of demand. Demand from the housing RMI market is expected to continue to drive overall market growth during the forecast period, as the overall shower accessories' market is largely a replacement market.

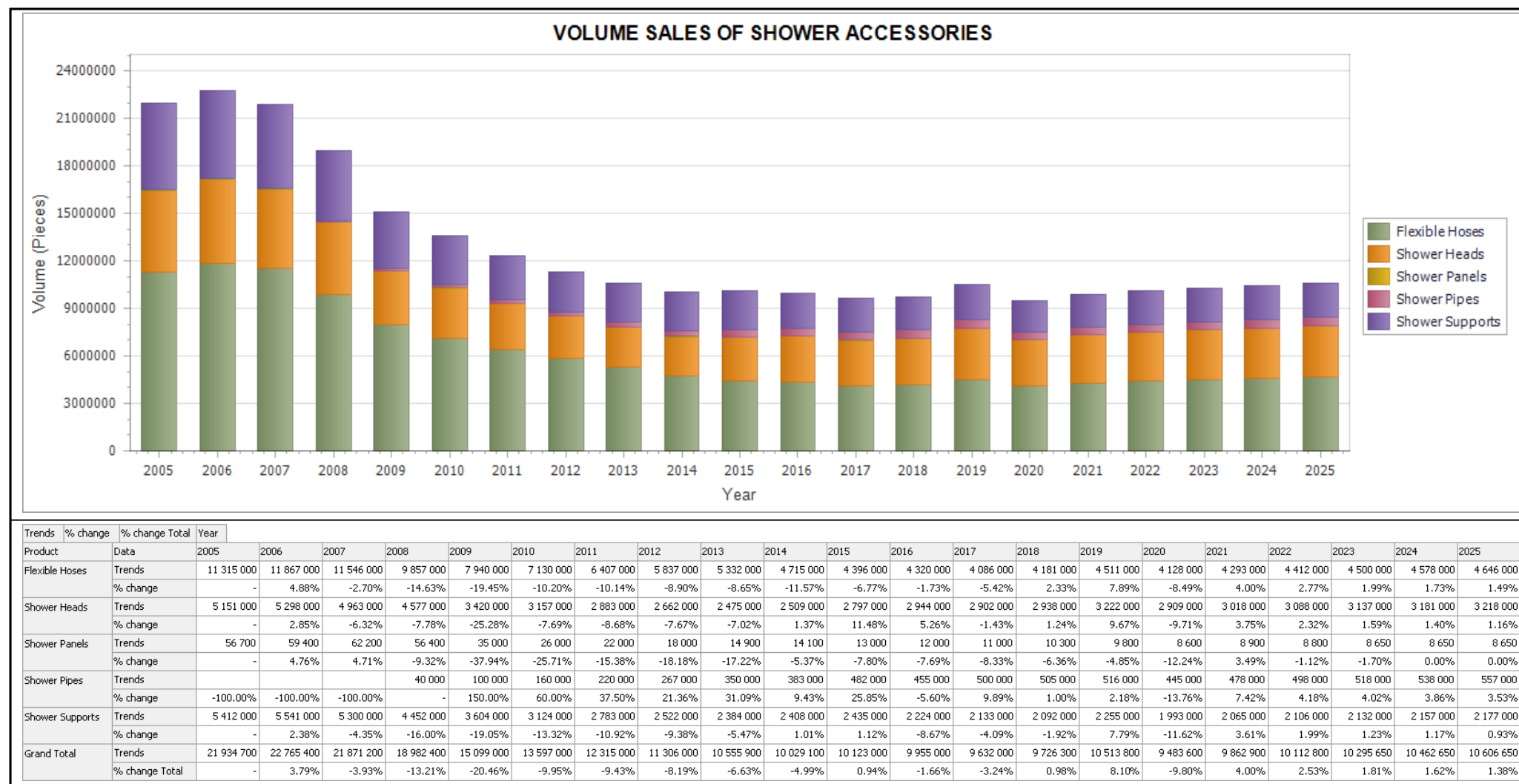
The popularity of showering is also anticipated to continue in the next few years, which should also have a positive effect on the sales of shower accessories in Spain. As mentioned earlier, it is likely that the rise in purchasing power should

influence the development of prices, as consumers could be able to afford higher quality and, therefore, higher-priced products. However, all this still critically depends on Spanish economic recovery and the handling of COVID-19, even in 2021.

At the time of writing (April 2021) there is still a great level of uncertainty regarding the economic recovery and expected demand for bathroom products. Many countries in Europe have gone into another lockdown, as vaccination efforts continue. If more lockdowns and constraints to economic activity continue over 2021, the forecasts for sales should be more negative than previously expected.

7.2.1 Historical Trends & Forecasts : Shower Accessories

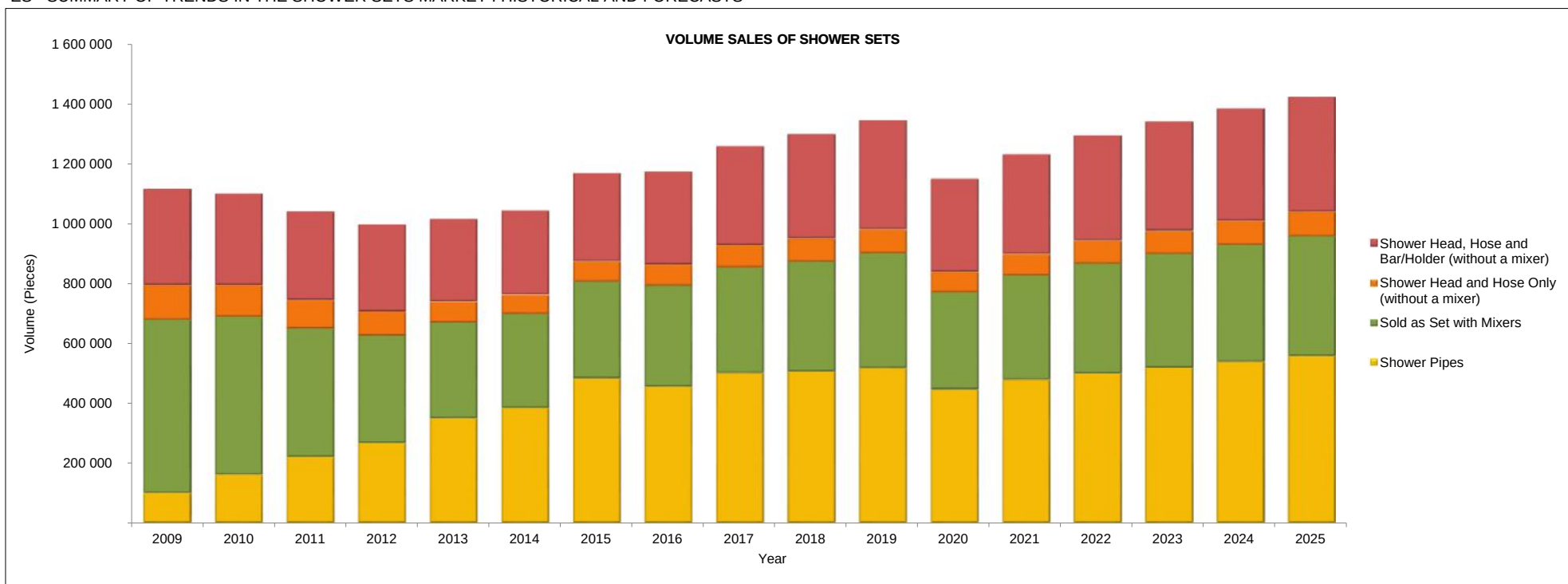
ES - SUMMARY OF TRENDS IN THE SHOWER ACCESSORIES MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews.

7.2.2 Historical Trends and Forecasts : Shower Sets

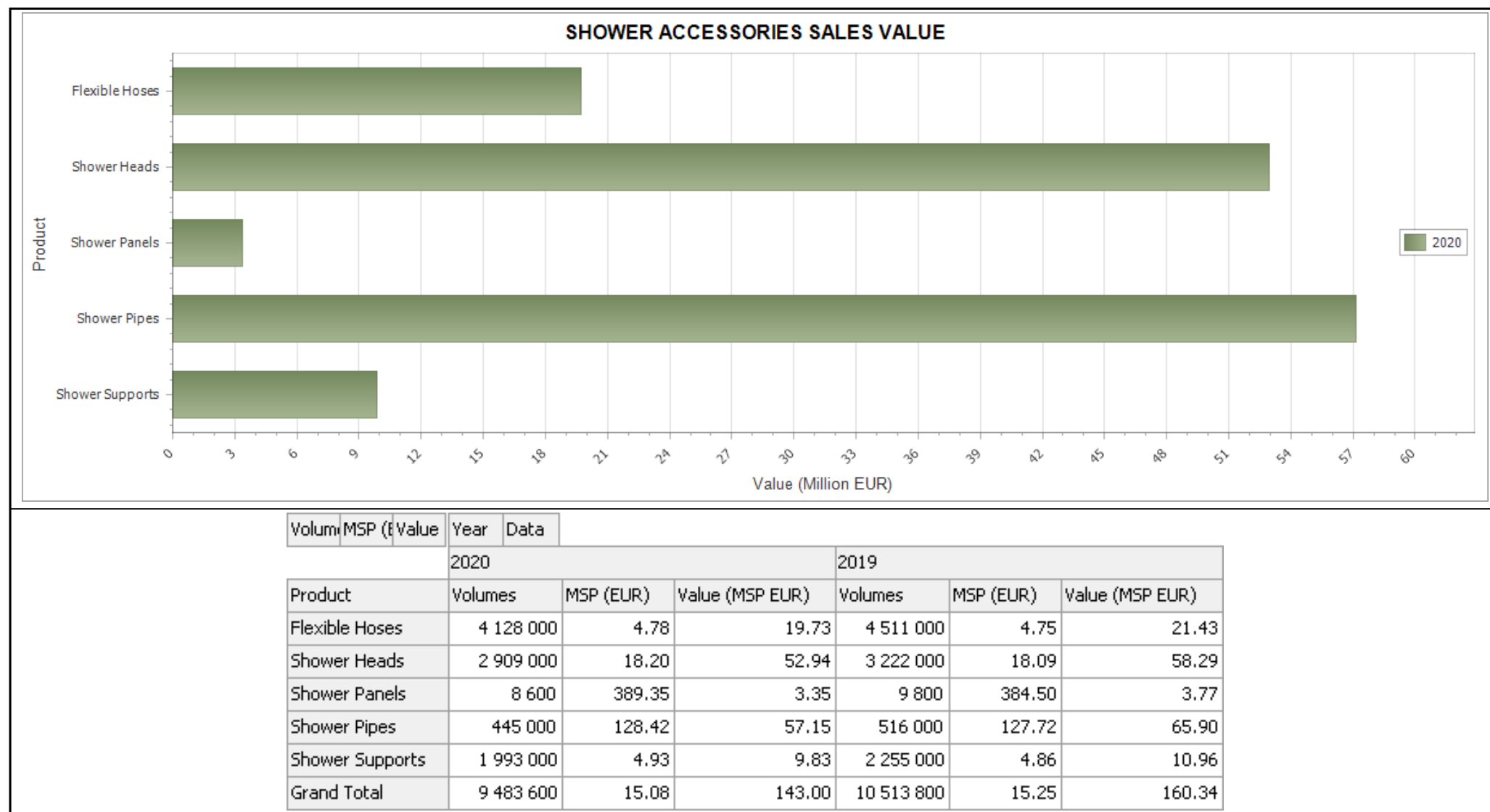
ES - SUMMARY OF TRENDS IN THE SHOWER SETS MARKET : HISTORICAL AND FORECASTS



Product Type	Product	2009	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025
Shower Sets	Shower Head, Hose and Bar/Holder (without a mixer)	320 000	305 000	295 000	290 000	275 000	280 000	295 000	310 000	330 000	348 000	365 000	310 000	332 000	352 000	364 000	375 000	384 000
	% Change	-	-4.69%	-3.28%	-1.69%	-5.17%	1.82%	5.36%	5.08%	6.45%	5.45%	4.89%	-15.07%	7.10%	6.02%	3.41%	3.02%	2.40%
	Shower Head and Hose Only (without a mixer)	115 000	105 000	95 000	80 000	70 000	65 000	67 000	70 000	74 000	77 000	80 000	68 000	72 000	76 000	78 000	80 000	82 000
	% Change	-	-8.70%	-9.52%	-15.79%	-12.50%	-7.14%	3.08%	4.48%	5.71%	4.05%	3.90%	-15.00%	5.88%	5.56%	2.63%	2.56%	2.50%
	Sold as Set with Mixers	580 000	530 000	430 000	360 000	320 000	315 000	325 000	338 000	354 000	368 000	384 000	326 000	348 000	368 000	380 000	391 000	400 000
	% Change	-	-8.62%	-18.87%	-16.28%	-11.11%	-1.56%	3.17%	4.00%	4.73%	3.95%	4.35%	-15.10%	6.75%	5.75%	3.26%	2.89%	2.30%
	Shower Pipes	100 000	160 000	220 000	267 000	350 000	383 000	482 000	455 000	500 000	505 000	516 000	445 000	478 000	498 000	518 000	538 000	557 000
	% Change	-	60.00%	37.50%	21.36%	31.09%	9.43%	25.85%	-5.60%	9.89%	1.00%	2.18%	-13.76%	7.42%	4.18%	4.02%	3.86%	3.53%
Grand Total		1 115 000	1 100 000	1 040 000	997 000	1 015 000	1 043 000	1 169 000	1 173 000	1 258 000	1 298 000	1 345 000	1 149 000	1 230 000	1 294 000	1 340 000	1 384 000	1 423 000
% Change Total		-	-1.35%	-5.45%	-4.13%	1.81%	2.76%	12.08%	0.34%	7.25%	3.18%	3.62%	-14.57%	7.05%	5.20%	3.55%	3.28%	2.82%

Source: BRG based on Industry Interviews.

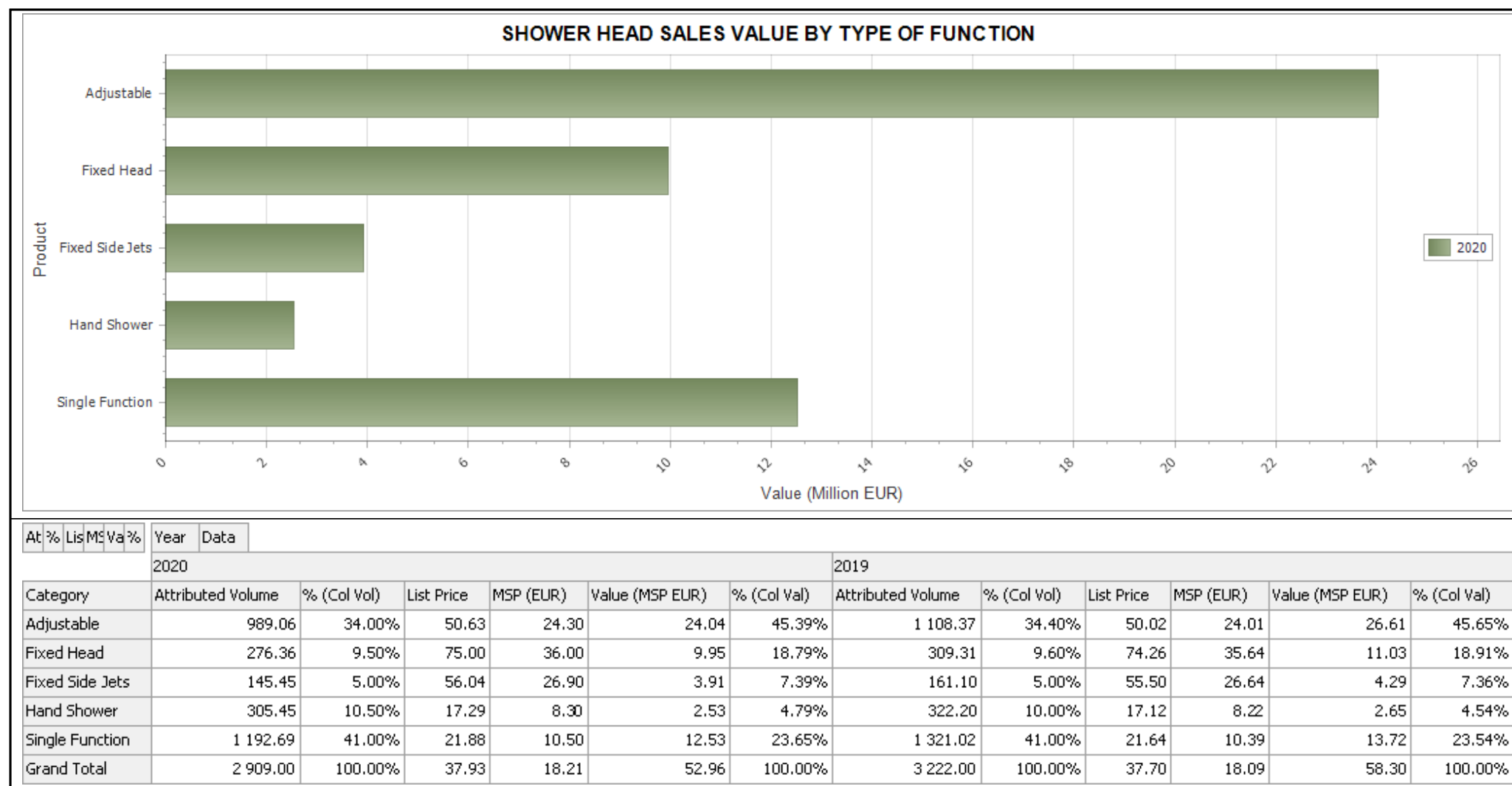
7.3.1 Prices and Market Values : Shower Accessories
ES - ESTIMATED VALUES OF THE SHOWER ACCESSORIES MARKET



Source: BRG based on industry interviews. Values Shown in Millions (at MSP = Manufacturers' Selling Price)

7.3.2 Prices and Market Values by Type : Shower Heads

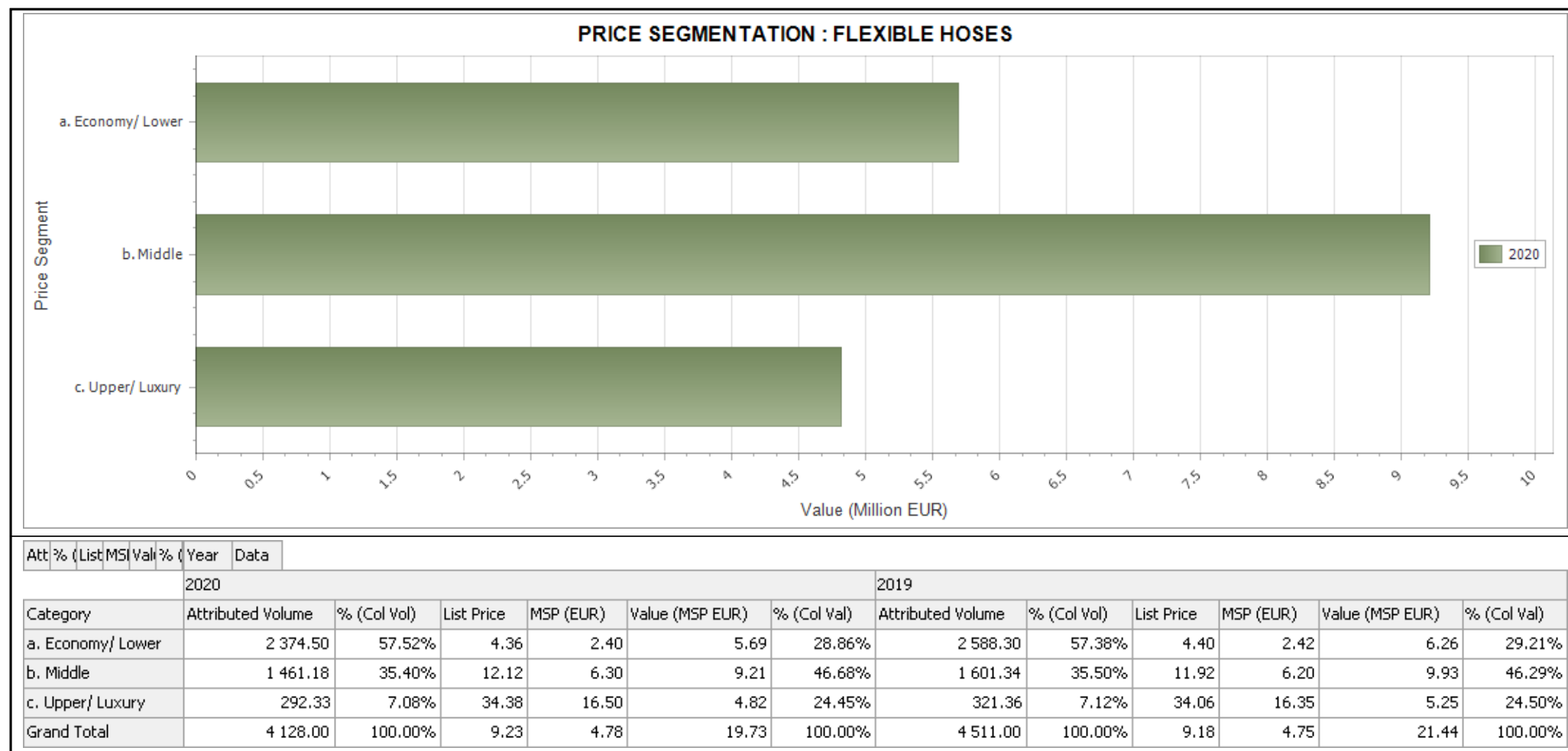
ES - ESTIMATED VALUES OF THE SHOWER HEAD MARKET BY TYPE OF FUNCTION



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Values Shown in Millions (at MSP = Manufacturers' Selling Price)

7.3.3 Price Segmentation : Flexible Hoses

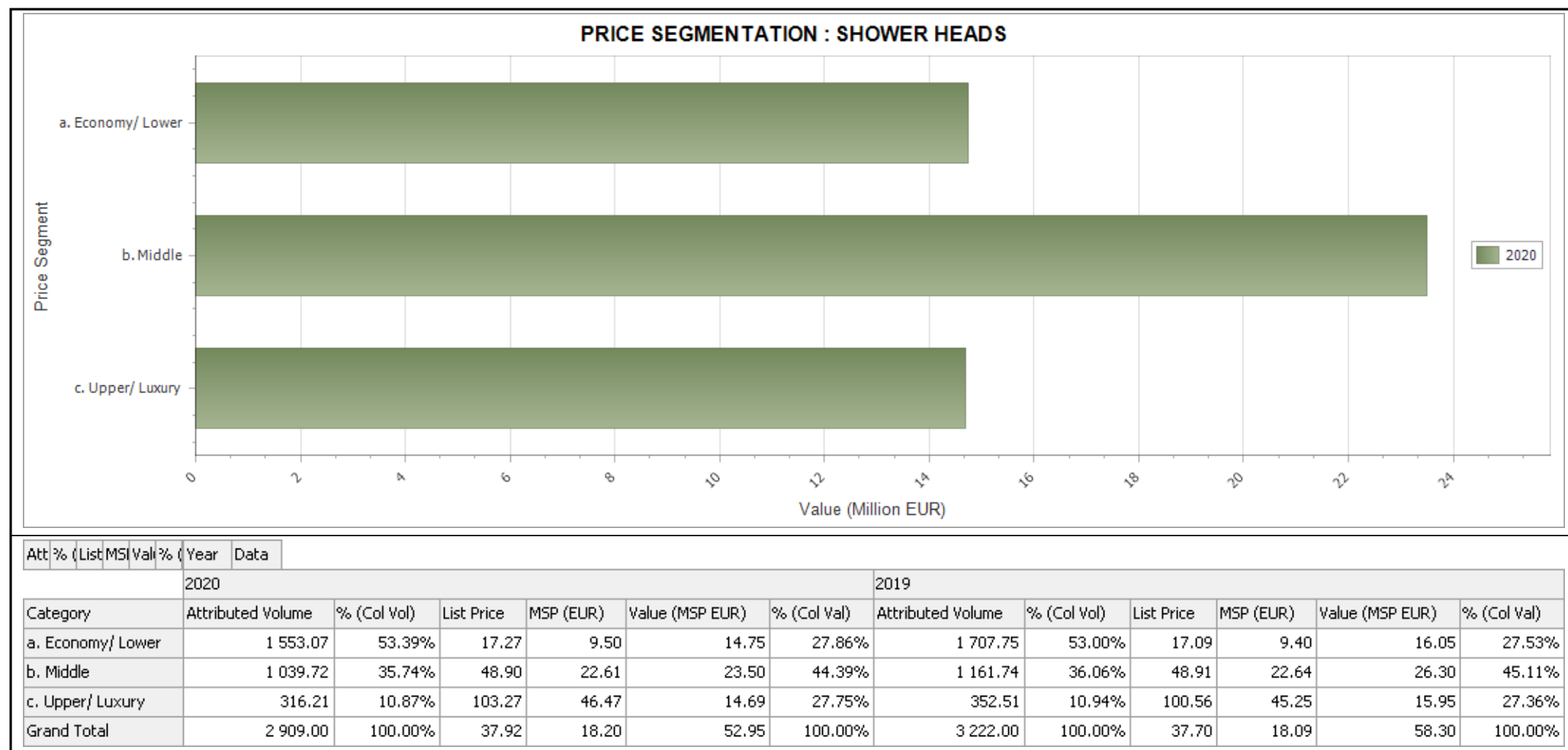
ES - ESTIMATED PRICE SEGMENTATION FOR FLEXIBLE HOSES



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€4, Middle €4-€8, Upper/ Luxury >€8

7.3.4 Price Segmentation : Shower Heads

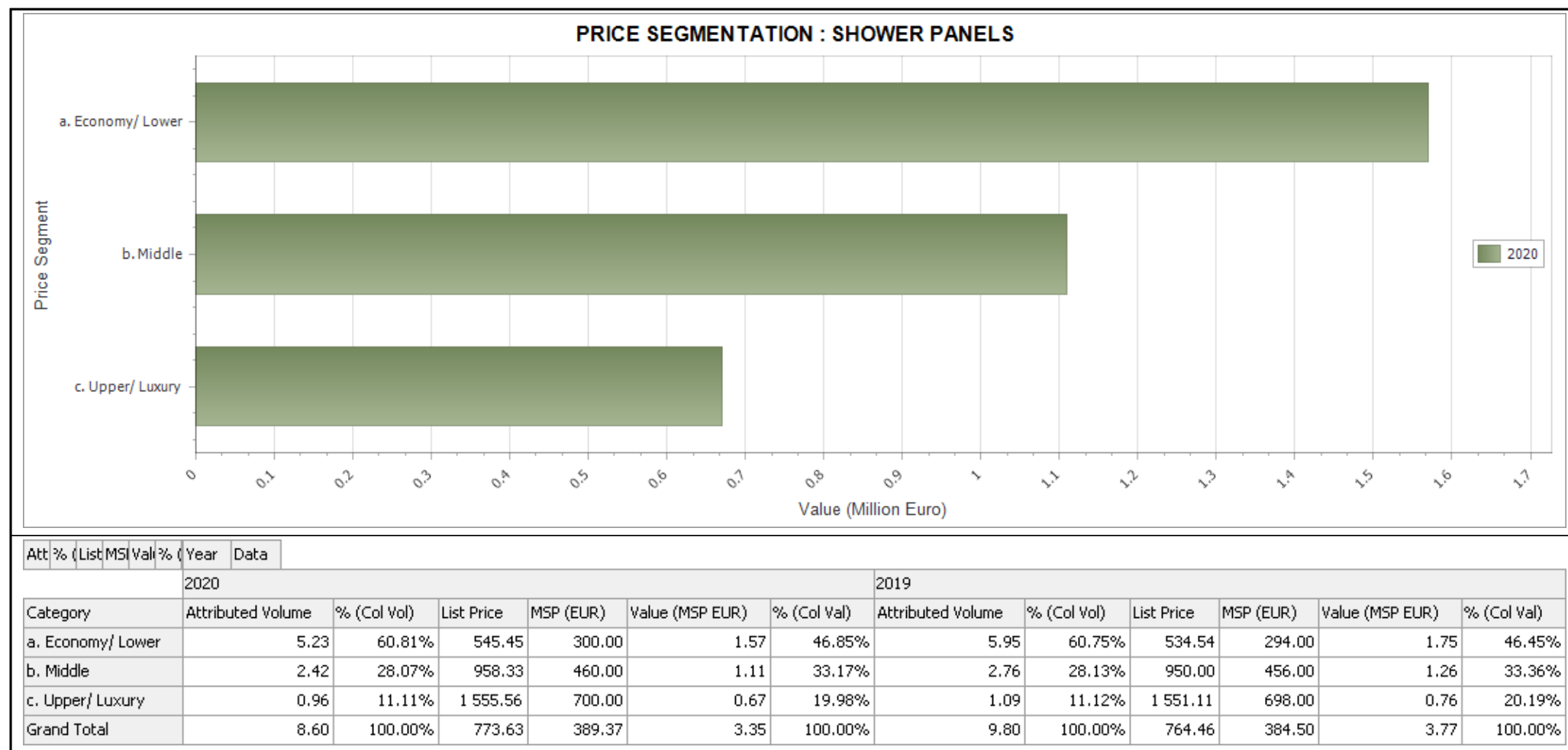
ES - ESTIMATED PRICE SEGMENTATION FOR SHOWER HEADS



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€15, Middle €15-€30, Upper/ Luxury >€30

7.3.5 Price Segmentation : Shower Panels

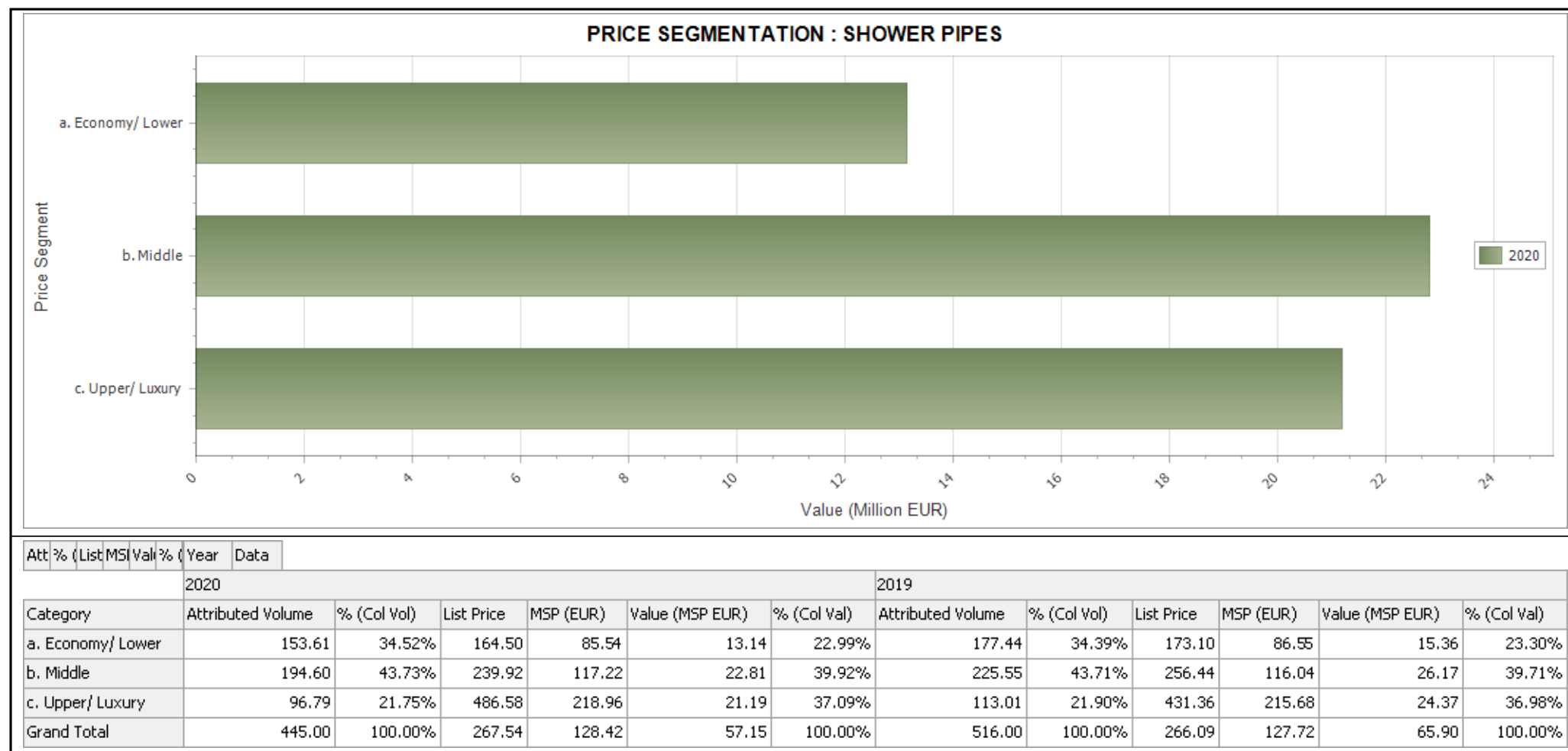
ES - ESTIMATED PRICE SEGMENTATION FOR SHOWER PANELS



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€400, Middle €400-€600, Upper/ Luxury >€600

7.3.6 Price Segmentation : Shower Pipes

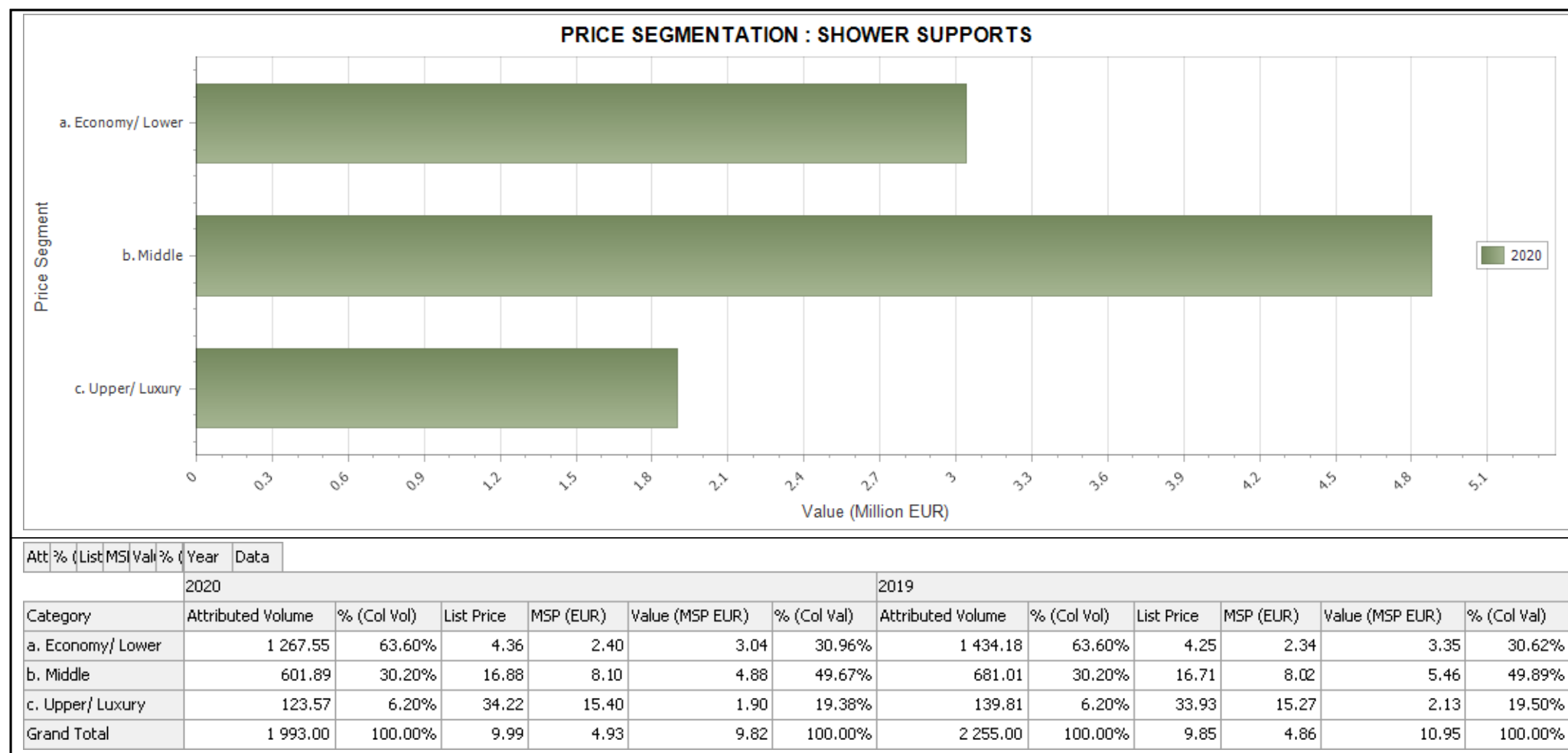
ES - ESTIMATED PRICE SEGMENTATION FOR SHOWER PIPES



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€100, Middle €100-€150, Upper/ Luxury >€150

7.3.7 Price Segmentation : Shower Supports

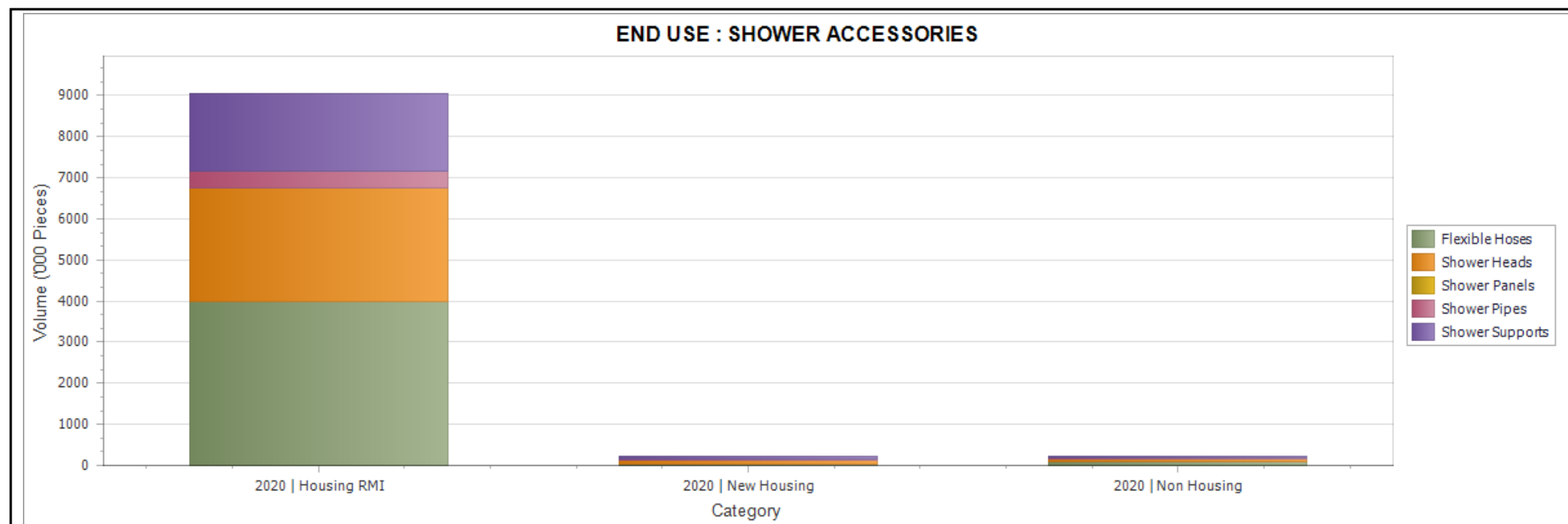
ES - ESTIMATED PRICE SEGMENTATION FOR SHOWER SUPPORTS



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€6, Middle €6-€12, Upper/ Luxury >€12

7.4.1 End Use : Base Year

ES - SALES OF SHOWER ACCESSORIES BY TYPE AND END USE SEGMENT ('000 PIECES)

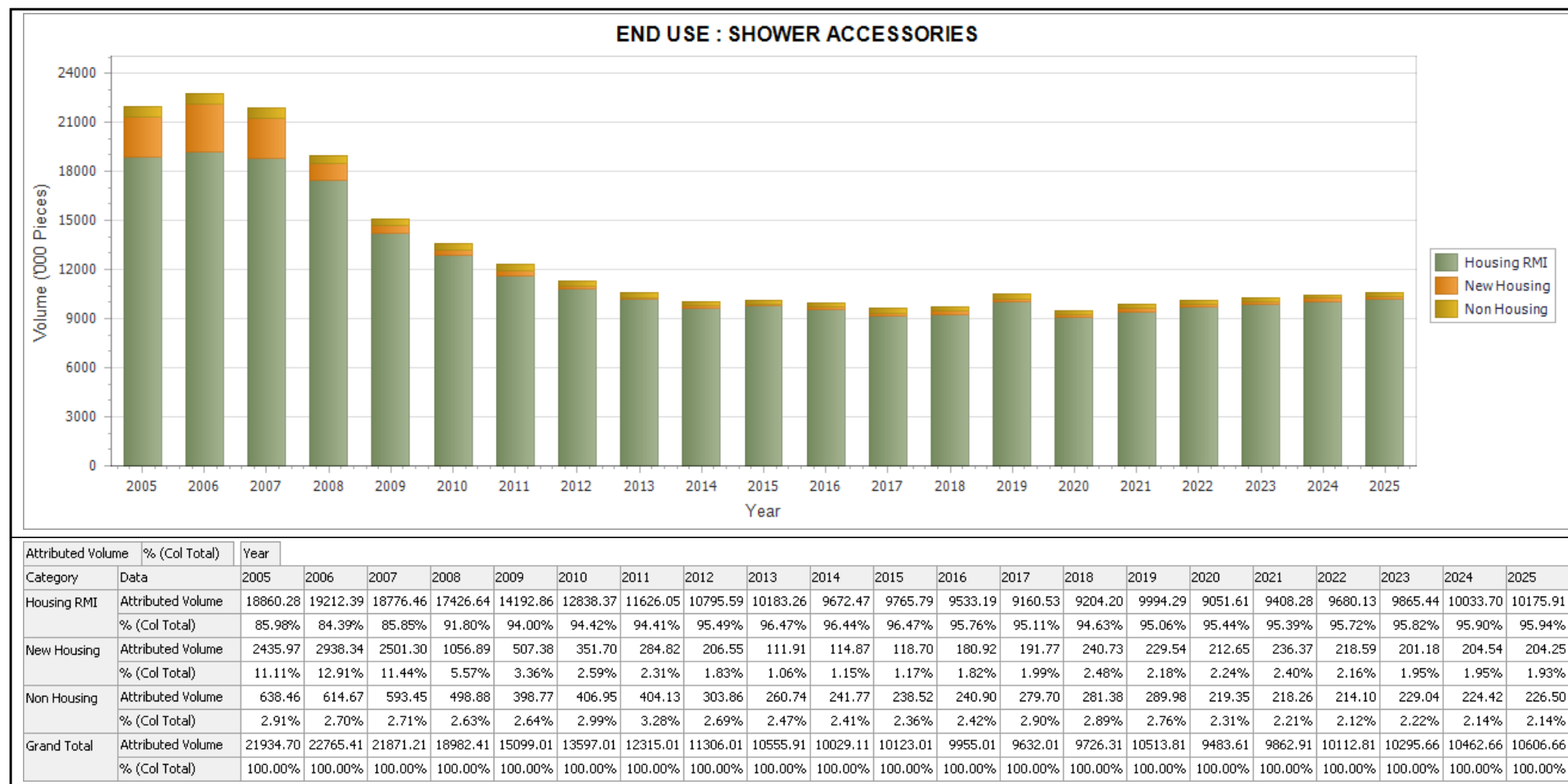


Attribu	% (Co	% (Ro	Year	Category	Data										
			2020									2020 Total			
			Housing RMI			New Housing			Non Housing						
Product	Attributed Volume		% (Col Total)	% (Row)	Attributed Volume		% (Col Total)	% (Row)	Attributed Volume		% (Col Total)	% (Row)	Attributed Volume	% (Col Total)	% (Row)
Flexible Hoses	3992.02		44.10%	96.71%	38.53		18.12%	0.93%	97.45		44.43%	2.36%	4128.00	43.53%	100.00%
Shower Heads	2763.97		30.54%	95.01%	73.66		34.64%	2.53%	71.37		32.54%	2.45%	2909.00	30.67%	100.00%
Shower Panels	7.47		0.08%	86.90%	1.13		0.53%	13.10%	0.00		0.00%	0.00%	8.60	0.09%	100.00%
Shower Pipes	400.88		4.43%	90.08%	32.05		15.07%	7.20%	12.07		5.50%	2.71%	445.00	4.69%	100.00%
Shower Supports	1887.26		20.85%	94.69%	67.28		31.64%	3.38%	38.46		17.53%	1.93%	1993.00	21.02%	100.00%
Grand Total	9051.61		100.00%	95.44%	212.65		100.00%	2.24%	219.35		100.00%	2.31%	9483.61	100.00%	100.00%

Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

7.4.2 End Use : Historical and Forecasts

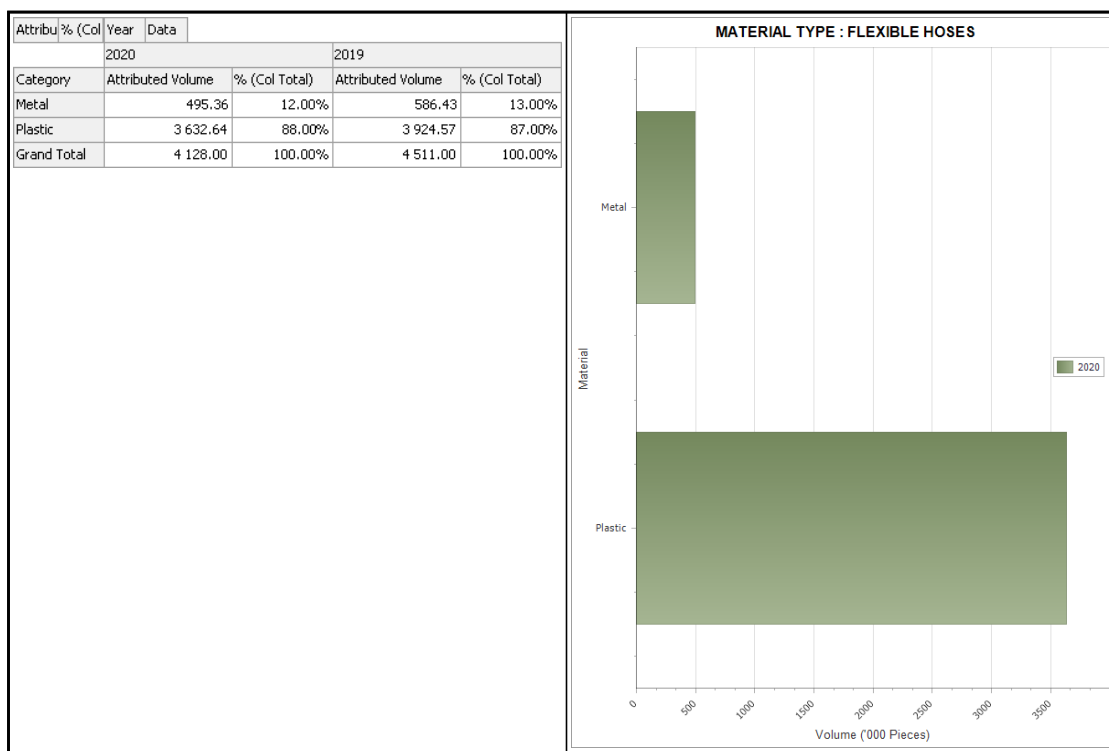
ES - SALES OF SHOWER ACCESSORIES BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

7.4.3 Sales By Type of Material : Flexible Hoses

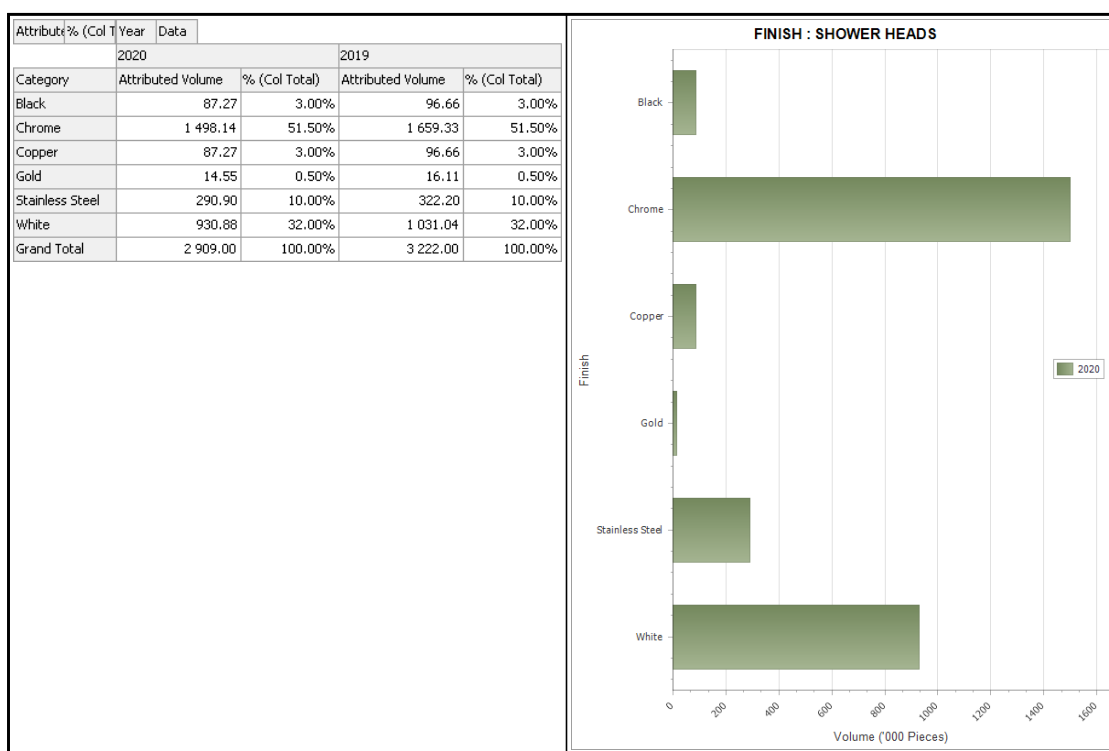
ES - FLEXIBLE HOSE SALES BY MATERIAL TYPE ('000 PIECES)



Source: BRG based on industry interviews

7.4.4 Sales by Type of Finish : Shower Heads

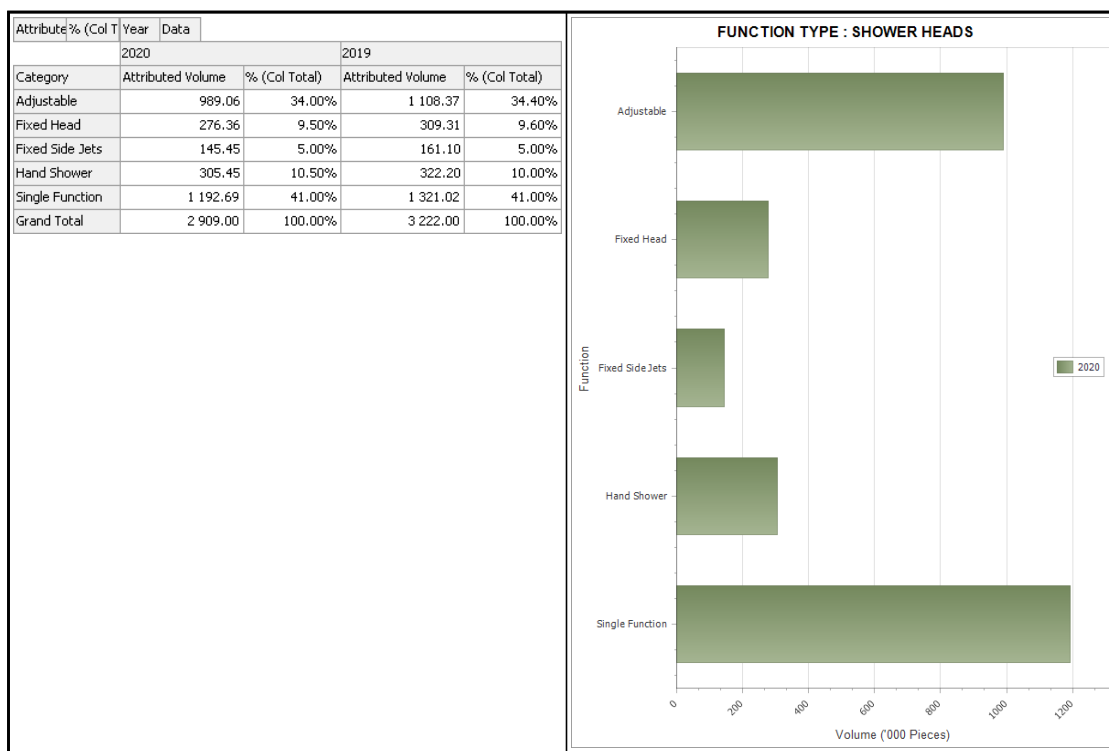
ES - SHOWER HEAD SALES BY FINISH TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

7.4.5 Sales By Type of Function : Shower Heads

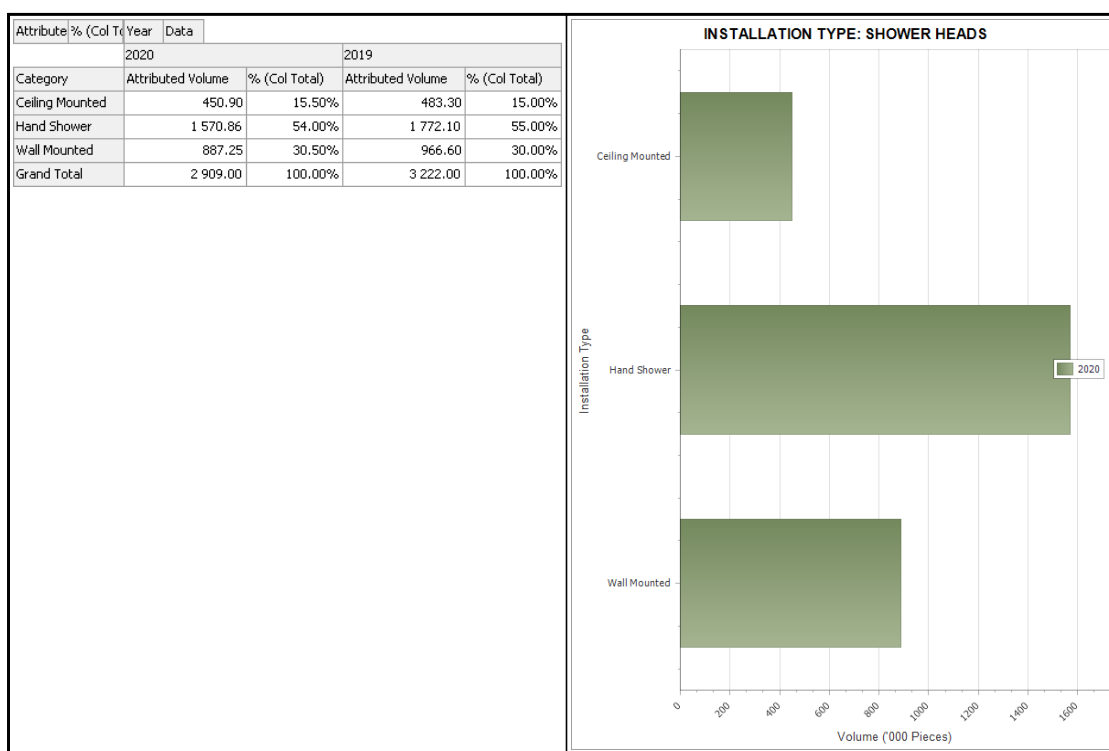
ES - SHOWER HEAD SALES BY FUNCTION TYPE ('000 PIECES)



Source: BRG based on industry interviews

7.4.6 Sales by Type of Installation : Shower Heads

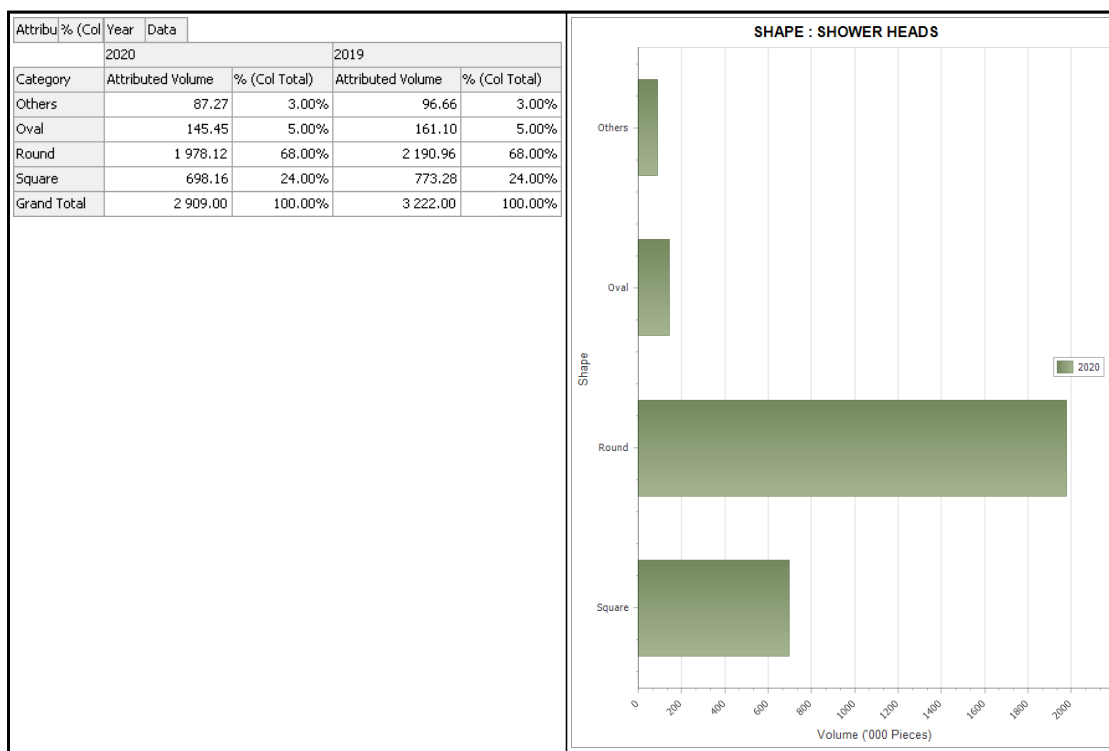
ES - SHOWER HEAD SALES BY INSTALLATION TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

7.4.7 Sales By Type of Shape : Shower Heads

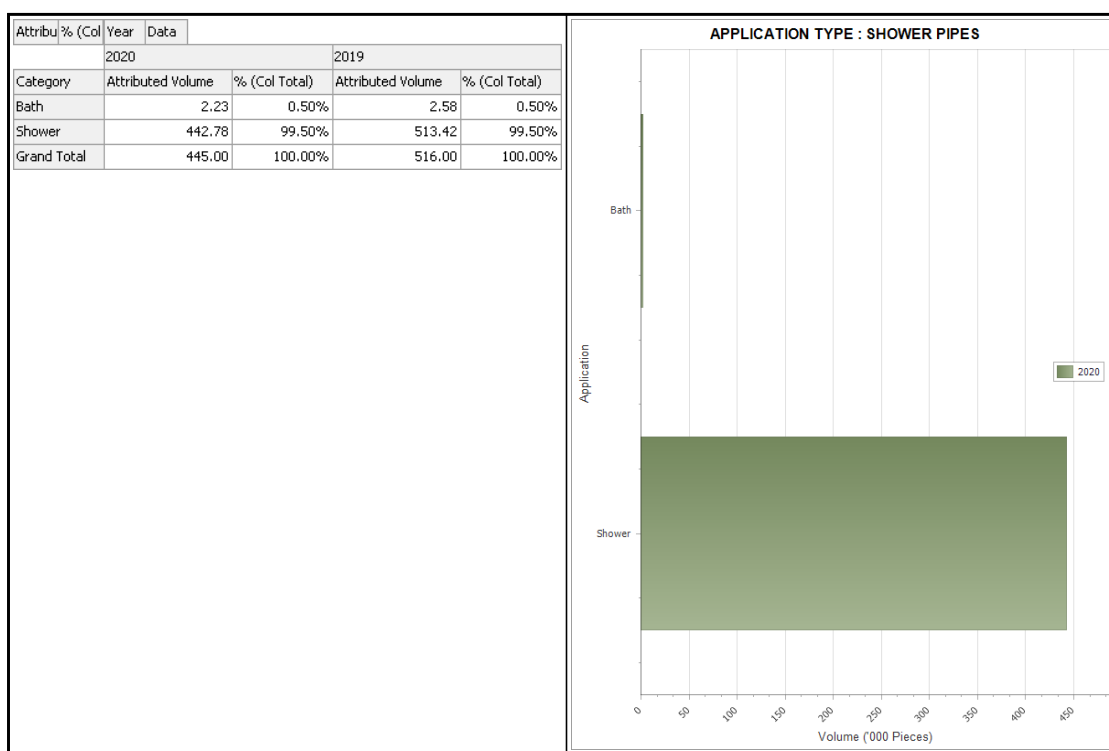
ES - SHOWER HEAD SALES BY SHAPE ('000 PIECES)



Source: BRG based on industry interviews

7.4.8 Sales by Type of Application : Shower Pipes

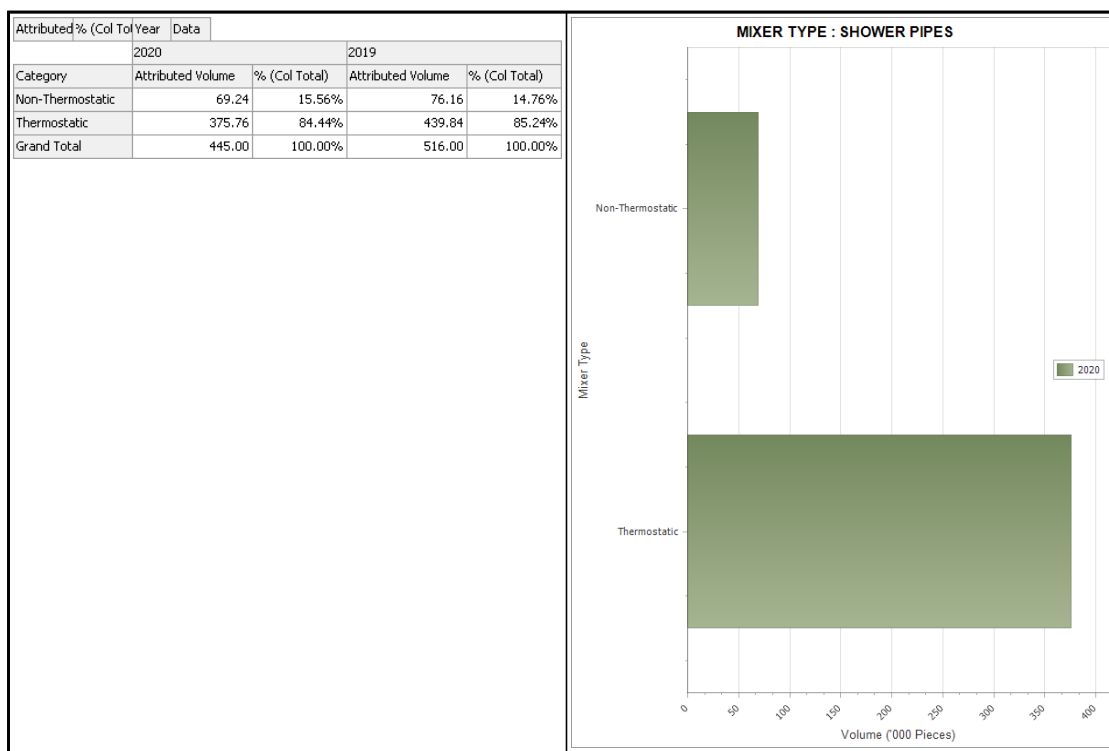
ES - SHOWER PIPE SALES BY APPLICATION TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

7.4.9 Sales by Type of Mixer : Shower Pipes

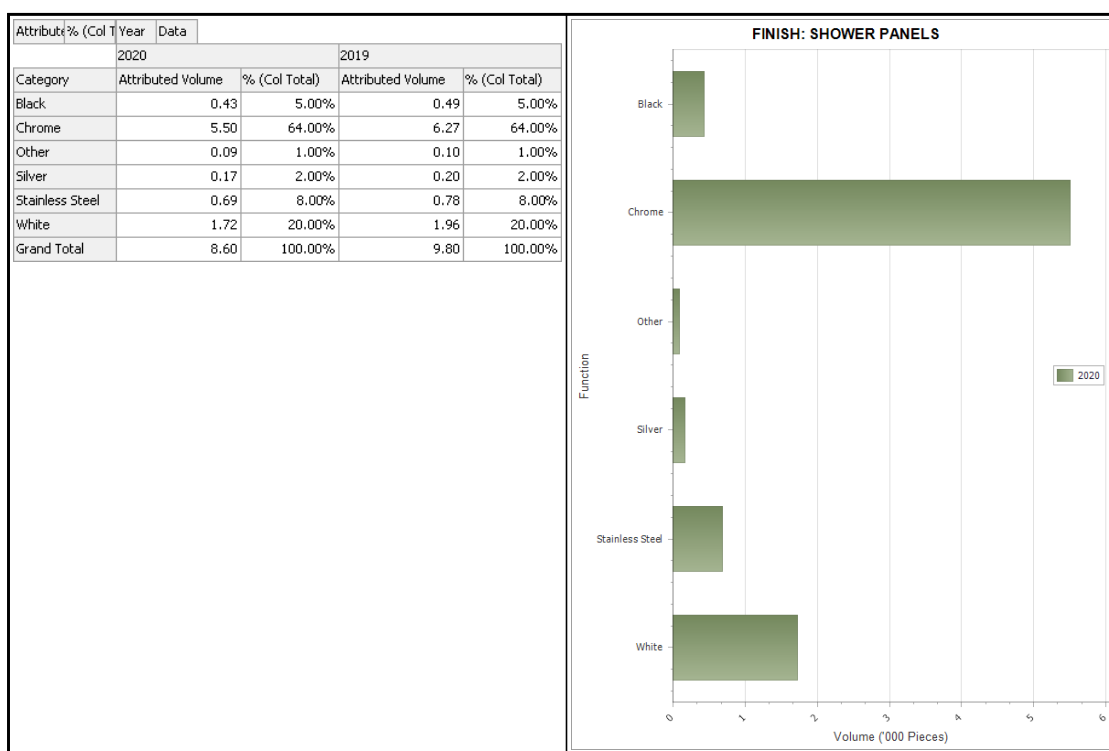
ES - SHOWER PIPE SALES BY MIXER TYPE ('000 PIECES)



Source: BRG based on industry interviews

7.4.10 Sales by Type of Finish: Shower Panels

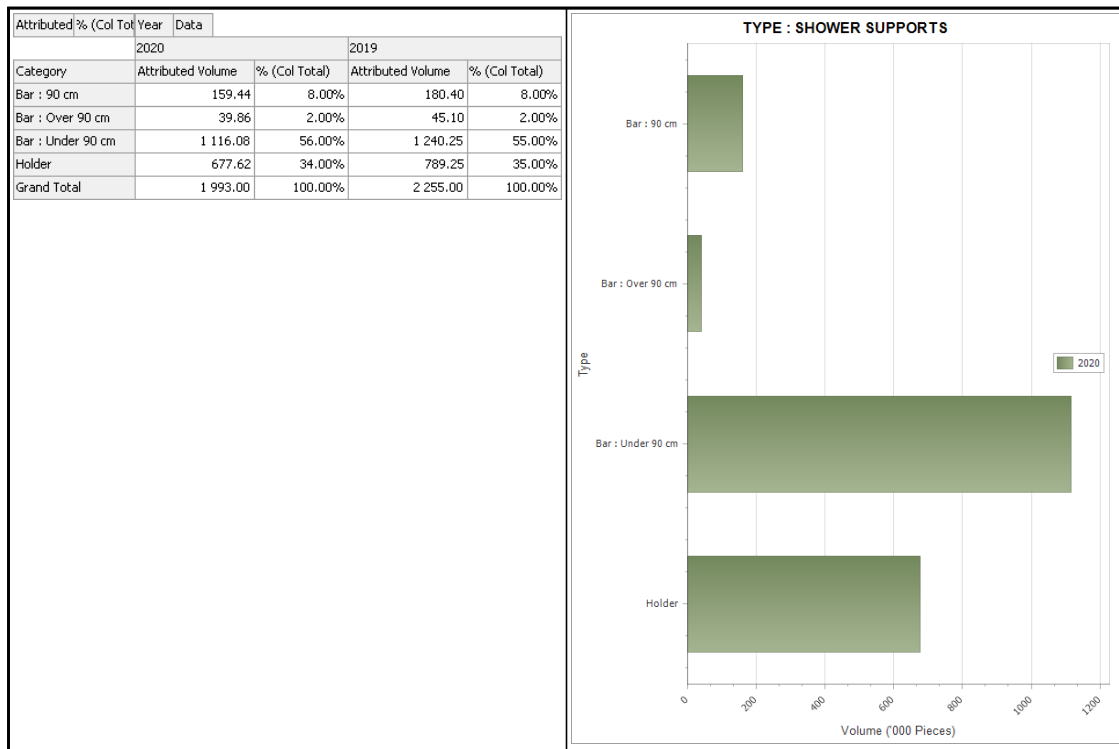
ES - SHOWER PANEL SALES BY FINISH ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

7.4.11 Sales By Type : Shower Supports

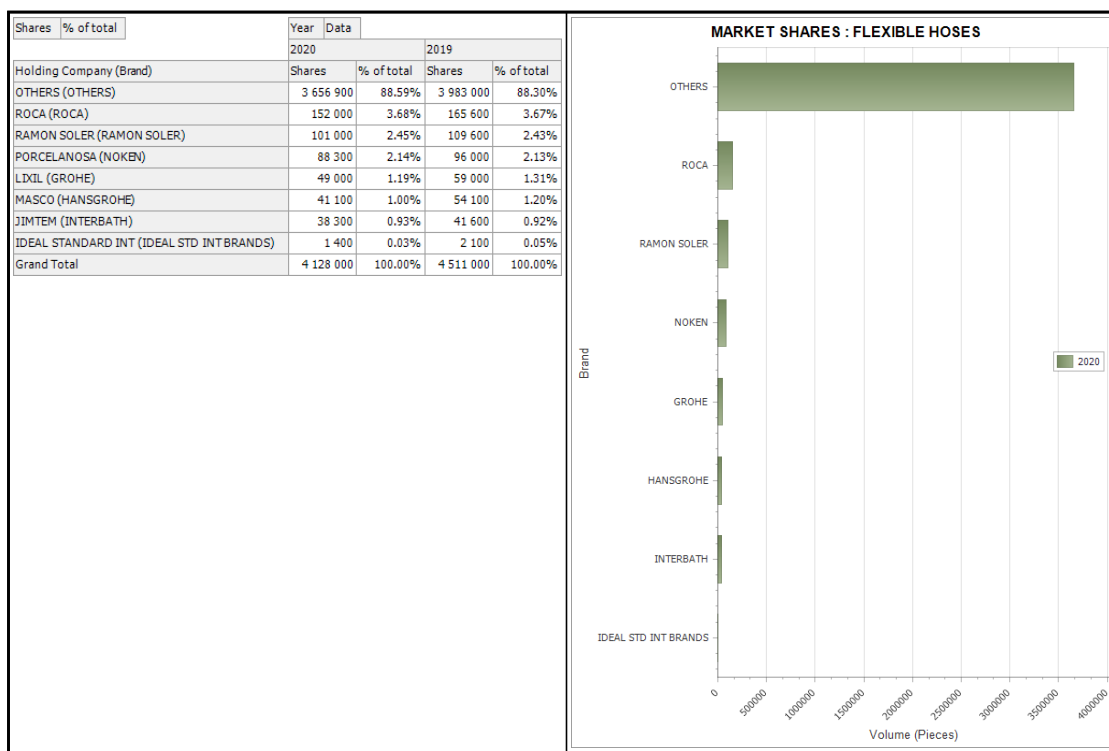
ES - SHOWER SUPPORT SALES BY TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

7.5.1 Market Shares : Flexible Hoses

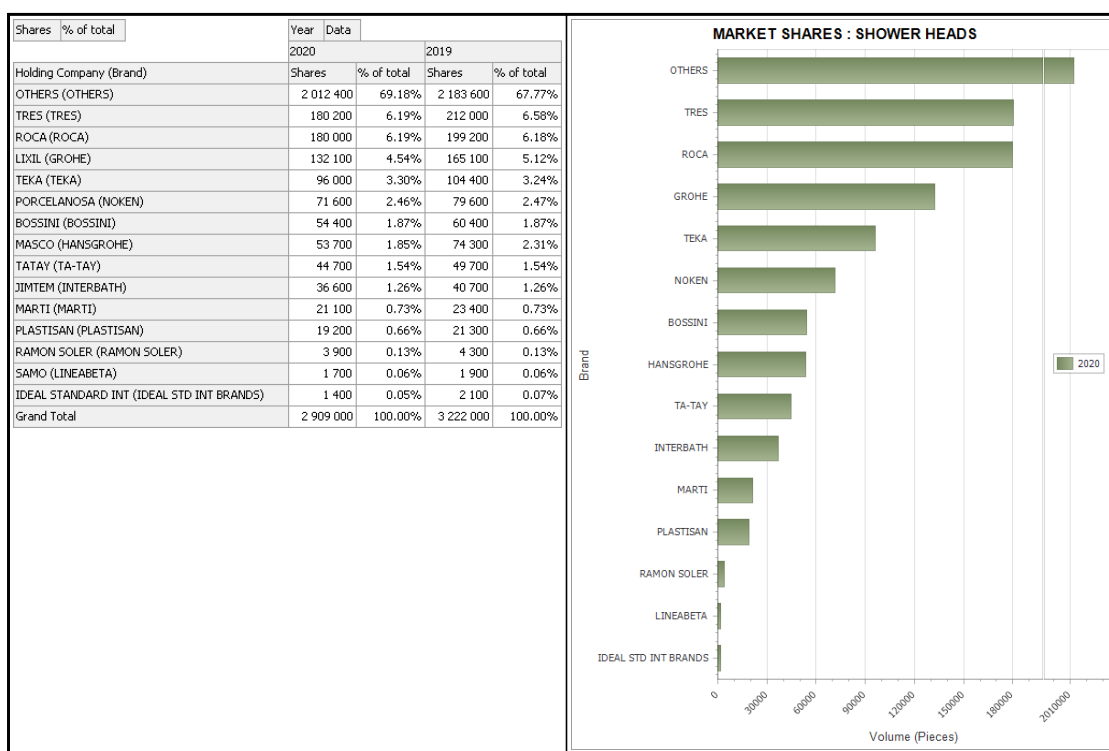
ES - ESTIMATED MARKET SHARES FOR FLEXIBLE HOSES



Source: BRG based on industry interviews.

7.5.2 Market Shares : Shower Heads

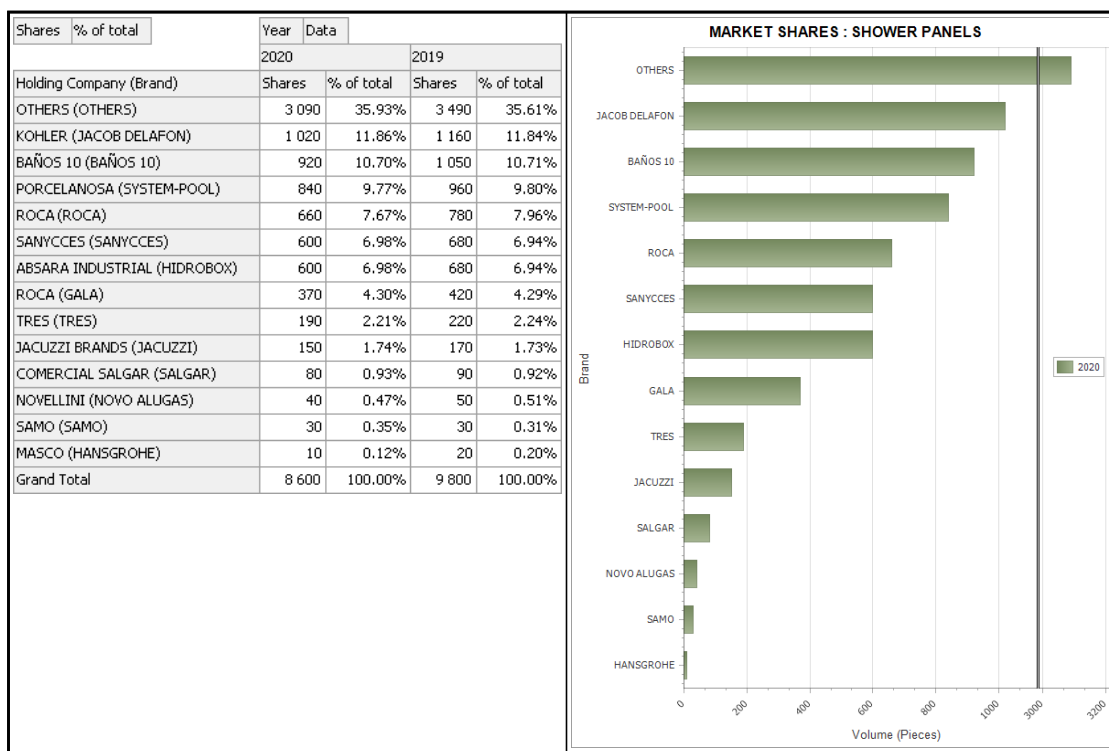
ES - ESTIMATED MARKET SHARES FOR SHOWER HEADS



Source: BRG based on industry interviews.

7.5.3 Market Shares : Shower Panels

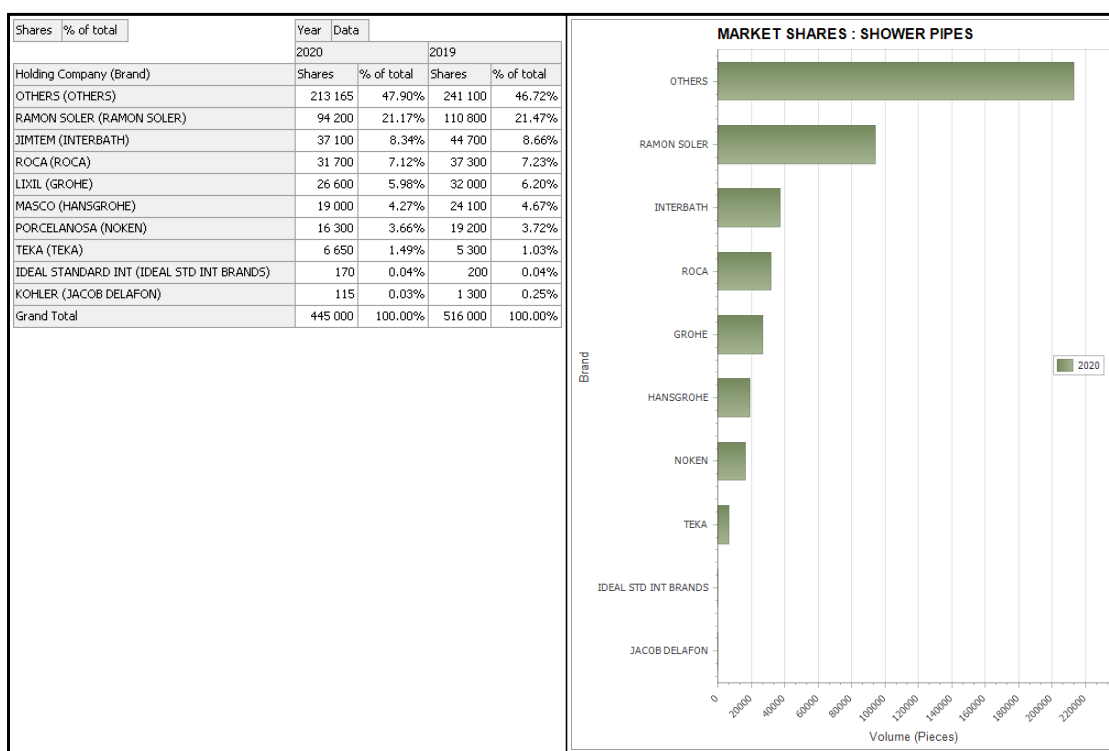
ES - ESTIMATED MARKET SHARES FOR SHOWER PANELS



Source: BRG based on industry interviews.

7.5.4 Market Shares : Shower Pipes

ES - ESTIMATED MARKET SHARES FOR SHOWER PIPES



Source: BRG based on industry interviews.

7.6.1

Route to Market: Shower Accessories
ES - ESTIMATED DISTRIBUTION FOR SHOWER ACCESSORIES: 2020

Manufacturer / Importer

Manufacturers / Importers
100.0%

Wholesale Level

71.3%
Wholesalers / Merchants
71.3%

Retail Level

Manufacturer	Wholesaler
2.7%	6.1%
Internet Retailers	
8.8%	

Manufacturer	Wholesaler
19.4%	7.8%
DIY Retailers	
27.2%	

Manufacturer	Wholesaler
5.8%	26.2%
Specialist Retailers	
32.0%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.8%	30.9%	0.7%	9.5%	4.5%
Installers				
46.4%				

End Use Level

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.0%	0.0%	7.9%	17.0%	27.2%	45.6%
Residential					
97.7%					
New Build			Residential RMI		
2.2%			95.4%		
Project	Non-Project		Project	Non-Project	
1.6%	0.6%		4.5%	90.9%	

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.0%	0.3%	0.2%	0.7%	0.3%	0.8%
Non-Residential					
2.3%					
New Build			Non-Residential RMI		
0.7%			1.6%		
Project	Non-Project		Project	Non-Project	
0.5%	0.2%		0.6%	1.0%	

7.6.2

Route to Market: Shower Accessories
ES - ESTIMATED DISTRIBUTION FOR SHOWER ACCESSORIES: 2025

Manufacturer / Importer

Manufacturers / Importers
100.0%

Wholesale Level

65.9%
Wholesalers / Merchants
65.9%

Retail Level

Manufacturer	Wholesaler
4.3%	7.9%
Internet Retailers	
12.2%	

Manufacturer	Wholesaler
23.7%	8.4%
DIY Retailers	
32.1%	

Manufacturer	Wholesaler
5.4%	21.0%
Specialist Retailers	
26.4%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.7%	28.3%	0.9%	11.2%	3.7%
Installers				
44.8%				

End Use Level

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.0%	0.0%	11.1%	20.3%	22.4%	44.1%
Residential					
97.9%					
New Build			Residential RMI		
1.9%			95.9%		
Project	Non-Project		Project	Non-Project	
1.4%	0.5%		4.8%	91.1%	

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.0%	0.3%	0.2%	0.6%	0.3%	0.7%
Non-Residential					
2.1%					
New Build			Non-Residential RMI		
0.7%			1.4%		
Project	Non-Project		Project	Non-Project	
0.5%	0.2%		0.6%	0.8%	

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

7.6.3 Route to Market - Consolidated View : Shower Accessories

ES - ESTIMATED DISTRIBUTION FOR SHOWER ACCESSORIES : 2019

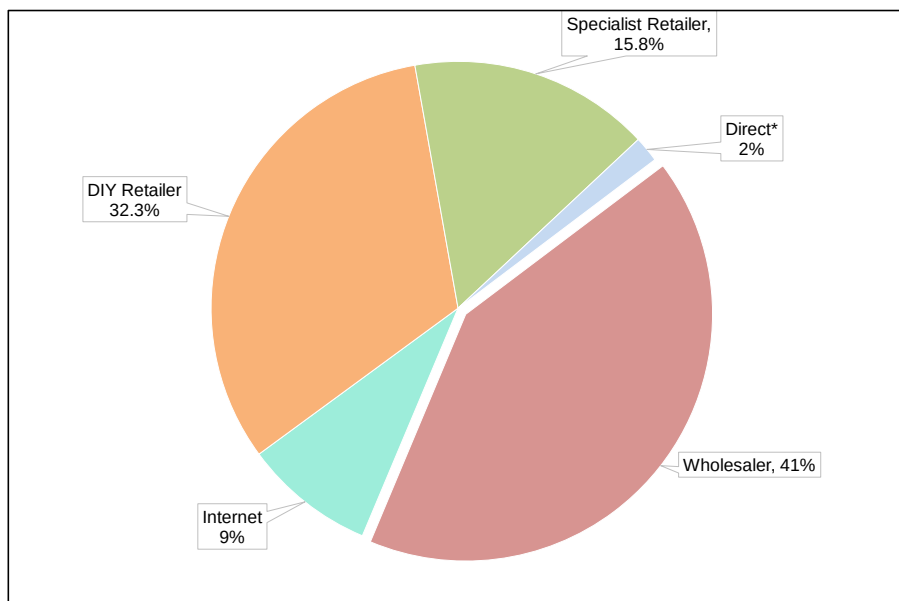
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
41.6%	8.6%	32.3%	15.8%	1.7%	9.5%	6.0%	83.0%	1.6%
100%					15.4%		84.6%	

7.6.4 Route to Market - Consolidated View : Shower Accessories

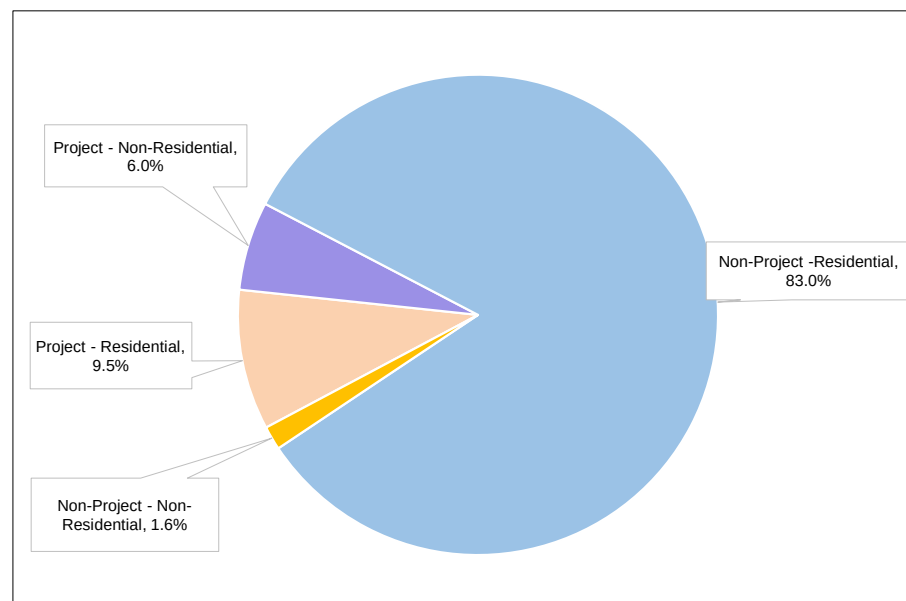
ES - ESTIMATED DISTRIBUTION FOR SHOWER ACCESSORIES : 2024

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
41.5%	10.0%	32.0%	15.4%	1.0%	9.4%	6.0%	83.1%	1.6%
100%					15.4%		84.6%	

ES - SALES OF SHOWER ACCESSORIES BY DISTRIBUTION CHANNEL: 2019



ES - SALES OF SHOWER ACCESSORIES BY POINT OF DECISION AND END-USE SECTOR: 2019



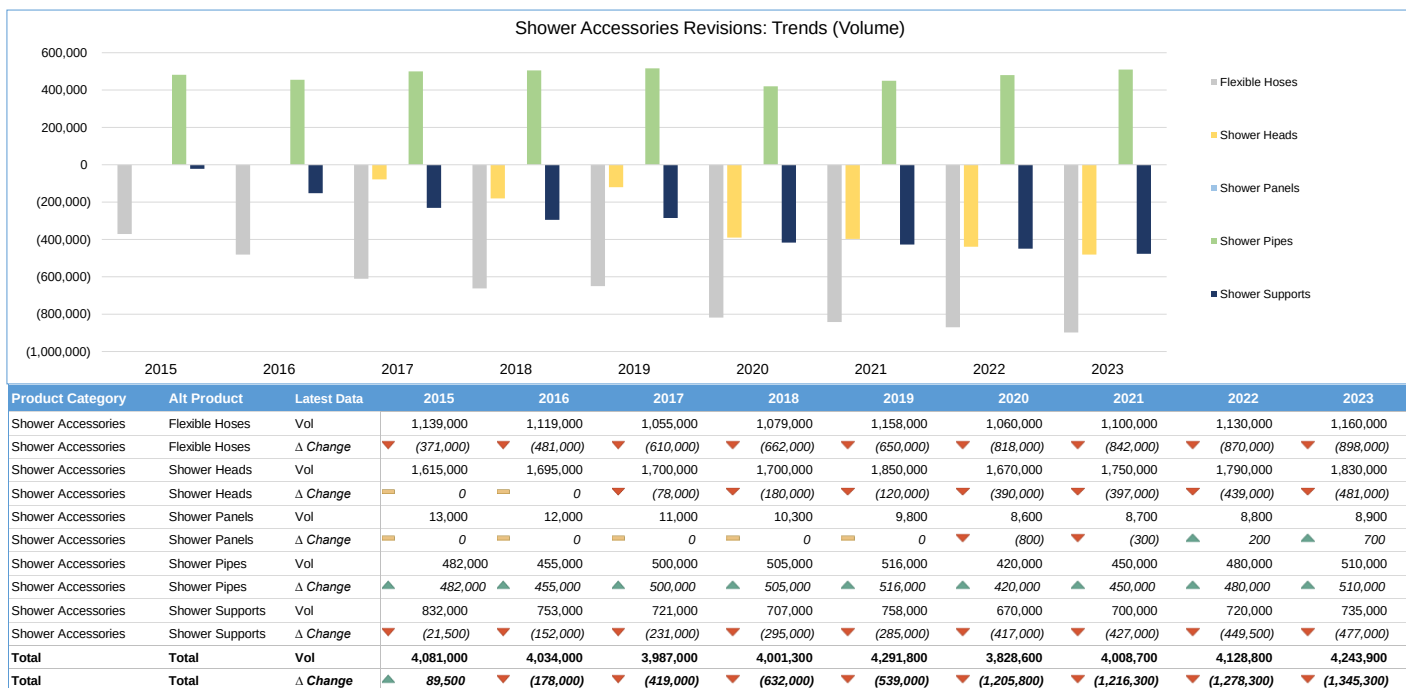
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

7.7 Revisions in the Spanish Shower Accessories Market (October 2020)

ES - REVISIONS IN THE SPANISH SHOWER ACCESSORIES MARKET

Data Comparison: April 2019



The historical market volume for flexible hoses was revised downward due to re-categorised manufacturer sales data.

SPAIN

KITCHEN SINKS

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Product Mix

Historically, sales of kitchen sinks have been characterised by the domination of stainless steel models, while synthetic types have experienced decreasing popularity within the product mix. On the product side, the long domination of the stainless steel kitchen sinks market came from a combination of factors, including low prices, technical features – in particular resistance – as well as the preference of Spanish consumers for chromed products in their kitchens (including dishwashers, fridges, etc.) as opposed to more traditional white products.

The kitchen sinks market experienced dynamic growth over the period 2002–2006 as a result of Spain's booming construction industry, the main driver for sales of kitchen sinks. In 2007, sales of kitchen sinks were seen to decline for the first time in over a decade due to the triggering of the construction crisis, which has since then extended to greater levels. Sales bounced back in 2014, and have experienced growth since then with the recovery of the RMI market.

Following a phase of popularity up to the mid-1990s, sales of synthetic kitchen sinks suffered from their perceived lack of resistance, being often criticised for breaking and staining easily. Ceramic and cast iron kitchen sinks have progressively turned into niche markets, and BRG has never recorded sales of enamelled steel kitchen sinks in the Spanish market.

The Spanish market for kitchen sinks has traditionally been characterised by a large volume of inset sinks, given their ease of installation and relative price attractiveness when compared to countertops and kitchenette worktops. This trend has been reversing though, with the majority of stainless steel kitchen sinks being presently undermount units, although this is not true for the other kitchen sink types, where inset sinks still account for the large majority of installations.

Recent Market Trends

As with most other market segments of the Spanish bathroom and kitchen market, demand for kitchen sinks declined considerably during the year 2020.

New construction during 2020 experienced negative growth due to COVID-19 restrictions, and along with decline in demand from the RMI sector had a combined effect on the market, in turn negatively impacting stainless steel as well as synthetic kitchen sink sales. The RMI sector accounts for the largest market for kitchen sinks.

Prices and Market Values

The kitchen sink market in 2020 experienced a marginal increase in the average MSP (manufacturers' selling price). The growth in prices was majorly in the upper/luxury price segments, especially for ceramic and synthetic kitchen sinks.

Stainless steel kitchen sinks accounted for the largest share of the kitchen sink market value in 2020.

New Housing

The kitchen sink market has a relatively high reliance on the new housing segment, as almost every household requires at least one kitchen sink. Stainless steel sinks are the most popular product in new housing given their low price and light weight, although synthetic sinks are by far the most reliant on the new housing market, as they are often chosen as a more modern alternative to stainless steel. Housing completions declined during 2020, owing to COVID-19 restrictions, and this resulted in a considerable drop in sales to the new housing sector. Synthetic sinks have been increasing their penetration in the new housing sector given their options in terms of design and colours, but their share is still quite small when compared with stainless steel sinks.

Housing RMI

The replacement market is easily the most significant for kitchen sinks, as a breakage requires quick replacement and there are few substitutions that can be made outside the product family.

Sales of kitchen sinks sold into the housing RMI sector witnessed a steep drop in 2020, with most of the volume sold in this sector still being made up of stainless steel materials.

The fact is that most of the replacements are still like-for-like, and the largest share of the park is equipped with a stainless steel sink. Nonetheless, displacements of stainless steel sinks in favour of synthetic are gaining traction and synthetic has been gaining share in the RMI market over the last decade.

Most sales of ceramic kitchen sinks are in this segment since, traditionally, they are robust and resistant products. With reduced budgets and purchasing power, the focus of Spanish consumers continues to be on the most traditional product types, since buyers opt for products offering a longer lifespan.

Non-Housing

Kitchen sinks tend to have a smaller penetration in the non-housing market, as not every commercial building requires a kitchen, unlike with bathrooms. The main non-housing markets for kitchen sinks are businesses such as restaurants, bars, hospitals, schools, clinics, offices, campsites and hotels. In these segments, stainless steel is the dominant product sold. Sales of kitchen sinks also declined sharply during 2020, as a result of the negative impact COVID-19 made on commercial construction activity.

Most sales of kitchen sinks going to the non-housing sector were stainless steel, increasing the number of its sales in this end-use segment. The refurbishment of existing kitchens and the installation of new kitchens are mostly made up of designed products, in order to increase the potential value of buildings.

Supply Structure

The stainless steel kitchen sink market is fairly concentrated, with most sales being made by TEKA and FRANKE. TEKA largely dominates this market, with sales under the TEKA brand, and has the widest product range available in Spain – in mostly the middle, upper and luxury price segments. FRANKE, like TEKA, also benefits from offering other kitchen products (i.e. taps and mixers) as well. Finally, PYRAMIS, the Greek manufacturer, has gained market share mainly because most of its products operate in the economy price segment. In addition, ‘others’ represent an important share in the market, mainly due to the cheap prices that consumers can find in DIYs across the country, mainly products imported from China.

The synthetic kitchen sink market is more fragmented, with a large number of manufacturers producing a small number of pieces. The main manufacturers are POALGI, TEKA, and PDP SINK (PRENSADO DEL POLIESTER), who are especially strong in the contract market (nearly half of their sales). In 2019, a new player entered the synthetic market, SCHOCK, a German manufacturer that is now among the top players.

Forecasts

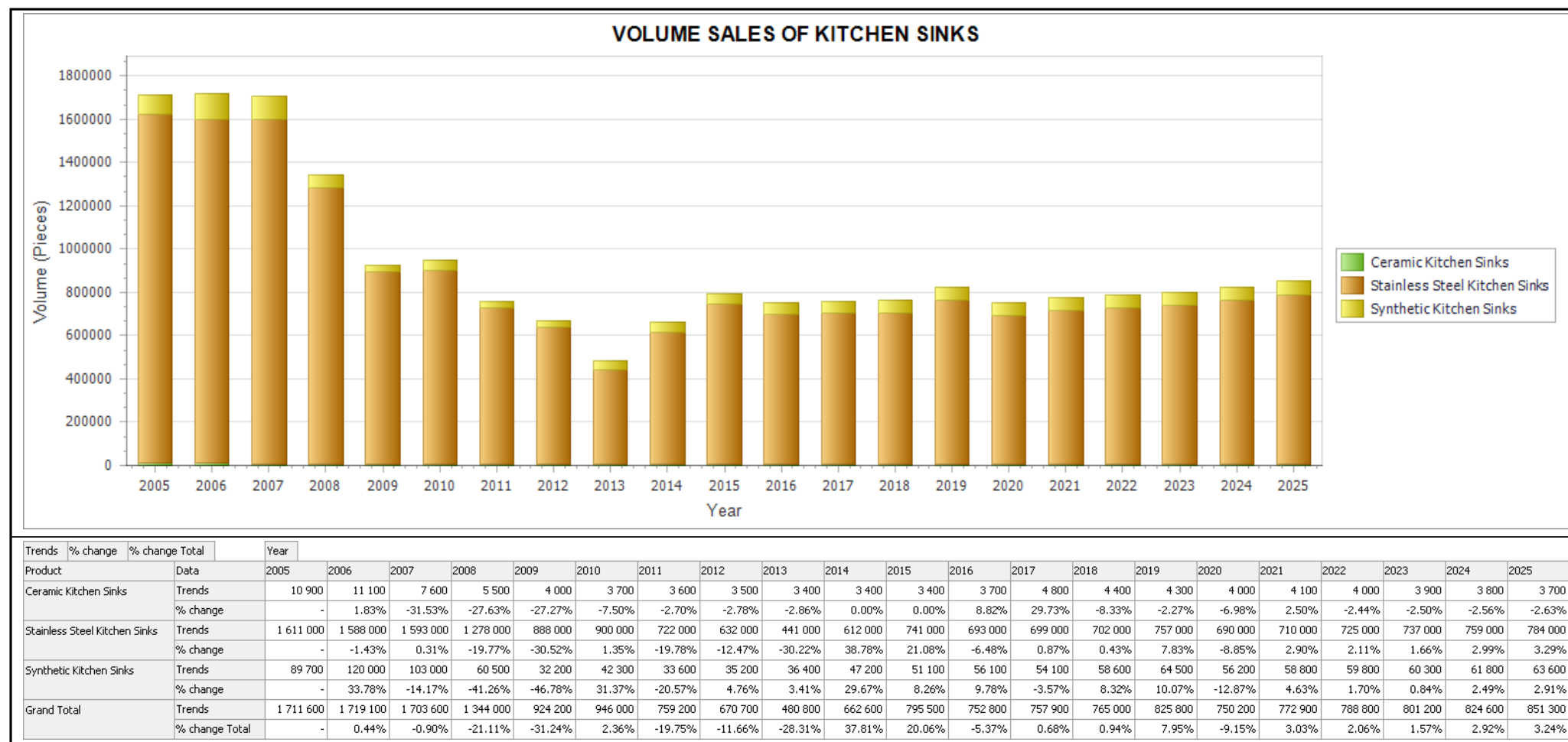
The positive growth during the forecast period is expected to resume from 2021 onwards, as dwelling completions should reflect the postponed projects of 2020. Therefore, sales of kitchen sinks are expected to experience an overall growth by the end of 2021, although a modest one. The RMI market is also expected to register a growth with the economic condition and consequently private consumption improving in 2021, and continuing the trend throughout the forecast period.

Synthetic sinks should continue to gain share from stainless steel sinks over the next five years, although their share should still remain small. Ceramic sinks should remain residual in the market, and this product is expected to represent no more than 1% of it by 2025.

At the time of writing (April 2021) there is still a great level of uncertainty regarding the economic recovery and expected demand for bathroom products. Many countries in Europe have gone into another lockdown, as vaccination efforts continue. If more lockdowns and constraints to economic activity continue over 2021, the forecasts for sales should be more negative than previously expected.

8.2 Historical Trends and Forecasts : Kitchen Sinks

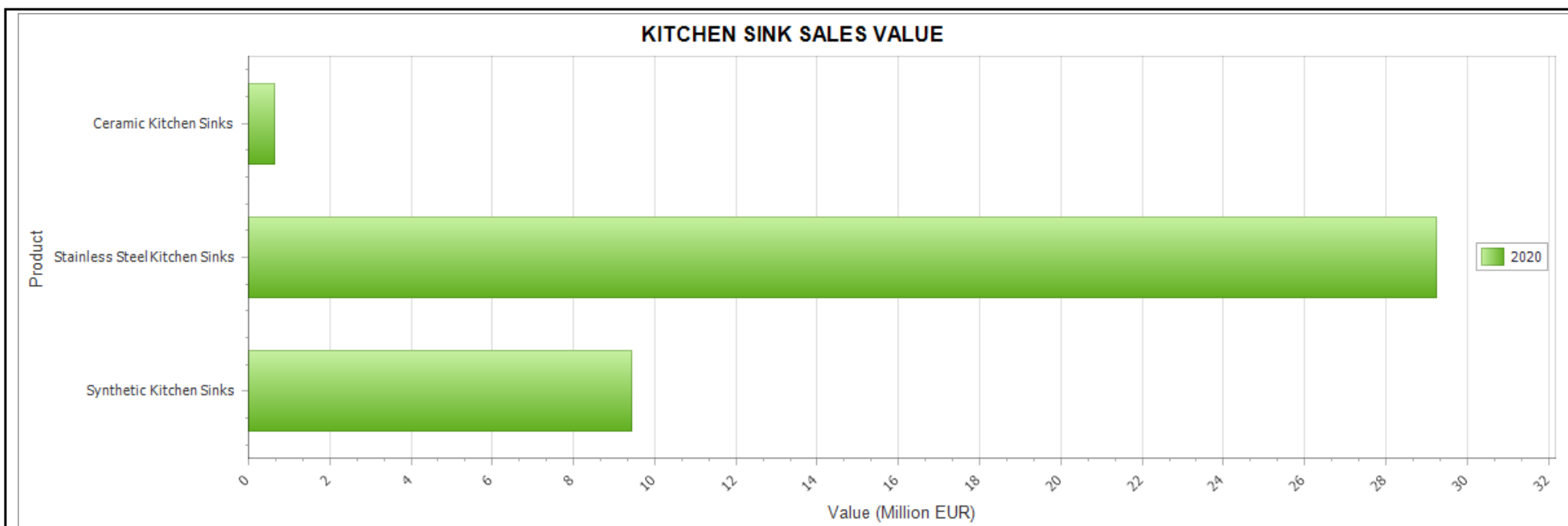
ES - SUMMARY OF TRENDS IN THE KITCHEN SINK MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews.

8.3.1 Prices and Market Values : Kitchen Sinks

ES - ESTIMATED VALUES OF THE KITCHEN SINK MARKET

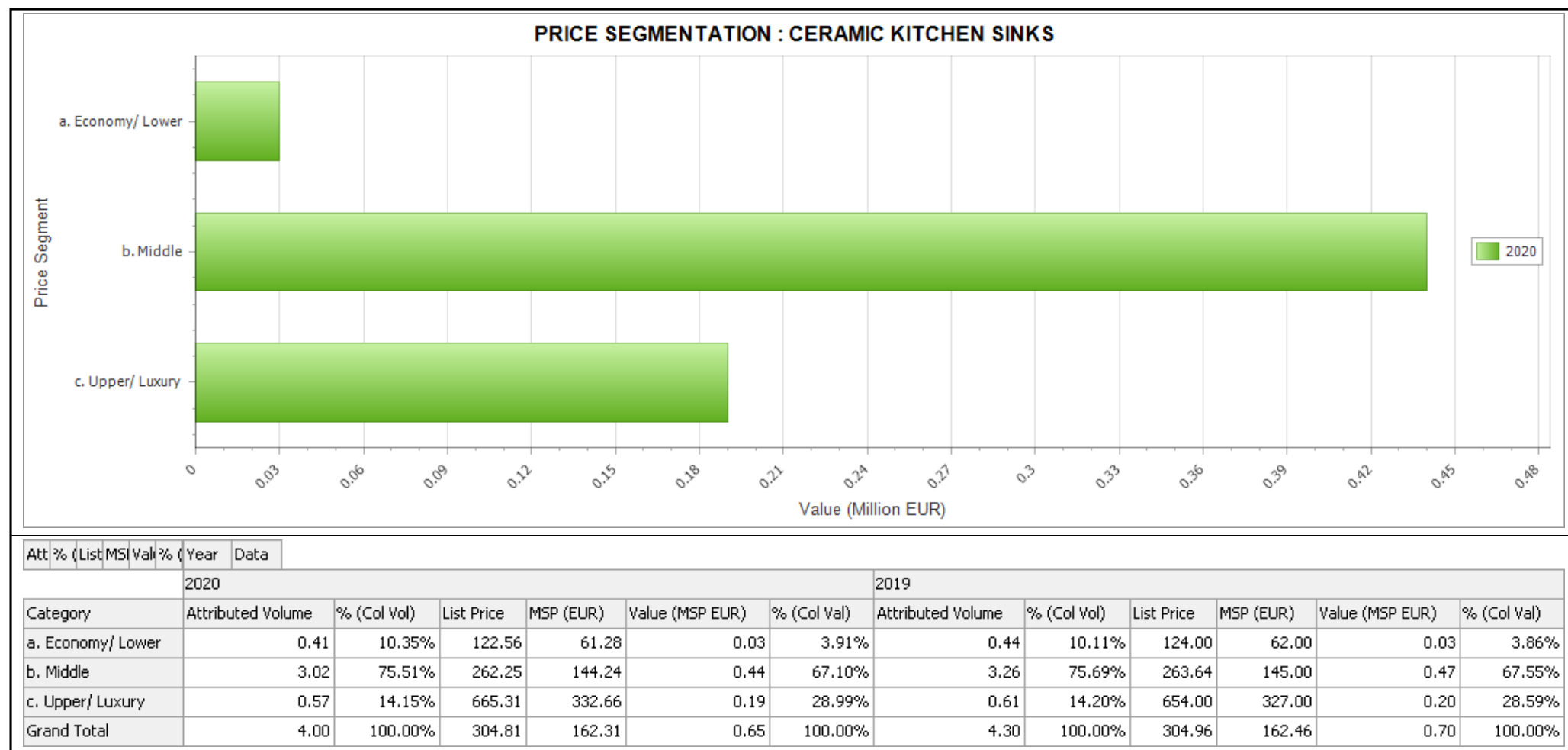


Volumes	MSP (EUR)	Value (MSP EUR)	Year	Data		
			2020	2019		
Product	Volumes	MSP (EUR)	Value (MSP EUR)	Volumes	MSP (EUR)	Value (MSP EUR)
Ceramic Kitchen Sinks	4 000	162.29	0.65	4 300	162.43	0.70
Stainless Steel Kitchen Sinks	690 000	42.39	29.25	757 000	43.18	32.69
Synthetic Kitchen Sinks	56 200	167.91	9.44	64 500	170.50	11.00
Grand Total	750 200	52.43	39.33	825 800	53.75	44.38

Source: BRG based on industry interviews. Values Shown in Millions (at MSP = Manufacturers' Selling Price)

8.3.2 Price Segmentation : Ceramic Kitchen Sinks

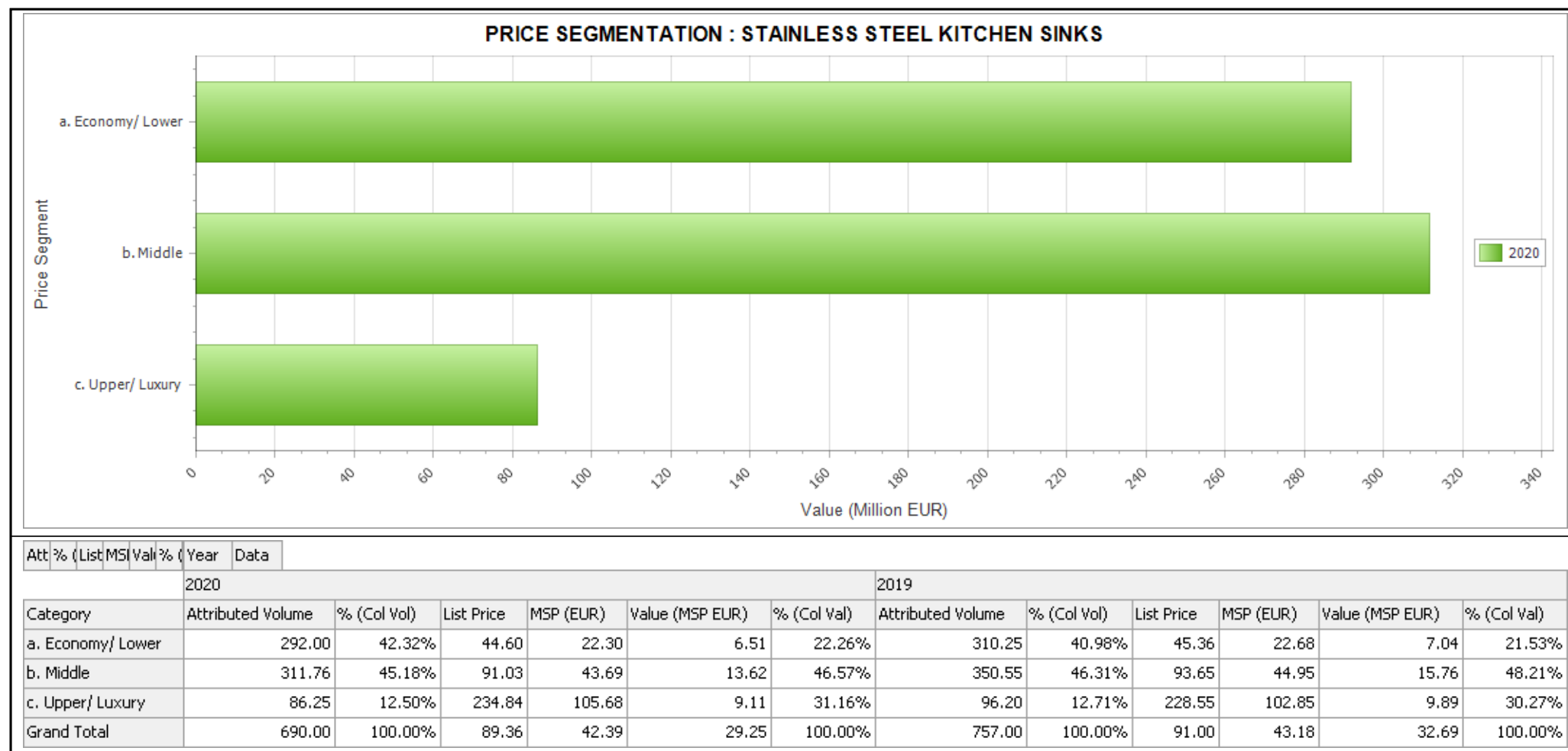
ES - ESTIMATED PRICE SEGMENTATION FOR CERAMIC KITCHEN SINKS



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€100, Middle €100-€200, Upper/ Luxury >€200

8.3.3 Price Segmentation : Stainless Steel Kitchen Sinks

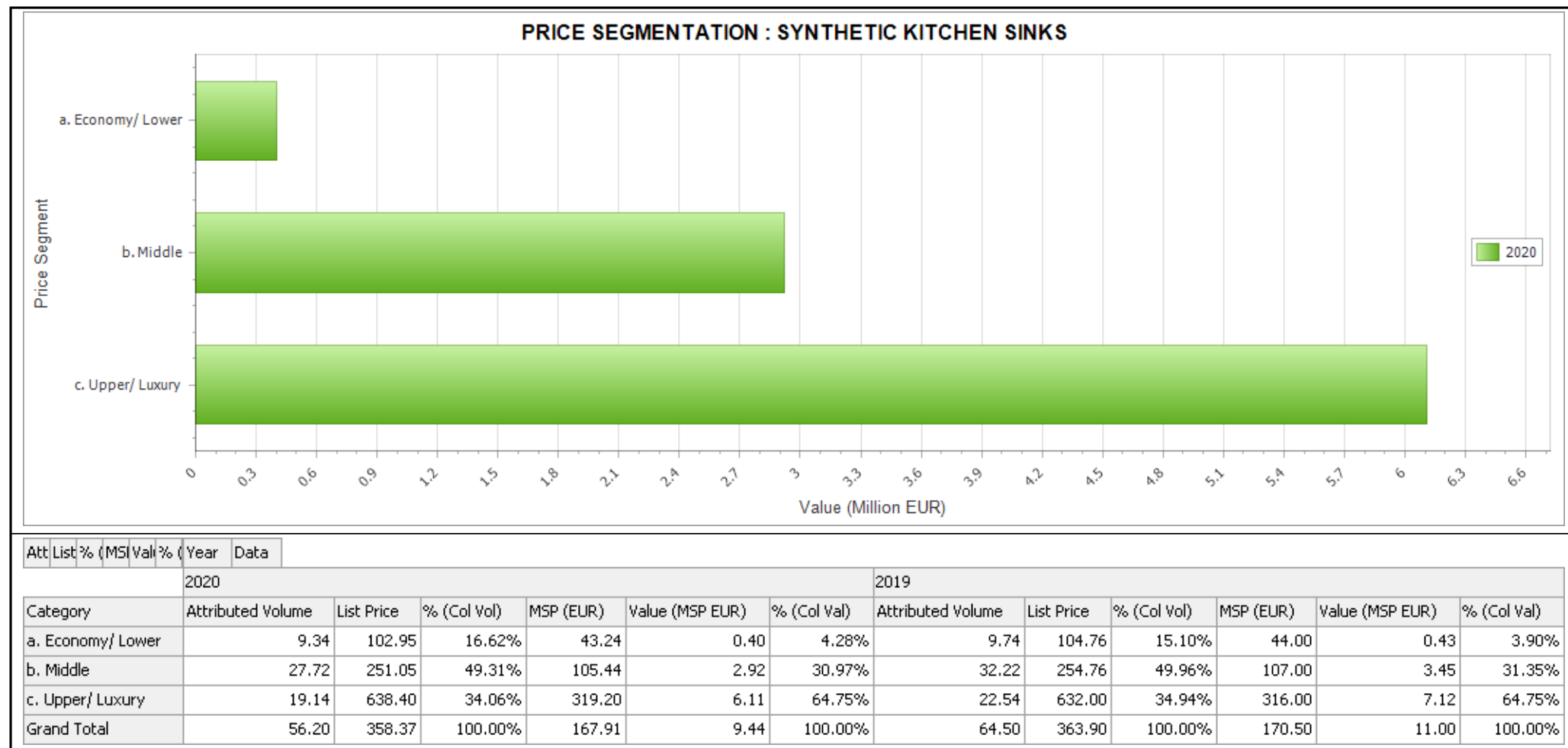
ES - ESTIMATED PRICE SEGMENTATION FOR STAINLESS STEEL KITCHEN SINKS



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€30, Middle €30-€60, Upper/ Luxury >€60

8.3.4 Price Segmentation : Synthetic Kitchen Sinks

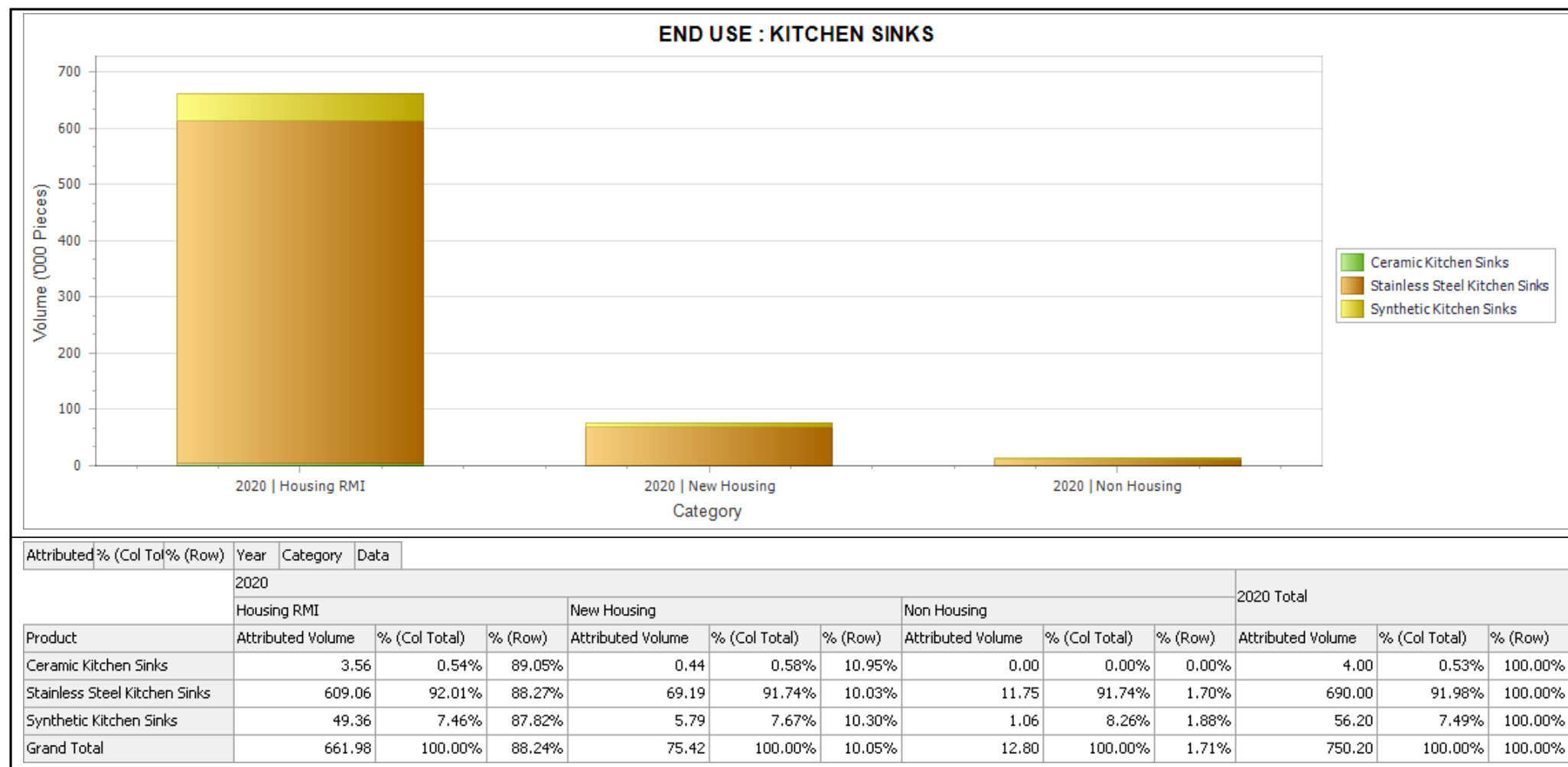
ES - ESTIMATED PRICE SEGMENTATION FOR SYNTHETIC KITCHEN SINKS



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€75, Middle €75-€150, Upper/ Luxury >€150

8.4.1 End Use : Base Year

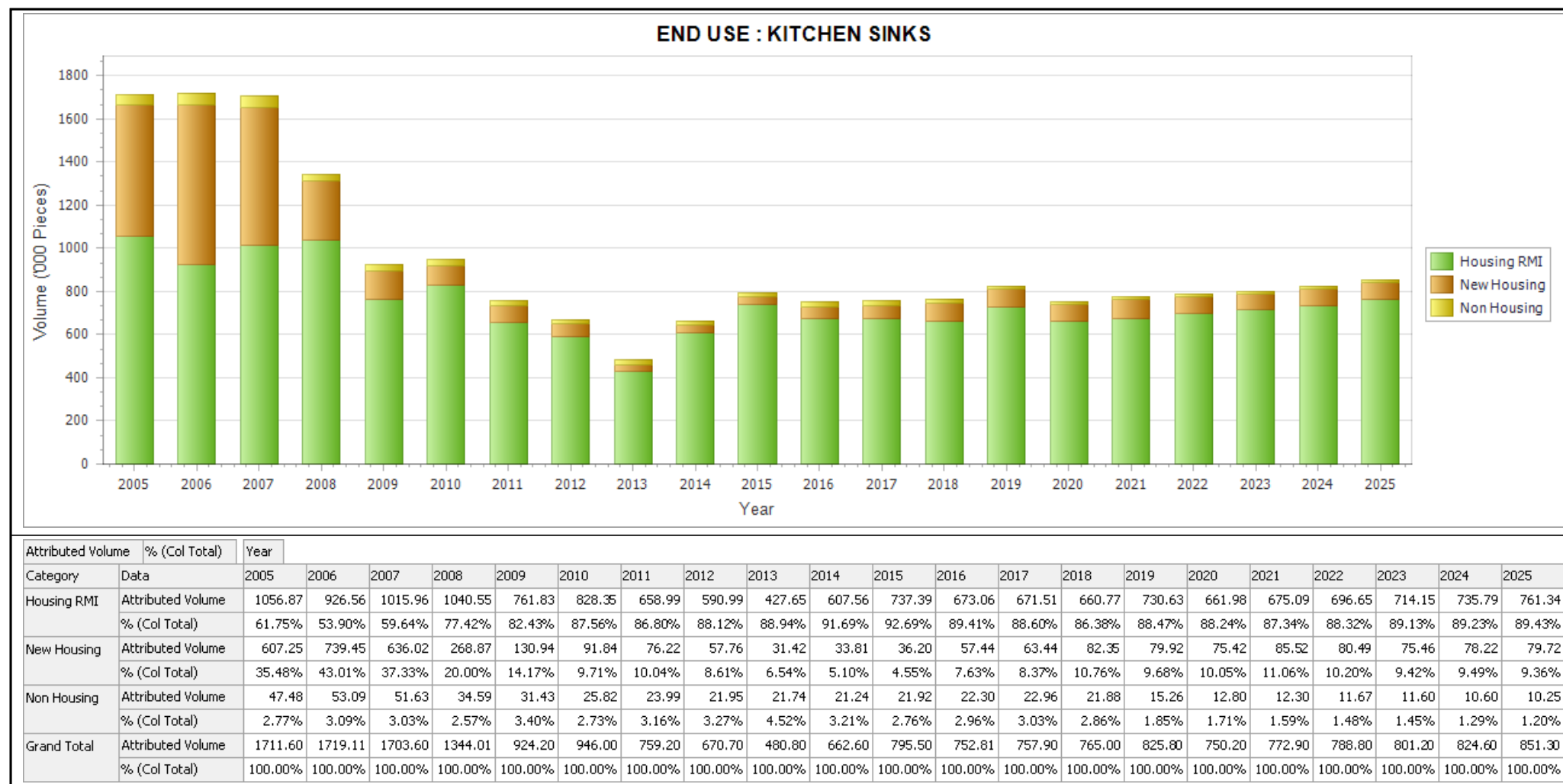
ES - SALES OF KITCHEN SINKS BY TYPE AND END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

8.4.2 End Use : Historical and Forecasts

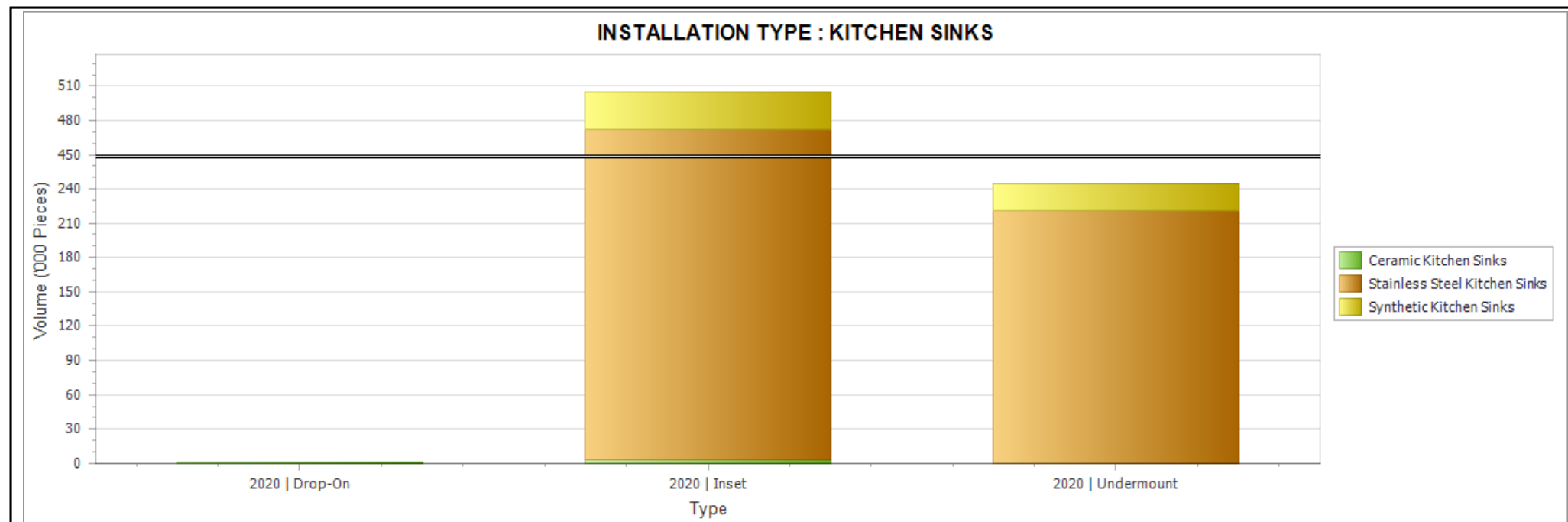
ES - SALES OF KITCHEN SINKS BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

8.4.3 Sales by Type of Installation : Kitchen Sinks

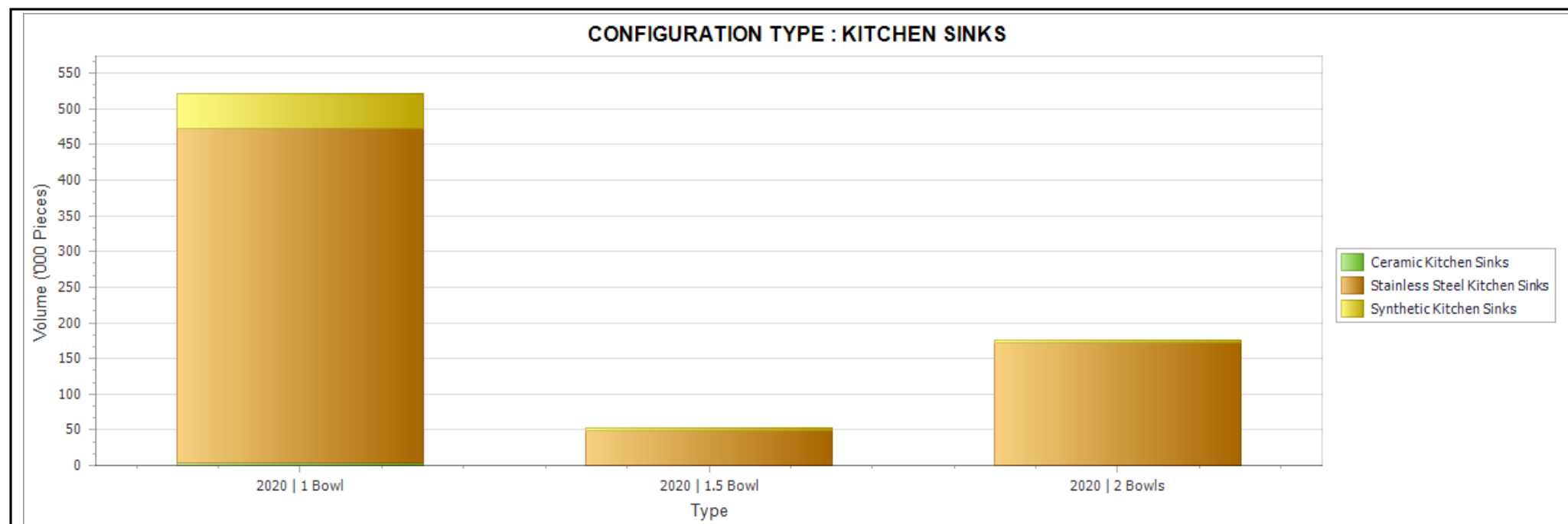
ES - KITCHEN SINK SALES BY INSTALLATION TYPE ('000 PIECES)



Attributed	% (Col Tot)	% Row	Year	Category	Data										
			2020									2020 Total			
			Drop-On			Inset			Undermount						
Product	Attributed Volume		% (Col Total)	% Row	Attributed Volume		% (Col Total)	% Row	Attributed Volume		% (Col Total)	% Row	Attributed Volume	% (Col Total)	% Row
Ceramic Kitchen Sinks	0.76		100.00%	19.00%	3.24		0.64%	81.00%	0.00		0.00%	0.00%	4.00	0.53%	100.00%
Stainless Steel Kitchen Sinks	0.00		0.00%	0.00%	469.20		92.86%	68.00%	220.80		90.43%	32.00%	690.00	91.98%	100.00%
Synthetic Kitchen Sinks	0.00		0.00%	0.00%	32.82		6.50%	58.40%	23.38		9.57%	41.60%	56.20	7.49%	100.00%
Grand Total	0.76		100.00%	0.10%	505.26		100.00%	67.35%	244.18		100.00%	32.55%	750.20	100.00%	100.00%

Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

ES - KITCHEN SINK SALES BY CONFIGURATION TYPE ('000 PIECES)

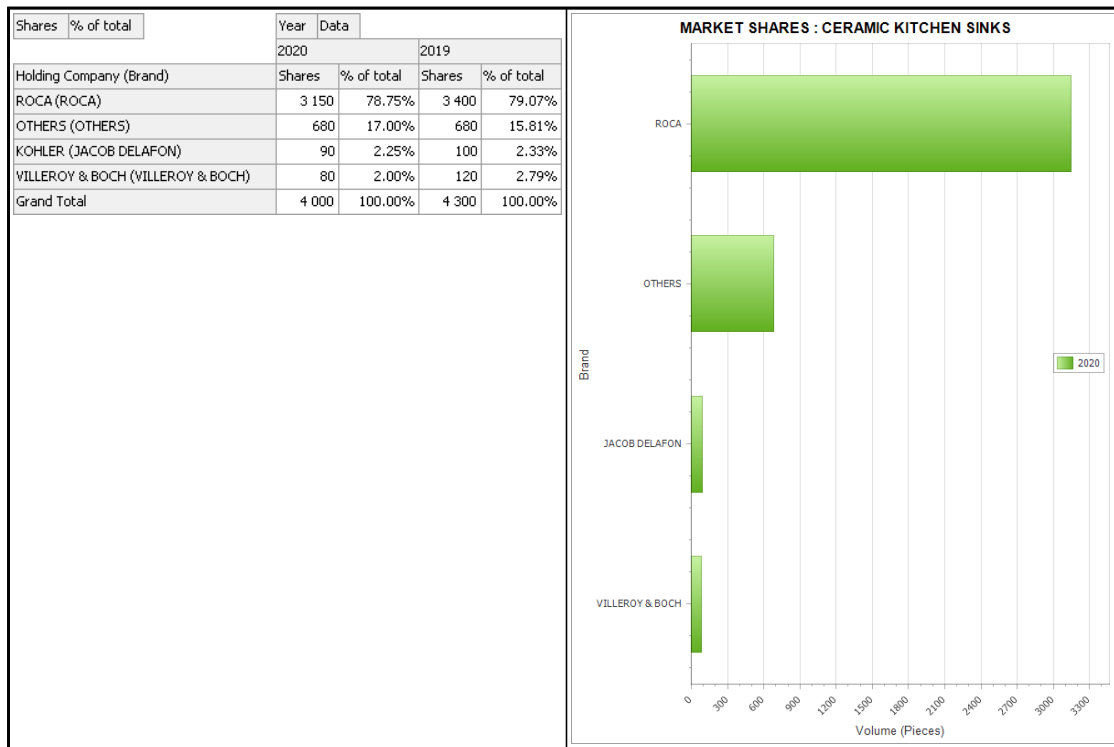


Attributed	% (Col Tot)	% Row	Year	Category	Data							
			2020							2020 Total		
			1 Bowl			1.5 Bowl			2 Bowls			
Product	Attributed Volume		% (Col Total)	% Row	Attributed Volume		% (Col Total)	% Row	Attributed Volume		% (Col Total)	% Row
Ceramic Kitchen Sinks	3.54		0.68%	88.58%	0.30		0.56%	7.42%	0.16		0.09%	4.00%
Stainless Steel Kitchen Sinks	469.20		89.95%	68.00%	48.30		91.23%	7.00%	172.50		98.20%	25.00%
Synthetic Kitchen Sinks	48.86		9.37%	86.93%	4.35		8.21%	7.73%	3.00		1.71%	5.33%
Grand Total	521.60		100.00%	69.53%	52.95		100.00%	7.06%	175.66		100.00%	23.41%

Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

8.5.1 Market Shares : Ceramic Kitchen Sinks

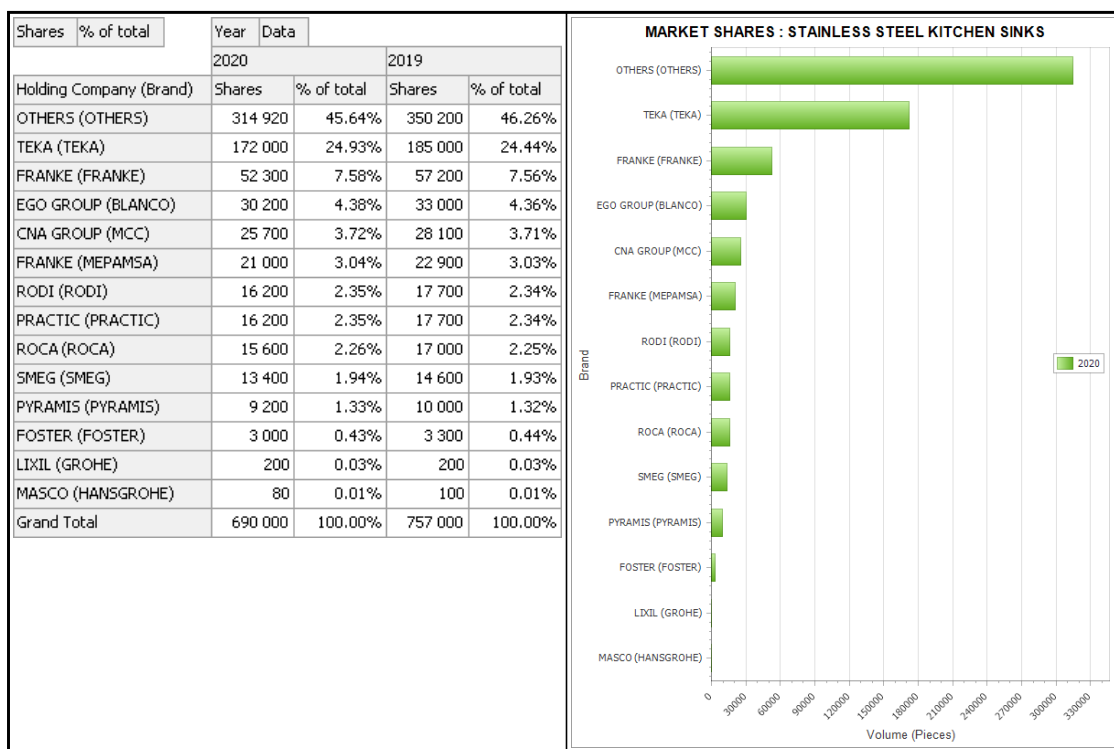
ES - ESTIMATED MARKET SHARES FOR CERAMIC KITCHEN SINKS



Source: BRG based on industry interviews

8.5.2 Market Shares : Stainless Steel Kitchen Sinks

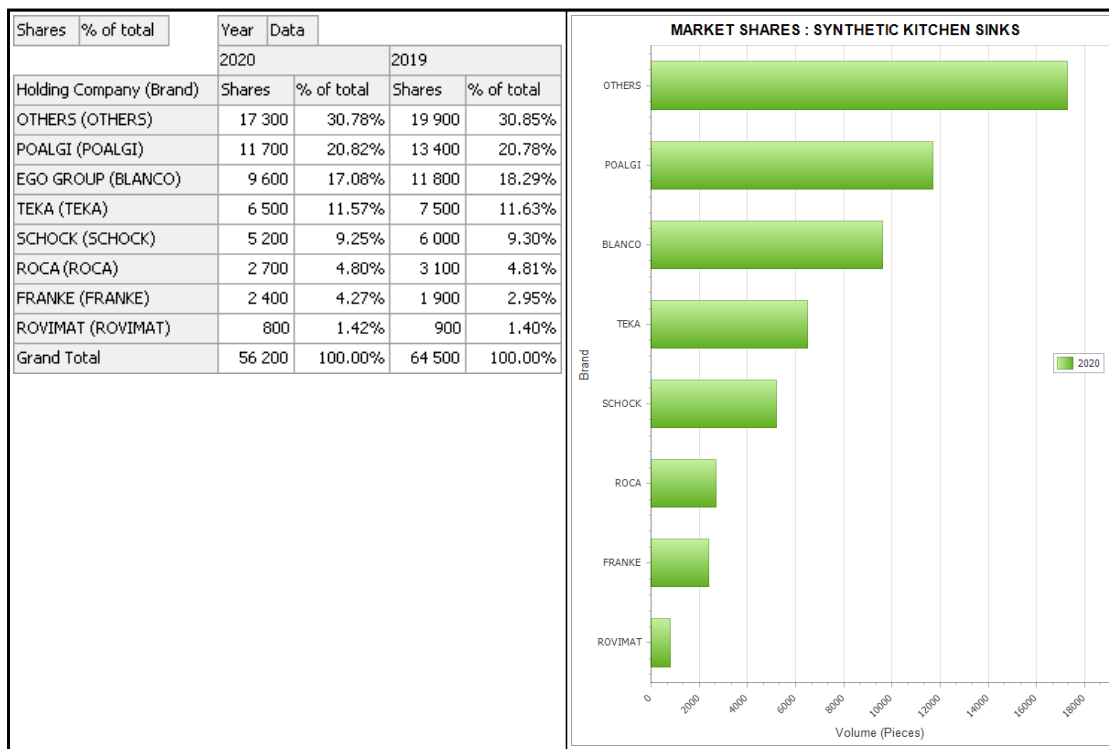
ES - ESTIMATED MARKET SHARES FOR STAINLESS STEEL KITCHEN SINKS



Source: BRG based on industry interviews.

8.5.3 Market Shares : Synthetic Sinks

ES - ESTIMATED MARKET SHARES FOR SYNTHETIC KITCHEN SINKS



Source: BRG based on industry interviews.

8.6.1

Route to Market: Kitchen Sinks
ES - ESTIMATED DISTRIBUTION FOR KITCHEN SINKS: 2020

Manufacturer / Importer

Manufacturers / Importers
100.0%

81.7%
Worktop Manufacturers
81.7%

Wholesale Level

Manufacturers	Worktop Manufacturer
11.4%	11.8%
Wholesalers / Merchants	
23.2%	

Retail Level

Manufacturer	Worktop Manufacturer	Wholesaler
1.1%	0.0%	2.4%
Internet Retailers		
3.5%		

Manufacturer	Worktop Manufacturer	Wholesaler
1.0%	0.0%	6.3%
DIY Retailers		
7.3%		

Manufacturer	Worktop Manufacturer	Wholesaler
3.8%	55.4%	3.5%
Specialist Retailers		
62.7%		

Manufacturer	Worktop Manufacturer	Wholesaler	Internet	DIY	Specialist
1.0%	14.5%	10.4%	0.9%	1.1%	9.4%
Installers					
37.2%					

End Use Level

Manufacturer	Worktop Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.0%	0.0%	0.4%	2.7%	6.2%	53.3%	35.7%
Residential						
98.3%						

New Build			Residential RMI		
10.1%			88.2%		
Project	Non-Project		Project	Non-Project	
8.5%	1.6%		4.2%	84.0%	

Manufacturer	Worktop Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.0%	0.0%	0.3%	0.0%	0.0%	0.0%	1.5%
Non-Residential						
1.7%						

New Build			Non-Residential RMI		
0.6%			1.1%		
Project	Non-Project		Project	Non-Project	
0.4%	0.2%		0.8%	0.3%	

8.6.2

Route to Market: Kitchen Sinks
ES - ESTIMATED DISTRIBUTION FOR KITCHEN SINKS: 2025

Manufacturer / Importer

Manufacturers / Importers
100.0%

80.8%
Worktop Manufacturers
80.8%

Wholesale Level

Manufacturers	Worktop Manufacturer
10.8%	11.4%
Wholesalers / Merchants	
22.2%	

Manufacturer	Worktop Manufacturer	Wholesaler
2.4%	0.0%	4.3%
Internet Retailers		
6.7%		

Manufacturer	Worktop Manufacturer	Wholesaler
1.3%	0.0%	7.2%
DIY Retailers		
8.5%		

Manufacturer	Worktop Manufacturer	Wholesaler
3.7%	54.6%	3.3%
Specialist Retailers		
61.7%		

Manufacturer	Worktop Manufacturer	Wholesaler	Internet	DIY	Specialist
0.9%	14.8%	7.0%	1.7%	1.3%	10.7%
Installers					
36.4%					

End Use Level

Manufacturer	Worktop Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.0%	0.0%	0.2%	5.0%	7.2%	51.0%	35.4%
Residential						
98.8%						

New Build			Residential RMI		
9.4%			89.4%		
Project	Non-Project		Project	Non-Project	
7.0%	2.4%		3.8%	85.6%	

Manufacturer	Worktop Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.0%	0.0%	0.2%	0.0%	0.0%	0.0%	1.0%
Non-Residential						
1.2%						

New Build			Non-Residential RMI		
0.4%			0.8%		
Project	Non-Project		Project	Non-Project	
0.3%	0.1%		0.6%	0.2%	

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

8.6.3 Route to Market - Consolidated View : Kitchen Sinks

ES - ESTIMATED DISTRIBUTION FOR KITCHEN SINKS : 2020

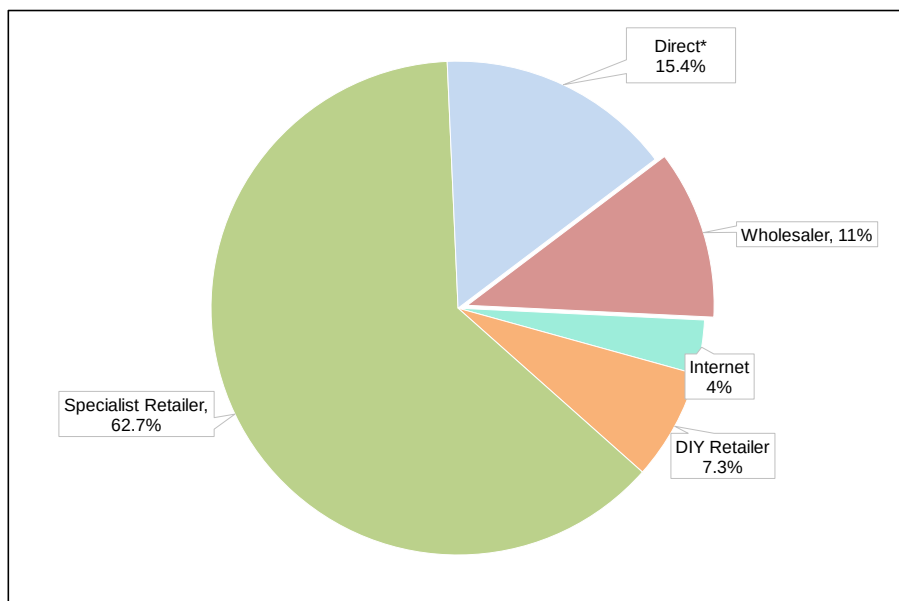
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
11.0%	3.5%	7.3%	62.7%	15.4%	12.7%	1.2%	85.6%	0.5%
100%					13.9%		86.1%	

8.6.4 Route to Market - Consolidated View : Kitchen Sinks

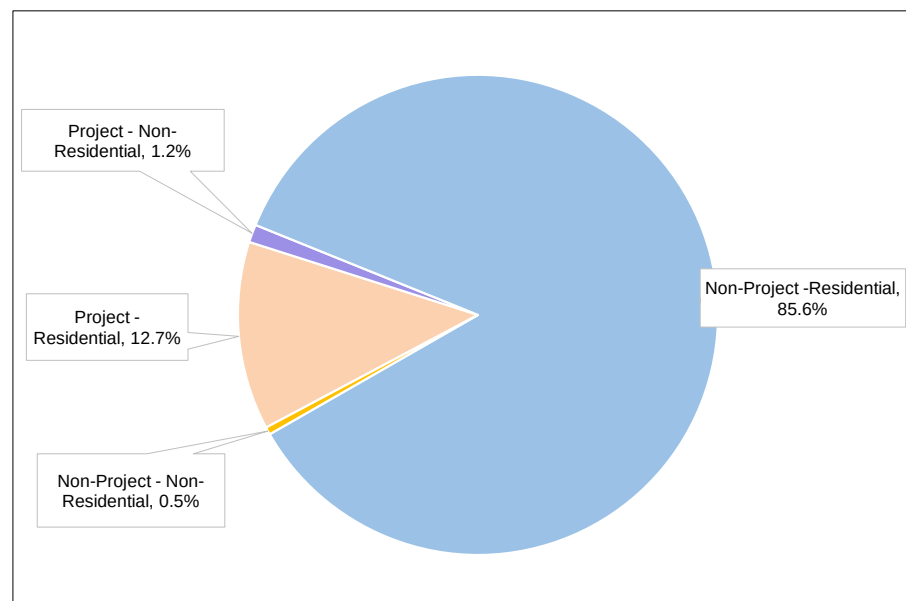
ES - ESTIMATED DISTRIBUTION FOR KITCHEN SINKS : 2025

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
7.4%	6.7%	8.5%	61.7%	15.7%	10.8%	0.8%	88.0%	0.4%
100%					11.6%		88.4%	

ES - SALES OF KITCHEN SINKS BY DISTRIBUTION CHANNEL: 2020



ES - SALES OF KITCHEN SINKS BY POINT OF DECISION AND END-USE SECTOR: 2020



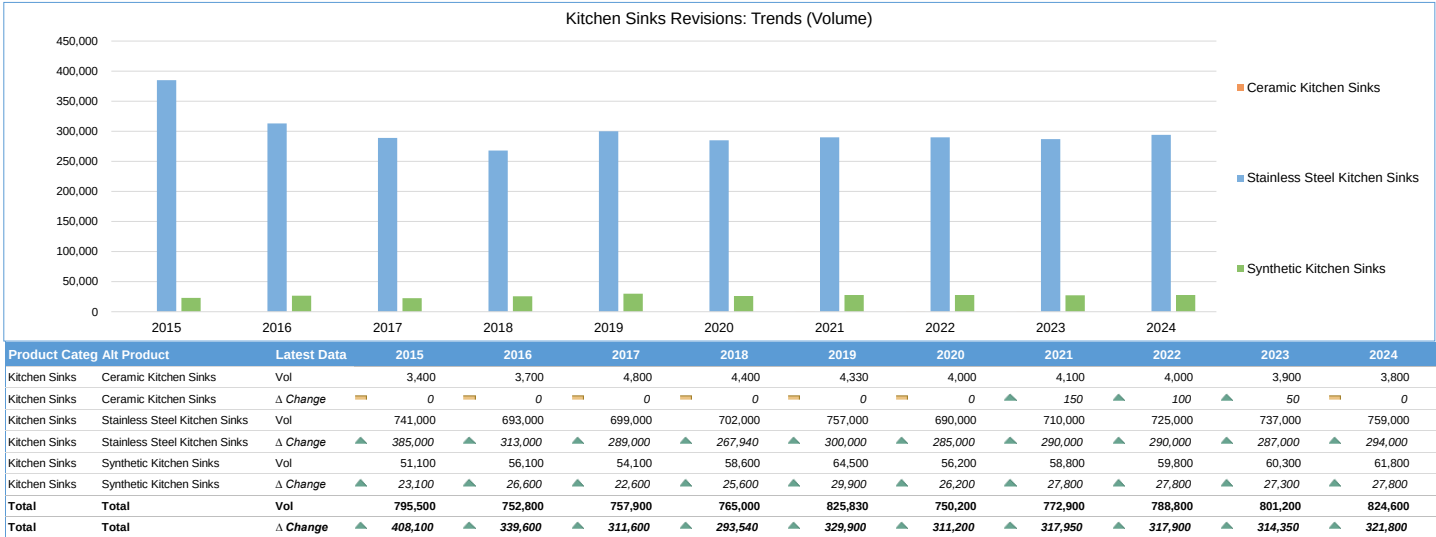
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

8.7 Revisions in the Spanish Kitchen Sinks Market (April 2021)

ES - REVISIONS IN THE SPANISH KITCHEN SINKS MARKET

Data Comparison: October 2020



Significant upward revisions were made to the market sizes for both stainless steel and synthetic kitchen sinks. Stainless steel kitchen sinks were up because domestic supply was understated, combined with the effects of growing imports on market volumes, whereas synthetic sinks were revised up due to an underestimation of imports from Germany, France and Italy.

The MSP was revised down for stainless steel kitchen sinks. Most of these sinks are sold in the economy priced segment, less so middle and upper/ luxury, and are often very basic.

SPAIN

KITCHEN TAPS AND MIXERS

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Product Mix

Historically, the Spanish kitchen taps and mixers market has been characterised by a strong domination of one-head mixers. Showerette mixers have been gaining share in the market over the last decade, although they still account for a small share of it due to the price sensitivities of the Spanish consumers; showerettes are still an expensive product.

The Spanish kitchen taps and mixers market was growing until 2006, but has since then experienced a substantial decrease in the volume sold due to a massive drop in the construction market as a result of the financial crisis. As a consequence, the social and economic conditions of Spanish households quickly deteriorated. High levels of unemployment and decreasing purchasing power in RMI, combined with the collapsing number of new dwellings, resulted in a massive drop in sales of kitchen taps and mixers in Spain.

The recovery of the Spanish kitchen taps and mixers market has been noticeable from 2014 onwards, when the economy started to show signs of recovery, which led to a positive growth – mainly driven by RMI demand. Sales accelerated in 2017, when the kitchen taps and mixers market enjoyed an increase in demand from the new housing sector for the first time in the 2010s.

Recent Market Trends

Demand for kitchen taps and mixers declined significantly in Spain during 2020, as repercussions due to COVID-19 impacted sales negatively. The year witnessed a decline in construction due to the restrictions put in place by the government to curb the spread of the virus. The kitchen taps and mixers market suffered a drop owing to the decline in overall construction activity during the year, as a result of the sudden loss in demand and disruptions in supplies and production thereafter.

The non-housing sector accounts for just a small share of the market, as there is a low demand for kitchen products from this sector. Nonetheless, it continued to grow over 2019, pushing sales up.

Prices and Market Values

In 2020, the average MSP (manufacturers' selling price) for kitchen taps and mixers increased as the cost of production for manufacturers, as well as logistics costs, grew during the year. Also, the market has been shifting towards the middle price point, which has generally resulted in pushing up the overall prices.

The product mix has also changed slightly and affected the average MSP, as one-head models account for the largest share in value and volumes.

New Housing

New housing sales of kitchen taps and mixers witnessed a sharp decline during 2020. The new dwelling completions suffered a decline, with very few completions for almost half of the year, due to the COVID-19 restrictions and the condition of the economy thereafter. Many projects were postponed, and dwelling completions' end dates were extended through to 2021. The new housing market is thus expected to grow only from 2021 onwards.

The majority of sales of taps and mixers were made up of one-head mixers in 2020, due to the fact that Spanish households aim to equip their brand new kitchens with more design-led and aesthetic models of taps and mixers, while the focus remains on price levels. For this reason, Spanish households opt for one-head mixers rather than showerettes, since showerettes are still perceived as too expensive, although most manufacturers are already including this product in their portfolios due to the increasing demand and fast growth reported in this segment.

Housing RMI

Replacement sales also suffered a decline during 2020, due to the prevailing conditions with the pandemic and the situation thereafter throughout the year.

During the financial crisis many renovations were postponed and, although most of the delayed renovations took place between 2014 and 2017, the RMI market was still under the positive effect of these postponed renovations taking place. Yet since there was a sudden negative economic impact due to the COVID-19 pandemic, renovations and refurbishments had to be postponed further. Kitchen taps and mixers are relatively easy to install and consumers do not need an installer to replace them, which makes the renovation decision easier due to its lower costs.

Non-Housing

This segment is dependent on private investment in leisure and tourism, which has been worst hit during 2020, especially non-housing RMI activity, even as non-housing construction became weaker with decreases in investments and overall business. The sales volume to this sector witnessed a sharp decline in 2020 as commercial construction, hospitality and small restaurant businesses were hit hard by COVID-19 throughout the year.

Supply Structure

The Spanish market for kitchen taps and mixers has traditionally been in the hands of a few manufacturers such as ROCA, STANDARD HIDRAULICA, RAMON SOLER, TEKA, TRES GRIFERIA, and GROHE. 'Others' in the kitchen taps and mixers market also play an important role, where most of this demand is from DIY retailers.

The leading manufacturer, ROCA, is widely appreciated among installers and almost the majority of players in the industry. The increasing number of new dwellings built in Spain led to an overall increase for all market players. TEKA, which sells under its own brand, also produces for other subsidiaries within the TEKA GROUP. In recent years, TEKA has specialised in the contract market and its premium models are often chosen within the hospitality and restaurant markets. On the other hand, GROHE is particularly strong in the showerette market. SCHOCK, a new German player, has entered the market, although due to its fragmented nature it only holds a residual market share.

Forecasts

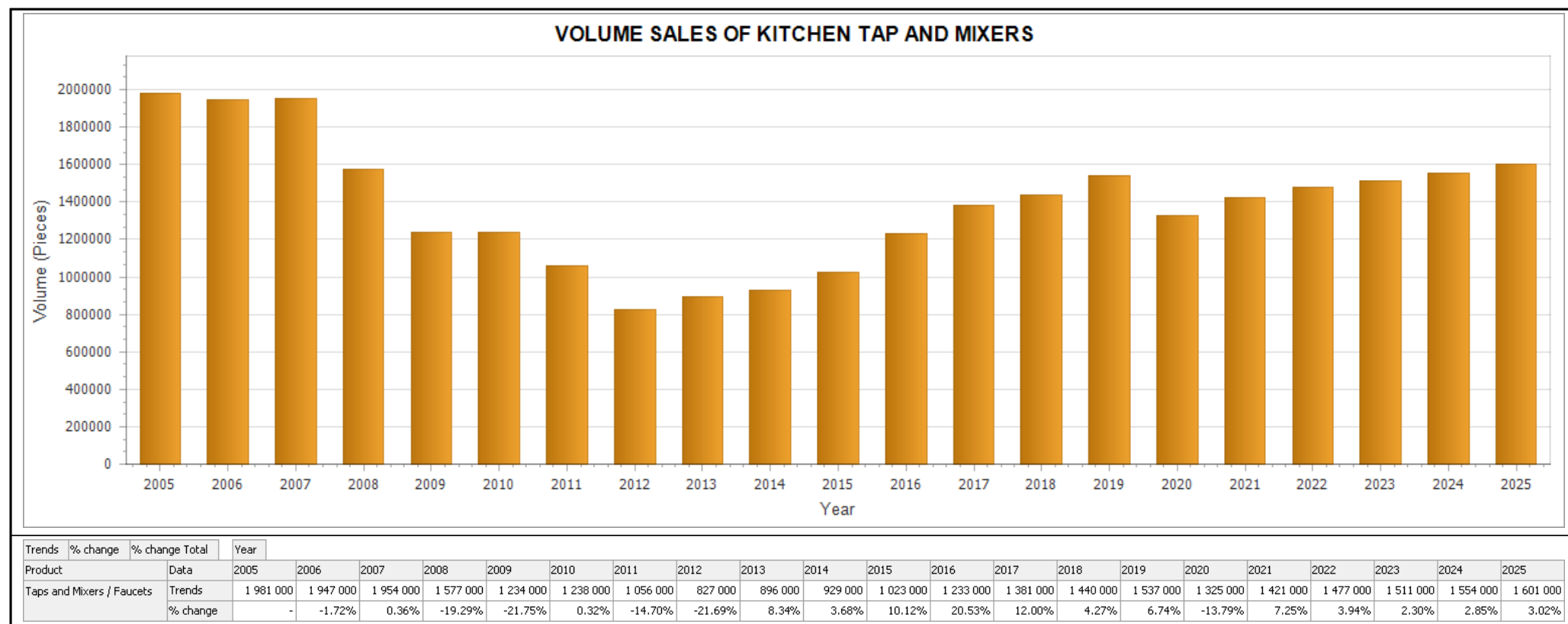
Sales of kitchen taps and mixers should recover from the impact of COVID-19 from 2021 onwards. Growth in construction, a steady recovery in the overall economy and an improving demand growth are expected to support positive sales beginning in 2021. RMI demand is expected to recover and continue to witness growth, and be responsible for the bulk of sales. With recovering income levels and growth in housing construction during the forecast period, the outlook for this market is optimistic.

New housing demand is expected to strongly increase in 2021, but should remain at a fraction of the 2006 peak. However, housing completions are expected to follow an erratic growth curve with declines in 2022 and 2023, to resume growth from 2024 onwards, which might impact new housing sales of kitchen taps and mixers during the forecast period. The outlook for private consumption and non-residential investments is expected to show a recovery from late 2021 onwards, and experience marginal growth throughout the forecast period.

It is expected that from 2021 the market should recover, at a slower pace, and sales should increase, considering the postponed 2020 projects. RMI demand should contribute with a steady growth, combined with a positive development from new housing completions. However, there is still uncertainty over non-housing sales as commercial construction is not expected to grow during the forecast period. However, non-residential RMI sales might support market growth.

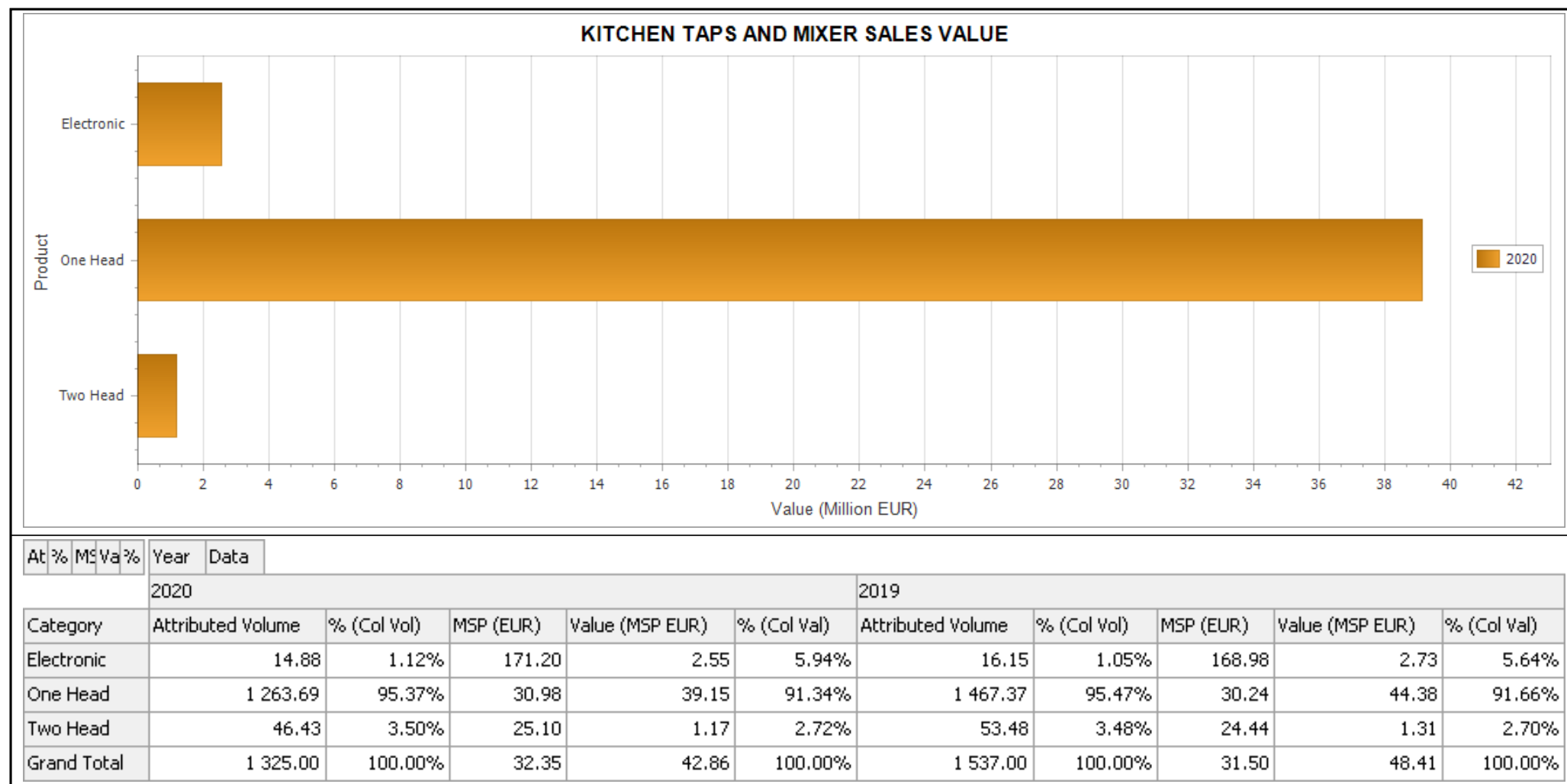
At the time of writing (April 2021) there is still a great level of uncertainty regarding the economic recovery and expected demand for bathroom products. Many countries in Europe have gone into another lockdown, as vaccination efforts continue. If more lockdowns and constraints to economic activity continue over 2021, the forecasts for sales should be more negative than previously expected.

9.2 Historical Trends and Forecasts : Kitchen TM
ES - SUMMARY OF TRENDS IN THE KITCHEN TAP AND MIXER MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews.

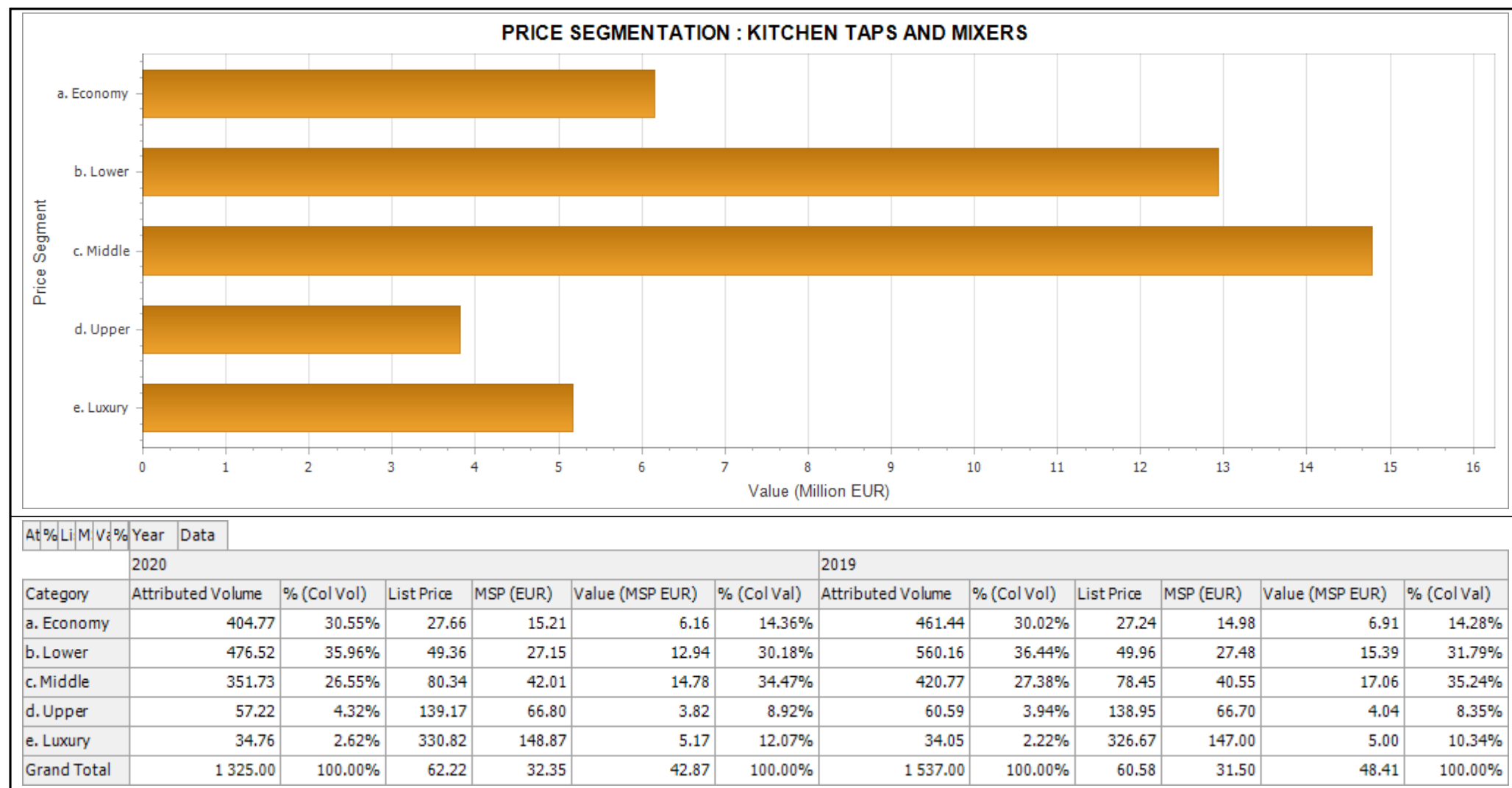
9.3.1 Prices and Market Values : Kitchen Taps & Mixers
ES - ESTIMATED VALUES OF THE KITCHEN TAP AND MIXER MARKET



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price)

9.3.2 Price Segmentation : Kitchen Taps & Mixers

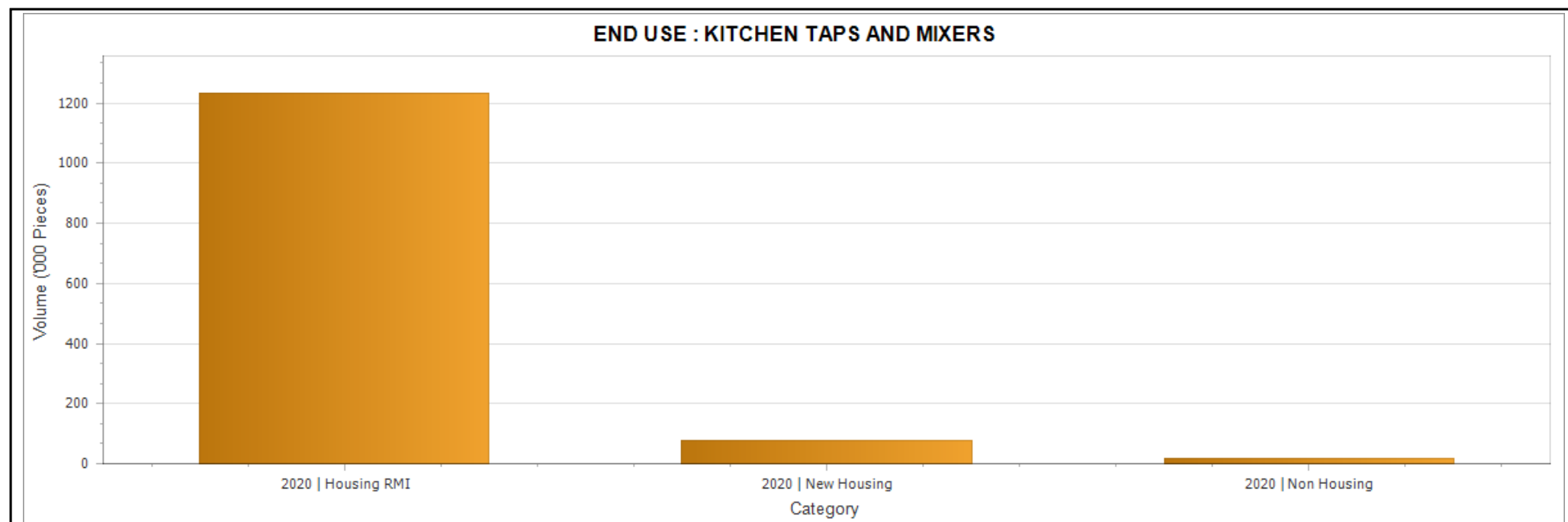
ES - ESTIMATED PRICE SEGMENTATION FOR KITCHEN TAPS AND MIXERS



Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy <€20, Lower €20-€30, Middle €30-€50, Upper €50-€80 and Luxury >€80

End Use : Base Year

ES - SALES OF KITCHEN TAPS & MIXERS BY END USE SEGMENT ('000 PIECES)

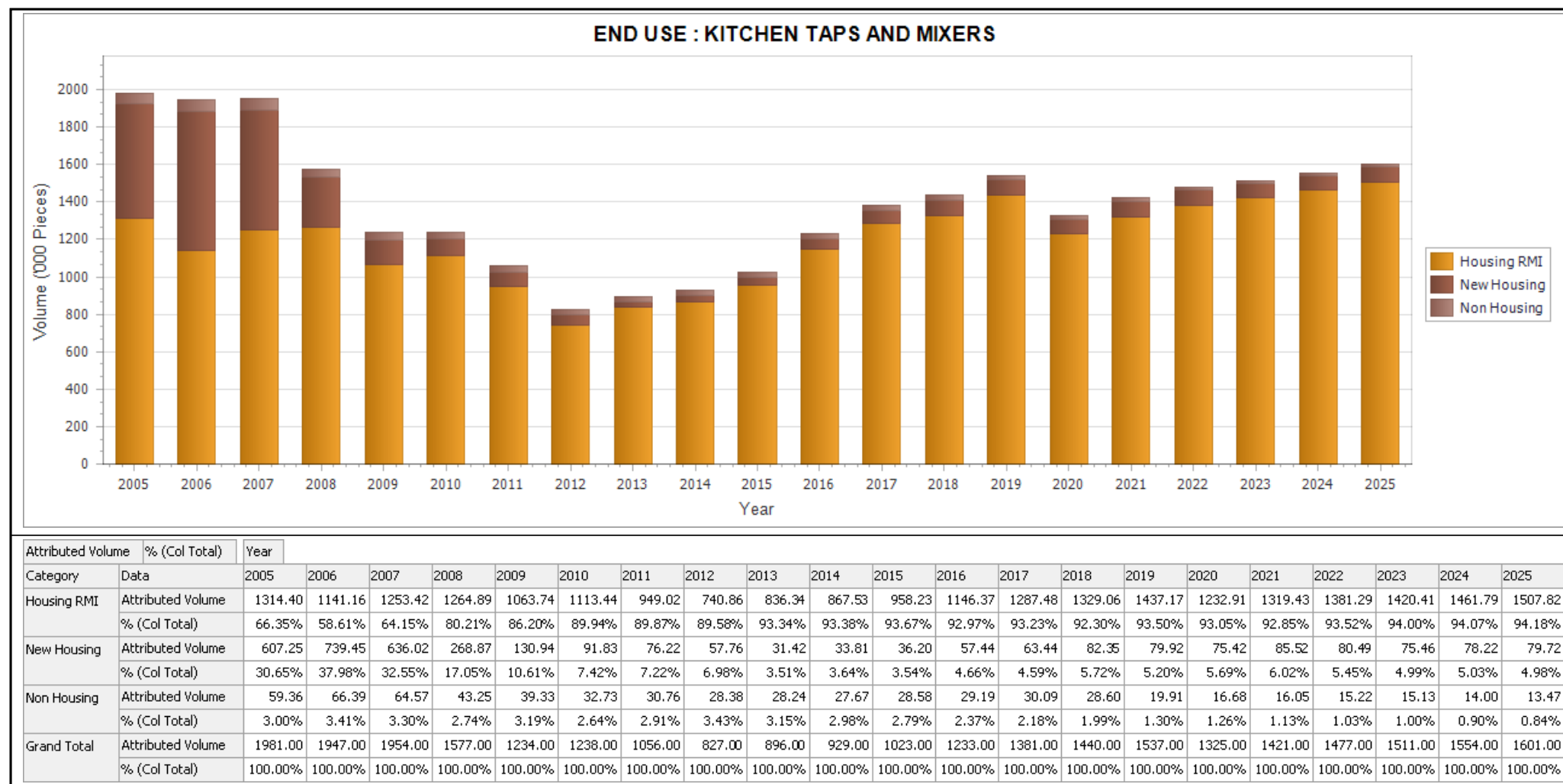


Attributed Volume	% (Row)	Year	Category	Data								
					2020							
					Housing RMI		New Housing		Non Housing		2020 Total	
Alt Product		Attributed Volume	% (Row)		Attributed Volume	% (Row)	Attributed Volume	% (Row)	Attributed Volume	% (Row)		
Kitchen Taps and Mixers / Faucets		1232.91	93.05%		75.42	5.69%	16.68	1.26%	1325.00	100.00%		

Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

9.4.2 End Use : Historical and Forecasts

ES - SALES OF KITCHEN TAPS AND MIXERS BY END USE SEGMENT ('000 PIECES)

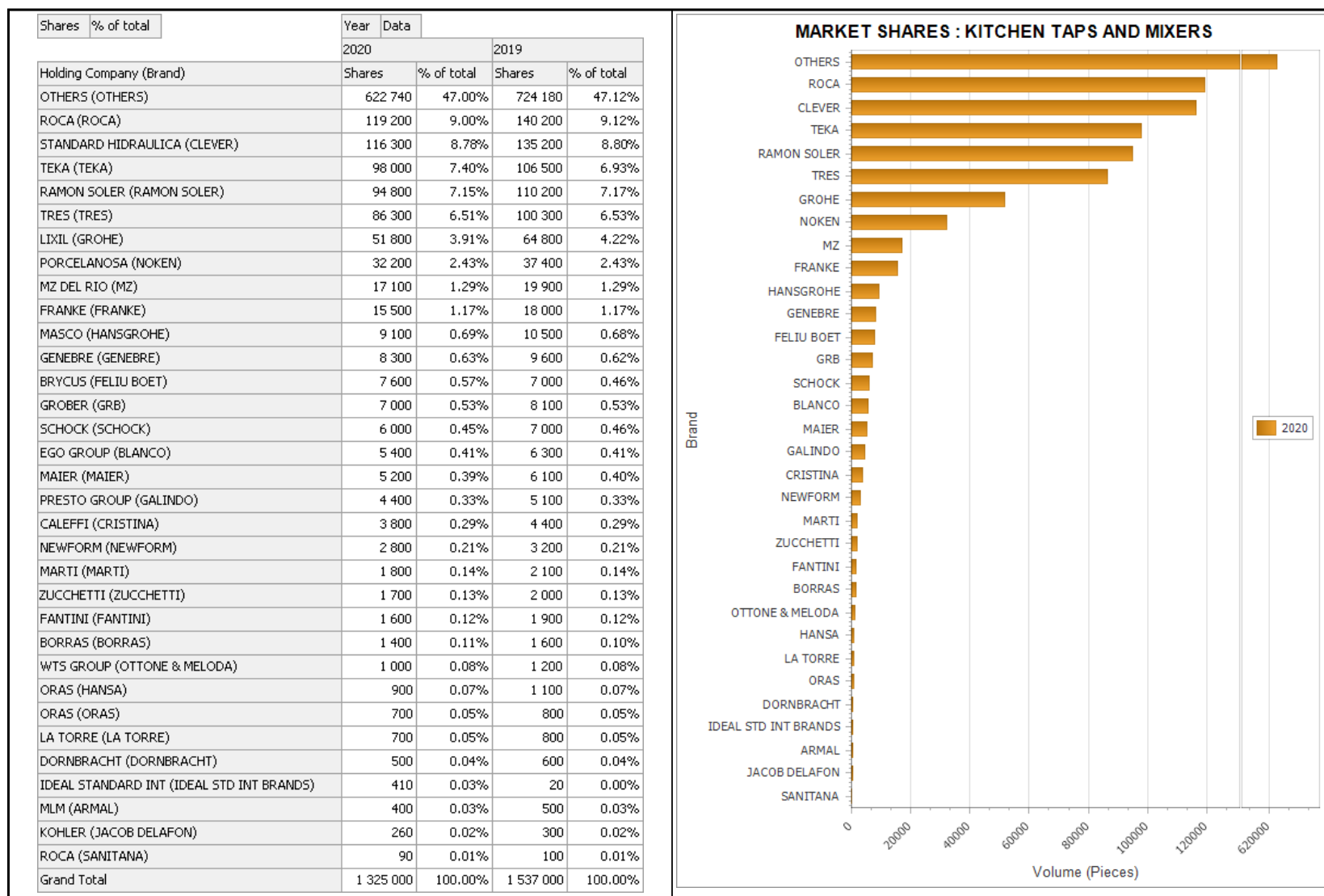


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

9.5

Market Shares : Kitchen Taps & Mixers

ES - ESTIMATED MARKET SHARES FOR KITCHEN TAPS AND MIXERS



Source: BRG based on industry interviews.

9.6.1

Route to Market: Kitchen Taps & Mixers / Faucets
ES - ESTIMATED DISTRIBUTION FOR KITCHEN TAPS & MIXERS / FAUCETS: 2020

Manufacturer / Importer

Manufacturers / Importers
100.0%

Wholesale Level

75.6%
Wholesalers / Merchants
75.6%

Retail Level

Manufacturer	Wholesaler
1.4%	3.5%
Internet Retailers	
4.9%	

Manufacturer	Wholesaler
14.1%	13.5%
DIY Retailers	
27.6%	

Manufacturer	Wholesaler
8.1%	38.4%
Specialist Retailers	
46.5%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.7%	15.9%	0.4%	9.7%	27.4%
Installers				
54.0%				

End Use Level

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.0%	4.1%	4.6%	17.9%	19.1%	53.1%
Residential					
98.7%					

New Build			Residential RMI		
5.7%			93.0%		
Project	Non-Project		Project	Non-Project	
4.7%	1.0%		5.0%	88.0%	

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.1%	0.2%	0.0%	0.0%	0.0%	0.9%
Non-Residential					
1.3%					

New Build			Non-Residential RMI		
0.6%			0.7%		
Project	Non-Project		Project	Non-Project	
0.4%	0.2%		0.5%	0.2%	

9.6.2

Route to Market: Kitchen Taps & Mixers / Faucets
ES - ESTIMATED DISTRIBUTION FOR KITCHEN TAPS & MIXERS / FAUCETS: 2025

Manufacturer / Importer

Manufacturers / Importers
100.0%

Wholesale Level

71.4%
Wholesalers / Merchants
71.4%

Retail Level

Manufacturer	Wholesaler
3.0%	6.3%
Internet Retailers	
9.3%	

Manufacturer	Wholesaler
17.2%	14.6%
DIY Retailers	
31.8%	

Manufacturer	Wholesaler
7.6%	30.7%
Specialist Retailers	
38.3%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.7%	16.1%	0.7%	11.1%	22.6%
Installers				
51.2%				

End Use Level

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.0%	3.6%	8.6%	20.6%	15.7%	50.6%
Residential					
99.2%					

New Build			Residential RMI		
5.0%			94.2%		
Project	Non-Project		Project	Non-Project	
3.9%	1.1%		5.5%	88.7%	

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.1%	0.1%	0.0%	0.0%	0.0%	0.6%
Non-Residential					
0.8%					

New Build			Non-Residential RMI		
0.4%			0.4%		
Project	Non-Project		Project	Non-Project	
0.3%	0.1%		0.3%	0.1%	

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

9.6.3 Route to Market - Consolidated View : Kitchen Taps and Mixers / Faucets

ES - ESTIMATED DISTRIBUTION FOR KITCHEN TAPS AND MIXERS / FAUCETS : 2020

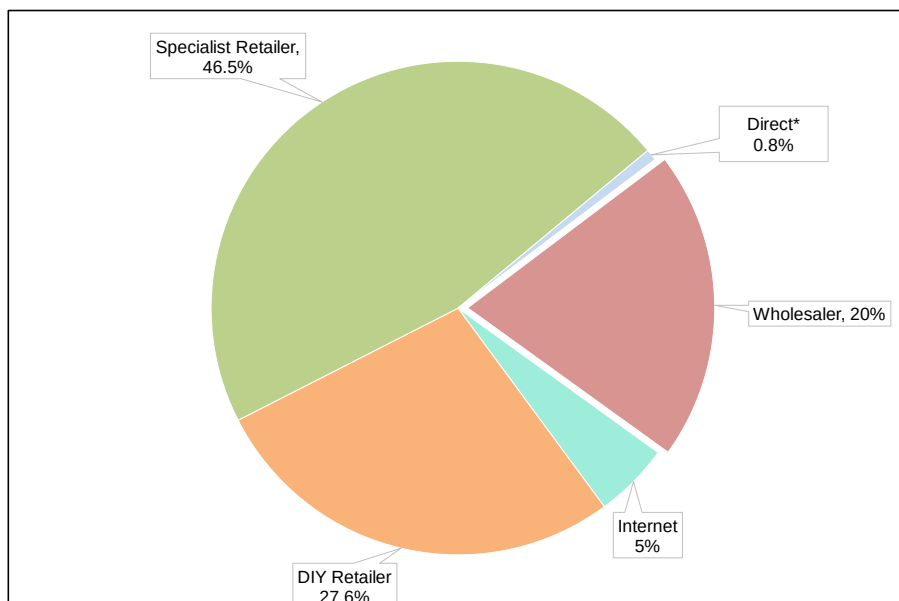
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
20.2%	4.9%	27.6%	46.5%	0.8%	9.7%	0.9%	89.0%	0.4%
100%					10.6%		89.4%	

9.6.4 Route to Market - Consolidated View : Kitchen Taps and Mixers / Faucets

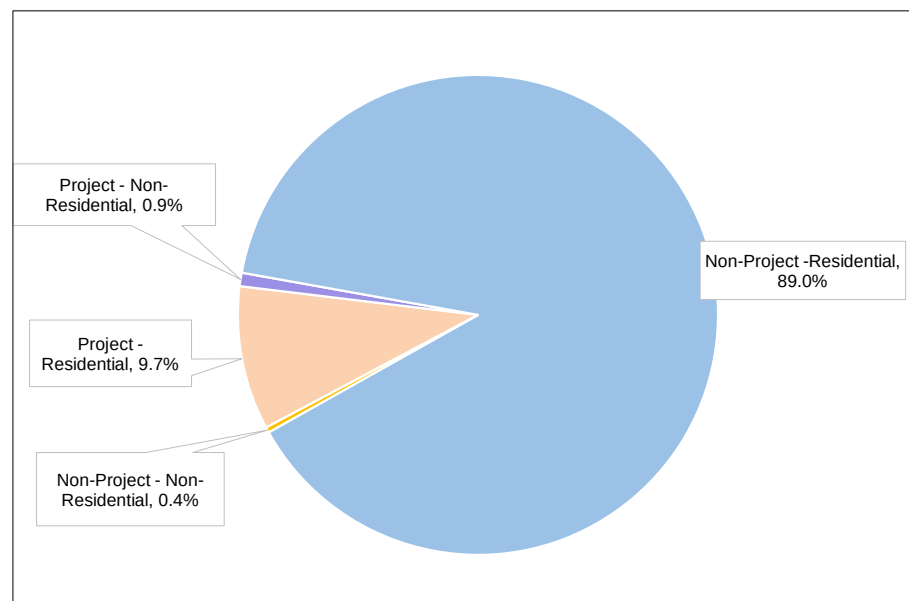
ES - ESTIMATED DISTRIBUTION FOR KITCHEN TAPS AND MIXERS / FAUCETS : 2025

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
19.8%	9.3%	31.8%	38.3%	0.7%	9.4%	0.6%	89.8%	0.2%
100%					10.0%		90.0%	

ES - SALES OF KITCHEN TAPS AND MIXERS / FAUCETS BY DISTRIBUTION CHANNEL: 2020



ES - SALES OF KITCHEN TAPS AND MIXERS / FAUCETS BY POINT OF DECISION AND END-USE SECTOR: 2020



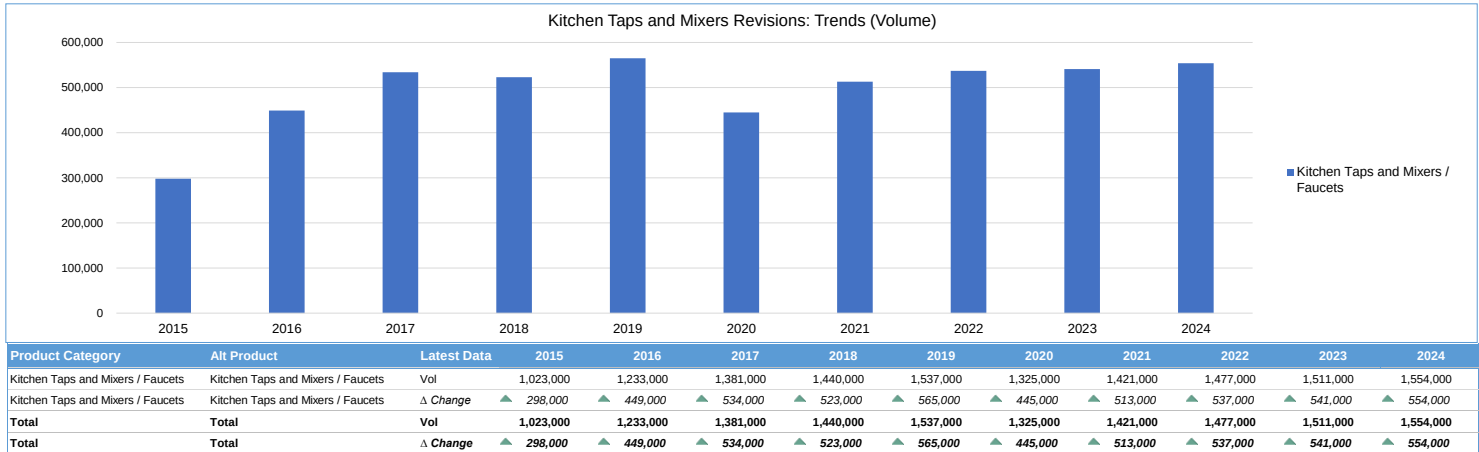
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

9.7 Revisions in the Spanish Kitchen Taps and Mixers Market (April 2021)

ES - REVISIONS IN THE SPANISH KITCHEN TAPS AND MIXERS MARKET

Data Comparison: October 2020



It has been necessary to make strong upward revisions to the market size for kitchen taps and mixers, as with sanitary taps and mixers, due to an underestimation of imports, especially from China. Unlike ceramic sanitary ware, domestic production of taps and mixers is not as strong as that for ceramic sanitary ware, meaning the market relies a lot more on imports. Whereas domestic production has fluctuated, and declined, considerably since 2001, imports, on the other hand, have developed well, in both volume and value terms, increasing from a share of 30% in 2001, to 54% in 2006, to 65% in 2011 to reach a share of 68% of total domestic demand by 2019. Whereas in 2001, imports in value stood at €65.1 million, this already reached €151 million in 2006, €109.9 million in 2011 and reached €171.9 million by 2019. Import volumes do include re-exports, mostly to Portugal and France, which have been removed from the domestic market size calculation, since Spain exports more than it produces domestically, with €89.8 million being exported in 2019, accounting for 39% of imports and domestic production combined.

As with sanitary taps and mixers, downward revisions were made to the MSP for kitchen taps and mixers. Spain is considered to be a very low-priced market, characterised by a very high share of sales into the economy and lower priced segments. Average prices are also kept low because DIY sales are gaining share, mostly private label from China but also Turkey. Spanish produced mixers are extremely low priced, with an average MSP of €12 to €13 per kilogram, whereas this is higher for imported mixers, which on average, cost around €15 to €17 per kilogram. This means that prices for taps and mixers vary between €20 to €25 for domestically produced mixers and above €30 for imported mixers, with imports from Germany being the highest priced. In theory, average MSPs could be below €30, making Spain one of the lowest priced markets in (Western) Europe.